

INTERCONTINENTALEXCHANGE INC

FORM 10-K (Annual Report)

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UNITED STATES SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

Form 10-K

(Mark One)

- ☒ ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934
For the fiscal year ended December 31, 2008
- Or
- ☐ TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934
For the transition period from to

Commission File Number 001-32671

INTERCONTINENTALEXCHANGE, INC.

(Exact name of registrant as specified in its charter)

Delaware
(State or other jurisdiction of
incorporation or organization)

2100 RiverEdge Parkway,
Suite 500, Atlanta,
Georgia
(Address of principal executive offices)

58-2555670
(IRS Employer
Identification Number)

30328
(Zip Code)

(770) 857-4700
Registrant's telephone number, including area code

Securities registered pursuant to Section 12(b) of the Act:

Title of Each Class	Name of Each Exchange on Which Registered
Common Stock, \$0.01 par value per share	New York Stock Exchange

Securities registered pursuant to Section 12(g) of the Act:
None

Indicate by check mark if the registrant is a well-known seasoned issuer, as defined in Rule 405 of the Securities Exchange Act of 1934. Yes ☒ No ☐

Indicate by check mark if the registrant is not required to file reports pursuant to Section 13 or Section 15(d) of the Act. Yes ☐ No ☒

Indicate by check mark whether the registrant: (1) has filed all reports required to be filed by Section 13 or 15(d) of the Act during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark if disclosure of delinquent filers pursuant to Item 405 of Regulation S-K is not contained herein, and will not be contained, to the best of the registrant's knowledge, in definitive proxy or information statements incorporated by reference in Part III of this Annual Report on Form 10-K or any amendment to this Form 10-K. ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, or a smaller reporting company. See the definitions of "large accelerated filer," "accelerated filer" and "smaller reporting company" in Rule 12b-2 of the Exchange Act. (Check one):

Large accelerated filer ☒ Accelerated filer ☐ Non-accelerated filer ☐ Smaller reporting company ☐
(Do not check if a smaller reporting company)

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act). Yes ☐ No ☒

The aggregate market value of the registrant's voting and non-voting common equity held by non-affiliates computed by reference to the price at which the common equity was last sold as of the last business day of the registrant's most recently

completed second fiscal quarter was \$7,774,777,086. As of February 9, 2009, the number of shares of the registrant's Common Stock outstanding was 72,649,190 shares.

DOCUMENTS INCORPORATED BY REFERENCE

Certain information contained in the registrant's Proxy Statement for the 2009 Annual Meeting of Stockholders is incorporated herein by reference in Part III of this Annual Report on Form 10-K. The Proxy Statement will be filed with the Securities and Exchange Commission within 120 days after the end of the registrant's fiscal year to which this report relates.

INTERCONTINENTALEXCHANGE, INC.
ANNUAL REPORT ON FORM 10-K
For the Fiscal Year Ended December 31, 2008

TABLE OF CONTENTS

<u>Item Number</u>		<u>Page Number</u>
	PART I	
1.	Business	2
1(A).	Risk Factors	33
1(B).	Unresolved Staff Comments	49
2.	Properties	49
3.	Legal Proceedings	50
4.	Submission of Matters to a Vote of Security Holders	50
4(A).	Executive Officers of IntercontinentalExchange, Inc.	50
	PART II	
5.	Market for Registrant’s Common Equity, Related Stockholder Matters and Issuer Purchases of Equity Securities	52
6.	Selected Financial Data	54
7.	Management’s Discussion and Analysis of Financial Condition and Results of Operations	57
7(A).	Quantitative and Qualitative Disclosures about Market Risk	85
8.	Financial Statements and Supplementary Data	87
9.	Changes in and Disagreements with Accountants on Accounting and Financial Disclosure	138
9(A).	Controls and Procedures	138
9(B).	Other Information	138
	PART III	
10.	Directors, Executive Officers and Corporate Governance	138
11.	Executive Compensation	139
12.	Security Ownership of Certain Beneficial Owners and Management and Related Stockholder Matters	139
13.	Certain Relationships and Related Transactions, and Director Independence	139
14.	Principal Accountant Fees and Services	139
	PART IV	
15.	Exhibits, Financial Statement Schedules	139
	SIGNATURES	141
	FINANCIAL STATEMENT SCHEDULE	143
	INDEX TO EXHIBITS	144
	EX-10.6	
	EX-10.7	
	EX-10.8	
	EX-10.9	
	EX-10.17	
	EX-10.18	
	EX-10.19	
	EX-10.22	
	EX-21.1	
	EX-23.1	
	EX-31.1	
	EX-31.2	
	EX-32.1	
	EX-32.2	

PART I

In this Annual Report on Form 10-K, unless otherwise specified or the context otherwise requires:

- “IntercontinentalExchange”, “ICE”, “we”, “us”, “our”, “our company” and “our business” refer to IntercontinentalExchange, Inc. and its consolidated subsidiaries.
- “ICE Futures Europe” refers to our wholly-owned subsidiary, which, prior to September 3, 2007, operated as ICE Futures and which, prior to October 25, 2005, operated as the International Petroleum Exchange of London, Ltd., or the IPE.
- “ICE Futures U.S.” refers to our wholly-owned subsidiary that we acquired on January 12, 2007, which, prior to our acquisition, operated as the Board of Trade of the City of New York, Inc., or NYBOT, a member-owned not-for-profit corporation, and, after our acquisition, operated as the Board of Trade of the City of New York, Inc., a wholly-owned subsidiary of IntercontinentalExchange. On September 3, 2007, we renamed NYBOT “ICE Futures U.S.” “ICE Clear U.S.” refers to ICE Futures U.S.’s wholly-owned clearing subsidiary, which previously operated as the New York Clearing Corporation, or NYCC.
- “ICE Futures Canada” refers to our wholly-owned subsidiary that we acquired on August 27, 2007 and which previously operated as the Winnipeg Commodity Exchange, Inc. or the WCE. “ICE Clear Canada” refers to ICE Futures Canada’s wholly-owned clearing subsidiary, which previously operated as WCE Clearing Corporation, or WCECC.

Due to rounding, figures in tables may not sum exactly.

Forward-Looking Statements

This Annual Report on Form 10-K, including the sections entitled “Business”, “Legal Proceedings” and “Management’s Discussion and Analysis of Financial Condition and Results of Operations”, contains forward-looking statements that are based on our present beliefs and assumptions and on information currently available to us. You can identify forward-looking statements by terminology such as “may,” “will,” “should,” “could,” “would,” “targets,” “goal,” “expect,” “intend,” “plan,” “anticipate,” “believe,” “estimate,” “predict,” “potential,” “continue,” or the negative of these terms or other comparable terminology. These statements relate to future events or our future financial performance and involve known and unknown risks, uncertainties and other factors that may cause our actual results, levels of activity, performance or achievements to differ materially from those expressed or implied by these forward-looking statements. These risks and other factors include those set forth in Item 1(A) under the caption “Risk Factors” and elsewhere in this Annual Report on Form 10-K and other filings with the Securities and Exchange Commission, or SEC. Although we believe that the expectations reflected in the forward-looking statements are reasonable, we cannot guarantee future results, levels of activity, performance or achievements. We caution you not to place undue reliance on these forward-looking statements. Forward-looking statements and other factors that may affect our performance include, but are not limited to:

- our expectations regarding the business environment in which we operate and trends in our industry, including increasing competition, consolidation and trading volumes;
- conditions in global financial markets;
- our ability to identify and effectively pursue acquisitions and strategic alliances and successfully integrate the companies we acquire;
- our ability to minimize the risks associated with operating multiple clearing houses in multiple jurisdictions;
- the impact of any changes in domestic and foreign regulations or government policy, including any changes or reviews of previously issued regulations and policies;
- our initiative to establish a credit derivatives clearing house to clear credit default swaps;

- our ability to keep pace with rapid technological developments and to ensure that the technology we utilize is not vulnerable to security risks;
- the accuracy of our cost estimates and expectations;
- our belief that cash flows will be sufficient to service our debt and fund our working capital needs and capital expenditures, at least through the end of 2010;
- our ability, on a timely and cost-effective basis, to offer additional products and services, leverage our risk management capabilities and enhance our technology;
- our ability to maintain existing market participants and attract new ones;
- our ability to protect our intellectual property rights, including the costs associated with such protection, and our ability to operate our business without violating the intellectual property rights of others;
- potential adverse litigation results; and
- our belief in the soundness of our electronic platform and disaster recovery system technologies, as well as our ability to gain access on a timely and cost-effective basis to comparable products and services if our key technology contracts were terminated.

Any forward-looking statement speaks only as of the date on which such statement is made, and we undertake no obligation to update any forward-looking statement or statements to reflect events or circumstances after the date on which such statement is made or to reflect the occurrence of an unanticipated event. New factors emerge from time to time, and it is not possible for management to predict all factors that may affect our business and prospects. Further, management cannot assess the impact of each factor on the business or the extent to which any factor, or combination of factors, may cause actual results to differ materially from those contained in any forward-looking statements.

The following discussion should be read in conjunction with our consolidated financial statements and related notes included elsewhere in this Annual Report on Form 10-K.

ITEM 1. BUSINESS

General

We are a leading regulated global futures exchange and over-the-counter, or OTC, market operator. We operate the leading electronic futures and OTC marketplace for trading a broad array of energy, soft agricultural and agricultural commodities, credit default swaps, or CDS, and financial products. Currently, we are the only marketplace to offer an integrated electronic platform for side-by-side trading of products in both futures and OTC markets, together with clearing services. Through our widely-distributed electronic marketplace, we bring together buyers and sellers of derivative and physical commodities and financial contracts and offer a range of services to support our participants' risk management needs.

We conduct our regulated energy futures markets through our wholly-owned subsidiary, ICE Futures Europe, which is based in the United Kingdom, or U.K. ICE Futures Europe is the largest energy futures exchange outside of the United States, or U.S., as measured by 2008 traded contract volume, and one of the top 10 commodity exchanges in the world, according to the Futures Industry Association. We conduct our regulated U.S. futures markets through our wholly-owned subsidiary, ICE Futures U.S. We conduct our regulated Canadian futures markets through our wholly-owned subsidiary, ICE Futures Canada. ICE Futures Europe clears its business through ICE Clear Europe, ICE Futures U.S. clears its business through ICE Clear U.S. and ICE Futures Canada clears its business through ICE Clear Canada. We completed our acquisition of ICE Futures U.S. in January 2007 and our acquisition of ICE Futures Canada in August 2007. The launch of ICE Clear Europe occurred in November 2008, completing our strategic plan to offer clearing services through wholly-owned clearing businesses in the United States, the United Kingdom and Canada. Clearing services for our U.K. energy futures and cleared global OTC energy businesses were previously outsourced to a third party U.K. clearing house.

We conduct our OTC business directly through IntercontinentalExchange as an Exempt Commercial Market under the Commodity Exchange Act and through Creditex Group Inc., or Creditex, an interdealer broker. We completed our acquisition of Creditex in August 2008. Creditex is a market leader and innovator in the execution and processing of index and single-name CDS with markets spanning the United States, Europe and Asia. In October 2008 we announced our planned acquisition of The Clearing Corporation as part of our strategy to offer clearing in the CDS market.

Our Business

We operate diverse global markets that promote price transparency and offer participants the opportunity to trade a variety of energy, soft agricultural and agricultural commodities, CDS and financial products. Our core products include contracts based on crude and refined oil products, natural gas, power, coal, emissions, sugar, cotton, coffee, cocoa, canola, orange juice, CDS, foreign exchange and equity index products. Our derivative and physical products provide participants with a means for managing risks associated with changes in the prices of these commodities, asset allocation, ensuring physical delivery of select commodity products and trading. The majority of our trading volume is financially or cash settled, meaning that settlement is made through cash payments based on the difference between the purchase price of the contract and the value of the underlying commodity at contract expiration, rather than through physical delivery of the commodity itself.

All futures and options contracts and many of our OTC swap contracts are cleared through a central counterparty clearing house. We also offer OTC swap contracts that can be traded on a bilateral basis. Our customer base includes professional traders, financial institutions, institutional and individual investors, corporations, manufacturers, commodity producers and refiners, and governmental bodies. We do not take proprietary trading positions in any contracts in our markets.

We operate our U.S., U.K. and Canadian exchanges, as well as our OTC markets, primarily on our electronic platform, except for the Creditex business, in which trading is conducted both electronically on Creditex's proprietary platform, and through voice brokered transactions. ICE Futures U.S. continues to offer options on futures markets through its open-outcry trading floor based in New York City, complementing our electronic futures and options offerings. In addition to trade execution, our electronic platform offers a comprehensive suite of trading-related services, including pre- and post-trade risk management tools, electronic trade confirmation and clearing services. Through our platform, we facilitate straight-through processing of trades, with the goal of providing seamless integration of front-, back- and mid-office trading and risk management activities.

We operate and manage our business on the basis of three segments: our futures business segment, our OTC business segment and our market data business segment. For a discussion of these segments and related financial disclosure, refer to note 18 to our consolidated financial statements and related notes included elsewhere in this Annual Report on Form 10-K.

History

In May 2000, IntercontinentalExchange was established, with our founding shareholders representing some of the world's largest energy companies and global banks. Our mission was to transform OTC energy markets by providing an open, accessible, around-the-clock electronic energy marketplace to a previously fragmented and opaque market. We offered the energy community greater price transparency, efficiency, liquidity and lower costs than manual trading, such as voice or floor markets. Working together with participants in the energy markets, we developed the leading electronic marketplace for energy commodities, along with the leading electronic trade confirmation platform.

In June 2001, we expanded our business into the futures markets by acquiring the IPE, now ICE Futures Europe. Europe's leading regulated energy futures exchange, ICE Futures Europe's markets today account for approximately 50% of the world's crude oil and refined futures traded each day. In April 2005, ICE Futures Europe became the first fully electronic energy exchange.

ICE Data was launched in 2002 to meet the demand for increased market data in the OTC energy markets, and is today one of the leading providers of futures and OTC data globally. Since 2003, we have partnered with the Chicago Climate Exchange, or CCX, to host its OTC emissions markets, and today we offer the leading European emissions futures contracts in conjunction with the European Climate Exchange, or ECX.

In November 2005, we completed our initial public offering on the New York Stock Exchange under the ticker symbol “ICE” and have since become a member of the Russell 1000 and the S&P 500 indexes. In January 2007, we acquired NYBOT, now known as ICE Futures U.S. Today, ICE Futures U.S.’s futures contracts for soft agricultural commodities such as sugar and coffee are listed in our electronic markets. In June 2007, we entered into an exclusive licensing agreement with the Frank Russell Company to list the U.S. Russell Index futures complex. Also in 2007, we acquired the exclusive right to key natural gas indexes, including the NGI and NGX indexes.

In July 2007, we acquired and integrated ChemConnect’s OTC natural gas liquids and chemicals markets. In August 2007, we acquired the Winnipeg Commodity Exchange, the leading canola market in the world, now known as ICE Futures Canada. In October 2007, we acquired Chatham Energy, or Chatham, a leading OTC energy options broker, and in February 2008, we acquired YellowJacket Software, Inc., or YellowJacket, a leading peer-to-peer negotiation platform for the OTC options markets.

In August 2008, we completed our acquisition of Creditex, a leading interdealer market for the execution and processing of credit derivatives. In October 2008, we announced plans to acquire The Clearing Corporation, or TCC, and the transaction is expected to close in the first quarter of 2009. TCC will be the clearing service provider for our CDS clearing house, known as ICE US Trust, or ICE Trust. ICE Trust is a limited purpose New York trust regulated by the New York State Banking Department. ICE Trust plans to commence clearing in the first quarter of 2009. Today, we employ over 790 professionals across the United States, Europe and Asia.

Futures Marketplaces

In our futures business, we operate three regulated futures exchanges in the United States, the United Kingdom and Canada. ICE Futures Europe operates as a Recognized Investment Exchange in the United Kingdom, where it is regulated by the U.K. Financial Services Authority, or FSA. ICE Futures Europe was founded in 1980 as a traditional open-outcry auction market, and today operates exclusively as an electronic exchange. Trades in our energy futures markets may only be executed in the name of exchange members for the members’ own account or their customers’ account. Our members and their customers include many of the world’s largest energy companies and leading financial institutions.

ICE Futures U.S. is a leading global futures and options exchange for trading in a broad array of soft agricultural commodities, including sugar, coffee, cotton, cocoa and frozen concentrated orange juice, or FCOJ. ICE Futures U.S. also provides trading in futures and options contracts for a variety of financial products, including its futures and options contracts based on the Russell indexes and the U.S. Dollar Index, or USDX. ICE Futures U.S. operates as a Designated Contract Market and is regulated by the Commodity Futures Trading Commission, or CFTC. Until February 2, 2007, ICE Futures U.S. operated exclusively as an open-outcry exchange and provided only floor-based markets. On that date, ICE Futures U.S. listed its core soft agricultural commodity markets on our electronic platform, and has subsequently introduced the Russell indexes, currency pairs and USDX futures and options contracts electronically. Options markets continue to be available for trading on the floor of the exchange.

ICE Futures Canada is Canada’s leading commodity futures and options exchange and North America’s first fully electronic commodity futures exchange. Based in Winnipeg, Manitoba, ICE Futures Canada offers futures and options contracts on canola and western barley. For over a century ICE Futures Canada, and its predecessor companies, have operated futures markets that bring together agricultural industry participants, traders, and investors to engage in price discovery, price risk transfer and price dissemination for the markets. ICE Futures Canada is a recognized commodity futures exchange under the provisions of The Commodity Futures Act (Manitoba), or the CFA, and is regulated by the Manitoba Securities Commission, or MSC.

ICE Clear Europe clears and settles contracts for ICE Futures Europe and is regulated by the FSA as a Recognized Clearing House. ICE Futures U.S. owns its clearing house, ICE Clear U.S., which clears and settles contracts traded on, or subject to the rules of, ICE Futures U.S. ICE Clear U.S. is a Derivatives Clearing Organization and is regulated by the CFTC. ICE Futures Canada owns its clearing house, ICE Clear Canada, which clears and settles contracts traded on, or subject to the rules of, ICE Futures Canada. ICE Clear Canada is a recognized clearing house under the provisions of the CFA and is regulated by the MSC.

OTC Marketplace

In our OTC business, we operate global over-the-counter markets primarily through our electronic platform. We offer trading in thousands of contracts, covering a broad range of energy-related products and contract types. These contracts include derivative contracts as well as contracts that provide for physical delivery of the underlying commodity, principally relating to natural gas, power, natural gas liquids, chemicals and crude and refined oil products. We offer a wide range of derivative contracts in our OTC markets due to the availability of various combinations of commodities, product types, delivery “hub” locations and terms or settlement dates for a given contract. In 2008 and 2007, we acquired Creditex, YellowJacket, ChemConnect and Chatham, and as a result, have expanded our markets to include CDS, natural gas liquids, chemicals and natural gas options contracts. Our OTC market participants include many of the world’s largest energy companies, leading financial institutions and proprietary trading firms, as well as natural gas distribution companies and utilities. Participants in our OTC energy markets must qualify as eligible commercial participants or eligible commercial entities under the Commodity Exchange Act.

Market Data

We offer a variety of market data services for both futures and OTC markets through our market data subsidiary, ICE Data. ICE Data compiles and repackages market data derived from trading activity on our platform into information products that are sold to a broad customer base extending beyond our core trading community.

Since its inception, ICE Data has expanded to provide data services covering our energy futures and OTC markets, as well as soft agricultural and agricultural commodities, equity indexes and currency pairs. Market data services for these segments include publication of daily indices, access to historical price and other data, view only access to our trading platform, end of day settlements and pricing data sets, as well as a service that provides independent validation of participants’ own valuations for OTC products.

Our Competitive Strengths

We have established ourselves as a leading operator of global regulated futures exchanges and OTC markets. We believe our key strengths include:

- liquid, diverse global markets and benchmark contracts;
- diverse and complementary risk management products and services;
- widely-distributed, leading edge technology for trading and risk management;
- market transparency and efficient access to futures and OTC markets;
- geographic and product diversity with multiple regulated exchanges and clearing houses, and global OTC markets; and
- innovative, customer-focused management with a focus on growth.

Liquid, Diverse Global Markets and Benchmark Contracts

Several of our core products serve as global benchmarks for managing risk relating to exposure to price movements in the underlying commodities. We operate the leading market for trading in Brent crude oil futures, as measured by the volume of contracts traded in 2008, according to the Futures Industry Association.

The ICE Brent Crude futures contract is the leading benchmark for pricing light, sweet crude oil produced and consumed outside of the United States, and is the price reference for approximately two-thirds of the world's physical oil. Similarly, the ICE Gas Oil futures contract is a leading benchmark for the pricing of a range of refined oil products outside the United States. We also operate the world's second largest market for trading in West Texas Intermediate, or WTI, crude oil futures, as measured by the volume of contracts traded in 2008, according to the Futures Industry Association. The WTI Crude futures contract is the leading benchmark for pricing light, sweet crude oil delivered and consumed within the United States. We operate a leading OTC market for energy contracts, including hundreds of contracts based on natural gas and electric power hubs, or delivery points, in North America, as well as certain refined products. We were the first marketplace in North America to introduce cleared OTC energy contracts. We believe that cleared OTC energy markets have increased market liquidity and transparency and attracted new participants by reducing counterparty credit risk and by improving capital efficiency. Today, qualified OTC participants may access both bilateral and cleared markets on our platform.

The following table shows the number and notional value of commodities futures contracts traded in our most significant futures markets. The notional value of contracts represents the aggregate value of the underlying commodities covered by the contracts.

	Year Ended December 31,					
	2008		2007		2006	
	Number of Contracts (In thousands)	Notional Value (In billions)	Number of Contracts (In thousands)	Notional Value (In billions)	Number of Contracts (In thousands)	Notional Value (In billions)
ICE Brent Crude futures	68,368	\$ 6,771.3	59,729	\$ 4,293.2	44,346	\$ 2,936.2
ICE WTI Crude futures(1)	51,092	5,210.4	51,388	3,727.2	28,673	1,919.4
ICE Gas Oil futures	28,805	2,637.2	24,510	1,582.8	18,290	1,071.6
Sugar No. 11 futures and options(2)	36,437	492.5	26,251	289.9	—	—
Russell index futures and options(3)	17,054	1,201.7	336	79.4	—	—

(1) Trading commenced in February 2006.

(2) Sugar No. 11 futures and options trade on ICE Futures U.S., which was acquired in January 2007.

(3) Russell index futures and options began trading exclusively on ICE Futures U.S. in September 2008.

The following table shows the number and notional value of OTC commodities contracts traded on our electronic platform in our most significant OTC energy markets:

	Year Ended December 31,					
	2008		2007		2006	
	Number of Contracts (In thousands)	Notional Value (In billions)	Number of Contracts (In thousands)	Notional Value (In billions)	Number of Contracts (In thousands)	Notional Value (In billions)
North American natural gas	228,544	\$ 4,531.3	157,956	\$ 2,705.6	121,047	\$ 2,289.3
North American power	10,085	533.7	8,331	394.2	6,014	284.7
Global oil and refined products	8,334	443.8	8,471	305.9	3,772	116.3

Diverse and Complementary Risk Management Products and Services

We have developed and offer our customers a diverse array of products and a broad range of risk management services including trade execution, market data, pre- and post-trade processing and clearing services on an integrated platform. We have a history of developing innovative products and services for the markets we serve, including electronic trade confirmation, affirmation and novation for the bilateral OTC markets, independent price validation services, portfolio compression, credit event auctions and OTC clearing. Our markets provide important risk management tools and evolve based on changes in market conditions, market structure and technological advancements. We work closely with our customers to create products and services that meet their requirements. These relationships help us to anticipate and lead industry changes.

Widely-distributed, Leading Edge Technology for Trading and Risk Management

Our integrated technology infrastructure is delivered via our widely accessible electronic trading platform, which provides centralized and direct access to risk management and trade execution for a variety of energy, soft agricultural and other agricultural commodities, and financial products. We operate the majority of our energy, financial and agricultural markets on our electronic trading platform. Our trading platform has enabled us to attract significant liquidity from traditional market participants, as well as new market entrants seeking the access, efficiency and ease of execution offered by electronic trading. We have developed a significant global presence with thousands of active screens at over 1,500 OTC participant firms and over 1,100 futures participant firms as of December 31, 2008.

Our participants may access our electronic marketplace through a variety of means, including through telecommunications hubs in the United States, Europe, Canada and Asia, via the Internet or through dedicated lines. We offer various front-end trading alternatives, including proprietary front-end systems, independent software vendors, or ISVs, our own front-end called WebICE and brokerage firms. ISVs allow market participants to access multiple exchanges through a single interface, which is integrated with the participants' risk management systems.

We have taken a number of steps to increase the accessibility and connectivity of our electronic platform, including opening our electronic platform to ISVs and allowing members to develop their own conformed front-end systems. Our participants can currently access our platform using 37 ISVs. We do not depend on the services of any one ISV for access to a significant portion of our participant base.

We also have made a number of enhancements to our technology infrastructure and electronic platform to facilitate trading in futures contracts. Those enhancements include increased speed, reliability and additional features, such as stop-limits and extensive implied spread functionality, which allows certain bids and offers to imply prices from one contract month to another, as well as the use of formula-based spreadsheet tools and the development of administrative and monitoring tools.

Our trading platform provides rapid trade execution and is, we believe, one of the world's most flexible, efficient and secure systems for derivatives markets. We have designed our platform to be highly scalable — meaning that we can expand capacity and add new products and functionality efficiently at relatively low cost and without disruption to our markets. Our platform can also be adapted for use in other markets, as demonstrated by the decision by CCX and ECX to operate their emissions markets on our trading platform. We believe that our commitment to investing in technology to enhance our network infrastructure, electronic trading platform, clearing and other post-trade processes will continue to contribute to the growth and development of our business.

Market Transparency and Efficient Access to Futures and OTC Markets

Through our highly accessible platform, we offer real-time market transparency to participants, observers and regulators for dozens of futures and OTC markets. This transparency has increased liquidity and the confidence participants have in transacting in our markets relative to floor or voice traded markets. Our price transparency and range of market data for the OTC energy markets meets or surpasses that offered by other OTC energy markets, which may be beneficial to us in a regulatory environment favoring transparency.

In addition, we believe that our growth has been driven in part by our ability to uniquely offer qualified market participants integrated access to both the futures and OTC markets. We believe that our demonstrated ability to develop specialized technology and launch new products for both the futures and OTC markets provides us with several competitive advantages, including a larger addressable market, increased domain knowledge in our markets, including insight into commercial market participants' needs, the ability to offer cross margining for correlated products, and enhanced market data offerings. In addition to cleared OTC markets, we continue to offer bilateral markets for those customers and products where it is required or preferred.

We believe that by using our electronic platform, market participants benefit from price transparency and can achieve price improvement over alternate means of trade execution. Electronic trade execution offers time

and cost efficiencies by providing firm posted prices and reducing trade-processing errors and back office overhead, and allows us to accelerate the introduction of new products on our platform. The combination of electronic trade execution across a range of commodities and derivatives markets and market data services facilitates automation by our participants in all phases of processing from front-office to back-office, and ranging from trading and risk management to trade settlement.

Geographic and Product Diversity with Multiple Regulated Exchanges and Clearing Houses, and Global OTC Markets

Our globally distributed electronic trading platform offers qualified market participants a single interface to multiple exchanges, covering five unique product categories, including agricultural, energy, credit, equity index and foreign exchange products, as well as a range of OTC energy products. By offering trading in multiple markets and products we provide our participants with maximum flexibility to implement their trading and risk management strategies. We serve customers in dozens of countries as a result of listing products that are relevant globally, such as crude oil, credit, sugar, equity indexes and foreign exchange. Each of our three locally regulated exchanges is associated with our locally regulated clearing houses. With recognized and highly respected clearing operations, we believe that these clearing houses' assurance of performance to their clearing members substantially reduces counterparty risk and is a critical component of our exchanges' identity as a reliable and secure marketplace for global transactions. With our acquisition of Creditex in 2008 and the impending launch of ICE Trust, we will also offer CDS clearing services. While the credit derivatives business has yet to be fully integrated into our electronic trading platform, these systems are already connected to well over 200 buy- and sell-side participants in the CDS market.

Innovative, Customer-Focused Management with a Focus on Growth

We strive to foster a culture of customer service, innovation and growth within our staff and management team. We put an emphasis on integrity of work and the results achieved to maintain confidence in our marketplace and in our company. We offer performance based compensation that includes various forms of equity ownership in our common stock by a broad base of employees and that reflects our shared, company-wide objectives.

Our Growth Strategy

The record consolidated revenues and trading volume we achieved in 2008 reflect our focus on the implementation and execution of our long-term growth strategy. We have expanded our core business organically, developed innovative new products for global markets, and provided trading-related services to a broader and more diverse participant base. In addition, we have completed a number of acquisitions and alliances to leverage our core strengths and grow our business. We seek to advance our leadership position in the commodity derivatives markets by focusing our efforts on the following key strategies for growth:

- attract new market participants;
- offer additional markets and services across futures and OTC markets;
- leverage our extensive risk management capabilities;
- continue to enhance our technology infrastructure and increase connectivity; and
- pursue select strategic opportunities.

Attract New Market Participants

In recent years, our customer base has grown and diversified due to the emergence of new participants in the commodities markets, the increased use of hedging programs by commercial enterprises, our expansion into new markets, the increased access to our markets as a result of electronic trading, and the increased allocation to commodities by institutional investors. Market participants include producers and refiners, utilities and governments, financial services companies, such as investment banks, hedge funds, proprietary trading

firms and asset managers, as well as industrial and manufacturing businesses that are increasingly engaging in hedging, trading and risk management strategies. We believe that many of these participants have been attracted to our markets in part due to the need to hedge price volatility and the reduced barriers to market access. We intend to continue to expand our customer base by leveraging our existing relationships and our global sales and marketing team to promote participation in our markets and by offering a growing range of products and services, including pre-trade and post-trade processing and clearing capabilities.

Offer Additional Markets and Services Across Futures and OTC Markets

We have grown, and intend to continue to grow, as a result of our ability to leverage the combination of futures and OTC markets, clearing services and new product development. Through our acquisition of Creditex, we have entered the CDS market and offer a number of innovative products and services. We have also enhanced our product offerings by entering into strategic partnerships and exclusive agreements such as our exclusive license for the Russell index products. We will also seek opportunities in markets we do not currently serve. We intend to continue to expand the range of products we offer, both by product type and contract design, by working with customers and potential partners to develop new OTC, futures and options products that provide relevant risk management tools. We may also seek to license our platform to other exchanges for the operation of their markets on our platform, as we have with the CCX, ECX and the Natural Gas Exchange.

Leverage Our Extensive Risk Management Capabilities

By establishing and maintaining our own clearing operations, we are able to respond to the dynamic needs of the market for risk management tools. With the November 2008 launch of our European clearing house, we now have control of our product development cycle across all of our markets and will be able to develop and launch the products our customers require in a timely manner. As new markets evolve, we intend to leverage our domain knowledge in clearing and over-the-counter markets to serve these global markets. For example, in early 2009 we intend to launch a clearing house for the clearing of CDS instruments.

Continue to Enhance our Technology Infrastructure and Increase Connectivity

We develop and maintain our own network infrastructure and electronic trading platform to ensure the delivery of a leading-edge technology platform that meets our markets' demands for transparency and efficiency. Our participants may access our electronic platform for trading in our markets through our proprietary front-end, known as WebICE, via a dedicated line or the Internet, through our application programming interface, or API, through one of our telecommunication hubs, through co-location at our data center, or through the front-end systems developed by any of 37 ISVs. Furthermore, participants in our markets can access our platform directly through their own proprietary interfaces or through a number of brokerage firms. We intend to extend our initiatives in this area by continuing to increase ease of access and connectivity with our existing and prospective market participants.

Pursue Select Strategic Opportunities

We intend to continue to explore and pursue acquisition and other strategic opportunities to strengthen our competitive position and grow our company. We may enter into business combination transactions, make acquisitions or enter into strategic partnerships, joint ventures or alliances, any of which may be material. We may enter into these transactions for a variety of reasons, including to leverage our existing strengths into new markets, expand our risk management products and services, address underserved markets, advance our technology or take advantage of new developments and potential changes in the industry.

Our Products and Services

As a leading operator of global futures and OTC marketplaces, we seek to provide our participants with centralized and direct access to the futures and OTC markets for price transparency, electronic trade execution, clearing services and services that support their trading and risk management activities. The primary services

we provide are electronic price discovery in futures markets, trade execution and trade processing in futures and OTC markets, and the delivery of technology to facilitate these and other trading and risk management activities. We also offer a broad range of market data services for the futures and OTC markets.

Regulated Futures Markets

Our futures markets are fully regulated and are responsible for carrying out certain self-regulatory functions. Each regulated exchange has its own compliance, surveillance and market supervision functions, as well as a framework for disciplining market participants that do not comply with exchange rules.

Trading in our regulated futures markets is available to our members and their customers. Customers of our members may obtain order-routing access to our markets through members. Once trades are executed on our platform, they are matched and forwarded to a trade registration system that routes them to the applicable clearing house for clearing and settlement. Electronic trading allows participants to execute directly on our platform, when traditionally orders were executed on a trading floor by floor brokers.

Regulated Energy Future Products

We operate regulated markets for energy futures contracts and options on those contracts through our subsidiary, ICE Futures Europe. These contracts include the ICE Brent Crude futures contract, the ICE WTI Crude futures contract, the ICE Gas Oil futures contract, the ICE ECX CFI and CER futures contracts, the ICE UK Natural Gas futures contract, the ICE Richards Bay and Rotterdam coal futures contracts, the gC Newcastle coal futures contract, the ICE UK Electricity futures contract, the ICE Unleaded Gasoline Blendstock (RBOB) futures contract, the ICE Heating Oil futures contract and options based on the ICE Brent Crude, ICE WTI Crude, ICE ECX CFI and CER, and ICE Gas Oil futures contracts. The ICE Brent Crude futures contract is based on forward delivery of the Brent light, sweet grade of crude oil that originates from the North Sea. Brent crude is a leading benchmark used to price a range of traded oil products, including approximately two-thirds of the world's oil. The ICE WTI Crude futures contract, also a light, sweet crude, is a cash-settled contract. The ICE Gas Oil futures contract is a European heating oil contract and serves as a significant pricing benchmark for refined oil products particularly in Europe and Asia.

Regulated Soft Agricultural and Agricultural Future Products

ICE Futures U.S. is a regulated leading world market for the trading of soft agricultural commodities, including coffee, sugar, cotton, frozen concentrate orange juice and cocoa futures and options contracts. ICE Futures U.S. and its predecessor companies have offered trading in traditional soft agricultural commodities for over 100 years and have maintained a strong franchise in these products. These markets are designed to provide effective pricing and hedging tools to industry users worldwide as well as strategic trading opportunities for individual and institutional investors. These contracts were listed electronically for the first time in February 2007. The prices for many of our agricultural contracts serve as global benchmarks for the physical commodity markets, including Sugar No. 11 (world raw sugar), Coffee "C" (Arabica coffee) and Cotton No. 2 (cotton).

Through close cooperation with agricultural industry participants, ICE Futures U.S. has supported the development of innovative and internationally recognized futures and options contracts that reflect the basic requirements of the commodity industry. ICE Futures U.S.'s contract committees, in conjunction with industry representatives, continuously review and adjust contract terms and trading practices to account for changes in the underlying cash market and to ensure that the contracts continue to serve ICE Futures U.S.'s commercial users.

Soft agricultural products have historically accounted for most of ICE Futures U.S.'s trading volume. In 2008, soft agricultural products represented 74.4% of the total number of futures and options contracts traded in ICE Futures U.S.'s markets.

ICE Futures Canada is the only regulated commodity futures exchange in Canada and it facilitates the trade of futures and options on futures contracts for canola and western barley. ICE Futures Canada, and its

predecessor companies, have been operating for over 122 years and have maintained a strong franchise in agricultural commodities. ICE Futures Canada contracts are designed to provide effective pricing and hedging tools to industry users worldwide as well as strategic trading opportunities for individual and institutional investors. The price of ICE Futures Canada's canola futures contracts is the worldwide benchmark. In 2008, canola contracts represented 94.9% of the total number of futures and options contracts traded in ICE Futures Canada's markets.

Regulated Financial Future Products

ICE Futures U.S. offers financial products in the currency, equity index and commodity index markets, including the U.S. Dollar Index, or USDx, the Russell equity indexes, the CCI and RJ/CRB and dozens of currency pair futures and options contracts. In 2008, contracts traded in our financial product markets represented 25.6% of the total number of contracts traded in ICE Futures U.S.'s futures and options markets. ICE Futures U.S. offers specialized products such as equity indexes and cross-rate foreign exchange contracts to complement its global soft agricultural markets.

ICE Futures U.S. lists futures and options contracts on the Russell indexes of U.S. equities, beginning with the Russell 1000 Index in 1999, followed by the Russell 2000 and the Russell 3000 along with the value and the growth components of these indexes. In June 2007, ICE entered into an exclusive licensing agreement with Russell with respect to its U.S. equity index futures and options on futures. These rights became exclusive in September 2008, and subject to achieving specified trading volumes, will remain exclusive throughout the remainder of the Licensing Agreement, which extends through June 2014.

We also provide futures and options markets for 42 currency pair contracts including euro-based, U.S. dollar-based, yen-based, sterling-based and other useful cross-rates, as well as the original contract based on the benchmark USDx, which was introduced in 1985. By identifying interbank market signals and customer needs, we developed currency contracts and defined trading procedures that serve institutional financial managers. These products began being introduced on our electronic platform in the second half of 2007. In November 2008, we also launched a suite of million-currency-unit foreign exchange futures contracts. These new futures contracts, known as ICE Millions, combine the benefits of futures and OTC products, bringing transaction efficiencies and risk management tools to the foreign exchange marketplace. ICE Millions are ten times the notional value of the original suite of foreign exchange futures and option contracts traded on ICE Futures U.S.

Clearing House Function

We operate a clearing house for ICE Futures U.S. through ICE Clear U.S., for ICE Futures Canada through ICE Clear Canada and for ICE Futures Europe and our OTC cleared businesses through ICE Clear Europe. These clearing houses clear, settle and guarantee to their clearing members the financial performance of all futures contracts and options on futures contracts matched through our execution facilities and accepted by the clearing house from clearing members in our U.S., U.K. and Canadian regulated futures markets as well as our cleared OTC markets. Through our clearing houses, we maintain a system for performance of financial obligations owed to the clearing members through which buyers and sellers conduct transactions. This system is supported by several mechanisms, including rigorous clearing membership requirements, the posting of original margin deposits, daily mark-to-market of positions and payment of variation margin, maintenance of a guaranty fund in which clearing members maintain deposits with our clearing houses and broad assessment powers to recoup financial losses if they arise due to a clearing member financial default. The amount of margin deposits on hand will fluctuate over time as a result of, among other things, the extent of open positions held at any point in time by market participants and the volatility of the market as reflected in the margin rates then in effect for such contracts. In addition to our existing three clearing houses, we are developing a clearing house to act as a central counterparty in the registration and clearing of credit default swap transactions. We are forming a limited purpose bank, ICE Trust, to serve as the facility to clear credit default swaps transactions.

In November 2008, we launched ICE Clear Europe, a clearing house based in London, as part of our strategic plan to offer clearing services through wholly-owned clearing businesses in the United States, the United Kingdom and Canada. Clearing services for our U.K. energy futures and cleared global OTC energy businesses were previously outsourced to a third party U.K. clearing house. Gaining greater control over this core clearing process will allow us to introduce more products and services to the futures and OTC markets for broker-dealers and for our customers, as well as to ensure technology and operational service levels meet the efficiency standards that we have set within our execution business. We also believe that this flexibility will allow us to increase our speed-to-market for new cleared products and to expand our products further into physically-delivered commodity products on a competitive basis with other derivatives exchanges that manage their own clearing and risk management services. Control of our own clearing houses enables us to capture the revenue associated with both the trading and clearing of our futures and options contracts.

It is our objective to provide a clearing model that benefits customers and clearing firms alike, through technological innovation, offering a competitive alternative for clearing for new products and new exchanges, competitive pricing, and greater profit participation by member firms and new value-added services. Longer term, we anticipate that collectively, our U.S., U.K. and Canadian clearing houses may partner to serve our global customer base across the commodities and financial products marketplaces in an innovative and capital efficient manner. Our clearing strategy is designed to complement our diverse markets while meeting the risk management, capital and regulatory requirements of an expanding global marketplace.

We believe our clearing houses are a significant attraction to our market participants, and an important part of the functioning of our exchanges. Because the role of the clearing house is to serve as a central counterparty for each matched trade, clearing members do not need to evaluate the credit of each potential counterparty or limit themselves to a selected set of counterparties. This flexibility increases the potential liquidity available for each trade. The interposition of our clearing house as the counterparty for each matched trade allows our customers to establish a position with one party and then to offset the position with another party. This contract offsetting process provides our customers with flexibility in establishing and adjusting positions.

In order to ensure performance, our clearing houses establish and monitor financial requirements for our clearing members and set minimum margin requirements for our traded products. Our clearing houses use proprietary software, based on an industry standard margining convention, to determine the appropriate margin requirements for each clearing member by simulating the gains and losses of complex portfolios. We typically hold margin collateral to cover at least 99% of price changes for a given product within a given historical period.

At each settlement cycle, our clearing houses value, at the market price prevailing at that time, or mark-to-market, all open futures positions and require payments from clearing members whose positions have lost value and make payments to clearing members whose positions have gained value. Our clearing houses mark-to-market all open futures positions at least once a day, and in some cases more often if market volatility warrants. Marking-to-market provides both participants in a transaction with an accounting of their financial obligations under the contract. Having a mark-to-market cycle of a minimum of two times a day for ICE Clear U.S. and once daily for ICE Clear Europe and ICE Clear Canada helps protect the financial integrity of our clearing houses, our clearing members and market participants. This allows our clearing houses to identify quickly any clearing members that may not be able to satisfy the financial obligations resulting from changes in the prices of their open contracts before those financial obligations become exceptionally large and jeopardize the ability of our clearing houses to ensure financial performance of their open positions. All our clearing houses may call multiple intraday original margin in circumstances where market conditions require they take additional protection.

As a self-regulatory organization, ICE Clear U.S. has instituted detailed risk-management policies and procedures to guard against default risk with respect to cleared contracts. In order to manage the risk of financial non-performance, we (i) have established that clearing members maintain at least \$5 million in minimum working capital, (ii) limit the risk exposure of open positions based upon the clearing member's capital, (iii) require clearing members to post original margin collateral for all open positions, and to collect

original margin from their customers, (iv) pay and collect variation margin on a marked-to-market basis at least twice daily, (v) require clearing members to collect funds from under-margined customers, (vi) require deposits to the guaranty fund from clearing members which would be available to cover financial non-performance, and (vii) have broad assessment authority to recoup financial losses.

ICE Clear Europe has instituted a similar multi-layered risk management system of rules, policies and procedures to protect itself in the event of a clearing member default which include requiring its members to (i) hold a sufficient minimum level of capital, (ii) make sufficient margin payments as required under the ICE Clear Europe rules, (iii) have made a guaranty fund contribution as required by ICE Clear Europe, (iv) have acceded to the ICE Clear Europe regulations and thereby accept ICE Clear Europe's powers of assessment to require the provision of additional funds by clearing members in certain situations consequent on an event of default, and (v) hold accounts as required under the ICE Clear Europe regulations at ICE Clear Europe approved financial institutions in relation to which ICE Clear Europe has established direct debit mandates in its favor.

ICE Clear Canada has instituted a similar multi-layered risk management system of rules, policies and procedures to protect against default which include (i) operational and financial standards for clearing participants applicable to category of registration, (ii) requirements for clearing participants to post original margin for house and client positions and requirements to collect additional margin from clients, (iii) assessing and collecting intra-day margin payments on a pre-determined basis, (iv) requiring all clearing participants to pay into a guaranty fund, and (v) rules requiring all clearing participants to provide additional monies for the clearing fund in the event of a default.

We also maintain extensive surveillance and compliance operations and procedures to monitor and enforce compliance with rules pertaining to the trading, position sizes, delivery obligations and financial condition of clearing members. In the unlikely event of a payment default by a clearing member, the clearing house would first apply assets of the clearing member to cover its payment obligation. These assets include original margin, variation margin and the guaranty fund deposits and any other available assets. In addition, we would make a demand for payment pursuant to any applicable guarantee provided to the clearing houses by the parent of a clearing member. Thereafter, if the payment default remains unsatisfied, the clearing house would use the guaranty fund of other clearing members and funds collected through an assessment against all other solvent clearing members to satisfy the deficit. We have agreed to reserve \$50.0 million of the \$250.0 million available under our revolving credit facility for use by ICE Clear U.S. to provide temporary liquidity in the event of default by a clearing member. In June 2008, the Company entered into a separate senior unsecured credit agreement which provides for a 364-day revolving credit facility in the aggregate principal amount of \$150.0 million which is available for operational use solely by ICE Clear Europe. ICE Clear Canada has arranged a total of \$3.0 million in revolving standby credit facilities with the Royal Bank of Canada to provide liquidity in the event of default by a clearing member.

ICE Clear Europe has committed \$100.0 million in cash as part of its guaranty fund, of which \$50.0 million will be available only in the event a clearing member defaults and such member has used all its available funds to settle the position. The \$50.0 million will be used before other funds in the guaranty fund are used. If additional cash is required to settle positions, then the remaining \$50.0 million will be called pro-rata along with other non-defaulting ICE Clear Europe clearing members' deposits in the guaranty fund. ICE Clear Europe is also insured up to \$100.0 million in the event of a clearing member default, which would be called upon after the guaranty funds are depleted and prior to any clearing member assessment.

As part of the powers and procedures designed to backstop financial obligations in the event of a default, each of the clearing houses may levy assessments on all of our clearing members if there are insufficient funds available to cover a deficit. There is no limit on this assessment of each clearing member unless the clearing member has notified the clearing house that it is withdrawing as a clearing member. However, before the clearing member can withdraw from the clearing house, the clearing house can assess the clearing member an amount up to two times the initial amount of the clearing member's guaranty fund balance to cover any remaining default. Despite this authority to levy assessments, there can be no assurance that the relevant clearing members will have the financial resources available to pay, or will not choose to be expelled from

membership rather than pay, any such assessments. Despite the risk mitigation techniques adopted by, and the other powers and procedures implemented by our clearing houses, which are designed to, among other things, minimize the potential risks associated with the occurrence of monetary defaults, there can be no assurance that these powers and procedures will prevent such defaults or will otherwise function to preserve the liquidity of the clearing houses.

Our clearing houses have an excellent risk management track record. ICE Clear Europe, ICE Clear U.S. and ICE Clear Canada, and their predecessor companies, have never experienced an incident of a clearing member default which has required the use of the guaranty funds or assets of the clearing house.

Global OTC Marketplace

Our OTC markets comprise distinct energy and CDS markets. Our global energy markets are offered directly through our transparent, electronic platform, which offers real-time access to the liquidity in our markets — including the complete range of bids, offers, trades and volume posted for hundreds of contracts listed on our platform. Our platform displays a live ticker for all contracts traded in our OTC energy markets and provides information relating to each trade, such as the volume weighted average price and transacted volumes by contract. We offer fast, secure and anonymous trade matching services, which, we believe, generally are offered at a lower cost compared to traditional means of execution.

Our electronic platform provides trade execution on the basis of extensive, real-time price data where trades are processed accurately, rapidly and at minimal cost. We have designed our technology platform to ensure the secure, high-speed flow of data from trading desks through the various stages of trade processing. Qualified participants executing in our markets benefit from straight-through processing whereby trades are automatically confirmed and routed to back office departments and risk management systems. We believe that the broad availability of real-time OTC energy market access and data, together with the availability of cleared OTC contracts at the same price as bilateral products, has allowed us to achieve a critical mass of liquidity in our OTC markets. Historically, trades in the OTC commodities markets have been executed as bilateral contracts in which each counterparty bears the credit and/or delivery risk of the other. Our platform allows participants to pre-approve trading counterparties and establish parameters for trading with each counterparty, thereby enforcing internal risk management policies. If participants choose not to trade products on a cleared basis, they may set firm-wide limits on tenor (duration) and the total daily value of trades that its traders may conduct with a particular counterparty in a given market. Our OTC markets for CDS are operated separately by Creditex using voice brokers as well as a proprietary electronic execution platform.

OTC Energy Products Overview

We offer market participants a wide selection of derivative contracts, as well as contracts for physical delivery of energy commodities, to satisfy their risk management and trading objectives. We offer trading in over 1,200 unique contracts as a result of the availability of various combinations of products, locations and strips — meaning the duration or settlement date of the contract. Excluding the strip element, over 31,700 unique contracts based on products and hub locations were traded in our OTC market in 2008. A substantial portion of the trading volume in our OTC markets relates to approximately 20-25 highly liquid contracts in natural gas, power and oil. For these contracts, the highest degree of market liquidity resides in the prompt, or front month, contracts, with decreasing liquidity for longer-dated contracts.

We characterize the range of instruments that participants may trade in our markets by reference to type of commodity (such as global oil products, North American power, North American gas, etc.), products (such as forwards and swaps, differentials and spreads, and OTC options) and contracts (meaning products specified by delivery dates).

The following table indicates the number of unique commodities, products and contracts traded in our OTC energy business for the periods presented:

	Year Ended December 31,		
	2008	2007	2006
Commodities markets traded	10	10	7
Products traded	1,246	1,041	990
Contracts traded	31,715	23,780	17,540

In February 2008, we acquired YellowJacket. YellowJacket is a financial technology firm that operates OTC electronic trade negotiation technology which offers a range of trading tools including instant communication, negotiation and data for various financial markets. With the YellowJacket platform, traders can aggregate and consolidate fragmented instant message-based communications and key transaction details on a single screen.

In March 2007, we purchased the intellectual property rights to widely-used OTC natural gas price indexes, called NGI indexes, from Intelligence Press, Inc. While Intelligence Press has retained the rights to collect data, publish newsletters and charge its customers for such services, we have the exclusive right to charge and collect fees for those seeking license arrangements for the NGI indexes for use in clearing and settlement. We will begin exclusive trading on the NGI indexes starting in May 2009.

In March 2007, we entered into an agreement with Natural Gas Exchange, Inc., or NGX, to form a technology and clearing alliance for the North American natural gas and Canadian power markets. Under the arrangement, the cleared and bilateral markets for North American physical natural gas and Canadian electricity operated by NGX and by us is offered together through our electronic trading platform. In turn, NGX serves as the physical settlement facility for these products, in a process also referred to as physical clearance. We recognize a portion of transaction fee revenues generated by products traded and cleared under this arrangement. The NGX products were listed on our electronic trading platform beginning in February 2008. We also acquired the exclusive licensing rights to the benchmark NGX natural gas indexes.

OTC Cleared Energy Products Overview

We developed and introduced the concept of cleared OTC energy contracts in 2002, which provide participants with access to centralized clearing and settlement arrangements. Cleared OTC contracts are available for trading on the same screen and are charged the same execution fees as bilaterally traded contracts. As of December 31, 2008, we listed 112 cleared energy contracts, including 37 cleared natural gas contracts, 44 cleared power contracts and 31 cleared oil contracts, all of which are financially settled. Transaction and clearing fees derived from trade execution in cleared electronic OTC contracts were \$248.3 million for the year ended December 31, 2008 and represented 62.7% of our total OTC revenues during the year ended December 31, 2008, net of intersegment fees. This compares to \$169.8 million for the year ended December 31, 2007 or 70.2% of our total OTC revenues for the year ended December 31, 2007.

The introduction of cleared OTC contracts has reduced bilateral credit risk and the amount of capital our participants are required to post on each OTC trade, as well as the resources required to enter into multiple negotiated bilateral settlement agreements to enable trading with other counterparties. In addition, the availability of clearing for both OTC and futures contracts traded in our markets enables our participants to cross-margin their futures and OTC positions — meaning that a participant's position in its futures or OTC trades may be offset against each other, subject to correlation and other risk management measures, thereby reducing the total amount of capital the participant must deposit with the futures commission merchant clearing members, known as FCMs. In order to clear transactions executed on our platform, a participant must therefore either be a member of the clearing house itself, or have an account relationship with an FCM that is a member. FCMs clear transactions for participants in substantially the same way they clear futures transactions for customers. Specifically, each FCM acts as the conduit for payments, such as margin and settlement, required to be made by participants to the clearing house, and for payments due to participants from the clearing house. There are currently over 30 FCMs clearing OTC transactions in our markets.

Consistent with our ICE Futures Europe business, we did not derive any direct revenues from OTC clearing in the past and participants paid the clearing fees directly to a third party clearing house. However, upon the launch of ICE Clear Europe in November 2008, we now capture clearing revenues associated with our global OTC segment, the amount of which will depend upon many considerations, including but not limited to transaction volume, pricing and new products.

We have extended the availability of our cleared OTC contracts to voice brokers in our industry through our block trading facility. Block trades are those trades executed in the voice broker market, typically over the telephone, and then transmitted to us electronically for clearing. We believe that our block trading facility is a valuable part of our cleared business as it serves to expand our open interest. As of December 31, 2008, open interest in our cleared OTC contracts was 9.4 million contracts in North American natural gas and power, and global oil, as compared to 7.2 million contracts as of December 31, 2007. Open interest refers to the total number of contracts that are currently open, in other words, contracts that have been traded but not yet liquidated by either an offsetting trade, exercise, expiration or assignment.

OTC Credit Products Overview

The most widely used type of credit derivative is a credit default swap, or CDS, that involves the transfer between two parties of credit risk related to fixed income instruments such as corporate debt securities. The buyer of the CDS contract, who owns the underlying credit or otherwise has a credit risk exposure to the writer of the credit, will make a payment or series of payments to the seller in return for protection against default, a credit rating downgrade or other negative credit event. CDS are principally used to hedge against the credit default of a particular reference entity. CDS are traded primarily in the OTC market.

In August 2008, we acquired Creditex, a market leader and innovator in the execution and processing of CDS, with markets spanning the United States, Europe and Asia. Creditex serves the most liquid segments of the traded OTC CDS market, including indexes and single-name instruments. Creditex facilitates dealer-to-dealer execution of credit derivative transactions by providing voice, hybrid, and electronic trading services for dealers utilizing the Creditex “RealTime” trading platform. Creditex is a leading dealer-to-dealer execution agent focused on facilitating trading in the global credit derivatives market and providing intermediary trading services for OTC credit derivative products. The Creditex RealTime trading platform connects buyers and sellers of credit derivatives and corporate bonds and serves as a facilitator of price discovery. While the Creditex RealTime trading platform initially focused on the highly liquid CDS indexes, it has expanded to include e-trading of single-name CDS, emerging market CDS, highly liquid structured products, and, most recently, corporate bonds. RealTime’s functionality has been designed to be easy-to-use, highly scalable and easily integrated into dealers’ existing trading systems.

Dealers have the option of trading CDS electronically with no broker communication (electronic trading), calling their broker for market information and data but still transacting electronically (hybrid trading), or trading directly through their broker (voice trading). The market factors supporting voice trading include CDS with reduced liquidity, which makes electronic price discovery difficult, very large transactions, for which brokers can facilitate a trade with reduced market impact, and complex transactions. The market factors supporting hybrid trading include the unique trading preferences of individual traders, traders’ desire for a high level of customer service and traders’ needs for market information even in highly liquid markets. The market factors supporting electronic trading include mature CDS markets with significant liquidity which enable traders to go directly to the market, ready pricing given availability of data, and fast and inexpensive access to markets.

The flexibility to provide voice, hybrid, or electronic trading solutions maximizes value for Creditex clients who can choose the trading solution that best suits their specific needs. While the majority of U.S. trades are still voice-brokered, electronic trading is the dominant trading means in the European market and has become an increasingly large portion of global trading.

Creditex owns T-Zero, an electronic platform that automates post-trade processing for the dealer-to-client and dealer-to-dealer segments of the CDS market. T-Zero provides an industry-wide straight-through-processing, or STP, platform for the dealer-to-dealer and dealer-to-client market community. T-Zero allows market

participants to accurately capture and confirm trade details on the day of trade and to electronically deliver the information to downstream systems for confirmation and settlement.

CDS generally are not cleared by a central clearing house. The current bilateral nature of the market leaves participants exposed to counterparty risk. When financial counterparties cannot rely on each other's credit, and are unable to hedge their own credit risk, they stop lending to each other and the credit markets may freeze, thus illustrating the importance of well functioning markets. Trade processing for CDS is relatively less transparent and less capital efficient compared to utilizing the benefits of central clearing. Therefore, developing a market structure that brings transparency and mitigates counterparty credit risk by clearing CDS transactions is an important initiative for ICE and Creditex, as well as for certain of our competitors. In order to address the need for central counterparty clearing, we are forming a limited purpose bank, ICE Trust, to serve as a clearing house for CDS on a global basis.

Market Data Services

Through ICE Data, we generate market information and indexes based primarily upon auditable transaction data derived from actual bid and offer postings and trades executed in our markets. Therefore, this information is not affected by subjective estimation or selective polling, the methodologies that currently prevail in the OTC markets. Each trading day, we deliver proprietary market data directly from our OTC market to the desktops of thousands of market participants.

ICE Data publishes ICE daily indexes for our spot natural gas and power markets with respect to over 90 of the most active gas hubs and over 20 of the most active power hubs in North America. ICE Data transmits our daily indexes via e-mail to approximately 10,000 energy industry participants on a complimentary basis each trading day.

The ICE Data end of day report is a comprehensive electronic summary of trading activity in our OTC markets. The report features indicative price statistics, such as last price, high and low price, total volume, volume-weighted average price, bid and offer, closing bid and closing offer, for all natural gas and power contracts that are traded or quoted on our platform. This information is sold as various subscription based products. Also, for both our futures and OTC markets, we offer view only access to market participants who are not active traders, but who still desire access to real-time prices of physical and financial energy derivative contracts.

ICE Data's market price validation, or MPV, service provides independent, consensus forward curve and option values for long-dated global energy contracts on a monthly basis. On the last business day of each month, MPV service participant companies, representing the world's largest energy and commodities trading entities, submit their month-end forward curve and option prices for over 450 global commodity contracts. MPV service participants use these consensus values to validate internal forward curves, mark-to-market their month-end portfolios and establish profit and loss valuations in accordance with the Financial Accounting Standard Board, or FASB, and the International Accounting Standards Board's recommendations concerning the treatment and valuation of energy derivative contracts.

We provide our real-time futures data to data distributors, commonly called quote vendors, or QVs. These companies such as Bloomberg or Reuters then package this data into real-time, tick, intra-day, delayed, end-of-day and historical data packages to sell to end users. The real-time packages are accessed on a subscription basis and the appropriate "exchange fee" is paid for each user/screen taking ICE Futures U.S., ICE Futures Europe or ICE Futures Canada data. The futures data includes the trading activity in those markets, including bids, offers, trades and other key price information. End users include a range of financial information providers, FCMs, pension funds, financial services companies, funds, insurance companies, commodity pools and individual investors.

Our Participant Base

Futures Business Participant Base

Participants of ICE Futures Europe include representatives from segments of the underlying industries served by our energy markets, including, among others, the oil, gas and power industries. Participants currently trade in our energy futures markets, either directly as members or through an ICE Futures Europe member. The participant base in our energy futures business is globally dispersed, although we believe a significant proportion of our participants are concentrated in major financial centers in North America, the United Kingdom, Continental Europe and Asia. We have obtained regulatory clearance or received legal advice confirming that there is no legal or regulatory impediment for the location of screens for electronic trading in our energy futures markets in 56 jurisdictions for ICE Futures Europe, including the United States, the United Kingdom, Singapore, Dubai and all of the member countries of the European Economic Area. Like our OTC participant base, the participant base in our energy futures business has grown significantly since we acquired ICE Futures Europe in 2001. Memberships in our energy futures markets was 148 members as of December 31, 2008 compared to 144 members as of December 31, 2007.

The five most active clearing members of ICE Futures Europe, which handle cleared trades for their own accounts and on behalf of their customers, accounted for 65.5%, 57.7% and 51.0% of our energy futures business revenues, net of intersegment fees, for the years ended December 31, 2008, 2007 and 2006, respectively. Revenues from one member accounted for 19.7%, 18.2% and 15.4% of our energy futures business revenues, net of intersegment fees, for the years ended December 31, 2008, 2007 and 2006, respectively. Revenues from two other members accounted for 17.0% and 14.3% of our energy futures business revenues, net of intersegment fees, for the year ended December 31, 2008 and 14.8% and 10.7% of our energy futures business revenues, net of intersegment fees, for the year ended December 31, 2007 and another member accounted for 12.1% of our energy futures business revenues, net of intersegment fees, for the year ended December 31, 2006. A substantial part of the trading activity of these participants typically represents trades executed on behalf of their respective clients, rather than by the firm for their own account.

Trades in our energy futures markets may only be executed in the name of an ICE Futures Europe member for its own or others' accounts. To become an ICE Futures Europe member, an applicant must complete an application form, undergo a due diligence review and execute an agreement stating that it agrees to be bound by ICE Futures Europe regulations. All energy futures trades executed on our electronic platform are overseen by or attributable to "responsible individuals." Each member may register one or more responsible individuals, who are responsible for trading activities of both the member and its customers, and who are accountable to ICE Futures Europe for the conduct of trades executed in the member's name. As of December 31, 2008, there were over 2,400 responsible individuals registered in our energy futures market.

ICE Futures U.S.'s trading members include representatives from segments of the underlying industries served by our soft agricultural and financial markets, including, among others, the sugar, coffee and cotton industries. We believe that our existing liquidity and the history of ICE Futures U.S.'s predecessors in trading these commodity products for over 100 years has enabled the development of our strong industry relationships. A trading membership in ICE Futures U.S. enables the holder to trade any of the exchange's futures and options contracts. ICE Futures U.S. also issues trading permits that allow the holder to trade a specified category of products, such as options or financial contracts. To gain membership status, a person must be approved by the membership committee. All floor brokers and floor traders must be appropriately registered under CFTC regulations and must be guaranteed by a clearing member of ICE Clear U.S.

ICE Futures U.S. has approval to offer its screens in 26 jurisdictions. Traders in these futures markets include hedgers, speculators and investors. Hedgers are commercial firms that trade futures and options to reduce their price risk exposure in the cash market, protect their profit margins and assist in business planning. Investors and speculators, who seek to profit from fluctuating prices, typically place an order through FCMs, or through introducing brokers, who have clearing relationships with FCMs. Investors also participate in the markets by pooling their funds with other investors in collective investment vehicles known as commodity pools, which are managed by commodity pool operators and commodity trading advisors. The CFTC requires commodity

professionals to be registered by the National Futures Association — a CFTC-designated futures association that is charged with enforcing ethical, financial and customer protection standards in the futures industry.

The five most active clearing members of ICE Futures U.S., which handle cleared trades for their own accounts and on behalf of their customers, accounted for 40.4% and 38.4% of ICE Futures U.S. business revenues, net of intersegment fees, for the year ended December 31, 2008 and for period from January 12, 2007 to December 31, 2007, respectively. Revenues from two members accounted for 12.3% and 11.2% of our ICE Futures U.S. business revenues, net of intersegment fees, for the year ended December 31, 2008. No members accounted for more than 10% for the period from January 12, 2007 to December 31, 2007.

ICE Futures Canada's market participants include representatives from companies that hedge their cash products in the markets, including international grain companies, feed lots, and food processors, as well as FCMs and liquidity providers. Individuals and companies can access ICE Futures Canada's markets by registering as participants with ICE Futures Canada, or trading through a registered participant. To gain participant status, a company or individual submits standard written application/agreement forms. All FCMs must be appropriately registered with the statutory regulatory authority in their home jurisdiction and any self-regulatory organizations required by their statutory regulatory authority. All entities that have direct trading status must be cleared by a registered clearing participant of ICE Clear Canada.

ICE Futures Canada has approval to allow trading directly in its marketplace on screens in Canada, other than in Quebec, and in the United States through a no-action letter issued by staff of the CFTC dated December 2004. Trading is permitted in the United Kingdom pursuant to a reliance on the overseas persons exemption.

The five most active clearing members of ICE Futures Canada, which handle cleared trades for their own accounts and on behalf of their customers, accounted for 60.6% and 51.6% of ICE Futures Canada business revenues, net of intersegment fees, for the year ended December 31, 2008 and for the period from August 27, 2007 to December 31, 2007, respectively. Revenues from two members accounted for 13.1% and 13.0%, respectively, of ICE Futures Canada revenues for the year ended December 31, 2008 and for 13.2% and 11.4%, respectively, of ICE Futures Canada business revenues for the period from August 27, 2007 to December 31, 2007.

OTC Business Participant Base

Pursuant to the Commodity Exchange Act, our global OTC energy markets are principals-only markets, designed for professional traders or other commercial market participants. Stringent requirements apply to participants, which include some of the world's largest energy companies, financial institutions and other active contributors to trading volume in global commodities markets. They include oil and gas producers and refiners, power stations and utilities, chemical companies, transportation companies, banks, funds and other energy market participants. Our participant base is global in breadth, with thousands of participants located in 17 countries. The five most active trading participants together accounted for 15.4%, 17.8% and 23.3% of our OTC business revenues, net of intersegment fees, during the years ended December 31, 2008, 2007 and 2006, respectively. No participant accounted for more than 10% of our OTC business revenues for the years ended December 31, 2008, 2007 or 2006.

Trading in our OTC energy markets is available to a participant that qualifies as an eligible commercial entity, as defined by the Commodity Exchange Act and rules promulgated by the CFTC. Eligible commercial entities must satisfy certain asset-holding and other criteria and include entities that, in connection with their business, incur risks relating to a particular commodity or have a demonstrable ability to make or take delivery of that commodity, as well as financial institutions that provide risk management or hedging services to those entities. Pursuant to the CFTC's oversight of our markets, since October 2006, we report all cleared positions in our primary OTC contracts on a daily basis to the CFTC through futures-style large trader reports. In addition, during 2007, we added regulatory staff to our OTC business and anticipate gaining increased authority to have oversight of certain of these markets in the future. In May 2008, Congress passed legislation to increase regulation of OTC markets as part of the Farm Bill. The legislation requires that OTC electronic trading facilities

assume self regulatory responsibilities, such as market monitoring and establishing position limits or accountability limits, over contracts that serve a significant price discovery function. See “— Regulation” below.

We require each qualified participant to execute a participant agreement, which governs the terms and conditions of its relationship with each participant and grants the participant a non-exclusive, non-transferable, revocable license to access our platform. While we generally establish the same contractual terms for all of our users, in connection with our entry into new commodities markets, we have from time to time agreed to minor modifications to the terms of our participant agreement for trading in new products. We expect that any future services that we may introduce will also be covered by our participant agreement, as we generally have a unilateral right to amend our terms with advance notice. As the OTC markets mature and conventions change, our participant agreement provides us with considerable flexibility to manage our relationship with our participants on an ongoing basis.

The user base of Creditex’s RealTime trading platform is comprised of credit default swap, proprietary and corporate bond trading desks at major international sell-side institutional banks. Clients of T-Zero’s post-trade confirmation and processing platform include most major CDS market participants on both the buy-side and sell-side. T-Zero also provides post-transactional processing services to other CDS inter-dealer brokers. Users of both the Creditex and T-Zero platforms must meet applicable jurisdictional and regulatory requirements before being provided with access to the platforms.

Market Data Participant Base

Our market data revenues are derived from a diverse customer base including the world’s largest commodity companies, leading financial institutions, proprietary trading firms, natural gas distribution companies and utilities, hedge funds and private investors. From an OTC perspective, a large proportion of our market data revenues are derived from sales of market data to companies executing trades on our platform. We also continue to see an increasingly diverse and expanding list of non-participant companies purchasing our data and subscribing to view-only screens. The primary customer base for our futures market data revenues are the market data redistributors themselves such as Bloomberg, CQG, Interactive Data Corporation or Reuters who redistribute our real-time pricing data and remit to us a real-time exchange fee based on the user’s access to our data. For both OTC and futures market data, end users include corporate traders, risk managers, individual speculators, consultants and analysts. No participant accounted for more than 10% of our market data revenues for the years ended December 31, 2008, 2007 or 2006.

Product Development

We leverage our customer relationships, global distribution, technology infrastructure and software development capabilities to diversify our products and services. New product development is an ongoing process that is part of our daily operations. We are continually developing, evaluating and testing new products for introduction in our futures and OTC markets. Our goal is to create innovative solutions in anticipation of, or in response to, changing conditions in the markets for commodities trading to better serve our participant base. The majority of our product development relates to evaluating new contracts or markets. We generally are able to develop and launch new OTC contracts for trading within a number of weeks. New contracts in our futures markets must be reviewed and approved as needed by the FSA, the CFTC, the MSC or possibly other foreign regulators. We do not incur separate, identifiable material costs in association with the development of new products — such costs are embedded in our normal costs of operation.

While we have historically developed our products and services internally, we also periodically evaluate and enter into strategic partnerships to identify opportunities to develop meaningful new products and services. If we believe our success will be enhanced by collaboration with a third party, we will enter into a licensing arrangement or other strategic arrangement. In support of our product development goals, we rely on the input of our product management, clearing, technology and sales teams, who we believe are well positioned to discern and anticipate our participants’ needs.

Technology

Technology is a key component of our business strategy which we regard as crucial to our success. We design, build and operate the majority of our own software systems and believe that having control of our technology allows us to be more responsive to the needs of our customers, support the dynamic nature of our business and deliver the highest quality markets and data. Our systems are built using state-of-the-art software technologies and best practices including modern programming languages, component-based architectures, and a combination of leading-edge open source and proprietary technology products. We leverage proven industry standards from leading hardware, software and networking providers, as well as emerging technologies we believe will give us a competitive edge in technology development. We take a customer focused, iterative and results-driven approach to software design and development that allows us to deliver innovative, high quality solutions quickly and effectively.

Significant investments in production planning, quality assurance and certification processes have enhanced our ability to expedite the delivery of the system enhancements we develop for our participants. We believe in offering our customers a choice and, as such, our electronic platform is accessible from anywhere in the world via Internet, traditional telecommunication hubs, the ICE Global Network, or through co-location at our data center. Users can access our electronic trading platform via our own web based interface, via ISVs, or via one of our application programming interfaces, or API. Over the past three years we have intensely focused on enhancing capacity and performance of our electronic trading platform. This effort has resulted in the top performing platform in our industry, as measured by transaction times and reliability relative to other electronic trading platforms.

We also develop and operate software systems used to operate services such as clearing, market data and electronic confirmations. Our clearing infrastructure is designed to be easily extendable to support integration with additional clearing interfaces. We currently support clearing integration to four clearing houses; externally, KCBOT and The Clearing Corporation, internally, ICE Clear U.S. and ICE Clear Europe. These clearing houses facilitate clearing and settling our markets.

Personnel

Our technology staff is among the most productive and efficient in the industry. We carefully recruit talented individuals, and once in the organization, we foster a culture of entrepreneurship, innovation, customer service and results. Our electronic platform is designed, built and operated by our personnel. As of December 31, 2008, we employed a team of 373 experienced technology specialists including; product managers, project managers, system architects, software developers, network engineers, security specialists, performance engineers, systems and quality analysts, database administrators, website designers, helpdesk and support personnel.

Trading Systems, Software and Applications***Trading Platform***

At the core of our trading business are our electronic trading platforms. Our primary platform supports all of our futures exchanges as well as our OTC energy and credit marketplaces. Order matching, with a proprietary spread-implication algorithm, is at the core of our electronic platform. Large-scale enterprise servers provide the processing capacity for the matching engine, which captures price requests by our participants and matches trades within a matter of milliseconds.

Our primary platform supports functionality for trading in bilateral and cleared OTC, futures and options markets. For futures products, the platform supports a myriad of order types, matching algorithms, price reasonability checks, inter-commodity spread pricing and real-time risk management. In addition, we have developed a multi-generation implied matching engine that automatically discovers best bid and offer prices throughout the forward curve. For OTC products we also support bilateral trading with real-time credit risk management between counterparties by commodity and company. We also offer brokers a facility to block trades for all their products. Our core functionality is available on a single platform for all products we offer

electronically, rendering it highly flexible and straightforward to maintain. As a result, enhancements made for one product can easily be propagated to other products.

The technology behind the Creditex and T-Zero platforms is proprietary to Creditex and was developed by Creditex and T-Zero's in-house technology staff. For OTC credit products, Creditex's proprietary RealTime trading platform connects buyers and sellers of credit derivatives, including single-name CDS, emerging markets CDS, structured products and corporate bonds, as well as serves as a facilitator of price discovery. RealTime's easy-to-use functionality is highly scalable and quickly integrates into dealers' existing trading systems. The core RealTime platform technology can easily accommodate enhancements and add-ons in order to support additional products and rapidly respond to market demands for new functionalities. The RealTime platform also serves as the centralized electronic site for accessing CDS fixings and credit event auctions for the CDS marketplace. T-Zero is an API-based affirmation platform that is connected to most of the major buy-side, sell-side and inter-dealer participants within the credit derivatives market. T-Zero offers three services that are available both via its API and its own user interface, including dealer-to-client trade affirmation, electronic connectivity to downstream operational vendors, and STP services for inter-dealer and dealer-to-client execution platforms and dealer-to-client trade affirmation.

Trading Platform Performance

Speed, reliability, scalability and capacity are critical performance criteria for electronic trading platforms. A substantial portion of our operating budget is dedicated to system design, development and operations in order to achieve high levels of overall system performance. Our platform delivers the fastest published round-trip transaction time in the commodity markets, with average transaction times today of three milliseconds in our futures markets, and a blended average of seven milliseconds for futures and OTC markets.

In our business, latency performance is not only measured in average time, but also in the percentage of outliers — particularly during peak trading periods. We define outliers as any request taking over 50 milliseconds. These outlier metrics characterize the consistency of the platform's performance. Not only is our platform fast, it is also consistent with better than 99.5% of transactions completing in less than 50 milliseconds during the busiest of trading periods. Our platform is also highly reliable, achieving 99.9% availability during 2008. Planning for capacity, performance and reliability is something we take very seriously and has become a core competency. We continually run benchmark tests and monitor our production systems and make adjustments as necessary in order to insure that our systems can handle approximately two to three times our peak transactions in our highest volume products.

WebICE

Connectivity to our trading platform for our futures and OTC energy markets is available through our web based front-end, multiple ISVs and APIs. We provide secure access to our electronic platform via our front-end, WebICE. WebICE serves as a customizable, feature rich front-end to our trading platform. WebICE also provides an easy to use and easily accessible front-end for the entire suite of futures and OTC products we offer. Participants can access our platform globally via the Internet by logging in via our website homepage. Our platform can be accessed using a number of operating systems, including Microsoft Windows Vista, 2000/XP, Linux and Mac OS. Assuming all legal agreements are in place, a new participant can be configured and on our electronic platform within ten minutes. Over 10,000 users globally access our electronic platform each trading day via WebICE.

Application Programming Interfaces (APIs)

We selectively offer participants use of APIs which allow developers to create customized applications and services around our electronic platform to suit their specific needs. Participants using APIs are able to link their own internal computer systems to our platform and enable algorithmic trading, risk management, data services, and straight through processing. Our APIs also enable ISVs to adapt their products to our platform, thereby offering our participants a wide variety of front-end choices in addition to our WebICE interface.

We offer the following APIs for direct access customers and ISVs:

- *Order Routing* — The order routing specification is based on the industry standard Financial Information eXchange, or FIX, protocol. The FIX message specification is fully compliant with the standard protocol.
- *Market Data* — we offer a light weight, technology platform independent market data feed called iMPact. This feed provides full depth of book and can be used by both trading clients and Quote vendors.
- *Trade Capture* — We currently offer a java and FIX based API to capture all trades done by a given company which can be used by firms to manage position and risk of their participants.
- *OTC* — For OTC energy products that have complex bilateral and cleared trading requirements, we offer a Java-based API which can be used to trade these products on the trading platform.

Clearing Systems Technology

A broad range of trade management and clearing services are offered through our clearing houses. As with the trading system, we design, develop, operate and license, as appropriate, significant portions of our clearing technology. Our core clearing system, Extensible Clearing System, or ECS, supports open and delivery position management, real-time trade and post-trade accounting, risk management (daily and intra-day cash, mark-to-market/option premium, and initial margin using the CME SPAN[®] algorithm), collateral management, daily settlement and banking. ECS is a state-of-the art system offering open Internet-based connectivity and integration options for clearing member access to user and account management, position reporting and collateral management. ECS also has an extensive reporting system which delivers on-line access to daily and historical reports in multiple formats, as well as an extensive currency delivery system to manage the delivery and payment of currency settlements. As with the trading platform, we take a proactive approach to enhancing the reliability, capacity and performance of our clearing systems.

Data Centers, Global Network and Distribution

In January 2008, we completed our move to a state-of-the-art hosting center in Chicago, Illinois. The new hosting facility includes expanded co-location capabilities coupled with the physical space, electric power, and bandwidth necessary to accommodate continued growth in our messaging traffic, trading volume and customer base. We also maintain a disaster recovery site for our technology systems in Atlanta, Georgia.

We offer access to our electronic markets through a broad range of interfaces including dedicated lines, server co-location data centers, telecommunications hubs in the United States, Europe and Asia, and directly via the Internet. In 2007, we completed the build-out of the ICE Global Fiber Network which consists of high speed dedicated fiber-optic lines connecting data hubs in New York, Atlanta, Chicago, London and Singapore with the exchange's primary and disaster recovery data centers. This network offers customers an inexpensive, high speed, high-bandwidth, fiber network solution to routing trading and pricing messages between each of these data hub locations and to the primary and secondary data centers.

In addition to our global network, the accessibility of our platform through the Internet differentiates our markets and serves to attract liquidity in our markets. As of December 31, 2008, we had thousands of active connections to our platform from over 1,500 OTC participant firms and over 1,100 futures participant firms. As of the fourth quarter of 2008, there were an average of 10,400 simultaneous active connections daily during peak trading hours. One active connection can represent many individual traders. In addition, we have 37 conformed ISVs interfacing to our trading platform. As a result, we have the potential to attract thousands of additional participants who may trade in our markets through ISVs or through our own front-end. Many ISVs present a single connection while facilitating numerous individual participants actually entering orders and trading on our exchange.

For high velocity traders interested in the lowest latency possible we offer server co-location space at our data centers. This service allows customers to deploy their trading servers' and applications which virtually

eliminate data transmission latency between the customer and the exchange. The combination of our easy to use trading and data APIs, rapid trade execution and co-location services enables us to attract algorithmic traders, which are growing liquidity contributors in many of our markets.

Security and Disaster Recovery

Physical and digital security are each critical to the operation of our platform. We employ leading-edge digital security technology and processes, including high level encryption technology, complex passwords, multiple firewalls, network level virus detection, intrusion detection systems and secured servers. We use a multi-tiered firewall scheme to control access to our network and have incorporated several protective features into our electronic platform at the application layers to ensure the integrity of participant data and connectivity. While our electronic platform is accessible over the Internet, we have added functionality that allows us to restrict platform access to designated IP addresses, if so desired by a participant.

We use a remote data center to provide a point of redundancy for our trading technology. Our back-up disaster recovery facility fully replicates our primary data center and is designed to ensure the uninterrupted operation of our electronic platform's functionality in the event of external threats, unforeseen disasters or internal failures. In the event of a major disruption, participants connecting to our electronic platform would be rerouted automatically to the disaster recovery facility. Our primary data center continuously collects and saves all trade information and periodically transmits it to our disaster recover site. For that reason, we expect that our disaster recovery system would have current, and in most cases real-time, information in the event of a platform outage.

Support Services

All of our participants have access via e-mail, online and telephone to our specialized help desk, which provides support with respect to general technical, business and administrative questions, and is staffed 24 hours a day from Sunday at 5:30 p.m. Eastern Time until Friday at 6:30 p.m. Eastern Time. At all other times, support personnel are available to assist our participants via mobile phone and e-mail.

Competition

The markets in which we operate are highly competitive. We face competition in all aspects of our business from a number of different enterprises, both domestic and international, including traditional exchanges, electronic trading platforms and voice brokers. Prior to the passage of the Commodity Futures Modernization Act of 2000, or the CFMA, futures trading was generally required to take place on, or subject to the rules of, a federally designated contract market. The costs and difficulty of obtaining contract market designation and corresponding regulatory requirements created significant barriers to entry for competing exchanges. The CFMA and other changing market dynamics have led to increasing competition from a number of different domestic and international sources of varied size, business objectives and resources.

We believe we compete on the basis of a number of factors, including:

- depth and liquidity of markets;
- price transparency;
- reliability and speed of trade execution and processing;
- technological capabilities and innovation;
- breadth of product range;
- rate and quality of new product developments;
- quality of service;
- distribution and ease of connectivity;

- mid- and back-office service offerings, including differentiated and value-added services;
- transaction costs; and
- reputation.

We believe that we compete favorably with respect to these factors, and that our deep, liquid markets, breadth of product offerings, new product development, and efficient, secure settlement, clearing and support services distinguish us from our competitors. We believe that in order to maintain our competitive position, we must continue to develop new and innovative products and services; enhance our technology infrastructure; maintain liquidity and offer competitive transaction costs.

Our Principal Competitors

Currently, our principal competitors include exchanges such as the Chicago Mercantile Exchange, or CME, the New York Mercantile Exchange, or NYMEX, which is now part of the CME, and London International Financial Futures and Options Exchange, or LIFFE, which is now part of NYSE Euronext. In addition, we currently compete with voice brokers active in the OTC commodities and credit derivatives markets, other electronic trading platforms for derivatives and market data vendors.

Competition in our Futures Business

In our energy futures business, ICE Futures Europe, we currently compete with global exchanges such as CME and European natural gas and power exchanges, such as the European Energy Exchange. Other exchanges may, in the future, offer trading in contracts that compete with our exchanges. In addition, the recent consolidation of, and development of industry alliances has resulted in a growing number of and well-capitalized trading services providers, which compete with all or portions of our business.

ICE Futures U.S. faces competition from traditional exchanges as well as from new entrants to the derivatives exchange sector. According to the Futures Industry Association, ICE Futures U.S. is currently the third largest derivatives exchange in the United States. The CME, the largest derivatives exchange in the United States, competes with ICE Futures U.S. in its markets for foreign currency and equity index contracts.

ICE Futures U.S. also faces competition abroad from NYSE Euronext. Currently, ICE Futures U.S. competes directly with NYSE Euronext in the cocoa, sugar and coffee markets. ICE Futures U.S. also competes on a limited basis with other exchanges such as the Tokyo Grain Exchange and the Brazilian Mercantile and Futures Exchange. At any time, a regional exchange in an emerging market country, such as India or China, or a producer country could attract enough activity from outside its borders to compete with ICE Futures U.S.'s status as the benchmark pricing market for a given commodity.

ICE Futures Canada competes primarily with NYSE Euronext's rapeseed contract and, to a lesser extent, the Australian Securities Exchange's canola futures contract.

In addition to competition from derivatives exchanges that offer commodity products, our futures business also faces competition from other exchanges, electronic trading systems, third party clearing houses, FCMs and technology firms.

Competition in Our OTC Business

Certain financial services or technology companies, in addition to the competitors named above, have entered the OTC electronic trading services market. Additional joint ventures and consortia could form, or have been formed, to provide services that would potentially compete with certain services that we provide. Others may acquire the capacity to compete with us through acquisitions. If we expand into new markets in the future, we could face significant competition. Creditex continues to face competition from other large inter-dealer brokers in the credit derivative market, including GFI Group Inc., Tullet Prebon plc and ICAP plc. These competitors have many of the same clients as Creditex, and there is no guarantee that Creditex's clients will not direct more of their CDS business to one or more of Creditex's competitors. There is also a high level

of competition among inter-dealer brokers for broker employees, and there is no guarantee that Creditex's broker employees will not be hired by competing firms.

Intellectual Property

We rely on a wide range of intellectual property. We own or have a license to use all of the software that is essential to the operation of our electronic platform, much of which has been internally-developed by our technology team since our inception. In addition to our software, we regard certain business methods and our brand names, marketing elements, logos and market data to be valuable intellectual property. We protect this intellectual property by means of patent, trademark, service mark, copyright and trade secret laws, contractual restrictions on disclosure and other methods.

We currently have licenses to use several U.S. patents, including the Togher family of patents, which relate to the way in which bids and offers are displayed on an electronic trading system in a manner that permits parties to act only on those bids and offers from counterparties with whom the party has available credit. In connection with the settlement of patent infringement litigation with EBS Dealing Resources, Inc., or EBS, we obtained from EBS a worldwide, fully paid, non-exclusive license to use technology covered under patents known as the Togher patents (presently issued or to be issued in the future claiming priority to U.S. patent application 07/830,408). As a fully paid license, we pay no royalties to EBS on an ongoing basis. The EBS license expires on the latest expiration of the underlying patents. Additionally, in May 2006, we received a U.S. patent jointly owned with NYMEX for an implied market trading system. The joint patent covers a method for a computer-based trading system that implies spread markets for multiple real or implied spread markets.

We cannot guarantee that the Togher patents, the joint patent with NYMEX or any other patents that we may license or acquire in the future, are or will be valid and enforceable.

We have several U.S. and foreign patent applications pending, including with respect to our electronic trade confirmation service, our ICEMaker system, and our OTC clearing service. Creditex has several U.S. and foreign patent applications pending with respect to its RealTime electronic trading platform, as well as with respect to its T-Zero electronic post-transactional confirmation and processing platform and its Q-WIXX electronic trading platform for large portfolio credit derivative transactions. We can provide no assurance that any of these applications will result in the issuance of patents.

We have received several U.S. federal registrations on trademarks used in our business, including "IntercontinentalExchange", "IntercontinentalExchange" + design, "ICE" and "ICE" + design. We have also received U.S. federal registrations on other services or products we provide, including but not limited to, "ICE DATA", "ICE Futures", and "WEBICE.". In addition, we have several foreign and U.S. applications pending for other marks used in our business. For instance, in the United States we have applications pending for the following marks, including but not limited to: "ICE Clear", "ICE Clear U.S.", "ICE Clear Canada", "ICE Clear Europe", "ICE Futures U.S.", "ICE Futures Canada", and "ICE Futures Europe.". In Canada, we have applications pending for the following marks, including but limited to: "ICE", "ICE Clear", "ICE Clear U.S.", "ICE Clear Canada", "ICE Clear Europe", "ICE Futures", "ICE Futures U.S.", "ICE Futures Canada", "ICE Futures Europe" and, "ICE DATA." In the European Union, we have applications pending for the following marks, including but not limited to: "ICE Clear", "ICE Clear U.S.", "ICE Clear Canada", "ICE Clear Europe", "ICE Futures U.S.", "ICE Futures Canada" and "ICE Futures Europe".. In Singapore, we have applications pending for the following marks, including but not limited to: "ICE Clear", "ICE Clear U.S.", "ICE Clear Canada", "ICE Clear Europe", "ICE Futures U.S.", "ICE Futures Canada" and "ICE Futures Europe". We can provide no assurance that any of these applications will mature into registered trademarks.

ICE Futures U.S.'s key strength is the brand recognition of its "soft" commodity products. Unlike our U.S. competitors, which have larger corporate identities, ICE Futures U.S.'s primary brand identity is derived from the individual benchmark contracts that it trades. ICE Futures U.S.'s most significant brands are Coffee "C", Sugar No. 11, Cotton No. 2 and the U.S. Dollar Index. We protect these brand names, as well as other products and services by relying on trademark law and contractual safeguards. ICE Futures U.S. owns the following registered trademarks, among others: Coffee "C", Sugar No. 11, Sugar No. 14, Cotton No. 2,

U.S. Dollar Index, and USDX. ICE Futures U.S. also licenses various trademarks of the Russell Investment Group in connection with its exclusive license to use the trademarks of the Russell Investment Group. ICE Futures U.S. also licenses the NYSE Composite Index from NYSE Euronext. ICE Futures U.S.'s license with the NYSE Euronext is an exclusive license to list and trade futures and options contracts on the NYSE Composite Index. ICE Futures U.S. also has an exclusive license with Reuters America, LLC to list and trade futures and options contracts on the Reuters Jefferies CRB Futures Price Index and the Continuous Commodity Index.

We also have several foreign trademark registrations, including: "ICE", "IntercontinentalExchange", and "IntercontinentalExchange" + design, in the European Union; "ICEMAKER", "ICE Futures" and "ICE Futures" + block design in Singapore; and "ICEBLOCK" in the European Union, China, Hong Kong, Norway, Singapore, and Switzerland.

This Annual Report on Form 10-K also contains additional trade names, trademarks and service marks of our and of other companies. We do not intend the use or display of other parties' trademarks, trade names or service marks to imply, and this use or display should not be construed to imply, our endorsement or sponsorship of these other parties, their endorsement or sponsorship of it, or any other relationship between it and these other parties.

Sales

As of December 31, 2008, we employed 147 full-time sales personnel. Our global sales team is managed by a futures industry sales and marketing professional and is comprised primarily of former brokers and traders with extensive experience and established relationships within the commodity trading community. Since our futures business is highly regulated, we also employ sales and marketing staff knowledgeable with respect to the regulatory constraints upon marketing in this field.

Our marketing strategy is designed to expand relationships with existing participants through the provision of value-added products and services, technology support and product information, as well as to attract new participants, including those in markets and geographic areas where we do not currently have a strong presence. We also seek to build brand awareness and promote greater public understanding of our business, including how our technology can improve current approaches to price discovery and risk management in the energy markets.

We use a cross-promotional sales and marketing team for our futures and OTC businesses. We believe this approach is consistent with, and will provide more effective support of, the underlying emphasis of our business model — an open architecture with flexibility that allows us to anticipate and respond rapidly to customers and evolving trends in the markets for commodities trading, while maintaining separate markets on a regulatory basis.

We typically pursue our marketing goals through a combination of on-line promotion through our website, third party websites, e-mail, print advertising, one-on-one client relationship management and participation in trade shows and conferences. From time to time, we also provide commission rate discounts of limited duration to support new product launches. We participate in a number of domestic and international trade shows, conferences and seminars regarding futures, options on futures and OTC markets and other marketing events designed to inform market participants about our products.

Our marketing department designs materials, information and programs to educate market participants about our products and services. We seek to educate these users about changes in product design, margin requirements and product usage. Our sales and marketing effort typically involves the development of personal relationships with market participants who actively use our markets to ensure that our product and service offerings are based on their needs.

Employees

As of December 31, 2008, we had a total of 795 employees, with 216 employees at our headquarters in Atlanta, 360 in New York, 158 in London and a total of 61 employees in our Winnipeg, Houston, Chicago, Singapore and Calgary offices.

Business Continuity Planning and Disaster Recovery

We maintain comprehensive business continuity and disaster recovery plans and facilities to provide continuous availability in the event of a business disruption or disaster.

Planning

We maintain incident and crisis management plans that address how we would respond to a crisis event at any of our locations world wide. We are committed to continuously understanding and evaluating business risks and their impact on operations, providing training to employees and performing exercises to validate the effectiveness of our plans by participating in industry sponsored disaster recovery and business continuity exercises. We have invested in technology that will allow us to manage incidents, track results and continuously update our plans.

Data Centers

We use a remote data center to provide a point of redundancy for our trading technology. Our back-up facility fully replicates our primary data center and is designed to ensure the uninterrupted operation of our electronic platform's functionality in the face of external threats, unforeseen disasters or internal failures. In the event of an emergency, participants connecting to our electronic platform would be rerouted automatically to the back-up facility. Our primary data center continuously collects and saves all trade information and periodically transmits it to our back-up facility. For that reason, we expect that our disaster recovery system would have current, and in most cases real-time, information in the event of a platform outage. In the event that we were required to complete a changeover to our back-up disaster facility, we anticipate that our platform would experience less than three hours of down time. Our primary data center is currently located in Chicago, Illinois. We currently maintain a disaster recovery hot-site in a secure Tier-4 data center in Atlanta, Georgia.

People

Office facilities are protected against physical unavailability via our incident management plans. Dedicated business continuity facilities in Atlanta, New York and London are maintained for employee relocation in the event that a main office is unavailable. Incident management plans place a priority on the protection of our employees.

Regulation

We are primarily subject to the jurisdiction of regulatory agencies in the United States, the United Kingdom and Canada. With respect to the ICE Futures Europe products, we have permission to allow screen based access to our platform from 56 jurisdictions. With respect to the ICE Futures U.S. products, we have permission to allow screen based access to our platform from 26 jurisdictions. With respect to the ICE Futures Canada products, we have permission from Canada (except Quebec), and the United States and are able to facilitate trading under a statutory exemption in the United Kingdom. In light of recent events in the broader financial markets, we anticipate that our markets will continue to be the subject of enhanced legislative and regulatory scrutiny. We expect additional regulatory and legislative changes in our markets and some of these changes could adversely affect our business. Please refer to the "Risk Factors" section below for a description of these regulatory and legislative risks and uncertainties.

Regulation of Our OTC Business in the United States

We operate our OTC energy electronic platform as an exempt commercial market under the Commodity Exchange Act and regulations of the CFTC. The CFTC generally oversees, but does not currently substantively regulate, the trading of OTC energy derivative contracts on our platform. Each of our OTC participants must qualify as eligible commercial entities, as defined by the Commodity Exchange Act, and each participant must trade for its own account, as a principal. Eligible commercial entities include entities with at least \$10 million in assets that incur risks (other than price risk) relating to a particular commodity or have a demonstrable ability to make or take delivery of that commodity, as well as entities that regularly purchase or sell commodities or related contracts that are either (i) funds offered to participants that do not meet specified sophistication standards that have (or are part of a group of funds that collectively have) at least \$1 billion in assets, or (ii) other types of entities that have, or are part of a group that has, at least \$100 million in assets. We have also obtained orders from the CFTC permitting us to treat floor brokers and floor traders on U.S. exchanges and ICE Futures Europe as eligible commercial entities, subject to their meeting certain requirements. As an exempt commercial market, we are required to comply with access, reporting and record-keeping requirements of the CFTC. Our OTC energy business is not otherwise currently subject to substantive regulation by the CFTC or other U.S. regulatory authorities. However, both the CFTC and the Federal Energy Regulatory Commission, or FERC, have view only access to our trading screens on a real-time basis. In addition, we are required to:

- report to the CFTC certain information regarding transactions in products that are subject to the CFTC's jurisdiction and that meet certain specified trading volume levels;
- report to the CFTC certain large trader position information for our cleared OTC natural gas markets pursuant to special calls issued by the CFTC; and
- record and report to the CFTC complaints that we receive of alleged fraud or manipulative trading activity related to certain of our products.

In May 2008, Congress passed legislation to increase regulation of OTC markets as part of the Farm Bill. The legislation requires that OTC electronic trading facilities assume self regulatory responsibilities, such as market monitoring and establishing position limits or accountability limits, over contracts that serve a significant price discovery function. Presently, we believe that we would be required under the legislation to assume regulatory responsibilities over at least one OTC contract, the Henry Hub natural gas swap. In December 2008, the CFTC proposed rules to implement the legislation. In addition to the self regulatory responsibilities, the CFTC has proposed that OTC electronic trading facilities impose volume accountability limits on bilateral transactions, which could deter trading on our platform. In addition, we would incur additional costs in order to comply with new regulations in the OTC markets, although we do not believe that on a consolidated basis they are material. In addition, the legislation would require us to become a registrant of the CFTC, which could mean that we may have to pay a regulatory fee on each trade to a registered futures association.

Creditex is authorized and regulated by the FSA to operate the Creditex RealTime platform and facilitate the conclusion of transactions of credit derivative instruments and corporate bonds. It has FSA regulatory approval to deal as principal or agent. The Creditex platform is open to eligible counterparties and professional clients as defined by the Markets in Financial Instruments Directive. Creditex's services are not available to retail consumers. T-Zero is also regulated by the FSA and authorized to provide services in the UK. In order to retain their status as FSA registered entities, Creditex and T-Zero are required to meet various regulatory requirements in the UK.

In addition, while trading in CDS is currently largely unregulated, a number of proposals have been made to impose various regulatory requirements or limitations on the trading of CDS. Currently, one bill before Congress would give jurisdiction over CDS to the SEC, while another proposed bill would give the CFTC jurisdiction and require all OTC derivatives, including CDS, to be traded on a regulated exchange. Finally, one bill has been proposed to ban market participants from engaging in a credit default swap transaction unless the participant owns the underlying bond. At this time, it is unclear whether any requirements or limitations will

be adopted with respect to CDS transactions or, if so, what the scope or content will be. However, the adoption of any regulatory requirements or limitations could adversely affect our CDS business.

Regulation of Our ICE Futures Europe and Other U.K. Businesses

In the United Kingdom, we also engage in a variety of activities related to our business through subsidiary entities that are subject to regulation by the U.K.'s FSA. ICE Futures Europe is recognized as a U.K. investment exchange and ICE Clear Europe is recognized as a U.K. clearing house by the FSA in accordance with the Financial Services and Markets Act 2000, or FSMA. As such, ICE Futures Europe maintains front-line regulatory responsibility for its markets. In order to retain their status as U.K. Recognised Bodies, ICE Futures Europe and ICE Clear Europe are required to meet various legislative and regulatory requirements. Failure to comply with these requirements could subject ICE Futures Europe or ICE Clear Europe to significant penalties, including de-recognition.

Further, we engage in sales and marketing activities in relation to our OTC business through our subsidiary ICE Markets Limited, or ICE Markets, which is authorized and regulated by the FSA as an arranger of deals in investments and as an agency broker.

The regulatory framework in relation to ICE Futures Europe's status as a recognized investment exchange is supplemented by a series of legislative provisions regulating the conduct of participants in the regulated market. Importantly, FSMA contains provisions making it an offense for participants to engage in certain market behavior and prohibits market abuse through the misuse of information, the giving of false or misleading impressions or the creation of market distortions. Breaches of those provisions give rise to the risk of sanctions, including financial penalties. It should be noted that under FSMA ICE Futures Europe is a recognized investment exchange, and ICE Clear Europe is a recognized clearing house, enjoy statutory immunity in respect of any claims for damages brought against them relating to any actions undertaken (or in respect of any action they have failed to take) in good faith, in the discharge of their regulatory functions.

The Markets in Financial Instruments Directive (Directive 2004/39/EC) came into force on November 1, 2007, and introduced a harmonized approach to the licensing of services relating to commodity derivatives across the European Economic Area. The legislation also imposed greater regulatory burdens on E.U.-based operators of regulated markets, alternative trading systems and authorized firms in the commodity derivatives area. The legislation also introduced the concept of a pan-European "passport" allowing ICE Futures Europe to offer services in all European Economic Area member states in which our participants are based on the basis of UK regulation. This legislation is consistent with other initiatives introduced to provide a more harmonized approach to European regulation, for example, the Market Abuse Directive (Directive 2003/06/EC) which came into force in October 2004 introducing a specific prohibition against insider dealing in commodity derivative products.

In June 2008, the CFTC modified ICE Futures Europe's "no action" letter to require ICE Futures Europe to adopt position limits and position accountability levels for its energy contracts for products with U.S. delivery points or which reference the settlement price of a U.S. designated contract market. The modification to the no action letter also required ICE Futures Europe to provide additional trading information to the CFTC to permit the CFTC to incorporate such information into its large trader reporting system. The products impacted include ICE Futures Europe's WTI crude oil contract, its RBOB gasoline contract, and its New York Harbor heating oil contract. ICE Futures Europe has complied with reporting obligations of the no action letter, and instituted position limits on the applicable contracts beginning with January 2009 expiry.

Regulation of Our ICE Futures U.S. Business

ICE Futures U.S.'s operations are subject to extensive regulation by the CFTC under the Commodity Exchange Act. The Commodity Exchange Act generally requires that futures trading conducted in the United States be conducted on a commodity exchange designated as a contract market by the CFTC. It also establishes non-financial criteria for an exchange to be designated to list futures and options contracts. Designation as a contract market for the trading of futures contracts is non-exclusive. This means that the CFTC may designate other exchanges as contract markets for trading in the same or similar contracts. As a

designated contract market, ICE Futures U.S. is a self-regulatory organization that has instituted detailed rules and procedures to comply with the “core principles” applicable to it under the Commodity Exchange Act. ICE Futures U.S. also has surveillance and compliance operations and procedures to monitor and enforce compliance with its rules, and ICE Futures U.S. is periodically audited by the CFTC with respect to the fulfillment of its self-regulatory programs in these areas. The cost of regulatory compliance is substantial.

Regulation of Our ICE Futures Canada Business

ICE Futures Canada’s operations are subject to extensive regulation by the Manitoba Securities Commission, or MSC, under the CFA. The CFA requires that an organization must be recognized and registered before it can carry on the business of a futures exchange. It establishes financial and non-financial criteria for an exchange. Registration and recognition under the CFA is non-exclusive. This means that the MSC may recognize and register additional exchanges as futures exchanges for trading in the same or similar contracts. In addition, ICE Futures Canada is also recognized by the MSC as a self-regulatory organization and is required to institute and maintain detailed rules and procedures to fulfill its obligations. ICE Futures Canada also has surveillance and compliance operations and procedures to monitor and enforce compliance by market participants with its rules, and ICE Futures Canada is under the audit jurisdiction of the MSC with respect to these self-regulatory functions. ICE Futures Canada has a significant number of trading terminals in the United States for which it has received a no action letter. The no action letter requires it to comply with the requirements of the CFTC including making regular filings. The cost of regulatory compliance is substantial.

Industry Overview

The derivatives and commodities markets include trading in both physical commodities contracts and derivative instruments — instruments that derive their value from an underlying commodity or index — across a wide variety of products. Derivative instruments provide a means for hedging price risk, asset allocation, speculation or arbitrage. Contracts for physical commodities allow counterparties to contract for the delivery of the underlying physical asset.

Trading in futures, options on futures, and OTC products offers a way to protect against — and potentially profit from — price changes in financial instruments and physical commodities. Futures contracts are standardized agreements to buy or sell a commodity or financial product at a specified price in the future. The buyer and seller of a futures contract agree on a price today for a product to be delivered or settled and paid for in the future. Each contract specifies the quantity of the product and the time of delivery or payment. An option on a futures contract is the right, but not the obligation, to buy or sell a futures contract at a specified price on or before a certain expiration date. In the OTC markets, swap contracts are the primary instrument used to reduce or gain exposure to price movements related to a commodity or financial product. Swap contracts are typically less standardized than futures contracts, and are typically financially settled against either a futures contract price or an index price in order to hedge against or gain exposure to commodity price fluctuations. Our customer base includes professional traders, financial institutions, institutional and individual investors, corporations, manufacturers, commodity producers and refiners, and governmental bodies.

The Futures Market

A futures exchange typically operates as an auction market, where trading is conducted either on an electronic platform or on an open-outcry trading floor. In an auction market, prices are established publicly by participants posting bids, or buying indications, and offers, or indications to sell. A futures exchange offers trading of standardized contracts and provides access to a centralized clearing system. Commodity futures exchanges are regulated in the United States by the CFTC. Commodity futures exchanges are regulated in the United Kingdom by the FSA and in Canada by the MSC. In a typical futures market, participants can trade two types of instruments:

- *Futures:* A future is a standardized contract to buy or sell a specified quantity of an underlying asset during a particular month (an exact delivery date or a range of dates will be specified). Contract sizes are standardized and differ by product. For example, the ICE Brent Crude futures contract has a

contract quantity of 1,000 net barrels, or 42,000 U.S. gallons. The price of the futures contract is determined through the auction process on the exchange. Futures contracts are settled through either physical delivery or cash settlement, depending on the contract specification.

- *Options:* An option is a contract that conveys to the buyer the right, but not the obligation, to call (buy) or put (sell) an underlying futures contract at a price determined at the time of the execution of the option.

All futures contracts and options on futures contracts are cleared through a clearing house, acting as a central counterparty. Clearing is the procedure by which the counterparty risk for each futures and options contract traded on an exchange or OTC market is managed by a central counterparty which stands as buyer to every seller and seller to every buyer usually using an open offer or novation contractual mechanic. By interposing itself between the member firm parties of every trade, the clearing house guarantees each member firm party's performance, and eliminates the need to evaluate counterparty credit risk. FCMs function, in turn, as intermediaries between market participants and a clearing house. In effect, the clearing house takes on the counterparty credit risk of the FCM, and the FCM assumes the credit risk of each of its client market participants, which is partially offset by capital held by the FCM with respect to each of its client market participants.

The OTC Market

Over-the-counter, or OTC, is a term used to describe traded products that are not listed on a futures exchange as standardized contracts. In this market, market participants have historically entered into negotiated, bilateral contracts, although in recent years participants have begun to take advantage of cleared OTC contracts that, like futures contracts, are standardized and cleared through a central clearing house.

In contrast to the limited number of futures contracts available for trading on futures exchanges, participants in the OTC markets have the ability to trade both standardized and customized contracts, where counterparties can specify contract terms, such as the underlying commodity, delivery date and location, term and contract size. Furthermore, while exchanges typically limit their hours of operation and restrict direct trading access to a limited number of exchange members, OTC markets typically operate around the clock and tend to have regulatory requirements on market participation. Our electronic OTC energy markets operate seven days a week for 23 hours per day.

Financially- or cash-settled OTC contracts are classified as derivatives — meaning that the contract is settled through cash payments based on the value of the underlying commodity, rather than through physical delivery of the commodity. Physical contracts provide for settlement through physical delivery of the underlying commodity. Physical contracts may be entered into for either immediate delivery of a commodity, in the cash or “spot” market, or for delivery of a commodity at a specified time in the future, in the “forward” market. Forward contract prices are generally based on the spot market prices of the underlying commodity, since long-term contracts evolve into short-term contracts over time.

Industry Trends

We believe that the increasing interest in derivatives trading is being driven primarily by the following key factors:

- *Continued Adoption of Electronic Trading:* Innovations in technology have increased the speed of communications and the availability of information, enabling market participants to access and participate in the markets more easily, quickly and cost efficiently. During the last decade, the use of electronic trading has become increasingly prevalent, and offers a number of advantages relative to floor- or telephone-based trading. These include the ability to offer a larger number of contracts, to increase distribution and access via the benefits of the “network effect”, as well as increased speed of information and increased market transparency.
- *Increased Reliance on Derivatives Markets for Risk Management:* The barriers to entry for participating in derivatives markets have traditionally been significant. However, in recent years, a considerable

erosion of these barriers has occurred largely due to the preference for electronic trading and the transition away from floor-based, membership-based markets. In addition to electronic trading, other changes in market structure contributing to lower barriers to entry include declining exchange membership fees, use of ISVs and the introduction of cleared OTC contracts. In addition, many companies have increasingly sought to hedge exposure to the risk of adverse price movements by relying on the derivatives markets. For example, today many industrial and commercial users of natural gas may directly access the markets to monitor prices and hedge against adverse price movements.

- *Innovations in Product Development and Clearing:* With increased reliance on the derivatives markets for hedging, the need for new or specialized instruments has led to the establishment of new traded markets and product development over the past decade. For example, in the credit markets, banks access the credit derivatives market to hedge exposure to their credit portfolios, establishing the credit default swap market over the past decade. Moreover, the use of a central counterparty clearing house in previously bilateral markets such as over-the-counter energy and credit markets has resulted in greater liquidity and transparency, thereby attracting additional market participation and product development.
- *New Market Participants:* In recent years, as market access has increased and new products have been introduced, growth in trading volumes among most asset classes has been driven in part by diverse participation in derivatives markets by producers, industrials, financial institutions, hedge funds, proprietary trading firms and retail investors globally.

Available Information

Our principal executive offices are located at 2100 RiverEdge Parkway, Suite 500, Atlanta, Georgia 30328. Our main telephone number is (770) 857-4700.

We are required to file reports and other information with the SEC. A copy of this Annual Report on as well as any future Quarterly Reports on Form 10-Q, Current Reports on Form 8-K and any amendments to such reports are, or will be, available free of charge, on the Internet at the Company's website ([http:// www.theice.com](http://www.theice.com)) as soon as reasonably practicable after we file such reports with, or furnish such reports to, the SEC. A copy of these filings is also available at the SEC's website (www.sec.gov) . The reference to our website address does not constitute incorporation by reference of the information contained on the website and should not be considered part of this report. Our reports, excluding exhibits, are also available free of charge by mail upon written request to our Secretary at the address listed above. You may read and copy any documents filed by ICE at the SEC's Public Reference Room at 100 F Street, N.E., Washington, D.C. 20549. Please call the SEC at 1-800-SEC-0330 for further information on the Public Reference Room.

In addition, we have posted on our website the charters for our (i) Audit Committee, (ii) Compensation Committee and (iii) Nominating and Corporate Governance Committee, as well as our Code of Business Conduct and Ethics, which includes our Whistleblower Hotline information, Board of Directors Governance Principles and Board Communication Policy and Governance Hotline. We will provide a copy of these documents without charge to stockholders upon request.

ITEM 1(A). RISK FACTORS

You should carefully consider the following risk factors, as well as other information contained in or incorporated by reference in this Annual Report on Form 10-K. The risks and uncertainties described below are those that we currently believe may materially affect us. Other risks and uncertainties that we do not presently consider to be material or of which we are not presently aware may become important factors that affect our company in the future. If any of the risks discussed below actually occur, our business, financial condition, operating results, or cash flows could be materially adversely affected.

Risks Relating to Our Business

We face intense competition that could materially and adversely affect our business. If we are not able to compete successfully, our business will be adversely impacted.

We face intense competition in all aspects of our business. If we are not able to compete successfully our business could be materially impacted, including our ability to survive. We believe competition in our industry is based on a number of important factors including, but not limited to, market liquidity, transparency, technology advancements, platform speed and reliability, new product offerings, pricing and risk management capabilities.

The industry in which we operate is highly competitive and we expect competition to continue to intensify in the future. Our current competitors, both domestically and internationally, are numerous. While we have achieved success in recent years in growing our business and diversifying, there are routinely new market entrants that provide various challenges to the markets that we operate. Additionally, merger and acquisition activity in the industry remains robust, rendering some competitors significantly larger than us with greater capital resources. Numerous entities have made recent announcements to enhance their existing electronic derivative trading capabilities or to launch new derivative trading platforms. Several of these firms have applied for and received regulatory approval to begin operations.

We currently compete with:

- regulated, diversified futures exchanges globally that offer trading in a variety of asset classes similar to those offered by us such as energy, agriculture, equity index and foreign exchange;
- voice brokers active in the global commodities and credit markets;
- existing and newly formed electronic trading platforms for OTC markets;
- other clearing houses;
- market data and information vendors; and
- possible consortiums of customers and the above listed competitors that may pool their competitive advantages to establish new exchanges, trading platforms or clearing facilities.

The global derivatives industry has grown more competitive due to increasing consolidation and evolving markets. Competition in the market for derivatives trading has intensified in connection with the increase in electronic trading platforms and the desire by existing exchanges to diversify their product base, which could negatively impact our trading volumes and profitability.

Conditions in global financial markets may adversely affect our trading volumes and market liquidity and may put the funds of our clearing houses at risk.

Our business is primarily transaction-based, and declines in trading volumes and market liquidity would adversely affect our business and profitability. Recently, global financial markets have experienced significant and adverse conditions, including a freezing of credit, substantially increased volatility, outflows of customer funds and investments, losses resulting from declining asset values, defaults on loans and reduced liquidity. These events have resulted in the failure of certain financial services firms, have led other firms to seek mergers with commercial banks and have led other firms to become regulated bank holding companies. Many of the financial services firms that have been adversely impacted by the financial crisis are active participants in our markets. The trading volumes in our markets could decline substantially if our market participants reduce their level of trading activity for any reason, such as:

- a reduction in the number of traders that use our platform;
- a reduction in trading demand by customers or a decision to curtail or cease speculative trading;
- heightened capital maintenance requirements resulting from new regulation or mandated reductions in existing leverage;
- a reduced access to capital required to fund trading activities;
- significant defaults by issuers of debt leading to market disruption or a lack of confidence in the market's ability to process such defaults;

- increased instances of counterparty failure or bankruptcy; or
- an increase in the inability of CDS protection sellers to pay out contractual obligations upon the occurrence of a credit event.

A reduction in our overall trading volume could also render our markets less attractive to market participants as a source of liquidity and could result in further loss of trading volume and associated transaction-based revenues. Accordingly, any reduction in trading volumes or market liquidity could have a material adverse affect on our business and financial results.

Further, our clearing houses maintain funds with various banks and if one or more of these banks fail, our clearing houses may be at risk to cover the amounts that were on deposit with the failed bank. The amounts that our clearing houses have on deposit with third party banks at any time may be substantial and there is no assurance that the clearing houses will be able to recover the full amount of such deposits or that, in circumstances where clearing houses have not recovered the full amount of such deposits, they will be able to cover the amounts required to settle transactions and continue their operations. The default of a bank that holds deposits from our clearing houses could cause our customers to lose confidence in our markets and the ability of our clearing houses to continue to act as central counterparties, which would have a material adverse affect on our trading markets and our business as a whole.

Our business is primarily transaction-based, and declines in trading volumes and market liquidity for any reason would adversely affect our business and profitability.

We earn transaction fees for transactions executed and cleared in our markets and from the provision of electronic trade confirmation services. We derived 85.3%, 85.4% and 87.2% of our consolidated revenues for the years ended December 31, 2008, 2007 and 2006, respectively, from our transaction-based business.

The success of our business depends on our ability to maintain and increase our trading volumes and the resulting transaction fees. Any decline in our trading volumes in the short-term or long-term for any reason will negatively impact our transaction fees and, therefore, our revenues. Accordingly, the occurrence of any event that reduces the amount of transaction fees we receive, which may result from declines in trading volumes or market liquidity, reductions in commission rates, regulatory changes, rebates to customers, competition or otherwise, would have a significant impact on our operating results and profitability.

Our business depends in large part on volatility in commodity prices generally and energy markets in particular.

Participants in the markets for energy, soft agricultural and agricultural commodities trading pursue a range of trading strategies. While some participants trade in order to satisfy physical consumption needs, others seek to hedge contractual price risk or take speculative or arbitrage positions, seeking returns from price movements in different markets. Trading volume is driven primarily by the degree of volatility — the magnitude and frequency of fluctuations — in prices of commodities. Volatility increases the need to hedge contractual price risk and creates opportunities for speculative or arbitrage trading. Commodities markets historically have experienced significant price volatility and in recent years reached record levels. We cannot predict whether this pattern will continue, or for how long, or if this trend will reverse itself. Were there to be a sustained period of stability in the prices of commodities, we could experience lower trading volumes, slower growth or even declines in revenues.

Factors that are particularly likely to affect price volatility and price levels, and thus trading volumes, include:

- economic, political and market conditions in the United States, Europe, the Middle East and elsewhere in the world;
- weather conditions, including hurricanes and other significant weather events, that impact the production of commodities, and, in the case of energy commodities, production, refining and distribution facilities for oil and natural gas;
- the volatility in production volume of the commodities underlying our energy, soft agricultural and agricultural products and markets;

- war and acts of terrorism;
- legislative and regulatory changes;
- credit quality of market participants;
- the availability of capital;
- broad trends in industry and finance, including the consolidation in our industry;
- the level and volatility of interest rates;
- fluctuating exchange rates and currency values; and
- concerns over inflation.

Any one or more of these factors may reduce price volatility or price levels in the markets for derivatives trading generally and for commodity products in particular. Any reduction in price volatility or price levels could reduce trading activity in those markets, including in our markets. Moreover, any reduction in trading activity could reduce liquidity — the ability to find ready buyers and sellers at current prices — which in turn could further discourage existing and potential market participants and thus accelerate any decline in the level of trading activity in these markets. In these circumstances, the markets with the highest trading volumes, and therefore the most liquidity, would likely have a growing competitive advantage over other markets. This could put us at a greater disadvantage relative to our principal competitor and other competitors, whose markets are larger and more established than ours.

We cannot predict whether or when these unfavorable conditions may arise in the future or, if they occur, how long or severely they will affect trading volumes. A significant decline in our trading volumes due to reduced volatility, lower prices or any other factor, could have a material adverse effect on our revenues since our transaction fees would decline and on our profitability since our revenues would decline faster than our expenses, some of which are fixed. Moreover, if these unfavorable conditions were to persist over a lengthy period of time and trading volumes were to decline substantially and for a long enough period, the liquidity of our markets, and the critical mass of transaction volume necessary to support viable markets, could be jeopardized.

Our revenues depend heavily upon trading volume in the markets for ICE Brent Crude, ICE WTI Crude and ICE Gas Oil futures contracts; OTC North American natural gas and power contracts; sugar futures and options on sugar futures contracts; Russell Index futures and options on Russell Indexes; and Creditex brokerage transactions. A decline in volume or in our market share in these contracts would jeopardize our ability to remain profitable and grow.

Our revenues currently depend heavily on trading volume in the markets for ICE Brent Crude futures contracts, ICE WTI Crude futures contracts, ICE Gas Oil futures contracts, sugar futures and options on sugar futures contracts, OTC North American natural gas contracts, OTC North American power contracts, Russell Index futures and options on the Russell Indexes contracts, and Creditex brokerage transactions. Trading in these contracts in the aggregate has represented 76.2% of our consolidated revenues for the fourth quarter of 2008 and 73.9% for the year ended December 31, 2008.

Our trading volume or market share in these markets may decline due to a number of factors, including:

- development of competing contracts, and competition generally;
- reliance on technology to conduct trading;
- the relative stability of commodity prices;
- reduced growth in mature commodity markets;
- increased availability of electronic trading on competing contracts;
- possible regulatory changes; and
- adverse publicity and government investigations.

A decline in trading volume would have a negative impact on our operating results and profitability.

A decline in the production of commodities traded in our markets could reduce our liquidity and adversely affect our revenues and profitability.

We derived 84.4%, 84.3% and 86.1% of our consolidated revenues for the years ended December 31, 2008, 2007 and 2006, respectively, from exchange, commission and clearing fees generated from trading in commodity products in our futures and OTC markets. The volume of contracts traded in the futures and OTC markets for any specific commodity tends to be a multiple of the physical production of that commodity. If the physical supply or production of any commodity declines, market participants could become less willing to trade in contracts based on that commodity. For example, the ICE Brent Crude futures contract has been subject to this risk as production of Brent crude oil peaked in 1984 and began steadily falling in subsequent years. We, in consultation with market participants, altered the mechanism for settlement of ICE Brent Crude futures contract to a mechanism based on the Brent/Forties/Oseberg North Sea oil fields, known as the BFO Index, to ensure that the commodity prices on which its settlement price is based reflect a large enough pool of traders and trading activity so as to be less susceptible to manipulation. Market participants that trade in ICE Brent Crude futures may determine in the future, however, that additional underlying commodity products need to be considered in the settlement of that contract or that the settlement mechanism is not credible.

For example, exchange fees earned from trading in the ICE Brent Crude futures contract accounted for 46.6%, 47.6% and 50.5% of our total revenues from our energy futures business, net of intersegment fees, for the years ended December 31, 2008, 2007 and 2006, respectively, or 11.4%, 15.2% and 20.4% of our consolidated revenues for the years ended December 31, 2008, 2007 and 2006, respectively. Any uncertainty concerning the settlement of the ICE Brent Crude futures contract, or a decline in the physical supply or production of any other commodity on which our trading products are based, could result in a decline in trading volumes in our markets, adversely affecting our revenues and profitability.

We intend to explore acquisition opportunities and strategic alliances relating to other businesses, products or technologies. We may not be successful in identifying opportunities or integrating other businesses, products or technologies successfully with our business. Any such transaction also may not produce the results we anticipate.

We intend to continue to explore and pursue acquisition and other opportunities to strengthen our business and grow our company. We may enter into business combination transactions, make acquisitions or enter into strategic partnerships, joint ventures or alliances, any of which may be material. We may enter into these transactions to acquire other businesses, products or technologies to expand our products and services, advance our technology or take advantage of new developments and potential changes in the industry.

The market for acquisition targets and strategic alliances is highly competitive, particularly in light of increasing consolidation in the exchange sector. As a result, we may be unable to identify strategic opportunities or we may be unable to negotiate or finance any future acquisition successfully. Further, our competitors could merge, making it more difficult for us to find appropriate entities to acquire or merge with and making it more difficult to compete in our industry due to the increased resources of our merged competitors. If we are required to raise capital by incurring additional debt or issuing additional equity for any reason in connection with a strategic acquisition or investment, we cannot assure that any such financing will be available or that the terms of such financing will be favorable to us.

The process of integration may produce unforeseen regulatory and operating difficulties and expenditures and may divert the attention of management from the ongoing operation of our business. Further, as a result of any future acquisition, we may issue additional shares of our common stock that dilute shareholders' ownership interest in us, expend cash, incur debt, assume contingent liabilities or create additional expenses related to amortizing intangible assets with estimable useful lives, any of which could harm our business, financial condition or results of operations and negatively impact our stock price.

We may fail to realize the anticipated cost savings, growth opportunities and synergies and other benefits anticipated from our mergers and acquisitions or investments, which could adversely affect the value of our common stock.

We completed multiple acquisitions and strategic investments in 2007 and 2008, including transactions with NYBOT (ICE Futures U.S.), Winnipeg Commodity Exchange, Inc. (ICE Futures Canada), Chatham Energy Partners, LLC, ChemConnect Inc., Commoditrack, Inc, National Commodity Derivatives Exchange Limited (NCDEX), YellowJacket Software, Inc. and Creditex Group, Inc. The success of our mergers and acquisitions will depend, in part, on our ability to realize the anticipated synergies and growth opportunities from combining the businesses, as well as our expected cost savings and revenue growth trends. In general, we expect to benefit from operational synergies resulting from the consolidation of capabilities and elimination of redundancies in our mergers and acquisitions.

Integration of companies acquired by us is complex and time consuming, and requires substantial resources and effort. We must successfully combine the businesses in a manner that permits the expected cost savings and synergies to be realized. In addition, we must achieve the anticipated savings and synergies without adversely affecting current revenues and our investments in future growth. The integration process and other disruptions resulting from the mergers or acquisitions may also disrupt each company's ongoing businesses or cause inconsistencies in standards, controls, procedures and policies that adversely affect our relationships with market participants, employees, regulators and others with whom we have business or other dealings or our ability to achieve the anticipated benefits of the merger or acquisition. When we expand our product offering through a merger or acquisition, we may need to introduce our trading platform to customers that have historically conducted business by telephone or on a different exchange. The process of transitioning customers to our electronic platform can be time consuming and expensive and if not ultimately accepted, could substantially impair or render worthless the assets we acquired through the merger or acquisition. In addition, difficulties in integrating the businesses or any negative impact on the regulatory functions of any of our companies could harm the reputation of the companies. We may not successfully achieve the integration objectives, and we may not realize the anticipated cost savings, revenue growth and synergies in full or at all, or it may take longer to realize them than expected.

In addition, we may not realize anticipated growth opportunities and other benefits from strategic investments we have made and may make in the future for a number of reasons, including regulatory or government approvals or changes and, in some instances, our lack of or limited control over the management business, such as NCDEX. If we fail to successfully integrate an acquired business, or if the reason we acquired or invested in a business is materially impacted, we may be required to take an impairment charge on our financial statements, which could negatively impact our stock price.

Our cost structure is largely fixed. If our revenues decline and we are unable to reduce our costs, or if our expenses increase without a corresponding increase in revenues, our profitability will be adversely affected.

Our cost structure is largely fixed and we expect that it will continue to be largely fixed in the foreseeable future. We base our expectations of our cost structure on historical and expected levels of demand for our products and services as well as our fixed operating infrastructure, such as computer hardware and software, leases, hosting facilities and security and staffing levels. If demand for our current products and services declines, our revenues will decline. If demand for future products that we acquire or license is not to the level necessary to offset the cost of the acquisition or license, our net income would decline. For example, we have incurred significant costs to secure the exclusive license with the Russell Investment Group for listing Russell's index futures, the costs of which will be amortized over the next several years. If our clearing and execution fees for the Russell index futures is not sufficient to offset the amortization costs, our net income will decrease. We may not be able to adjust our cost structure, at all or on a timely basis, to counteract a decrease in revenue or net income, which would result in an adverse impact on our profitability.

Owning clearing houses exposes us to risks, including the risk of defaults by our participants clearing trades through our clearing houses, risks regarding investing the funds in the guaranty fund and held as security for original margin, and risks related to the cost of operating the clearing houses.

Operating clearing houses requires material ongoing expenditures and exposes us to various risks. We cannot assure you that our clearing arrangements will be satisfactory to our participants or will not require additional substantial system modifications to accommodate them in the future. Our operation of clearing houses may not be as successful and may not provide us the benefits we anticipate. In addition, our operation of these clearing houses may not generate sufficient revenues to cover the expenses we incur.

There are risks inherent in operating a clearing house, including exposure to the market and counterparty risk of clearing members, defaults by clearing members and providing a return to the clearing members on the funds invested by the clearing houses, which could subject our business to substantial losses. For example, clearing members have placed an aggregate of cash in ICE Clear Europe relating to margin requirements and funding the guaranty fund that exceeded \$10 billion as of December 31, 2008. These funds are swept and invested daily by JPMorgan Chase Bank N.A. in accordance with our clearing house investment guidelines. ICE Clear Europe has an obligation to return margin payments and guaranty fund contributions to clearing members once the relevant clearing member's exposure to the clearing house no longer exists, and further to provide an interest yield to clearing members in respect of margin and guaranty fund contributions lodged with the clearing house. If the investment principal amount decreases in value, ICE Clear Europe will be liable for the shortfall.

Although our clearing houses have policies and procedures to help ensure that clearing members can satisfy their obligations, such policies and procedures may not succeed in preventing losses after a counterparty's default. We also have in place or plan to establish, as appropriate, various measures intended to enable our clearing houses to cover any default and maintain liquidity, such as deposits in a guaranty fund. However, we cannot assure you that these measures and safeguards will be sufficient to protect us from a default or that we will not be materially and adversely affected in the event of a significant default. Additionally, the default of any one of the clearing members could subject our business to substantial losses and cause our customers to lose confidence in the guarantee of our clearing houses.

The derivatives and energy commodities trading industry has been and continues to be subject to increased legislative and regulatory scrutiny, and we face the risk of changes to our regulatory environment in the future, which may diminish trading volumes on our electronic platform.

Providing facilities to trade financial derivatives and energy products is one of our core businesses. In 2008, given the high price of energy, crude oil and other commodities, the U.S. Congress held numerous hearings regarding the proper regulation of energy trading and, in particular, the potential impact of speculation on energy prices. In addition, the U.K.'s Treasury Select Committee has also held a hearing on this issue. In addition, hearings were held on the role that financial derivatives may have played in the broader financial market crisis. There are currently legislative proposals outstanding, and additional bills may be introduced in the future, that target futures and OTC market participants. In the U.S. Congress, legislative proposals have recently been introduced that would (1) eliminate the OTC bilateral market by forcing OTC trades to be cleared; and/or (2) eliminate derivatives trading except for trading on futures exchanges. Finally, we anticipate that the U.S. Congress and the President will propose major changes to the financial regulatory system. These changes could include merging the CFTC and SEC, a merger of financial regulators into a "super" regulator similar to the UK's Financial Service Authority, or the creation of new regulatory body or bodies that would regulate by activity, not product.

Further, the Energy Independence and Security Act of 2007 has given the Federal Trade Commission, or FTC, additional authority to investigate and prosecute manipulation in the petroleum markets. In August 2008, the FTC released a proposed rule stating that it would exercise its authority in the petroleum futures markets, which would include participants on ICE Futures Europe and our OTC markets. The standard of proof relating to manipulation proposed by the FTC is less stringent than the standard currently used by the CFTC and could deter participants from our markets.

We currently operate our OTC markets as an “exempt commercial market” under the Commodity Exchange Act. As such, our markets are subject to anti-fraud, anti-manipulation, access, reporting and record-keeping requirements of the CFTC. However, unlike a futures exchange, we are not a self regulatory organization that undertakes regulatory oversight of OTC trading. In May 2008, Congress passed legislation as part of the Farm Bill to increase regulation of OTC markets. The new legislation requires and grants authority to OTC electronic trading facilities to assume self regulatory responsibilities, such as market monitoring and establishing position limits or accountability levels, over contracts that serve a significant price discovery function. This legislation requires us and our OTC participants to operate under heightened regulatory burdens and incur additional costs, including recordkeeping and reporting costs, to comply with the additional regulations, and could deter some participants from trading on our OTC platform. In December 2008, the CFTC proposed rules to implement the Farm Bill. In addition to requirements outlined by the Farm Bill, the proposed rules would require the exempt commercial market to impose limits on bilateral trades executed on our platform. This could provide an incentive for market participants to execute these transactions off exchange. Our OTC Henry Hub natural gas contract, which comprised 75.2%, 73.4%, and 81.6% of our OTC energy transaction volumes and 24.9%, 21.4%, and 30.1% of our consolidated revenues in the fiscal years ended December 31, 2008, 2007, and 2006, respectively, would be considered a “significant price discovery contract.” It is possible that the CFTC will deem additional OTC contracts traded in our markets to be “significant price discovery contracts.” One bill currently pending in the U.S. Congress could, if enacted, subject our OTC markets to a level of regulation identical or comparable to that of regulated exchanges.

Further, allegations of manipulative trading by market participants or the failure of industry participants could subject us, our markets or our industry to regulatory scrutiny, possible fines or restrictions, as well as significant legal expenses and adverse publicity. These changes, if enacted, and increased regulation regarding commodity prices, market participants or the OTC and futures markets generally could materially adversely affect our business by limiting the amount of trading that is conducted in our markets.

We are currently subject to regulation in multiple jurisdictions. Failure to comply with existing regulatory requirements, and possible future changes in these requirements or in the current interpretation of these requirements, could adversely affect our business.

ICE Futures Europe, through which we conduct our energy futures business, operates as a Recognized Investment Exchange in the United Kingdom. As a Recognized Investment Exchange, ICE Futures Europe has regulatory responsibility in its own right and is subject to supervision by the FSA pursuant to the FSMA. ICE Futures Europe is required under the FSMA to maintain sufficient financial resources, adequate systems and controls and effective arrangements for monitoring and disciplining its members. Likewise, ICE Futures U.S. operates as a Designated Contract Market. As a self-regulatory organization, it is responsible for ensuring that the exchange operates in accordance with existing rules and regulations, and must comply with eighteen core principles under the Commodity Exchange Act. The ability of ICE Futures Europe and ICE Futures U.S. to comply with all applicable laws and rules is largely dependent on its maintenance of compliance, surveillance, audit and reporting systems. We cannot assure you that these systems and procedures are fully effective. Failure to comply with current regulatory requirements and regulatory requirements that may be imposed on us in the future could subject us to significant penalties, including termination of our ability to conduct our regulated energy futures business through ICE Futures Europe and our regulated soft commodities business through ICE Futures U.S.

Electronic trading in our energy futures contracts on ICE Futures Europe is permitted in many jurisdictions around the world, including in the United States, through “no action” relief from the local jurisdiction’s regulator. In the United States, direct electronic access to trading in ICE Futures Europe products is offered to U.S. persons based on a series of no action letters from the CFTC that permit non-U.S. exchanges, referred to as foreign boards of trade, to provide U.S. persons with electronic access to their markets without registration with the CFTC as a U.S. regulated exchange. Our ability to offer our current and new futures products under our existing no action relief could be impacted by any actions taken by the CFTC as a result of additional conditions being imposed on ICE Futures Europe under its no action relief. In addition, certain of the bills pending before the U.S. Congress would, if enacted, either eliminate the no action relief granted to

ICE Futures Europe and other non-U.S. exchanges, or impose additional regulatory and reporting requirements as a condition for the continuation of such relief. One bill has been proposed in the U.S. Congress that could require ICE Futures Europe to place lower position limits on energy contracts linked to settlement prices of a U.S. designated contract market than the U.S. designated contract market itself imposes. If our offering of products through ICE Futures Europe to U.S. participants is subject to additional regulatory constraints, our business could be adversely affected.

Similarly, electronic trading in ICE Futures U.S. contracts is permitted in many jurisdictions through “no action” relief from the local jurisdiction’s regulatory requirements. With the end of open outcry trading of ICE Futures U.S. agricultural futures contracts in February 2008, the ability of ICE Futures U.S. to offer trading in these futures products in multiple jurisdictions will be dependent upon its ability to comply with the existing conditions of its no action relief in various jurisdictions and any new conditions that may be added.

New legislation, regulations or enforcement may require us to allocate more resources to regulatory compliance and oversight and may diminish confidence in our markets, which would adversely affect our business. Current legislative and regulatory requirements and new initiatives, either in the United States, the United Kingdom or elsewhere, could affect one or more of the following aspects of our business or impose one or more of the following requirements:

- the manner in which we communicate with and contract with our participants;
- a requirement that we impose additional position limits or position accountability limits on our participants;
- prohibitions against certain categories of participants (e.g., pension funds) from accessing our markets;
- the demand for and pricing of our products and services;
- the tax treatment of trading in our products;
- a requirement that we maintain minimum regulatory capital on hand;
- a requirement that we exercise regulatory oversight of our OTC participants, and assume responsibility for their conduct;
- a requirement that we make additional reports to regulatory authorities regarding the trading activities of our participants, which would impact our financial and regulatory reporting practices;
- our record-keeping and record-retention procedures;
- the nature and role of our self-regulatory responsibilities may change;
- our ability to launch new products or contracts since we may need to satisfy certain regulatory obligations prior to launching such new products or contracts.
- the licensing of our employees; and
- the conduct of our directors, officers, employees and affiliates.

The implementation of new legislation or regulations, or changes in or unfavorable interpretations of existing regulations by courts or regulatory bodies, could require us to incur significant compliance costs and impede our ability to operate, expand and enhance our electronic platform as necessary to remain competitive and grow our business. Regulatory changes inside or outside the United States or the United Kingdom could materially and adversely affect our business, financial condition and results of operations.

Legislative or regulatory changes regarding the operation of clearing facilities or preventing them from being owned or controlled by exchanges may prevent us from realizing the economic benefits of operating our clearing house.

Many clearing firms have emphasized the importance to them of centralizing clearing of futures contracts and options on futures contracts to maximize the efficient use of their capital, exercise greater control over their

value at risk and extract greater operating leverage from clearing activities. Many clearing firms have expressed the view that clearing firms should have a choice of where to clear their transactions or should control the governance of clearing houses. In addition, some clearing firms have expressed the view that multiple clearing houses should be consolidated and operated as utilities rather than as for-profit enterprises. Some clearing firms, along with the Futures Industry Association and U.K. Futures and Options Associations, have attempted to cause legislative or regulatory changes to be adopted that would allow market participants to transfer positions from an exchange-owned clearing house (such as ICE Clear Europe) to a non-exchange owned clearinghouse model. Some market participants, including the U.K. Futures and Options Association, have expressed support for extending the European Union Code of Clearing and Conduct to derivatives, which would mandate clearing choices for customers through interoperability. In addition, the U.S. Department of Justice released comments on February 7, 2008 requesting the U.S. Department of Treasury to review futures markets to determine if a different regime for clearing is feasible, which could include ending exchange control of financial futures clearing to foster exchange competition. The Department of Justice comments specifically excluded markets for commodity futures, such as energy and agricultural futures markets. In addition, several Members of the U.S. Congress have advocated for higher margins on futures products, which could change the way we collect margin or operate the risk management functions of our clearing houses. If these legislative or regulatory changes are adopted, alternative clearing houses may seek to clear positions established on our exchanges. Even if they are not successful in their efforts, the factors described above may cause clearing firms to limit the use of our clearing houses. Finally, legislation has been proposed mandating that all derivatives be cleared by a clearing house, including transactions executed prior to the legislation's passage. If clearing houses are compelled to take these trades, it could present a financial risk to the clearing houses we operate. If any of these events occur, our revenues and profits would be materially and adversely affected.

If we are unable to keep up with rapid changes in technology and participant preferences, we may not be able to compete effectively.

To remain competitive, we must continue to enhance and improve the responsiveness, functionality, accessibility and reliability of our electronic platform and our proprietary technology. The financial services industry is characterized by rapid technological change, change in use patterns, change in client preferences, frequent product and service introductions and the emergence of new industry standards and practices. These changes could render our existing proprietary technology uncompetitive or obsolete. Our ability to pursue our strategic objectives, including increasing trading volumes on our trading platforms, as well as our ability to continue to grow our business, will depend, in part, on our ability to:

- enhance our existing services and maintain and improve the functionality and reliability of our electronic platform, in particular, reducing network downtime or disruptions;
- develop or license new technologies that address the increasingly sophisticated and varied needs of our participants;
- anticipate and respond to technological advances and emerging industry practices on a cost-effective and timely basis; and
- continue to attract and retain highly skilled technology staff to maintain and develop our existing technology and to adapt to and manage emerging technologies while attempting to keep our employee headcount low.

We cannot assure you that we will successfully implement new technologies or adapt our proprietary technology to our participants' requirements or emerging industry standards in a timely and cost-effective manner. Any failure to remain abreast of industry standards in technology and to be responsive to participant preferences could cause our market share to decline and negatively impact our profitability.

Our business may be harmed by computer and communications systems failures and delays.

We support and maintain many of the systems that comprise our electronic platform. Our failure to monitor or maintain these systems, or to find replacements for defective components within a system in a

timely and cost-effective manner when necessary, could have a material adverse effect on our ability to conduct our business. Although we fully replicate our primary data center, our redundant systems or disaster recovery plans may prove to be inadequate. Our systems, or those of our third party providers, may fail or be shutdown or, due to capacity constraints, may operate slowly, causing one or more of the following:

- unanticipated disruption in service to our participants;
- slower response time and delays in our participants' trade execution and processing;
- failed settlement by participants to whom we provide trade confirmation or clearing services;
- incomplete or inaccurate accounting, recording or processing of trades;
- our distribution of inaccurate or untimely market data to participants who rely on this data in their trading activity; and
- financial loss.

We could experience system failures due to power or telecommunications failures, human error on our part or on the part of our vendors or participants, natural disasters, fire, sabotage, hardware or software malfunctions or defects, computer viruses, intentional acts of vandalism or terrorism and similar events. In these instances, our disaster recovery plan may prove ineffective. If any one or more of these situations were to arise, they could result in damage to our business reputation, participant dissatisfaction with our electronic platform, prompting participants to trade elsewhere, or exposure to litigation or regulatory sanctions. As a consequence, our business, financial condition and results of operations could suffer materially.

Our regulated business operations generally require that our trade execution and communications systems be able to handle anticipated present and future peak trading volume. Heavy use of computer systems during peak trading times or at times of unusual market volatility could cause those systems to operate slowly or even to fail for periods of time. However, we cannot assure you that our estimates of future trading volume will be accurate or that our systems will always be able to accommodate actual trading volume without failure or degradation of performance.

Our systems and those of our third party service providers may be vulnerable to security risks, which could result in wrongful use of our information, or which could make our participants reluctant to use our electronic platform.

We regard the secure transmission of confidential information on our electronic platform as a critical element of our operations. Our networks and those of our participants and our third party service providers, may, however, be vulnerable to unauthorized access, computer viruses, firewall or encryption failures and other security problems. We may be required to expend significant resources to protect our business and our participants against the threat of security breaches or to alleviate problems caused by security breaches. Although we intend to continue to implement industry standard security measures, we cannot assure you that those measures will be sufficient to protect our business against losses or any reduced trading volume incurred in our markets as a result of any significant security breaches on our platform.

Our operating results may be subject to significant fluctuations due to a number of factors.

A number of factors beyond our control may contribute to substantial fluctuations in our operating results. As a result of the factors described in the preceding risk factors, you will not be able to rely on our historical operating results in any particular period as an indication of our future performance. The commodities trading industry, and energy commodities trading in particular, has historically been subject to variability in trading volumes due primarily to several key factors. These factors include:

- geopolitical events;
- weather;
- real and perceived supply and demand imbalances in the underlying commodities;

- regulatory considerations;
- the availability of capital;
- the number of trading days in a quarter; and
- seasonality.

As a result of one or more of these factors, trading volumes in our markets could decline, possibly significantly, which would adversely affect our revenues derived from transaction fees. If we fail to meet securities analysts' expectations regarding our operating performance, the price of our common stock could decline substantially.

Fluctuations in currency exchange rates may adversely affect our operating results.

The revenues, expenses and financial results of ICE Futures Europe and the other U.K. subsidiaries have historically been denominated in pounds sterling, which previously was the functional currency of our U.K. subsidiaries. We had foreign currency translation risk equal to our net investment in our U.K. subsidiaries. The financial statements of our U.K. subsidiaries were translated into U.S. dollars using current rates of exchange, with gains or losses included in the cumulative translation adjustment account, a component of shareholders' equity. Effective as of July 1, 2006, the functional currency of the majority of our U.K. subsidiaries became the U.S. dollar. The functional currency of an entity is the currency of the primary economic environment in which the entity operates. The functional currency switched based on various economic factors and circumstances, including the fact that beginning in the second quarter of 2006, ICE Futures Europe began to charge and collect exchange fees in U.S. dollars rather than pounds sterling in its key futures contracts, including crude oil and heating oil contracts. We will no longer recognize any translation adjustments in the consolidated financial statements subsequent to June 30, 2006 for those U.K. subsidiaries that have switched their functional currency to the U.S. dollar.

In connection with our acquisition of ICE Futures Canada in August 2007 and Creditex in August 2008, we have foreign currency translation risk equal to our net investment in certain Canadian and U.K. subsidiaries. The revenues, expenses and financial results of these Canadian and U.K. subsidiaries are denominated in Canadian dollars or pounds sterling, which are the functional currencies of these subsidiaries. The financial statements of these subsidiaries are translated into U.S. dollars using a current rate of exchange, with gains or losses included in the cumulative translation adjustment account, a component of shareholders' equity. As of December 31, 2008, the portion of our shareholders' equity attributable to accumulated other comprehensive income from foreign currency translation was \$22.4 million. The period-end foreign currency exchange rate for the Canadian dollar to the U.S. dollar decreased from 1.0120 as of December 31, 2007 to 0.8170 as of December 31, 2008 and the period-end foreign currency exchange rate for pounds sterling to the U.S. dollar decreased from 1.9843 as of December 31, 2007 to 1.4619 as of December 31, 2008.

We have foreign currency transaction risk related to the settlement of foreign currency denominated assets, liabilities and payables that occur through our foreign operations, which are received in or paid in pounds sterling or euros, due to the increase or decrease in the period-end foreign currency exchange rates between periods. We had foreign currency transaction gains (losses) of \$3.1 million, \$842,000 and (\$288,000) for the years ended December 31, 2008, 2007 and 2006, respectively, primarily attributable to the fluctuations of pounds sterling and euros relative to the U.S. dollar. The average exchange rate of pounds sterling to the U.S. dollar increased from 1.8434 for the year ended December 31, 2006 to 2.0020 for the year ended December 31, 2007 and then decreased to 1.8545 for the year ended December 31, 2008.

We may experience substantial gains or losses from foreign currency transactions in the future given that there are still certain net assets or net liabilities and expenses of our subsidiaries that are denominated in pounds sterling, euros and Canadian dollars. Of our consolidated revenues, 3.3%, 1.2% and 7.2% were denominated in pounds sterling, euros or Canadian dollars for the years ended December 31, 2008, 2007 and 2006, respectively. Of our consolidated operating expenses, 20.2%, 15.9% and 29.8% were denominated in pounds sterling or Canadian dollars for the years ended December 31, 2008, 2007 and 2006, respectively. As the pounds sterling, euros or Canadian dollar exchange rate changes, the U.S. equivalent of revenues and

expenses denominated in foreign currencies changes accordingly. As of the second quarter of 2006, we began charging exchange fees in U.S. dollars rather than in pounds sterling in our key U.K. futures contracts, including crude oil and heating oil contracts. Revenues in our businesses are denominated in U.S. dollars, except with respect to a portion of the sales through Creditex, all sales through ICE Futures Canada and a small number of futures contracts at ICE Futures Europe. Our U.K. operations in some instances function as a natural hedge because we generally hold an equal amount of monetary assets and liabilities that are denominated in pounds sterling.

While we may enter into hedging transactions in the future to help mitigate our foreign exchange risk exposure, these hedging arrangements may not be effective, particularly in the event of imprecise forecasts of the levels of our non-U.S. denominated assets and liabilities. Accordingly, if there is an adverse movement in exchange rates, we may suffer significant losses, which would adversely affect our operating results and financial condition.

Our efforts to reduce risk in the credit derivatives market and to create a derivative clearing house to act as a central counterparty in the trading of CDS may not be successful.

Credit derivative contracts are currently traded between two market participants and are not cleared through a central counterparty or clearing house. The buyer of the contract will make a payment or series of payments to the seller in return for protection against default or other credit event. The bilateral nature of the market leaves participants exposed to counterparty risk, which could result in systemic implications in times of great financial distress. When financial counterparties cannot rely on each other's credit, and are unable to hedge their own credit risk, they then stop lending to each other and the credit markets may freeze. The recent collapse of two major market participants and the continuing concern over the financial health of other market participants has led regulators and market participants to call for the creation of a central clearinghouse for CDS.

Developing a market structure that brings transparency, capital efficiency and mitigation of counterparty credit risk by clearing credit default swaps transactions is an important initiative for ICE and Creditex, as well as for certain of our competitors. We have entered a preliminary nonbinding agreement to develop a clearing house to act as a central counterparty in registration and clearance of CDS instruments and we are forming a limited purpose bank, ICE Trust, to act as the facility to bring together the capabilities to clear credit default swaps on a global basis. There is no guarantee that any dealers, including those dealers that are parties to the nonbinding agreement, will use our clearing solution. If our clearing solution through ICE Trust is not successful or if one of our competitors' clearing solutions is more widely accepted than our solution or is mandated by government intervention, we may not be able to offset the additional operating cost against our income and may be precluded from a valuable opportunity to extend our participation in the CDS space.

Regulation of the credit derivatives business is uncertain and such uncertainty, or future regulatory changes, could reduce trading in the credit derivatives market.

The current regulatory environment for continued trading of CDS and clearing CDS is unclear and Congress may choose to enact additional financial market reforms in the coming months to broaden the purview of credit derivatives regulation. Currently, one bill is pending that would give jurisdiction over credit default swaps to the SEC and another pending bill would give jurisdiction to the CFTC. In addition, another bill has been proposed to ban market participants from engaging in a CDS transaction unless the participant owns the underlying bond. At this time, it is unclear whether any requirements or limitations will be adopted with respect to CDS transactions or, if so, what the scope or content will be. While we plan to work with all regulatory bodies to develop an appropriate solution to ensure that these markets are properly regulated, we do not know the form such regulation will take. More stringent regulation, including regulatory bans on trading, could negatively impact transaction volume in the CDS market, which would have a negative impact on Creditex's business and, potentially, our clearing initiative. Additionally, the implementation of new regulatory requirements and processes to ensure continued compliance with such regulations may require us to incur significant compliance costs. Changes in existing regulations and requirements may adversely affect the conduct of Creditex's business and our plans to create a clearing house for CDS transactions.

Owning Creditex's business exposes us to additional risk and Creditex is largely dependent on its broker-dealer clients. These clients are not restricted from transacting or processing CDS directly, or through their own proprietary or third-party platforms.

Creditex's business is primarily transaction based and it provides brokerage services to clients primarily in the form of agency transactions, although it also engages in a limited number of matched principal transactions. In agency transactions, customers pay transaction fees for trade execution services in which Creditex connects buyers and sellers who settle their transactions directly and for post-transactional processing services carried out through Creditex's T-Zero subsidiaries. In matched principal transactions (also known as "risk-less principal" transactions), Creditex receives transaction fees primarily from transactions in which Creditex simultaneously agrees to buy instruments from one customer and sell them to another customer. The amount of the fee generally depends on the spread between the buy and sell price of the security that is brokered. The majority of the Creditex transactions are agency transactions and the matched principal transactions accounted for less than 1% of the total transactions for Creditex for the period from September 1, 2008 to December 31, 2008. Declines in trading volumes in credit derivatives would adversely affect our revenues and profitability. We also face the risk of not being able to collect transaction or processing fees charged to customers for Creditex's agency brokerage services and T-Zero's processing services. With respect to matched principal transactions, we run the risk that a counterparty to a matched principal transaction may fail to fulfill its obligations, or that Creditex may face liability for an unmatched trade.

Creditex relies to a large extent on its broker-dealer clients to provide liquidity on its electronic trading platform and to drive usage of the T-Zero trade processing platform. None of these broker-dealer clients is contractually or otherwise obligated to continue to use Creditex's electronic trading or processing platforms. Creditex's agreements with broker-dealers are generally not exclusive and broker-dealers may terminate such agreements and enter into, and in some cases have entered into, similar agreements with Creditex's competitors. Additionally, many of Creditex's broker-dealer clients are involved in other ventures, including other electronic trading and processing platforms, as trading participants or as equity holders, and such ventures or newly created ventures may compete with Creditex now and in the future.

Any infringement by us of intellectual property rights of others could result in litigation and adversely affect our ability to continue to provide, or increase the cost of providing, our products and services.

Patents and other intellectual property rights are increasingly important as further electronic components are added to trading, and patents and other intellectual property rights of third parties may have an important bearing on our ability to offer certain of our products and services. Our competitors, as well as other companies and individuals, may have obtained, and may be expected to obtain in the future, patent rights related to the types of products and services we offer or plan to offer. We cannot assure you that we are or will be aware of all patents that may pose a risk of infringement by our products and services. In addition, some patent applications in the United States are confidential until a patent is issued, and therefore we cannot evaluate the extent to which our products and services may be covered or asserted to be covered in pending patent applications. Thus, we cannot be sure that our products and services do not infringe on the rights of others or that others will not make claims of infringement against us.

Further, our competitors may claim other intellectual property rights over information that is used by us in our product offerings. In addition, with respect to our intellectual property, if one or more of our products or services is found to infringe patents held by others, it may be required to stop developing or marketing the products or services, obtain licenses to develop and market the products or services from the holders of the patents or redesign the products or services in such a way as to avoid infringing the patents. We also could be required to pay damages if we were found to infringe patents held by others, which could materially adversely affect our business, financial condition and operating results. We cannot assess the extent to which we may be required in the future to obtain licenses with respect to patents held by others, whether such licenses would be available or, if available, whether it would be able to obtain such licenses on commercially reasonable terms. If we were unable to obtain such licenses, we may not be able to redesign our products or services at a reasonable cost to avoid infringement, which could materially adversely affect our business, financial condition and operating results.

Some of the proprietary technology we employ may be vulnerable to infringement by others.

Our business is dependent on proprietary technology and other intellectual property that we own or license from third parties. Despite precautions we have taken or may take to protect our intellectual property rights, third parties could copy or otherwise obtain and use our proprietary technology without authorization. It may be difficult for us to monitor unauthorized use of our intellectual property. We cannot assure you that the steps that we have taken will prevent misappropriation of our proprietary technology or intellectual property.

We have filed patent applications in the United States and in other jurisdictions on a number of aspects of our electronic trading system and trade confirmation systems. In addition, we have licenses under two U.S. patents for trading energy, and two joint U.S. patents with NYMEX covering an implied market trading system. We have also filed patent applications on certain aspects of our electronic trading and trade confirmation systems in the European Patent Office and Canada. We cannot assure you that we will obtain any final patents covering these services, nor can we predict the scope of any patents issued. In addition, we cannot assure you that any patent issued will be effective to protect this intellectual property against misappropriation. Third parties in Europe or elsewhere could acquire patents covering this or other intellectual property for which we obtain patents in the United States, or equivalent intellectual property, as a result of differences in local laws affecting patentability and patent validity. Third parties in other jurisdictions might also misappropriate our intellectual property rights with impunity if intellectual property protection laws are not actively enforced in those jurisdictions. Patent infringement and/or the grant of parallel patents would erode the value of our intellectual property.

We have secured trademark registrations for “IntercontinentalExchange” and “ICE” from the U.S. Patent and Trademark Office and from relevant agencies in Europe, as appropriate, with “ICE” also being registered in Singapore, as well as registrations for other trademarks used in our business. We also have several U.S. and foreign applications pending for other trademarks used in our business. We cannot assure you that any of these marks for which applications are pending will be registered.

In addition, we may have to resort to litigation to enforce our intellectual property rights, protect our trade secrets, and determine the validity and scope of the intellectual property rights of others or defend ourselves from claims of infringement. We may not receive an adequate remedy for any infringement of our intellectual property rights, and we may incur substantial costs and diversion of resources and the attention of management as a result of litigation, even if we prevail. As a result, we may choose not to enforce our infringed intellectual property rights, depending on our strategic evaluation and judgment regarding the best use of our resources, the relative strength of our intellectual property portfolio and the recourse available to us.

Reductions in our exchange fee rates or commission rates resulting from competitive pressures could lower our revenues and profitability.

We may experience pressure on our exchange fee rates and commission rates as a result of competition we face in our futures and OTC markets. Some of our competitors offer a broader range of products and services to a larger participant base, and enjoy higher trading volumes, than we do. Consequently, our competitors may be able and willing to offer commodity trading services at lower commission rates than we currently offer or may be able to offer. As a result of this pricing competition, we could lose both market share and revenues. We believe that any downward pressure on commission rates would likely continue and intensify as we continue to develop our business and gain recognition in our markets. A decline in commission rates could lower our revenues, which would adversely affect our profitability. In addition, our competitors may offer other financial incentives such as rebates or payments in order to induce trading in their markets, rather than in our markets.

We rely on specialized management and employees, including professionals in our clearing house and brokerage business, and our business may be harmed if we fail to retain these professionals or attract new ones.

Our future success depends, in part, upon the continued contributions of our executive officers and key employees whom we rely on for executing our business strategy and identifying new strategic initiatives. Some

of these individuals have significant experience in the commodities trading industry and financial services markets generally, and possess extensive technology skills and a deep understanding of how various businesses operate. Some of these individuals work on our technology team or are involved with our clearing house operations.

In addition, since many products and less liquid market segments in the credit derivatives market are still predominantly transacted by voice brokers, our Creditex subsidiary provides voice-brokered execution services in addition to its electronic execution platform. Many brokers have extensive institutional knowledge of Creditex's services, products, markets and client base and have long-standing relationships with particular clients. Therefore, the hiring of such brokers by other firms could place us at a competitive disadvantage. Because of intense competition for specialized brokerage services, we face the risk that competitors will hire Creditex employees. Creditex has been a party to claims and litigation arising from the departure of brokers and other personnel to competing firms, and relating to new Creditex employee hires. We face the risk of such claims in the future, and may incur substantial legal fees and expend significant management resources in pursuing or defending such claims.

Competition in our industry for persons with trading industry or technology expertise is intense. If any of our specialized management or other professionals were to leave, we cannot assure you that we would be able to find appropriate replacements for these key personnel in a timely manner. Further, we may have to incur significant costs to replace key employees who leave.

We rely on third party providers and other suppliers for a number of services that are important to our business. An interruption or cessation of an important service or supply by any third party could have a material adverse effect on our business.

We depend on a number of suppliers, such as online service providers, hosting service and software providers, data processors, software and hardware vendors, banks, and telephone companies, for elements of our trading, clearing and other systems. Moreover, the general trend toward industry consolidation may increase the risk that these services may not be available to us in the future. We also rely on access to certain data used in our business through licenses with third parties and we rely on a large international telecommunications company for the provision of hosting services. If these companies were to discontinue providing services to us, we would likely experience significant disruption to our business.

We cannot assure you that any of these providers will be able to continue to provide these services in an efficient, cost-effective manner or that they will be able to adequately expand their services to meet our needs. We also cannot assure you that any of these providers will not terminate our business relationship with us for competitive reasons or otherwise. An interruption in or the cessation of an important service or supply by any third party and our inability to make alternative arrangements in a timely manner, or at all, would result in lost revenues and higher costs.

In addition, participants trading on our electronic platform may access it through 37 ISVs, which represent a substantial portion of the ISVs that serve the commodities markets. The loss of a significant number of ISVs providing access could make our platform less attractive to participants who prefer this form of access.

We are subject to significant litigation and liability risks.

Many aspects of our business, and the businesses of our participants, involve substantial risks of liability. These risks include, among others, potential liability from disputes over terms of a trade and the claim that a system failure or delay caused monetary loss to a participant or that an unauthorized trade occurred. For example, dissatisfied participants that have traded on our electronic platform or those on whose behalf such participants have traded, may make claims regarding the quality of trade execution, or alleged improperly confirmed or settled trades, abusive trading practices, security and confidentiality breaches, mismanagement or even fraud against us or our participants. In addition, because of the ease and speed with which sizable trades can be executed on our electronic platform, participants can lose substantial amounts by inadvertently entering

trade orders or by entering them inaccurately. A large number of significant error trades could result in participant dissatisfaction and a decline in participant willingness to trade in our electronic markets.

Our compliance and risk management methods might not be effective and may result in outcomes that could adversely affect our financial condition and operating results.

Our ability to comply with applicable laws and rules is largely dependent on our establishment and maintenance of compliance, audit and reporting systems, as well as our ability to attract and retain qualified compliance and other risk management personnel. Our policies and procedures to identify, monitor and manage risks may not be fully effective. Management of operational, legal and regulatory risk requires, among other things, policies and procedures to record properly and verify a large number of transactions and events. We cannot assure you that our policies and procedures will always be effective or that we will always be successful in monitoring or evaluating the risks to which we are or may be exposed.

In addition, our regulators have broad enforcement powers to censure, fine, issue cease-and-desist orders or prohibit us from engaging in some of our businesses. Our ability to comply with applicable laws and rules is largely dependent on our establishment and maintenance of compliance, audit and reporting systems, as well as our ability to attract and retain qualified compliance and other risk management personnel. We face the risk of significant intervention by regulatory authorities, including extensive examination and surveillance activity. In the case of non-compliance or alleged non-compliance with applicable laws or regulations, we could be subject to investigations and proceedings that may result in substantial penalties or civil lawsuits, including by customers, for damages which can be significant. Any of these outcomes would adversely affect our reputation, financial condition and operating results. In extreme cases, these outcomes could adversely affect our ability to conduct our business.

ITEM 1(B). UNRESOLVED STAFF COMMENTS

None.

ITEM 2. PROPERTIES

Our most valuable property is our technology and the infrastructure underlying it. Our intellectual property is described under the heading “Technology” in Item 1 — Business. In addition to our intellectual property, our other primary assets include computer equipment, software, internally developed software and real property. We own an array of computers and related equipment. The net book value of our computer equipment, software and internally developed software was \$61.4 million as of December 31, 2008.

Our principal executive offices are located in Atlanta, Georgia. We occupy 63,010 square feet of office space in Atlanta under a lease that expires on June 30, 2014. We also lease an aggregate of 193,330 square feet of office space in New York, London, Chicago, Houston, Winnipeg, Calgary and Singapore. Our largest physical presence outside of Atlanta is in New York, New York, where we have leased 145,249 square feet of office space, primarily relating to ICE Futures U.S.’s executive office and its principal trading floor that are located at One North End Avenue, New York, New York. ICE Futures U.S. leases this space from NYMEX under a lease that expires on July 1, 2013, unless an option to renew for five years is extended by NYMEX following the initial term. In addition, ICE Futures U.S. leases space in lower Manhattan to house its primary computer center, its new grading facility and certain administrative offices. These leases expire on June 30, 2014 or December 31, 2016. ICE Futures U.S. also maintains a back-up facility, which contains a fully operational trading floor and a lights-out 24 by 7 computer center, through leases of three parcels of space in Long Island City for this facility, which expires on December 31, 2013. Our second largest physical presence outside of Atlanta is in London, England, where we have leased 37,382 square feet of office space. The various leases covering these spaces generally expire in 2015.

We believe that our facilities are adequate for our current operations and that we will be able to obtain additional space as and when it is needed.

ITEM 3. LEGAL PROCEEDINGS

We are involved in a number of legal proceedings (including the one described below) concerning matters arising in connection with the conduct of our business. We believe, based on currently available information, that the results of such proceedings, in the aggregate, will not have a material adverse effect on our financial condition.

On April 6, 2007, the Supreme Court of the State of New York, County of New York, granted ICE Futures U.S.'s motion to dismiss all claims brought against it in an action commenced on December 8, 2006, by certain holders of non-equity trading permits, or the Permit Holders, of ICE Futures U.S. The plaintiffs alleged that, in violation of purported contract rights and/or rights under New York's Not-For-Profit Corporation Law, ICE Futures U.S. had not allowed its Permit Holders, including the plaintiffs, to vote on the merger pursuant to which we acquired ICE Futures U.S., and had improperly denied the Permit Holders a portion of the merger consideration. Plaintiffs sought (i) to enjoin consummation of the merger, (ii) declaratory relief regarding their past and future rights as Permit Holders, and (iii) an award of unspecified damages on claims for breach of fiduciary duty, breach of contract, unjust enrichment, estoppel and fraud. In addition to dismissing its claims, the court also denied the plaintiffs' motion for a preliminary injunction. On February 4, 2008, the Permit Holders appealed the lower court's ruling dismissing their complaint but did not pursue an appeal of the lower court's denial of their request for an order enjoining the merger. The appeal was denied in its entirety by the appellate court in a decision issued on June 24, 2008. On October 7, 2008, a motion by the Permit Holders for leave to appeal to the New York Court of Appeals was denied by the Appellate Division. Thereafter, a motion by the Permit Holders for leave to appeal directly to the New York Court of Appeals was denied on January 20, 2009 by the Court of Appeals.

ITEM 4. SUBMISSION OF MATTERS TO A VOTE OF SECURITY HOLDERS

There were no matters submitted to a vote of IntercontinentalExchange's security holders during the fourth quarter of our fiscal year ended December 31, 2008.

ITEM 4(A). EXECUTIVE OFFICERS OF INTERCONTINENTALEXCHANGE, INC.

Set forth below, in accordance with General Instruction G(3) of Form 10-K and Instruction 3 to Item 401(b) of Regulation S-K, is information regarding our executive officers and certain other key employees:

<u>Name</u>	<u>Age</u>	<u>Title</u>
Jeffrey C. Sprecher	53	Chairman of the Board and Chief Executive Officer
Charles A. Vice	45	President and Chief Operating Officer
Scott A. Hill	41	Chief Financial Officer and Senior Vice President
David S. Goone	48	Senior Vice President, Chief Strategic Officer
Edwin D. Marcial	41	Chief Technology Officer and Senior Vice President
Johnathan H. Short	43	Senior Vice President, General Counsel and Corporate Secretary
David J. Peniket	43	President and Chief Operating Officer, ICE Futures Europe
Thomas W. Farley	33	President and Chief Operating Officer, ICE Futures U.S.
Sunil Hirani	52	President and Chief Operating Officer, Creditex

Jeffrey C. Sprecher. Mr. Sprecher has served as our Chief Executive Officer and a director since our inception and has served as our Chairman of the Board since November 2002. As our Chief Executive Officer, he is responsible for our strategic direction, operation, and financial performance. Mr. Sprecher purchased Continental Power Exchange, Inc., our predecessor company, in 1997. Prior to joining Continental Power Exchange, Inc., Mr. Sprecher held a number of positions, including President, over a fourteen-year period with Western Power Group, Inc., a developer, owner and operator of large central-station power plants. While with Western Power, Mr. Sprecher was responsible for a number of significant financings. Mr. Sprecher holds a

B.S. degree in Chemical Engineering from the University of Wisconsin and an MBA from Pepperdine University.

Charles A. Vice. Mr. Vice has served as our President since October 2005 and our Chief Operating Officer since July 2001. As our President and Chief Operating Officer, Mr. Vice is responsible for overseeing our operations, including market development, customer support and business development activities. He has over 15 years of experience in applying information technology in the energy industry. Mr. Vice joined Continental Power Exchange, Inc. as a Marketing Director during its startup in 1994, and prior thereto was a Principal with Energy Management Associates for five years, providing consulting services to energy firms. From 1985 to 1988, he was a Systems Analyst with Electronic Data Systems. Mr. Vice holds a Bachelor's of Science degree in Mechanical Engineering from the University of Alabama and an MBA from Vanderbilt University.

Scott A. Hill. Mr. Hill has served as our Chief Financial Officer since May 2007. As our Chief Financial Officer, he is responsible for overseeing all aspects of our finance and accounting functions, including treasury, tax, cash management and investor relations. He is also responsible for financial planning, audit, business development and human resources. Prior to joining us, Mr. Hill spent 16 years as an international finance executive for IBM. He oversaw IBM's worldwide financial forecasts and measurements from 2006 through 2007, working alongside the CFO of IBM and with all of the company's global business units. Prior to that, Mr. Hill was Vice President and Controller of IBM's Japan multi-billion dollar business operation from 2003 through 2005. Mr. Hill earned his BBA in Finance from the University of Texas at Austin and his MBA from New York University, where he was recognized as a Stern Scholar.

David S. Goone. Mr. Goone has served as our Senior Vice President, Chief Strategic Officer since March 2001. He is responsible for the expansion of our product line, including futures products and trading capabilities for our electronic platform. Mr. Goone also leads our global sales organization. Prior to joining us, Mr. Goone served as the Managing Director, Product Development and Sales at the Chicago Mercantile Exchange where he worked for nine years. From 1989 through 1992, Mr. Goone was Vice President at Indosuez Carr Futures, where he developed institutional and corporate business. Prior to joining Indosuez, Mr. Goone worked at Chase Manhattan Bank, where he developed and managed their exchange-traded foreign currency options operation at the Chicago Mercantile Exchange. Mr. Goone holds a B.S. degree in Accountancy from the University of Illinois at Urbana-Champaign.

Edwin D. Marcial. Mr. Marcial has served as our Chief Technology Officer since May 2000. He is responsible for all systems development and our overall technology strategy. He also oversees the software design and development initiatives of our information technology professionals in the areas of project management, architecture, software development and quality assurance. Mr. Marcial joined the software development team at Continental Power Exchange, Inc. in 1996 and has 14 years of IT experience building large-scale systems in the energy industry. Prior to joining Continental Power Exchange, Inc., he led design and development teams at Harris Corporation building software systems for the company's energy controls division. Mr. Marcial earned a B.S. degree in Computer Science from the College of Engineering at the University of Florida.

Johnathan H. Short. Mr. Short has served as our Senior Vice President, General Counsel and Corporate Secretary since June 2004. In his role as General Counsel, he is responsible for managing our legal and regulatory affairs. As Corporate Secretary, he is also responsible for a variety of our corporate governance matters. Prior to joining us, Mr. Short was a partner at McKenna Long & Aldridge LLP, a national law firm with approximately 350 attorneys. Mr. Short practiced in the corporate law group of McKenna, Long & Aldridge (and its predecessor firm, Long Aldridge & Norman LLP) from November 1994 until he joined us in June 2004. From April 1991 until October 1994, he practiced in the commercial litigation department of Long Aldridge & Norman LLP. Mr. Short holds a J.D. degree from the University of Florida, College of Law, and a B.S. in Accounting from the University of Florida, Fisher School of Accounting.

David J. Peniket. Mr. Peniket has served as President, ICE Futures Europe, since October 2005 and Chief Operating Officer, ICE Futures Europe, since January 2005. Mr. Peniket is responsible for ICE Futures Europe's financial performance, technology and market operations, human resources, business development

and regulation and risk management. Prior to assuming the role of Chief Operating Officer, Mr. Peniket served as Director of Finance of ICE Futures Europe since May 2000. Before joining ICE Futures Europe in 1999, Mr. Peniket worked for seven years at KPMG LLP, where he trained as an accountant and was a consultant in its financial management practice. Mr. Peniket was Research Assistant to John Cartwright MP from 1988 to 1991. He holds a B.Sc. (Econ) degree in Economics from the London School of Economics and Political Science and is a Chartered Accountant.

Thomas W. Farley. Mr. Farley joined ICE Futures U.S. in February 2007 as President and Chief Operating Officer. Mr. Farley is also a member of the Board of Directors of ICE Futures U.S. Prior to joining ICE Futures U.S., from July 2006 to January 2007, Mr. Farley was President of SunGard Kiodex, a risk management technology provider to the commodity derivatives markets. From October 2000 to July 2006, Mr. Farley served as Kiodex's Chief Financial Officer and he also served as Kiodex's Chief Operating Officer from January 2003 to July 2006. Prior to Kiodex, Mr. Farley held positions in investment banking and private equity. Mr. Farley holds a Bachelor of Arts in Political Science from Georgetown University.

Sunil Hirani. Mr. Hirani has served as President and Chief Operating Officer of Creditex since Creditex's acquisition in August 2008. Prior to that, Mr. Hirani served as Chairman and CEO of Creditex Group from 1999 to August 2008, in addition to being one of Creditex's co-founders. Before founding Creditex Group, Mr. Hirani worked from October 1996 to April 1999 at Deutsche Bank and Bankers Trust from August 1994 to September 1996, where he was involved in numerous aspects of the OTC derivatives business. Prior to that, he worked at Lockheed Martin Corporation as a software engineer designing, developing and implementing software and hardware systems for NASA in Houston, Texas for the space program. Mr. Hirani holds a B.S. in Computer Science from Washington University and a Master of Business Administration from Northwestern University.

PART II

ITEM 5. MARKET FOR REGISTRANT'S COMMON EQUITY, RELATED STOCKHOLDER MATTERS AND ISSUER PURCHASES OF EQUITY SECURITIES

Approximate Number of Holders of Common Stock

At February 9, 2009, there were approximately 622 holders of record of our common stock.

Dividends

We have paid no dividends on our common stock and we do not anticipate paying any dividends on our common stock for the foreseeable future. Any determination to pay dividends in the future will be made at the discretion of our board of directors and will depend upon our results of operations, financial conditions, contractual restrictions, restrictions imposed by applicable law or the SEC and other factors our board of directors deems relevant.

Price Range of Common Stock

Our common stock trades on the New York Stock Exchange under the ticker symbol “ICE”. Our common stock was initially offered and sold to the public at a price of \$26.00 per share and has been publicly traded since November 16, 2005. Prior to that date, there was no public market in our stock. On February 10, 2009, our common stock traded at a high of \$67.01 per share and a low of \$59.54 per share. The following table sets forth the quarterly high and low sale prices for the periods indicated for our common stock on the New York Stock Exchange.

	Common Stock Market Price	
	High	Low
Year Ended December 31, 2007		
First Quarter	\$167.00	\$108.15
Second Quarter	\$162.47	\$120.56
Third Quarter	\$174.15	\$117.25
Fourth Quarter	\$194.92	\$151.76
Year Ended December 31, 2008		
First Quarter	\$193.87	\$110.25
Second Quarter	\$167.28	\$113.99
Third Quarter	\$116.39	\$ 61.00
Fourth Quarter	\$ 92.98	\$ 49.69

Equity Compensation Plan Information

The following table provides information about our common stock that may be issued under our existing equity compensation plans as of December 31, 2008, which consists of the 2000 Stock Option Plan, 2003 Directors Plan, 2004 Restricted Stock Plan, 2005 Equity Incentive Plan and Creditex 1999 Stock Options/Stock Issuance Plan.

Plan Category	Number of Securities to be Issued Upon Exercise of Outstanding Options and Rights (a)	Weighted Average Exercise Price of Outstanding Options (b)	Number of Securities Available for Future Issuance Under Equity Compensation Plans (Excluding Securities Reflected in Column (a)) (c)
Equity compensation plans approved by security holders(1)	2,079,320(1)	\$ 49.06(1)	948,601
Equity compensation plans not approved by security holders(2)	1,755,264(2)	\$ 26.86(2)	1,121,034
TOTAL	3,834,584	\$ 36.83(1)(2)	2,069,635

(1) The 2000 Stock Option Plan was approved by our stockholders in June 2000 and the 2005 Equity Incentive Plan was approved by our stockholders in June 2005. Of the 2,079,320 securities to be issued upon exercise of outstanding options and rights, 1,103,158 are options with a weighted average exercise price of \$49.06 and the remaining 976,162 securities are restricted stock shares that do not have an exercise price.

(2) This category includes the 2003 Directors Plan, the 2004 Restricted Stock Plan and the Creditex 1999 Stock Options/Stock Issuance Plan. Of the 1,755,264 securities to be issued upon exercise of outstanding options and rights, 1,360,257 are options with a weighted average exercise price of \$26.86 and the remaining 395,007 securities are restricted stock shares that do not have an exercise price. For more information concerning these plans, see note 10 to our consolidated financial statements and related notes that are included elsewhere in this Annual Report on Form 10-K.

ITEM 6. SELECTED FINANCIAL DATA

The following tables present our selected consolidated financial data as of and for the dates and periods indicated. We derived the selected consolidated financial data set forth below for the years ended December 31, 2008, 2007 and 2006 and as of December 31, 2008 and 2007 from our audited consolidated financial statements, which are included elsewhere in this Annual Report on Form 10-K. We derived the selected consolidated financial data set forth below for the years ended December 31, 2005 and 2004 and as of December 31, 2006, 2005 and 2004 from our audited consolidated financial statements, which are not included in this Annual Report on Form 10-K.

The selected consolidated financial data presented below is not indicative of our future results for any period. The selected consolidated financial data set forth below should be read in conjunction with our consolidated financial statements and related notes and “Management’s Discussion and Analysis of Financial Condition and Results of Operations” included elsewhere in this Annual Report on Form 10-K.

	Year Ended December 31,				
	2008(1)	2007(1)	2006	2005	2004
	(In thousands, except for per share data)				
Consolidated Statement of Income/(Loss) Data					
Revenues(2):					
Transaction and clearing fees, net(2)	\$693,229	\$490,358	\$273,629	\$136,976	\$ 90,906
Market data fees	102,944	70,396	34,236	14,642	12,290
Other	16,905	13,539	5,934	4,247	5,218
Total revenues	813,078	574,293	313,799	155,865	108,414
Operating expenses:					
Compensation and benefits	159,792	101,397	49,750	35,753	30,074
Professional services	29,705	23,047	11,395	10,124	12,312
Patent royalty	—	1,705	9,039	1,491	32
CBOT merger-related transaction costs(3)	—	11,121	—	—	—
Selling, general and administrative	67,800	50,759	25,266	17,395	16,578
Floor closure costs	—	—	—	4,814	—
Settlement expense	—	—	—	15,000	—
Depreciation and amortization	62,247	32,701	13,714	15,083	17,024
Total operating expenses	319,544	220,730	109,164	99,660	76,020
Operating income	493,534	353,563	204,635	56,205	32,394
Other income (expense), net(4)(5)	(20,038)	4,871	7,908	3,790	1,328
Income before income taxes	473,496	358,434	212,543	59,995	33,722
Income tax expense	172,524	117,822	69,275	19,585	11,773
Net income(5)	<u>\$300,972</u>	<u>\$240,612</u>	<u>\$143,268</u>	<u>\$ 40,410</u>	<u>\$ 21,949</u>
Redemption adjustments to redeemable stock put(6)	—	—	—	(61,319)	—
Net income (loss) available to common shareholders	<u>\$300,972</u>	<u>\$240,612</u>	<u>\$143,268</u>	<u>\$ (20,909)</u>	<u>\$ 21,949</u>
Earnings (loss) per common share(5)(7):					
Basic	<u>\$ 4.23</u>	<u>\$ 3.49</u>	<u>\$ 2.54</u>	<u>\$ (0.39)</u>	<u>\$ 0.42</u>
Diluted	<u>\$ 4.17</u>	<u>\$ 3.39</u>	<u>\$ 2.40</u>	<u>\$ (0.39)</u>	<u>\$ 0.41</u>
Weighted average common shares outstanding(7):					
Basic	71,184	68,985	56,474	53,218	52,865
Diluted	72,164	70,980	59,599	53,218	53,062

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- (1) We acquired several companies during the years ended December 31, 2008 and 2007 and have included the financial results of these companies in our consolidated financial statements effective from the respective acquisition dates forward. Refer to note 3 to our consolidated financial statements and related notes, which are included elsewhere in this Annual Report on Form 10-K, for more information on these acquisitions.
 - (2) Includes revenues from related parties generated in the ordinary course of our business. For a presentation and discussion of our revenues attributable to related parties for the years ended December 31, 2008, 2007 and 2006, see our consolidated statements of income and note 12 to our consolidated financial statements that are included elsewhere in this Annual Report on Form 10-K. Our transaction and clearing fees are presented net of rebates. For a discussion of these rebates, see Item 7 “Management’s Discussion and Analysis of Financial Condition and Results of Operations” included elsewhere in this Annual Report on Form 10-K.
 - (3) In 2007, we incurred \$11.1 million in transaction costs directly relating to the proposed merger with CBOT Holdings, Inc., or CBOT. We did not succeed in our proposed merger with CBOT and the Chicago Mercantile Exchange completed its acquisition of CBOT in July 2007. These costs are classified as “CBOT merger-related transaction costs” in the accompanying consolidated statement of income for the year ended December 31, 2007. See note 17 to our consolidated financial statements and related notes that are included elsewhere in this Annual Report on Form 10-K.
 - (4) The financial results for the years ended December 31, 2008 and 2007 include \$13.2 million and \$15.5 million, respectively, in interest expense on our outstanding indebtedness and \$6.0 million and \$3.1 million, respectively, in interest expense relating to the Russell Licensing Agreement. The financial results for the year ended December 31, 2007 include a gain on disposal of an asset of \$9.3 million. Refer to notes 7, 9 and 15 to our consolidated financial statements and related notes, which are included elsewhere in this Annual Report on Form 10-K, for more information on these items.
 - (5) We have an 8% equity ownership in the National Commodity and Derivatives Exchange, Ltd, or NCDEX, a derivatives exchange located in Mumbai, India, which we acquired for \$37.0 million in 2006. The NCDEX investment is classified as a cost method investment. The financial results for the year ended December 31, 2008 include an impairment loss on the NCDEX cost method investment of \$15.7 million, which was recorded as other expense. For additional information, refer to note 6 to our consolidated financial statements and related notes, which are included elsewhere in this Annual Report on Form 10-K. Excluding this charge, net of taxes, our consolidated net income for the year ended December 31, 2008 would have been \$312.2 million and basic and diluted earnings per share would have been \$4.39 and \$4.33, respectively. See Item 7 “Management’s Discussion and Analysis of Financial Condition and Results of Operations — Non-GAAP Financial Measures” included elsewhere in this Annual Report on Form 10-K.
 - (6) In connection with our formation, we granted a put option to Continental Power Exchange, Inc., an entity controlled by our Chairman and Chief Executive Officer, Jeffrey C. Sprecher. The put option would have required us under certain circumstances to purchase Continental Power Exchange, Inc.’s equity interest in our business at a purchase price equal to the greater of the fair market value of the equity interest or \$5 million. We initially recorded the redeemable stock put at the minimum \$5 million redemption threshold. We adjusted the redeemable stock put to its redemption amount at each subsequent balance sheet date. Adjustments to the redemption amount were recorded to retained earnings or, in the absence of positive retained earnings, additional paid-in capital. In October 2005, we entered into an agreement with Continental Power Exchange, Inc. to terminate the redeemable stock put upon the closing of our initial public offering of common stock in November 2005. We increased the redeemable stock put by \$61.3 million during the year ended December 31, 2005 resulting from an increase in the estimated fair value of our common stock from \$8.00 per share as of December 31, 2004 to \$35.90 per share as of November 21, 2005, the closing date of our initial public offering of common stock and the termination date of the redeemable stock put. The balance of the redeemable stock put on November 21, 2005 was \$78.9 million and was reclassified to additional paid-in capital upon its termination. In connection with the termination of the put option, we amended certain registration rights previously granted to Continental Power

Exchange, Inc. pursuant to which we may be obligated to pay the expenses of registration, including underwriting discounts up to a maximum of \$4.5 million.

- (7) The impact of outstanding stock options is considered to be antidilutive in the calculation of diluted earnings per share when a net loss available to common shareholders is reported. Our outstanding stock options have not been included in the computation of diluted earnings per share for the year ended December 31, 2005 due to the \$20.9 million net loss available to common shareholders as a result of the \$61.3 million charged to retained earnings related to the redeemable stock put adjustments. Therefore, our diluted earnings per share are computed in the same manner as basic earnings per share for the year ended December 31, 2005.

	As of December 31,				
	2008	2007	2006	2005	2004
	(In thousands)				
Consolidated Balance Sheet Data					
Cash and cash equivalents(1)	\$ 283,522	\$ 119,597	\$204,257	\$ 20,002	\$ 61,199
Short-term investments(1)	3,419	140,955	77,354	111,181	5,700
Margin deposits and guaranty funds assets(2)	12,117,820	792,052	—	—	—
Total current assets	12,552,588	1,142,094	340,917	164,015	100,042
Property and equipment, net	88,952	63,524	26,280	20,348	19,364
Goodwill and other intangible assets, net(3)	2,163,671	1,547,409	81,126	76,054	86,075
Total assets	14,959,581	2,796,345	493,211	265,770	207,518
Margin deposits and guaranty funds liabilities(2)	12,117,820	792,052	—	—	—
Total current liabilities	12,311,642	910,961	37,899	26,394	34,440
Current and long-term debt(4)	379,375	221,875	—	—	25,000
Shareholders' equity	2,006,231	1,476,856	454,468	232,623	132,149

- (1) We received net proceeds from our initial public offering of our common stock in November 2005 of \$60.8 million, after deducting the underwriting discount. We invested a portion of this cash in short-term investments. Due to the adverse conditions in the credit markets, in 2008 we decided to shift more of our funds into cash equivalent investments as compared to short-term investments.
- (2) Clearing members of ICE Clear Europe, ICE Clear U.S. and ICE Clear Canada are required to deposit original margin and variation margin and to make deposits to a guaranty fund. The cash deposits made to these margin accounts and to the guaranty fund are recorded in the consolidated balance sheet as current assets with offsetting current liabilities to the clearing members that deposited them. ICE Clear Europe began clearing contracts in November 2008 upon the transition of clearing from LCH.Clearnet Ltd. See note 14 to our consolidation financial statement and related notes that are included elsewhere in this Annual Report on Form 10-K.
- (3) The increase in the goodwill and intangible assets in 2008 primarily relates to the acquisition of Creditex Group Inc. in August 2008. The increase in the goodwill and other intangible assets in 2007 primarily relates to the acquisition of ICE Futures U.S. in January 2007. See notes 3 and 8 to our consolidation financial statements and related notes that are included elsewhere in this Annual Report on Form 10-K.
- (4) We borrowed \$250.0 million in a senior unsecured credit facility in connection with the purchase of ICE Futures U.S. in January 2007 and we borrowed an additional \$195.0 million in 2008 in connection with our stock repurchases. See note 9 to our consolidation financial statements and related notes that are included elsewhere in this Annual Report on Form 10-K.

	Year Ended December 31,				
	2008	2007	2006	2005	2004
(In thousands, except for rate per contract and percentages)					
Operating Data:					
Our Average Daily Trading Fee Revenues(1):					
Our U.K. futures business average daily exchange and clearing fee revenues	\$ 756	\$ 696	\$ 482	\$ 226	\$ 179
Our U.S. and Canadian futures business average daily exchange and clearing fee revenues	613	426	—	—	—
Our bilateral global OTC business average daily commission fee revenues	341	178	102	79	80
Our cleared global OTC business average daily commission and clearing fee revenues	982	667	487	233	94
Our global OTC business average daily commission and clearing fee revenues	1,323	845	589	312	174
Our total average daily exchange, commission and clearing fee revenues	\$ 2,692	\$ 1,967	\$ 1,071	\$ 538	\$ 353
Our Trading Volume(2):					
Futures volume	237,226	191,848	92,721	42,055	35,541
Futures average daily volume	922	771	373	166	140
OTC energy volume	247,093	176,561	130,832	61,999	30,961
OTC energy average daily volume	977	723	525	247	123
Our ICE Futures Europe rate per contract	\$ 1.23	\$ 1.29	\$ 1.32	\$ 1.35	\$ 1.26
Our soft agricultural futures and options rate per contract	\$ 2.13	\$ 1.88	—	—	—
Our financial futures and options rate per contract	\$ 0.96	\$ 1.68	—	—	—
OTC Participants Trading Commission Percentages:					
Commercial companies (including merchant energy)	46.8%	45.5%	46.8%	48.8%	56.5%
Banks and financial institutions	23.4%	23.6%	21.2%	20.5%	22.4%
Liquidity providers	29.8%	30.9%	32.0%	30.7%	21.1%

(1) Represents the total commission fee, exchange fee and clearing fee revenues for the year divided by the number of trading days during that year.

(2) Volume is calculated based on the number of contracts traded in our markets, which is the number of round turn trades. Each round turn trade represents a matched buy and sell order of one contract. Average daily volume represents the total volume, in contracts, for the year divided by the number of trading days during the year.

ITEM 7. MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

The following discussion contains forward-looking statements that involve risks and uncertainties. Our actual results could differ materially from those anticipated in these forward-looking statements for many reasons, including those set forth in Item 1(A) under the heading "Risk Factors" and elsewhere in this Annual Report on Form 10-K. The following discussion is qualified in its entirety by, and should be read in

conjunction with, the more detailed information contained in Item 6 “Selected Financial Data” and our consolidated financial statements and related notes included elsewhere in this Annual Report on Form 10-K.

Overview and Our Business Environment

We are a leading regulated global futures exchange and over-the-counter, or OTC, market operator. We operate the leading electronic futures and OTC marketplace for trading a broad array of energy, soft agricultural and agricultural commodities, credit default swaps, or CDS, and financial products. Currently, we are the only marketplace to offer an integrated electronic platform for side-by-side trading of products in both futures and OTC markets, together with clearing services. Through our widely-distributed electronic marketplaces, we bring together buyers and sellers of derivative and physical commodities and financial contracts and offer a range of services to support our participants’ risk management.

We conduct our regulated U.K. energy futures markets through our wholly-owned subsidiary, ICE Futures Europe. We conduct our regulated U.S. futures markets through our wholly-owned subsidiary, ICE Futures U.S. We conduct our regulated Canadian futures markets through our wholly-owned subsidiary, ICE Futures Canada. ICE Futures Europe clears its business through ICE Clear Europe, ICE Futures U.S. clears its business through ICE Clear U.S. and ICE Futures Canada clears its business through ICE Clear Canada. We completed our acquisition of ICE Futures U.S. in January 2007 and our acquisition of ICE Futures Canada in August 2007. The launch of ICE Clear Europe occurred in November 2008, completing our strategic plan to offer clearing services through wholly-owned clearing businesses in the United States, the United Kingdom and Canada. Clearing services for our U.K. energy futures and cleared OTC business were previously outsourced to a third party U.K. clearing house.

We completed our acquisition of Creditex Group Inc., or Creditex, in August 2008, as a result of which Creditex became a wholly-owned subsidiary of ICE and continues to operate under the name Creditex in our OTC markets. Creditex is a market leader and innovator in the execution and processing of CDS, with markets spanning the United States, Europe and Asia. Creditex is a leading execution and trade processing firm in the CDS markets, including indexes, single-name instruments and standardized tranches. In October 2008, we announced our planned acquisition of The Clearing Corporation as part of our strategy to offer clearing in the CDS market.

We operate three business segments: a futures segment, a global OTC segment and a market data segment. In our futures markets, we offer trading in standardized derivative contracts on our regulated exchanges. In our OTC markets, which include energy markets and credit derivatives, we offer trading in over-the-counter, or off-exchange, derivative contracts, including contracts that provide for the physical delivery of an underlying asset or commodity or for financial settlement based on the price of an underlying asset or commodity. Through our market data segment, we offer a variety of market data services and products for both futures and OTC market participants and observers.

Our business is primarily transaction based, and our revenues and profitability relate directly to the level of trading activity in our markets. Trading volumes are driven by a number of factors, including the degree of volatility in the prices of commodities and financial instruments such as equity indexes and foreign exchange, as well as regulatory changes, fee modifications and competition. Price volatility increases the need to hedge contractual price risk and creates opportunities for the exchange of risk between market participants. Changes in our futures trading volumes and OTC average daily commissions have also been driven by varying levels of volatility and liquidity both in our markets and in the broader commodities markets, which influence trading volumes across all of the markets we operate.

We operate our futures and OTC markets primarily on our electronic platforms and we offer ICE Futures U.S.’s soft agricultural commodity and financial options markets on both our electronic platform and through our trading floor based in New York. In February 2008, we closed our open-outcry trading floors for futures markets in New York and Dublin and now only offer soft agricultural commodity and financial options markets through the open-outcry trading floor in New York. We believe that the move toward electronic trade execution, together with the improved accessibility for new market participants and the increased adoption of commodities as a tradable, investable asset class, has contributed to and will likely support continued secular

growth in the global markets. We also operate certain of our OTC markets through employee-based voice brokering. As participation continues to increase and as participants continue to employ more sophisticated financial instruments and risk management strategies to manage their price exposure, we believe there remains opportunity for further growth in the electronic trading of derivatives on a global basis. We do not risk our own capital by engaging in any trading activities or by extending credit to market participants.

Financial Highlights

- Our consolidated revenues increased by 41.6% to a record \$813.1 million for the year ended December 31, 2008, compared to 2007, primarily due to increased contract volumes in our futures and OTC markets resulting from increased volatility, organic growth and acquisitions.
- Our consolidated operating expenses increased by 44.8% to \$319.5 million for the year ended December 31, 2008, compared to the same period in 2007, primarily due to acquisitions, higher cash and non-cash compensation costs, costs associated with the establishment of ICE Clear Europe, the closure of our futures trading floors in New York and Dublin and increased technology spending and related depreciation expenses, partially offset by CBOT Holdings, Inc., or CBOT, merger-related transaction costs incurred during the year ended December 31, 2007.
- Our consolidated operating margin decreased to 60.7% for the year ended December 31, 2008, compared to 61.6% for the same period in 2007.
- Our consolidated net income increased by 25.1% to \$301.0 million for the year ended December 31, 2008, compared to the same period in 2007.
- Consolidated cash flows from operations increased by 30.3% to \$375.1 million for the year ended December 31, 2008, compared to the same period in 2007.

On a consolidated basis, we recorded \$813.1 million in revenues for the year ended December 31, 2008, a 41.6% increase compared to \$574.3 million for the year ended December 31, 2007. Consolidated net income was \$301.0 million for the year ended December 31, 2008, a 25.1% increase compared to \$240.6 million for the year ended December 31, 2007. The financial results for the year ended December 31, 2008 include an impairment loss of \$15.7 million, which we recorded as other expense, relating to our investment in the National Commodity and Derivatives Exchange, Ltd, or NCDEX. NCDEX is a derivatives exchange located in Mumbai India, in which we have an 8% equity ownership interest, which we acquired for \$37.0 million in 2006. For additional information, refer to note 6 to our consolidated financial statements and related notes, which are included elsewhere in this Annual Report on Form 10-K. Excluding this loss, net of taxes, our consolidated net income for the year ended December 31, 2008 would have been \$312.2 million. See also “— Non-GAAP Financial Measures” below. The financial results for the year ended December 31, 2007 include a gain of \$9.3 million relating to the sale of our former open-outcry disaster recovery site in London and \$11.1 million in CBOT merger-related transaction costs. During the year ended December 31, 2008, 237.2 million contracts were traded in our futures markets, up 23.7% from 191.8 million contracts traded during the year ended December 31, 2007. During the year ended December 31, 2008, 247.1 million contract equivalents were traded in our OTC energy markets, up 39.9% from 176.6 million contract equivalents traded during the year ended December 31, 2007.

Recent Developments and Trends

Beginning in the third quarter of 2007, the U.S. financial markets entered into a period of reduced liquidity, outflow of customer funds, defaults and extraordinary volatility due to deteriorating credit market conditions. In the subsequent period, these conditions expanded to the global financial markets and as a result, many market participants, including many of our key customers, experienced reduced liquidity with continued credit contraction, financial institution consolidation and market participant bankruptcies. While our business continued to grow in 2008 amid these market conditions, extraordinary volatility levels coupled with a sustained period of uncertainty relating to counterparty creditworthiness and the availability of credit to facilitate trading have limited trading participation in certain of our markets starting in the fourth quarter of

2008, which may continue. As a result of the current market conditions, regulators and legislators may pass new regulations or laws that impact the way our markets operate. Further, the loans and equity investments made by governmental bodies in financial institutions could result in additional regulation and governmental oversight of these entities, many of which are active participants in our markets. We believe the availability of central counterparty clearing for futures and OTC contracts has supported and will continue to support the liquidity and participation in our marketplaces.

The establishment of ICE Clear Europe in November 2008 has facilitated our launch of new cleared OTC contracts. Since the launch of ICE Clear Europe, we have either launched or announced the launch of over 70 new cleared energy OTC products. We believe that controlling our clearing process will allow us to introduce more products and services to the futures and OTC markets for broker-dealers and for our customers, as well as ensure technology and operational service levels meet the efficiency standards that we have set within our execution business. We also believe that this flexibility will allow us to increase our speed-to-market for new cleared products and to expand our products further into physically-delivered commodity products on a competitive basis with other derivatives exchanges that manage their own clearing and risk management services. We have also announced the launch of new cleared sugar, coffee and cocoa swaps for ICE Futures U.S. to be cleared through ICE Clear U.S. The new cleared swaps are the first such contracts that we have offered for ICE Futures U.S. products that are specifically designed to meet the needs of the OTC market participants.

Variability in Quarterly Comparisons

In addition to general conditions in the financial markets and in our markets in particular, commodity trading has historically been subject to variability in trading volumes due to several factors, including:

- *Geopolitical Events:* Geopolitical events tend to impact global commodity prices and may impact commodity supply. Because commodity prices often move in conjunction with changes in the perception of geopolitical risk, these events in the past have impacted trading activities in our markets due to the increased volatility and need for risk management in times of uncertainty.
- *Weather:* Weather events have been an important factor in price volatility and the supply and demand of energy, soft agricultural and agricultural commodities and, therefore, the trading activities of market participants. Unexpected or extreme weather conditions, such as low temperatures or hurricanes, and other events that cause demand increases, supply disruptions or unexpected volatility tend to result in business disruptions and expanded hedging and trading activity in our markets.
- *Real and Perceived Supply and Demand Imbalances:* Various agencies and groups, such as the International Energy Agency and the U.S. Energy Information Administration, regularly track commodity supply data. Reporting on supply or production may impact trading volume and price volatility due to real or perceived supply and demand imbalances.
- *Regulatory Considerations:* Generally, legislative and regulatory bodies have expressed increased concern regarding derivatives markets when underlying commodity and financial instrument prices are volatile. As a result, legislative and regulatory actions, including proposed actions, may create uncertainty for market participants and affect trading volumes.
- *Availability of Capital:* Margin is required to be deposited for each cleared trade executed in our markets. Cost of capital, balance sheet capacity available to support trading, capital markets conditions or any combination of these factors may impact trading volumes due to higher costs or lower availability of capital available to support trading.
- *Number of Trading Days:* The variability in the number of business days in each quarter affects our revenues, and will affect quarter-to-quarter revenue comparisons, since trading generally only takes place on business days.

- *Seasonality:* Participants engaged in energy, soft agricultural and agricultural businesses tend to experience moderate seasonal fluctuations in demand and price volatility, although such seasonal impacts have been somewhat negated in periods of high volume trading.

These and other factors could cause our revenues to fluctuate from period to period. These fluctuations may affect the reliability of period to period comparisons of our revenues and operating results when, for example, these comparisons are between periods in different seasons. Inter-seasonal comparisons will not necessarily be indicative of our results for future periods.

Segment Reporting

For financial reporting purposes, as of December 31, 2008, our business is divided into three segments: our futures business segment, our OTC business segment and our market data business segment. For a discussion of these segments and related financial disclosure, refer to note 18 to our consolidated financial statements and related notes included elsewhere in this Annual Report on Form 10-K.

Our Futures Business Segment

The following table presents, for the years indicated, selected statement of income data in dollars and as a percentage of revenues for our futures business segment:

	Year Ended December 31,					
	2008(1)	%	2007(1)	%	2006	%
	(Dollar amounts in thousands)					
Revenues(2):						
Transaction and clearing fees, net(2):						
ICE Brent Crude futures	\$ 92,971	25.3%	\$ 87,308	29.8%	\$ 64,126	48.8%
ICE WTI Crude futures	47,941	13.0	49,942	17.0	30,683	23.3
ICE Gas Oil futures	42,641	11.6	36,890	12.6	26,363	20.0
Sugar futures and options(3)	76,948	20.9	48,647	16.6	—	—
Cotton futures and options(3)	23,171	6.3	17,920	6.1	—	—
Russell index futures and options(3)	13,540	3.7	542	0.2	—	—
Other futures products and options	54,289	14.7	37,344	12.7	2,248	1.8
Intersegment fees	5,746	1.6	3,754	1.3	4,404	3.4
Market data fees	—	—	—	—	36	—
Other	10,693	2.9	10,740	3.7	3,568	2.7
Total revenues	<u>367,940</u>	<u>100.0</u>	<u>293,087</u>	<u>100.0</u>	<u>131,428</u>	<u>100.0</u>
Operating expenses:						
Selling, general and administrative expenses(4)	80,506	21.9	80,053	27.3	25,939	19.7
Intersegment expenses(5)	38,767	10.5	30,836	10.5	24,892	18.9
Depreciation and amortization	13,472	3.7	6,386	2.2	2,031	1.6
Total operating expenses	<u>132,745</u>	<u>36.1</u>	<u>117,275</u>	<u>40.0</u>	<u>52,862</u>	<u>40.2</u>
Operating income	235,195	63.9	175,812	60.0	78,566	59.8
Other income, net(6)	5,165	1.4	14,217	4.9	1,687	1.3
Income tax expense	84,017	22.8	64,005	21.8	28,089	21.4
Net income	<u>\$156,343</u>	<u>42.5%</u>	<u>\$126,024</u>	<u>43.0%</u>	<u>\$ 52,164</u>	<u>39.7%</u>

(1) The financial results for the years ended December 31, 2008 and 2007 include the financial results for ICE Futures U.S. subsequent to its acquisition on January 12, 2007.

- (2) Revenues attributable to related parties were \$110,000, \$424,000 and \$12.7 million for the years ended December 31, 2008, 2007 and 2006, respectively. For a discussion of our related parties, see note 12 to our consolidated financial statements and related notes, which are included elsewhere in this Annual Report on Form 10-K. Our transaction and clearing fees are presented net of rebates.
- (3) Sugar, cotton and Russell index futures and options began trading in January 2007 in connection with the ICE Futures U.S. acquisition. The Russell index futures and options began trading exclusively on ICE Futures U.S. in September 2008.
- (4) Includes compensation and benefits expenses and professional services expenses.
- (5) Intersegment expenses represent fees paid by our futures business segment for support provided by the OTC business segment to operate the electronic trading platform used in our futures business.
- (6) The financial results for the years ended December 31, 2008 and 2007 include \$6.0 million and \$3.1 million, respectively, in interest expense relating to the Russell Licensing Agreement. The financial results for the year ended December 31, 2007 include a gain on disposal of an asset of \$9.3 million. Refer to notes 7 and 15 to our consolidated financial statements and related notes, which are included elsewhere in this Annual Report on Form 10-K, for more information on these two items.

Our ICE Brent Crude futures contract is a benchmark contract relied upon by a broad range of market participants, including certain large oil producing nations, to price their crude oil. During the year ended December 31, 2008, the average daily quantity of Brent crude oil traded in our markets was 264.0 million barrels, with an average notional daily value of over \$26.1 billion. We believe that market participants are increasingly relying on this contract for their risk management activities, as evidenced by steady increases in traded volumes and open interest over the past several years. With the trading of both our ICE Brent Crude futures contract and our ICE WTI Crude futures contract, we achieved a 45.7% market share of the global oil futures contracts traded for the year ended December 31, 2008.

In our futures business segment, we earn transaction fees from both counterparties to each futures contract or option on futures contract that is traded, based on the volume of the commodity underlying the futures or option contract that is traded. In addition to our transaction fees, a futures participant must pay a fee to the clearing house for the benefit of clearing and, if applicable, a fee for the services of the relevant member clearing firm, or FCM. For ICE Futures U.S. and ICE Futures Canada, our transaction fees include both a trading and a clearing fee as we own 100% of ICE Clear U.S. and ICE Clear Canada. However, consistent with our cleared OTC business, in the past, we did not derive any direct revenues from the clearing process associated with ICE Futures Europe and participants paid the clearing fees directly to a third party U.K. clearing house. However, upon the launch of ICE Clear Europe in November 2008, we now capture clearing revenues associated with our ICE Futures Europe business, the amount of which will depend upon many considerations, including but not limited to transaction volume, pricing and new products. We charge transaction and clearing fees to the clearing members of ICE Futures Europe, ICE Futures U.S. and ICE Futures Canada for contracts traded for their own account and for contracts traded on behalf of their customers or local traders.

We derived futures transaction and clearing fees of \$351.5 million, \$278.6 million and \$123.4 million for the years ended December 31, 2008, 2007 and 2006, respectively, representing 43.2%, 48.5% and 39.3%, respectively, of our consolidated revenues. The transaction and clearing fees earned on energy futures and option transactions, which occur through ICE Futures Europe, increased \$16.9 million or 9.4% to \$195.8 million for the year ended December 31, 2008 from \$178.9 million for the year ended December 31, 2007. The transaction and clearing fees earned on soft agriculture, agriculture and financial futures and options transactions, which occur through ICE Futures U.S. and ICE Futures Canada, increased \$56.0 million or 56.2% to \$155.7 million for the year ended December 31, 2008 from \$99.7 million for the year ended December 31, 2007.

Transaction and clearing fees are presented net of rebates. We recorded rebates in our futures segment of \$76.3 million, \$33.7 million and \$7.2 million for the years ended December 31, 2008, 2007 and 2006, respectively. The increase in the rebates is due primarily to an increase in the amount of rebates offered on various futures contracts resulting from higher contract volumes traded during the period. We offer rebates in certain of our markets primarily to help generate market liquidity and trading volumes by providing customers

Table of Contents

trading in those markets a full or partial discount to the applicable commission rate. These rebates reduce revenue that we would have generated had we charged full commissions and had we generated the same volume without the rebate program.

A contract is a standardized quantity of the physical commodity underlying each futures contract. The following table presents the underlying commodity size per futures contract traded in our key futures markets as well as the relevant standard of measure for each contract:

<u>Futures Contract</u>	<u>Size</u>	<u>Measure</u>
ICE Brent Crude	1,000	Barrels
ICE WTI Crude	1,000	Barrels
ICE Gas Oil	1,000	Metric Tonnes
Sugar	112,000	Pounds

The following table presents, for the periods indicated, trading activity in our futures markets for commodity type based on the total number of contracts traded:

	<u>Year Ended December 31,</u>		
	<u>2008</u>	<u>2007</u>	<u>2006</u>
	<u>(In thousands)</u>		
Number of futures and option contracts traded:			
ICE Brent Crude futures	68,368	59,729	44,346
ICE WTI Crude futures	51,092	51,388	28,673
ICE Gas Oil futures	28,805	24,510	18,290
Sugar futures and options(1)	36,437	26,355	—
Cotton futures and options(1)	10,631	9,526	—
Russell index futures and options(1)	17,054	338	—
Other futures and options(2)	24,839	20,002	1,412
Total	237,226	191,848	92,721

- (1) Sugar, cotton and Russell index futures and options began trading in January 2007 in connection with the ICE Futures U.S. acquisition. The Russell index futures and options began trading exclusively on ICE Futures U.S. in September 2008.
- (2) The increase in the other futures and options contracts primarily relates to the trading of the coffee futures and options and cocoa futures and options, which began trading in January 2007 in connection with the ICE Futures U.S. acquisition.

The following table presents our year-end open interest for our futures contracts. Open interest is the number of contracts (long or short) that a member holds either for its own account or on behalf of its clients. Open interest refers to the total number of contracts that are currently open — in other words, contracts that have been traded but not yet liquidated by either an offsetting trade, exercise, expiration or assignment. Open interest is also a measure of the future activity remaining to be closed out in terms of the number of contracts that members and their clients continue to hold in the particular contract and by the number of contracts held for each contract month listed by the exchange.

	As of December 31,		
	2008	2007	2006
	(In thousands)		
Open interest — futures and options contracts:			
ICE Brent Crude futures	614	539	547
ICE WTI Crude futures	519	593	418
ICE Gas Oil futures	418	273	321
Sugar futures and options(1)	1,707	1,796	—
Cotton futures and options(1)	351	579	—
Coffee futures and options(1)	250	348	—
Cocoa futures and options(1)	158	201	—
Russell index futures and options(1)	446	17	—
Other futures and options	777	577	128
Total	<u>5,240</u>	<u>4,923</u>	<u>1,414</u>

(1) Sugar, cotton, coffee, cocoa and Russell index futures and options began trading in January 2007 in connection with the ICE Futures U.S. acquisition. The Russell index futures and options began trading exclusively on ICE Futures U.S. in September 2008.

Our OTC Business Segment

The following table presents, for the years indicated, selected statement of income data in dollars and as a percentage of revenues for our OTC business segment:

	Year Ended December 31,					
	2008(1)	%	2007	%	2006	%
(Dollar amounts in thousands)						
Revenues(2):						
Transaction and clearing fees, net(2):						
North American natural gas	\$214,403	49.0%	\$155,533	56.6%	\$117,302	60.0%
North American power	60,400	13.8	43,349	15.8	27,223	13.9
Credit derivatives(3)	52,098	11.9	—	—	—	—
Other commodities markets	7,954	1.8	6,873	2.6	2,175	1.1
Electronic trade confirmation	6,873	1.6	6,010	2.2	3,509	1.8
Intersegment fees	41,199	9.4	32,311	11.8	26,704	13.7
Market data fees	48,458	11.1	27,256	9.9	16,168	8.3
Other	6,165	1.4	2,782	1.1	2,366	1.2
Total revenues	437,550	100.0	274,114	100.0	195,447	100.0
Operating expenses:						
Selling, general and administrative expenses(4)	174,113	39.8	94,350	34.4	67,451	34.5
Intersegment expenses	34,004	7.8	19,405	7.1	11,221	5.7
CBOT merger-related transaction costs(5)	—	—	11,121	4.1	—	—
Depreciation and amortization	48,651	11.1	26,286	9.6	11,671	6.0
Total operating expenses	256,768	58.7	151,162	55.1	90,343	46.2
Operating income	180,782	41.3	122,952	44.9	105,104	53.8
Other income (expense), net(6)(7)	(26,281)	(6.0)	(9,846)	(3.6)	6,248	3.2
Income tax expense	61,622	14.1	33,907	12.4	33,858	17.3
Net income(7)	\$ 92,879	21.2%	\$ 79,199	28.9%	\$ 77,494	39.7%

- (1) The financial results for the year ended December 31, 2008 include the financial results for Creditex subsequent to its acquisition on August 29, 2008.
- (2) Revenues attributable to related parties were \$570,000, \$1.3 million and \$3.2 million for the years ended December 31, 2008, 2007 and 2006, respectively. For a discussion of our related parties, see note 12 to our consolidated financial statements, which are included elsewhere in this Annual Report on Form 10-K. Our transaction and clearing fees are presented net of rebates.
- (3) Credit derivatives began trading on September 1, 2008 in connection with the closing of the Creditex acquisition.
- (4) Includes compensation and benefits expenses, professional services expenses and patent royalty expenses.
- (5) The financial results for the year ended December 31, 2007 include \$11.1 million in CBOT merger-related transaction costs. Refer to note 17 to our consolidated financial statements and related notes, which are included elsewhere in this Annual Report on Form 10-K, for more information.
- (6) The financial results for the years ended December 31, 2008 and 2007 include \$12.2 million and \$15.5 million, respectively, in interest expense on outstanding indebtedness. Refer to note 9 to our consolidated financial statements and related notes, which are included elsewhere in this Annual Report on Form 10-K, for more information.
- (7) The financial results for the year ended December 31, 2008 include an impairment loss on the NCDEX cost method investment of \$15.7 million, which was recorded as other expense. For additional information,

refer to note 6 to our consolidated financial statements and related notes, which are included elsewhere in this Annual Report on Form 10-K. Excluding this charge, net of taxes, our OTC business segment net income for the year ended December 31, 2008 would have been \$104.1 million. See also “— Non-GAAP Financial Measures” below.

Revenues in our OTC business segment are generated primarily through transaction fees earned from trades. While we charge a monthly data access fee for access to our electronic platform, we derive a substantial portion of our OTC revenues from transaction fees paid by participants for each trade that they execute or clear based on the underlying commodity volume. Transaction fees are payable by each counterparty to a trade and, for bilateral trades and trades through Creditex, are generally due within 30 days of the invoice date. Our OTC commission rates vary by product and are based on the volume of the commodity underlying the contract that is traded.

In addition to our transaction fee, a participant that chooses to clear an OTC trade has to pay a clearing fee and, if applicable, a fee for the services of the relevant FCM. Consistent with our ICE Futures Europe business, we did not derive any direct revenues from the OTC energy clearing process in the past and participants paid the clearing fees directly to a third party U.K. clearing house. However, upon the launch of ICE Clear Europe in November 2008, we now capture clearing revenues associated with our global OTC segment, the amount of which will depend upon many considerations, including but not limited to transaction volume, pricing and new products. For the years ended December 31, 2008, 2007 and 2006, transaction fees related to cleared trades represented 62.7%, 69.3% and 71.8% of our total OTC revenues, respectively, net of intersegment fees. Excluding the OTC CDS contracts, which are all currently traded bilateral, transaction fees related to cleared energy trades represented 72.2% of our total OTC energy revenues for the year ended December 31, 2008. We intend to continue to support the introduction of these products in response to the requirements of our participants.

We derived transaction and clearing fees for OTC trades of \$334.9 million, \$205.8 million and \$146.7 million for the years ended December 31, 2008, 2007 and 2006, respectively, representing 41.2%, 35.8% and 46.7%, respectively, of our consolidated revenues.

Transaction and clearing fees are presented net of rebates. We recorded rebates in our OTC business segment of \$16.7 million, \$3.5 million and \$203,000 for the years ended December 31, 2008, 2007 and 2006, respectively. The increase in the rebates is due primarily to an increase in the amount of rebates offered for certain contracts in our North American markets, as well as increased trading activity in markets where rebates are offered.

The following tables present, for the periods indicated, the total volume or notional value of the underlying commodity and number of contracts traded in our OTC markets:

	Year Ended December 31,		
	2008	2007	2006
	(In millions)		
Total volume or Notional Value — OTC:			
North American natural gas (in million British thermal units, or MMBtu)	571,364	394,880	302,591
Credit default swaps (notional value)(1)	\$ 1,064.8	—	—
North American power (in megawatt hours)	6,490	5,492	4,000
Global oil and refined products (in equivalent barrels of oil)	1,036	907	576

(1) We began offering credit default swaps following our acquisition of Creditex on August 29, 2008. The notional value presented is for the period from September 1, 2008 to December 31, 2008.

	Year Ended December 31,		
	2008	2007	2006
	(In thousands)		
Number of OTC energy contracts traded:			
North American natural gas	228,554	159,659	121,047
North American power	10,085	8,331	6,014
Global oil and other	8,454	8,571	3,771
Total	<u>247,093</u>	<u>176,561</u>	<u>130,832</u>

The following table presents the underlying commodity size for selected contracts traded in our OTC markets as well as the relevant standard of measure for such contracts:

OTC Contract	Size	Measure
Financial gas	2,500	MMBtu
Physical gas	2,500	MMBtu
East power	800	Megawatt Hours per day
West power	400	Megawatt Hours per day
Crude oil	1,000	Barrels
Refined oil	100	Barrels

The following table presents our year-end open interest for our cleared OTC energy contracts:

	As of December 31,		
	2008	2007	2006
	(In thousands)		
Open interest — cleared OTC energy contracts:			
North American natural gas	7,486	5,986	3,781
North American power	1,784	1,161	792
Global oil and other	98	28	18
Total	<u>9,368</u>	<u>7,175</u>	<u>4,591</u>

Our Market Data Business Segment

The following table presents, for the years indicated, selected statement of income data in dollars and as a percentage of revenues for our market data business segment:

	Year Ended December 31,					
	2008	%	2007	%	2006	%
	(Dollar amounts in thousands)					
Revenues(1):						
Market data fees	\$54,486	61.9%	\$43,140	69.3%	\$18,032	61.8%
Intersegment fees	33,432	38.0	19,079	30.7	11,123	38.2
Other	47	0.1	17	—	—	—
Total revenues	<u>87,965</u>	<u>100.0</u>	<u>62,236</u>	<u>100.0</u>	<u>29,155</u>	<u>100.0</u>
Operating expenses:						
Selling, general and administrative expenses(2)	2,678	3.0	2,505	4.0	2,060	7.1
Intersegment expenses	7,606	8.7	4,903	7.9	6,118	21.0
Depreciation and amortization	124	0.1	29	—	12	—
Total operating expenses	<u>10,408</u>	<u>11.8</u>	<u>7,437</u>	<u>11.9</u>	<u>8,190</u>	<u>28.1</u>
Operating income	77,557	88.2	54,799	88.1	20,965	71.9
Other income (expense), net	1,078	1.2	500	0.8	(27)	(0.1)
Income tax expense	26,885	30.6	19,910	32.0	7,328	25.1
Net income	<u>\$51,750</u>	<u>58.8%</u>	<u>\$35,389</u>	<u>56.9%</u>	<u>\$13,610</u>	<u>46.7%</u>

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- (1) Revenues attributable to related parties were \$157,000 for the year ended December 31, 2006. For a discussion of our related parties, see note 12 to our consolidated financial statements and related notes, which are included elsewhere in this Annual Report on Form 10-K.
 - (2) Includes compensation and benefits expenses and professional services expenses.

We earn terminal and license fee revenues that we receive from data vendors through the distribution of real-time and historical futures prices and other futures market data derived from trading in our futures markets. We also earn subscription fee revenues from OTC daily indices, view only access to the OTC markets and OTC and futures end of day reports. In addition, we manage the market price validation curves whereby participant companies subscribe to receive consensus market valuations.

Intersegment Fees

Our OTC business segment provides and supports the platform for electronic trading in our futures business segment. Intersegment fees include charges for developing, operating, managing and supporting the platform for electronic trading in our futures business segment. Our futures business segment and our OTC business segment provide access to trading volumes to our market data business segment. Our market data business segment provides marketing and other promotional services to our OTC business segment. We determine the intercompany or intersegment fees to be paid by the business segments based on transfer pricing standards and independent documentation. These intersegment fees have no impact on our consolidated operating results. We expect the structure of these intersegment fees to remain unchanged and expect that they will continue to have no impact on our consolidated operating results.

Year Ended December 31, 2008 Compared to Year Ended December 31, 2007

Overview

Consolidated net income increased \$60.4 million, or 25.1%, to \$301.0 million for the year ended December 31, 2008 from \$240.6 million for the comparable period in 2007. Net income from our futures business segment increased \$30.3 million, or 24.1%, to \$156.3 million for the year ended December 31, 2008 from \$126.0 million for the comparable period in 2007, primarily due to higher transaction fee revenues, partially offset by a gain on disposal of an asset of \$9.3 million incurred during the year ended December 31, 2007. Net income from our OTC business segment increased \$13.7 million, or 17.3%, to \$92.9 million for the year ended December 31, 2008 from \$79.2 million for the comparable period in 2007, primarily due to higher transaction fee revenues and \$11.1 million in CBOT merger-related transaction costs incurred during the year ended December 31, 2007, partially offset by the \$15.7 million NCDEX impairment loss recognized during the year ended December 31, 2008. Net income from our market data business segment increased \$16.4 million, or 46.2%, to \$51.8 million for the year ended December 31, 2008 from \$35.4 million for the comparable period in 2007, primarily due to increased market data fees relating to our global OTC markets. Consolidated operating income, as a percentage of consolidated revenues, was 60.7% for the year ended December 31, 2008 compared to 61.6% for the comparable period in 2007. Consolidated net income, as a percentage of consolidated revenues, was 37.0% for the year ended December 31, 2008 compared to 41.9% for the comparable period in 2007.

Our consolidated revenues increased \$238.8 million, or 41.6%, to \$813.1 million for the year ended December 31, 2008 from \$574.3 million for the comparable period in 2007. This increase is primarily attributable to increased trading volumes in our futures and OTC energy markets, \$52.1 million of revenue derived from execution and processing services provided by Creditex following our acquisition on August 29, 2008 and increased market data revenues.

Consolidated operating expenses increased \$98.8 million, or 44.8%, to \$319.5 million for the year ended December 31, 2008 from \$220.7 million for the comparable period in 2007. This increase is primarily attributable to \$42.6 million of expenses relating to Creditex's business following our acquisition on August 29, 2008, additional depreciation and amortization expenses recorded on fixed asset additions and intangible assets associated with our acquisitions, including \$8.4 million related to Creditex, professional services expenses

incurred relating to the establishment of and transition activities for ICE Clear Europe and higher compensation expenses incurred during the year ended December 31, 2008 due primarily to higher non-cash compensation expenses and severance costs associated with the ICE Futures U.S. floor closure. These increased costs were partially offset by \$11.1 million in CBOT merger-related transactions costs incurred during the year ended December 31, 2007.

Revenues

Transaction and Clearing Fees

Consolidated transaction and clearing fees increased \$202.9 million, or 41.4%, to \$693.2 million for the year ended December 31, 2008 from \$490.4 million for the comparable period in 2007. Transaction and clearing fees, as a percentage of consolidated revenues, were 85.3% for the year ended December 31, 2008 compared to 85.4% for the comparable period in 2007.

Transaction and clearing fees generated in our futures business segment increased \$72.9 million, or 26.2%, to \$351.5 million for the year ended December 31, 2008 from \$278.6 million for the comparable period in 2007, while decreasing as a percentage of consolidated revenues to 43.2% for the year ended December 31, 2008 from 48.5% for the comparable period in 2007. The increase in transaction and clearing fees in this segment was primarily due to a 23.7% increase in our futures contract volumes, which was primarily attributable to increased liquidity brought by new market participants and price volatility. Volumes in our futures segment increased to 237.2 million contracts during the year ended December 31, 2008 from 191.8 million contracts during the comparable period in 2007. The increase in transaction and clearing fees also reflects clearing fees received for contracts traded and cleared on ICE Futures Europe following the November 2008 launch of ICE Clear Europe and greater relative volume growth for contracts traded on our ICE Futures U.S. exchange, which earn a higher transaction fee or rate per contract. The increase was offset by higher market maker rebates paid during 2008 compared to 2007. Average transaction and clearing fees per trading day increased 22.1% to \$1.4 million per trading day for the year ended December 31, 2008 from \$1.1 million per trading day for the comparable period in 2007.

Transaction and clearing fees generated in our OTC business segment increased \$130.0 million, or 61.4%, to \$341.7 million for the year ended December 31, 2008 from \$211.8 million for the comparable period in 2007, primarily due to increased trading volumes. Increased trading volumes were primarily due to increased hedging, new customers, price volatility, strategic partnerships with Platts and NGX as well as the acquisitions of ChemConnect, Inc., Chatham Energy Partners, LLC and Creditex on July 9, 2007, October 1, 2007 and August 29, 2008, respectively. The increase in transaction and clearing fees also reflects clearing fees received for cleared OTC contracts following the November 2008 launch of ICE Clear Europe. Transaction and clearing fees generated by trading in North American natural gas contracts increased \$58.9 million, or 37.9%, to \$214.4 million for year ended December 31, 2008 from \$155.5 million for the comparable period in 2007. In addition, transaction and clearing fees generated by trading in North American power contracts increased \$17.1 million, or 39.3%, to \$60.4 million for the year ended December 31, 2008 from \$43.3 million for the comparable period in 2007. We recognized Creditex transaction fees of \$52.1 million for the year ended December 31, 2008 following our acquisition on August 29, 2008. Transaction and clearing fees in this segment, as a percentage of consolidated revenues, increased to 42.0% for the year ended December 31, 2008 from 36.9% for the comparable period in 2007. The number of transactions or trades executed in our OTC energy business segment increased by 35.1% to 7.9 million trades for the year ended December 31, 2008 from 5.9 million trades for the comparable period in 2007. Average transaction and clearing fees per trading day for our OTC business segment increased 56.5% to \$1.3 million per trading day for the year ended December 31, 2008 from \$845,000 per trading day for the comparable period in 2007.

Revenues derived from electronic trade confirmation fees in our OTC business segment increased \$863,000, or 14.4%, to \$6.9 million for the year ended December 31, 2008 from \$6.0 million for the comparable period in 2007. Consolidated electronic trade confirmation fees, as a percentage of consolidated revenues, were 0.8% for the year ended December 31, 2008 compared to 1.0% for the comparable period in 2007.

Market Data Fees

Consolidated market data fees increased \$32.5 million, or 46.2%, to \$102.9 million for the year ended December 31, 2008 from \$70.4 million for the comparable period in 2007. This increase was primarily due to increased data access fees generated in our OTC market and increased terminal fees and license fees that we receive from data vendors in exchange for the provision of real-time price information generated by our futures markets. During the years ended December 31, 2008 and 2007, we recognized \$49.7 million and \$28.9 million, respectively, in data access fees and terminal fees in our energy futures and OTC businesses. The increase in the data access fees was due to both an increase in the fees charged for data access, which came into effect October 1, 2007, and an increase in the number of customers. During the years ended December 31, 2008 and 2007, we recognized \$19.7 million and \$13.5 million, respectively, in terminal and license fees from data vendors in our energy futures business. The increase in the market data fees received from data vendors in our futures segment was due to both an increase in the average charge per terminal and an increase in the number of terminals. Consolidated market data fees, as a percentage of consolidated revenues, were 12.7% for the year ended December 31, 2008 compared to 12.3% for the comparable period in 2007.

Other Revenues

Consolidated other revenues increased \$3.4 million to \$16.9 million for the year ended December 31, 2008 from \$13.5 million for the comparable period in 2007. Consolidated other revenues, as a percentage of consolidated revenues, were 2.1% for the year ended December 31, 2008 compared to 2.4% for the comparable period in 2007.

Expenses*Compensation and Benefits*

Consolidated compensation and benefits expenses increased \$58.4 million, or 57.6%, to \$159.8 million for the year ended December 31, 2008 from \$101.4 million for the comparable period in 2007. This increase includes \$34.9 million in Creditex compensation and benefits expenses recognized during the period ended December 31, 2008 following the closing of the acquisition on August 29, 2008, in addition to a \$12.8 million increase in non-cash compensation expenses and \$1.7 million of severance costs associated with the closure of our futures open-outcry trading floors in New York and Dublin. The increase was also due to higher bonus accruals that are tied to some portion of our OTC revenue performance and due to the addition of more highly skilled and compensated employees, primarily relating to acquisitions and expansion of our technology staff. The non-cash compensation expenses recognized in our consolidated financial statements for our stock options and restricted stock were \$36.4 million for the year ended December 31, 2008 as compared to \$23.6 million for the comparable period in 2007. This increase was primarily due to non-cash compensation costs recognized for the performance-based restricted stock that was granted in December 2006 and December 2007 and the \$4.3 million in non-cash compensation costs related to the Creditex stock awards we assumed in connection with the acquisition. For a discussion of our performance-based restricted shares, see note 10 to our consolidated financial statements and related notes included elsewhere in this Annual Report on Form 10-K. Our employee headcount increased from 506 employees as of December 31, 2007 to 528 employees as of December 31, 2008, excluding the employees acquired as a result of our 2008 acquisitions. We had 267 additional employees as of December 31, 2008 relating to our acquisitions of Creditex and YellowJacket in 2008.

We expect that our compensation and benefits expenses will vary from year to year as a percentage of total revenues due to additional employees associated with the growth of our business, variable performance bonuses and non-cash compensation expenses recognized in accordance with SFAS No. 123(R). Over the next year, we expect compensation and benefits expenses to increase from current levels. Consolidated compensation and benefits expenses, as a percentage of consolidated revenues, were 19.7% for year ended December 31, 2008 compared to 17.7% for the comparable period in 2007.

Professional Services

Consolidated professional services expenses increased \$6.7 million, or 28.9%, to \$29.7 million for the year ended December 31, 2008 from \$23.0 million for the comparable period in 2007. This increase was primarily due to \$7.6 million in professional services expenses incurred during the year ended December 31,

2008 relating to the formation of ICE Clear Europe compared to \$3.5 million incurred during the year ended December 31, 2007. We expect our professional services expenses to remain relatively constant in future periods. Consolidated professional services expenses, as a percentage of consolidated revenues, were 3.7% for the year ended December 31, 2008 compared to 4.0% for the comparable period in 2007.

Patent Royalty

Patent royalty expenses were \$1.7 million for the year ended December 31, 2007. Consolidated patent royalty expenses, as a percentage of consolidated revenues, were 0.3% for the year ended December 31, 2007. The patent licensing agreement terminated on February 20, 2007 and there were no patent royalty expenses after this date.

CBOT Merger-Related Transaction Costs

CBOT merger-related transaction costs were \$11.1 million for the year ended December 31, 2007. Consolidated CBOT merger-related transaction costs, as a percentage of consolidated revenues, were 1.9% for the year ended December 31, 2007. We did not incur any CBOT merger-related transaction costs during the year ended December 31, 2008.

Selling, General and Administrative

Consolidated selling, general and administrative expenses increased \$17.0 million, or 33.6%, to \$67.8 million for the year ended December 31, 2008 from \$50.8 million for the comparable period in 2007. This increase was primarily due to increased technology hosting expenses, hardware and software support, marketing expenses and rent expense that resulted from the growth of our business and due to \$6.0 million of Creditex selling, general and administrative expenses following the closing of the acquisition on August 29, 2008. We expect our selling, general and administrative expenses to increase in absolute terms in future periods in connection with the growth of our business. Consolidated selling, general and administrative expenses, as a percentage of consolidated revenues, were 8.3% for the year ended December 31, 2008 compared to 8.8% for the comparable period in 2007.

Depreciation and Amortization

Consolidated depreciation and amortization expenses increased \$29.5 million, or 90.4%, to \$62.2 million for the year ended December 31, 2008 from \$32.7 million for the comparable period in 2007. This increase was primarily due to additional depreciation expenses recorded on fixed asset additions incurred throughout 2007 and 2008 and due to additional amortization expenses recorded on the intangible assets associated with our acquisitions and strategic partnerships in 2007 and 2008. We recorded amortization expenses on the acquired intangible assets of \$29.8 million and \$9.4 million during the years ended December 31, 2008 and 2007, respectively. We anticipate that depreciation and amortization expenses will increase in future periods due to the amortization of acquired intangible assets and the increase in our capital expenditures in 2008 and in the foreseeable future. Consolidated depreciation and amortization expenses, as a percentage of consolidated revenues, were 7.7% for the year ended December 31, 2008 compared to 5.7% for the comparable period in 2007.

Other Income (Expense)

Consolidated other income (expense) decreased from other income of \$4.9 million for the year ended December 31, 2007 to other expense of (\$20.0 million) for the year ended December 31, 2008. This decrease primarily related to a \$15.7 million impairment loss on the NCDEX cost method investment during the year ended December 31, 2008, a \$9.3 million gain recognized on the sale of our former open-outcry disaster recover site in London during the year ended December 31, 2007 and additional interest expense incurred during the year ended December 31, 2008 on our borrowing of \$195.0 million in September 2008 under our revolving credit facility. This was partially offset by \$3.1 million in foreign currency transaction gains recognized during the year ended December 31, 2008 related to the settlement of foreign currency assets,

liabilities and payables that occur through our foreign operations which are received in non-functional currencies due to the increase or decrease in the period-end foreign currency exchange rates between periods.

Income Taxes

Consolidated tax expense increased \$54.7 million to \$172.5 million for the year ended December 31, 2008 from \$117.8 million for the comparable period in 2007, primarily due to the increase in our pre-tax income and an increase in our effective tax rate. Our effective tax rate increased to 36.4% for the year ended December 31, 2008 from 32.9% for the comparable period in 2007. The effective tax rate for the year ended December 31, 2008 is higher than the federal statutory rate primarily due to state taxes and non-deductible expenses, which were partially offset by favorable foreign income tax rates, tax exempt interest income and tax credits. The effective tax rate for the year ended December 31, 2007 is lower than the federal statutory rate primarily due to the decision in the second quarter of 2007 to indefinitely reinvest the earnings of our foreign subsidiaries, thus eliminating the need to record U.S. taxes on these earnings. The effective tax rate for the year ended December 31, 2008 is higher than the effective tax rate for the year ended December 31, 2007 primarily due to an increase in the percentage of income taxable in the United States at higher statutory tax rates in 2008 and the tax benefit recognized in the first six months of 2007 upon adoption of the indefinite reinvestment exception of APB Opinion No. 23, *Accounting for Income Taxes-Special Areas*.

Year Ended December 31, 2007 Compared to Year Ended December 31, 2006

Overview

Consolidated net income increased \$97.3 million, or 67.9%, to \$240.6 million for the year ended December 31, 2007 from \$143.3 million for the comparable period in 2006. Net income from our futures business segment increased \$73.9 million, or 141.6%, to \$126.0 million for the year ended December 31, 2007 from \$52.2 million for the comparable period in 2006, primarily due to higher transaction fee revenues, which benefited from our acquisition of ICE Futures U.S. and ICE Futures Canada in 2007. Net income from our OTC business segment increased \$1.7 million, or 2.2%, to \$79.2 million for the year ended December 31, 2007 from \$77.5 million for the comparable period in 2006. Net income in our OTC business segment increased primarily due to higher transaction fee revenues, offset by \$11.1 million in CBOT merger-related transaction costs incurred during the year ended December 31, 2007 and \$15.7 million in interest expense incurred during the year ended December 31, 2007. Net income from our market data business segment increased \$21.8 million, or 160.0%, to \$35.4 million for the year ended December 31, 2007 from \$13.6 million for the comparable period in 2006. Net income in our market data business segment increased primarily due to increased market data sales in our futures business. Consolidated operating income, as a percentage of consolidated revenues, was 61.6% for the year ended December 31, 2007 compared to 65.2% for the comparable period in 2006. Consolidated net income, as a percentage of consolidated revenues, was 41.9% for the year ended December 31, 2007 compared to 45.7% for the comparable period in 2006.

Our consolidated revenues increased \$260.5 million, or 83.0%, to \$574.3 million for the year ended December 31, 2007 from \$313.8 million for the comparable period in 2006. This increase is primarily attributable to increased trading volumes on our electronic trading platform, revenues derived from ICE Futures U.S. and ICE Futures Canada following their acquisition, and increased non-transaction revenues, primarily market data fees. A significant factor driving our revenues and volume growth during this period was the continued growth in trading volume of our energy futures and cleared OTC contracts as a result of increasing participation in these markets and demand to risk management within the energy sector.

Consolidated operating expenses increased \$111.6 million, or 102.2%, to \$220.7 million for the year ended December 31, 2007 from \$109.2 million for the comparable period in 2006. This increase is primarily attributable to \$55.7 million in ICE Futures U.S. operating expenses during the year ended December 31, 2007, amortization expenses on the ICE Futures U.S. intangibles of \$8.2 million during year ended December 31, 2007, \$11.1 million in CBOT merger-related transaction costs being incurred during the year ended December 31, 2007, and higher compensation expenses during the year ended December 31, 2007 due to non-cash compensation expenses recognized under SFAS No. 123(R) and an increase in our employee headcount.

Revenues*Transaction and Clearing Fees*

Consolidated transaction and clearing fees increased \$216.7 million, or 79.2%, to \$490.4 million for the year ended December 31, 2007 from \$273.6 million for the comparable period in 2006. Transaction and clearing fees, as a percentage of consolidated revenues, were 85.4% for the year ended December 31, 2007 compared to 87.2% for the comparable period in 2006.

Transaction and clearing fees generated in our futures business segment increased \$155.2 million, or 125.7%, to \$278.6 million for the year ended December 31, 2007 from \$123.4 million for the comparable period in 2006, while increasing as a percentage of consolidated revenues to 48.5% for the year ended December 31, 2007 from 39.3% for the comparable period in 2006. The increase in transaction and clearing fees was primarily due to our acquisitions of ICE Futures U.S. and ICE Futures Canada on January 12, 2007 and August 27, 2007, respectively, an increase in our energy futures contract volumes and a transaction fee increase effective July 1, 2007 for ICE Futures Europe, partially offset by an increase in the transaction fee rebates for certain futures contracts. Futures contract volumes increased for ICE Futures Europe primarily due to increased liquidity brought by new market participants due to electronic trading and increased trading of the ICE WTI Crude futures contract, which was launched in February 2006. Volumes at ICE Futures Europe increased 49.3% to 138.5 million contracts traded during the year ended December 31, 2007 from 92.7 million contracts traded during the comparable period in 2006. ICE Futures U.S. adjusted its exchange fee rates effective August 1, 2007, including adding a surcharge on certain electronic trading products. Average transaction and clearing fees per trading day for our futures business segment increased 132.7% to \$1.1 million per trading day for the year ended December 31, 2007 from \$482,000 per trading day for the comparable period in 2006.

Transaction fees generated in our OTC business segment increased \$61.6 million, or 41.0%, to \$211.8 million for the year ended December 31, 2007 from \$150.2 million for the comparable period in 2006, primarily due to increased trading volumes. Transaction fees in this segment, as a percentage of consolidated revenues, decreased to 36.9% for the year ended December 31, 2007 from 47.9% for the comparable period in 2006. The decline in the percentage of consolidated revenues is due to the inclusion of the ICE Futures U.S. and ICE Futures Canada revenues in 2007 after their acquisitions. The number of transactions or trades executed in our OTC business segment increased by 55.8% to 5.9 million trades for the year ended December 31, 2007 from 3.8 million trades for the comparable period in 2006. Average transaction fees per trading day for our OTC business segment increased 43.5% to \$845,000 per trading day for the year ended December 31, 2007 from \$589,000 per trading day for the comparable period in 2006.

Increased volumes in our OTC business segment were primarily due to increased trading activity in North American natural gas and power markets as a result of the availability of cleared OTC contracts, as well as increased liquidity brought by new market participants and increased volatility relating to geopolitical events, real and perceived supply and demand imbalances and weather. Transaction fees generated by trading in North American natural gas contracts increased \$38.2 million, or 32.6%, to \$155.5 million for year ended December 31, 2007 from \$117.3 million for the comparable period in 2006. In addition, transaction fees generated by trading in North American power contracts increased \$16.1 million, or 59.2%, to \$43.3 million for the year ended December 31, 2007 from \$27.2 million for the comparable period in 2006. The continued growth in trading volumes in OTC contracts can be attributed in part to the continued introduction and use of cleared OTC contracts, which eliminates the need for a counterparty to post capital against each trade and also reduces requirements for entering into multiple negotiated bilateral settlement agreements to enable trading with other counterparties.

Revenues derived from electronic trade confirmation fees in our OTC business segment increased \$2.5 million, or 71.3%, to \$6.0 million for the year ended December 31, 2007 from \$3.5 million for the comparable period in 2006. Consolidated electronic trade confirmation fees, as a percentage of consolidated revenues, were 1.0% for the year ended December 31, 2007 compared to 1.1% for the comparable period in 2006.

Market Data Fees

Consolidated market data fees increased \$36.2 million, or 105.6%, to \$70.4 million for the year ended December 31, 2007 from \$34.2 million for the comparable period in 2006. This increase was primarily due to the

new terminal fees and license fees that we receive from data vendors derived from ICE Futures U.S. following our acquisition, increased data access fees in our OTC markets and increased terminal fees and license fees that we receive from data vendors in exchange for the provision of real-time price information generated from ICE Futures Europe. During the year ended December 31, 2007 and 2006, we recognized \$28.9 million and \$17.6 million, respectively, in data access fees and terminal fees in our energy futures and OTC businesses. During the year ended December 31, 2007 and 2006, we recognized \$13.5 million and \$11.5 million, respectively, in terminal and license fees from data vendors in our energy futures business. The increase in the market data fees received from data vendors in our energy futures business was due to both an increase in the average fee per terminal and an increase in the number of terminals. We recognized \$20.9 million in terminal and license fees from data vendors of ICE Futures U.S. during the year ended December 31, 2007. ICE Futures U.S. adjusted its market data rates effective June 1, 2007. Consolidated market data fees, as a percentage of consolidated revenues, were 12.3% for the year ended December 31, 2007 compared to 10.9% for the comparable period in 2006.

Other Revenues

Consolidated other revenues increased \$7.6 million to \$13.5 million for the year ended December 31, 2007 from \$5.9 million for the comparable period in 2006. This increase was primarily due to trade registration system fees of \$2.0 million recognized during the year ended December 31, 2007 and \$6.0 million in other revenues relating to ICE Futures U.S. Other revenues for ICE Futures U.S. include certification fees, grading fees, booth fees and broker telephone billing fees. Consolidated other revenues, as a percentage of consolidated revenues, were 2.4% for the year ended December 31, 2007 compared to 1.9% for the comparable period in 2006.

Expenses

Compensation and Benefits

Consolidated compensation and benefits expenses increased \$51.6 million, or 103.8%, to \$101.4 million for the year ended December 31, 2007 from \$49.8 million for the comparable period in 2006. This increase was primarily due to the inclusion of \$25.9 million in compensation and benefits expenses relating to ICE Futures U.S. in our consolidated results for the year ended December 31, 2007, an increase in non-cash compensation expenses and an increase in our employee headcount. The non-cash compensation expenses recognized in our consolidated financial statements for our stock options and restricted stock were \$23.6 million for the year ended December 31, 2007 as compared to \$8.8 million for the comparable period in 2006. This increase was primarily due to non-cash compensation costs recognized for the performance-based restricted stock that was granted in December 2006. Our employee headcount increased from 226 employees as of December 31, 2006 to 277 employees as of December 31, 2007 (excluding the employees acquired as a result of our acquisitions). ICE Futures U.S. employee headcount decreased from 282 employees as of January 12, 2007, the acquisition date, to 198 employees as of December 31, 2007. We had an additional 31 employees as of December 31, 2007 relating to the other four acquisitions. Consolidated compensation and benefits expenses, as a percentage of consolidated revenues, were 17.7% for year ended December 31, 2007 compared to 15.9% for the comparable period in 2006.

Professional Services

Consolidated professional services expenses increased \$11.7 million, or 102.3%, to \$23.0 million for the year ended December 31, 2007 from \$11.4 million for the comparable period in 2006. This increase was primarily due to the inclusion of \$6.0 million in ICE Futures U.S. professional services expenses in our consolidated results for the year ended December 31, 2007 and \$3.5 million in professional services expenses incurred relating to the establishment of ICE Clear Europe. Consolidated professional services expenses, as a percentage of consolidated revenues, were 4.0% for the year ended December 31, 2007 compared to 3.6% for the comparable period in 2006.

Patent Royalty

Patent royalty expenses decreased \$7.3 million to \$1.7 million for the year ended December 31, 2007 from \$9.0 million for the comparable period in 2006. Consolidated patent royalty expenses, as a percentage of consolidated revenues, were 0.3% for the year ended December 31, 2007 versus 2.9% for the comparable

period in 2006. The patent licensing agreement terminated on February 20, 2007 and there were no patent royalty expenses after this date.

CBOT Merger-Related Transaction Costs

CBOT merger-related transaction costs were \$11.1 million for the year ended December 31, 2007. Consolidated CBOT merger-related transaction costs, as a percentage of consolidated revenues, were 1.9% for the year ended December 31, 2007. We did not incur any CBOT merger-related transaction costs during the year ended December 31, 2006.

Selling, General and Administrative

Consolidated selling, general and administrative expenses increased \$25.5 million, or 100.9%, to \$50.8 million for the year ended December 31, 2007 from \$25.3 million for the comparable period in 2006. This increase was primarily due to \$19.1 million of selling, general and administrative expenses related to the business of ICE Futures U.S. and increased costs of hosting expenses, hardware and software support, marketing expenses and rent expense that resulted from the growth of our business. We have begun to relocate our technology operations and our support systems, including our primary data center and our disaster recovery site, to Chicago. Our disaster recovery site was relocated from London to Chicago in June 2007. The primary data center migrated from Atlanta to Chicago in January 2008. Therefore, we have incurred some redundant costs at our technology facilities in Atlanta, London and Chicago during this transition period. Consolidated selling, general and administrative expenses, as a percentage of consolidated revenues, were 8.8% for the year ended December 31, 2007 compared to 8.1% for the comparable period in 2006.

Depreciation and Amortization

Consolidated depreciation and amortization expenses increased \$19.0 million, or 138.5%, to \$32.7 million for the year ended December 31, 2007 from \$13.7 million for the comparable period in 2006. This increase was primarily due to the amortization on the acquired ICE Futures U.S. intangibles of \$8.2 million for the year ended December 31, 2007, the depreciation on the \$43.3 million in fixed asset additions incurred during the year ended December 31, 2007 and the inclusion of \$4.5 million in ICE Futures U.S. depreciation expenses in our consolidated results for the year ended December 31, 2007. Consolidated depreciation and amortization expenses, as a percentage of consolidated revenues, were 5.7% for the year ended December 31, 2007 compared to 4.4% for the comparable period in 2006.

Other Income (Expense)

Consolidated other income decreased \$3.0 million to \$4.9 million for the year ended December 31, 2007 from \$7.9 million for the comparable period in 2006. This decrease primarily related to the increase in interest expense, partially offset by the gain recognized on the sale of an asset and an increase in interest income. Interest expense increased \$18.4 million to \$18.6 million for the year ended December 31, 2007 from \$231,000 for the comparable period in 2006 primarily due to \$15.1 million in interest expense and amortization associated with our \$500.0 million credit facility and interest expense of \$3.1 million relating to the Russell License. We recognized a gain of \$9.3 million during the year ended December 31, 2007 on the sale of our former disaster recovery site used for our former open-outcry physical trading floor in London. Interest income increased \$3.3 million to \$11.9 million for the year ended December 31, 2007 from \$8.6 million for the comparable period in 2006 primarily due to an increase in our cash balances from the net cash provided by operations.

Income Taxes

Consolidated tax expense increased \$48.5 million to \$117.8 million for the year ended December 31, 2007 from \$69.3 million for the comparable period in 2006, primarily due to the increase in our pre-tax income. Our effective tax rate increased to 32.9% for the year ended December 31, 2007 from 32.6% for the comparable period in 2006, primarily due to higher New York State and City tax rates associated with the operations of ICE Futures U.S., which were partially offset by a decrease in the amount of U.S. taxes accrued on foreign earnings and an increase in tax credits generated.

Quarterly Results of Operations

The following table sets forth quarterly unaudited condensed consolidated statements of income for the periods presented. We believe that this data has been prepared on substantially the same basis as our audited consolidated financial statements and includes all adjustments, consisting only of normal recurring adjustments, necessary for the fair presentation of our consolidated results of operations for the quarters presented. This unaudited condensed consolidated quarterly data should be read together with our consolidated financial statements and related notes included elsewhere in this Annual Report on Form 10-K. The historical results for any quarter do not necessarily indicate the results expected for any future period.

	Three Months Ended,							
	December 31, 2008(1)	September 30, 2008(2)	June 30, 2008	March 31, 2008	December 31, 2007	September 30, 2007	June 30, 2007(3)	March 31, 2007(4)
(In thousands)								
Revenues:								
Transaction fees, net:								
Futures:								
ICE Brent Crude futures	\$ 24,470	\$ 21,583	\$ 23,809	\$ 23,109	\$ 21,320	\$ 22,071	\$ 21,796	\$ 22,121
ICE WTI Crude futures	11,352	10,837	12,722	13,030	12,592	12,791	11,889	12,670
ICE Gas Oil futures	11,440	10,740	9,532	10,929	10,599	10,051	7,911	8,329
Sugar futures and options	11,864	17,345	21,491	26,248	12,160	12,829	14,823	8,835
Cotton futures and options	3,595	3,998	6,281	9,297	4,992	4,920	5,032	2,976
Russell index futures and options	9,023	4,269	126	122	181	149	110	102
Other futures products and options	13,947	12,563	13,129	14,650	10,556	10,522	9,224	7,042
OTC:								
North American natural gas	40,090	55,171	59,076	60,066	43,410	41,665	34,275	36,183
North American power	14,177	14,364	16,157	15,702	12,627	12,212	9,713	8,797
Credit derivative swaps	35,537	16,561	—	—	—	—	—	—
Other commodities markets	1,570	1,758	2,300	2,326	2,393	2,199	1,237	1,044
Electronic trade confirmation services	1,093	1,786	2,041	1,953	1,725	1,681	1,362	1,242
Market data fees	26,960	25,771	25,493	24,720	23,306	17,225	15,846	14,019
Other	2,142	4,698	5,003	5,062	3,435	3,420	3,436	3,248
Total revenues	207,260	201,444	197,160	207,214	159,296	151,735	136,654	126,608
Operating expenses:								
Compensation and benefits	57,004	41,186	30,923	30,679	34,913	23,009	21,717	21,758
Professional services	6,716	9,089	6,928	6,972	4,820	6,650	6,714	4,863
Patent royalty	—	—	—	—	—	—	—	1,705
CBOT merger-related transaction costs(3)	—	—	—	—	33	144	10,944	—
Selling, general and administrative	20,157	17,626	15,680	14,337	13,457	12,170	13,002	12,130
Depreciation and amortization	26,056	14,401	10,844	10,946	9,546	8,898	7,748	6,509
Total operating expenses	109,933	82,302	64,375	62,934	62,769	50,871	60,125	46,965
Operating income	97,327	119,142	132,785	144,280	96,527	100,864	76,529	79,643
Other income (expense), net(4)(1)	(16,171)	(860)	(1,146)	(1,861)	(438)	(1,590)	(1,322)	8,221
Income tax expense	32,301	43,319	46,775	50,129	31,437	32,593	21,514	32,278
Net income(1)	\$ 48,855	\$ 74,963	\$ 84,864	\$ 92,290	\$ 64,652	\$ 66,681	\$ 53,693	\$ 55,586

(1) The financial results for the three months ended December 31, 2008 include an impairment loss on the NCDEX cost method investment of \$15.7 million, which was recorded as other expense. For additional information, refer to note 6 to our consolidated financial statements and related notes, which are included

elsewhere in this Annual Report on Form 10-K. Excluding this charge, net of taxes, our consolidated net income for the three months ended December 31, 2008 would have been \$60.1 million. See also “— Non-GAAP Financial Measures” below.

- (2) The financial results for the three months ended September, 2008 include the results of Creditex for the period from September 1, 2008 to September 30, 2008, following the acquisition of Creditex on August 29, 2008.
- (3) The financial results for the three months ended June 30, 2007 include \$10.9 million in CBOT merger-related transaction costs, or \$7.1 million after tax.
- (4) The financial results for the three months ended March 31, 2007 include the results of ICE Futures U.S. for the period from January 13, 2007 to March 31, 2007 and also include a gain of \$9.3 million, or \$5.8 million after tax, relating to the sale our former open-outcry disaster recovery site in London.

Liquidity and Capital Resources

Since our inception, we have financed our operations, growth and cash needs primarily through income from operations and borrowings under our credit facilities. Our principal capital requirements have been to fund capital expenditures, working capital, strategic acquisitions and investments, and the development of our electronic trading platforms. We financed the cash portion of our merger with ICE Futures U.S. in 2007 with cash on hand and borrowings under a senior unsecured credit facility discussed below. We financed the other acquisitions we made in 2007 and 2008 with a combination of stock and cash on hand. We financed the stock repurchases under the stock repurchase plan during the year ended December 31, 2008 with cash on hand and borrowings under the senior unsecured credit facility. We believe that cash on hand and cash flows from operations will be sufficient to repay our outstanding indebtedness as it matures. In the future, we may need to incur additional debt or issue additional equity in connection with our strategic acquisitions or investments. See also “— Future Capital Requirements” below.

Cash and Cash Equivalents, Short-Term and Long-Term Investments and Short-Term and Long-Term Restricted Cash

We had consolidated cash and cash equivalents of \$283.5 million and \$119.6 million as of December 31, 2008 and 2007, respectively. We had \$6.5 million and \$141.0 million in short-term and long-term investments as of December 31, 2008 and 2007, respectively, and \$136.5 million and \$22.6 million in short-term and long-term restricted cash as of December 31, 2008 and 2007, respectively. We consider all short-term, highly liquid investments with remaining maturity dates of three months or less at the time of purchase to be cash equivalents. We classify all investments with original maturity dates in excess of three months and with maturities less than one year as short-term investments. We classify all investments that we intend to hold for more than one year as long-term investments. We classify all cash that is not available for general use, either due to FSA requirements or through restrictions in specific agreements, as restricted cash. For a discussion of the increase in the restricted cash balances and a decrease in our investments balances, refer to notes 4 and 5 to our consolidated financial statements and related notes included elsewhere in this Annual Report on Form 10-K.

We invest a portion of our cash in excess of short-term operating needs in investment-grade marketable debt securities, foreign and domestic government securities, equity securities and municipal bonds through a third party asset management company. We classify these investments as available-for-sale in accordance with SFAS 115, *Accounting for Certain Investments in Debt and Equity Securities*. Available-for-sale investments are carried at their fair values with unrealized gains and losses, net of deferred income taxes, reported as a component of accumulated other comprehensive income. Realized gains and losses, and declines in value deemed to be other-than-temporary on available-for-sale investments, are recognized currently in earnings. We do not have any investments classified as held-to-maturity or trading.

We have entered into an agreement with a third party asset management company to manage our cash over a predetermined operating cash threshold for an agreed upon fee. The agreement specifies our investment objectives, as well as guidelines for and restrictions on investments. The investment objectives are to preserve

principal value, invest in high-quality investment grade securities, to maintain adequate liquidity to meet account demands and to maximize income. The investments guidelines limit the types of investments that the third party asset management company can enter into based on pre-approved guidelines relating to types of securities, amount of investments and maturity.

Cash Flow

The following tables present, for the periods indicated, the major components of net increases (decreases) in cash and cash equivalents:

	Year Ended December 31,		
	2008	2007	2006
	(In thousands)		
Net cash provided by (used in):			
Operating activities	\$ 375,112	\$ 287,781	\$150,689
Investing activities	(69,746)	(637,388)	(27,628)
Financing activities	(141,119)	264,759	58,339
Effect of exchange rate changes	(322)	188	2,855
Net increase (decrease) in cash and cash equivalents	<u>\$ 163,925</u>	<u>\$ (84,660)</u>	<u>\$184,255</u>

Operating Activities

Consolidated net cash provided by operating activities was \$375.1 million, \$287.8 million and \$150.7 million for the years ended December 31, 2008, 2007 and 2006, respectively. Net cash provided by operating activities primarily consists of net income adjusted for certain non-cash items, including depreciation and amortization and the effects of changes in working capital. Fluctuations in net cash provided by operating activities are primarily attributable to increases and decreases in our net income between periods and, to a lesser extent, due to fluctuations in working capital. The \$87.3 million increase in net cash provided by operating activities for the year ended December 31, 2008 from the comparable period in 2007 is primarily due to the \$30.3 million increase in the futures business segment's net income, the \$16.4 million increase in the market data business segment's net income and the \$13.7 million increase in the OTC business segment's net income for the year ended December 31, 2008 from the comparable period in 2007. The \$137.1 million increase in net cash provided by operating activities for the year ended December 31, 2007 from the comparable period in 2006 is primarily due to the \$21.8 million increase in the market data business segment's net income and the \$73.9 million increase in the futures business segment's net income for the year ended December 31, 2007 from the comparable period in 2006.

Investing Activities

Consolidated net cash used in investing activities was \$69.7 million, \$637.4 million and \$27.6 million for the years ended December 31, 2008, 2007 and 2006, respectively. These activities primarily relate to cash paid for acquisitions and other intangibles, sales and purchases of available-for-sale investments, changes in the restricted stock balances and capital expenditures in each period for software, including internally developed software, and for computer and network equipment. The cash paid for acquisitions, net of cash acquired, for the years ended December 31, 2008 and 2007 were \$44.6 million and \$480.1 million, respectively, and we paid \$52.7 million for the purchase of the Russell licensing agreement during the year ended December 31, 2007. We had a net decrease (increase) in investments classified as available-for-sale of \$134.4 million, (\$59.6 million) and \$36.9 million for the years ended December 31, 2008, 2007 and 2006, respectively, and a net increase in restricted cash of \$106.1 million, \$6.4 million and \$3.6 million, respectively, due to changes in the restricted cash balances between periods. The increase in the restricted cash balance during the year ended December 31, 2008 primarily relates to the \$100.0 million restricted for the ICE Clear Europe guaranty fund. We incurred capitalized software development costs of \$18.3 million, \$12.3 million and \$7.4 million for the years ended December 31, 2008, 2007 and 2006, respectively. Capital expenditures totaled \$30.5 million, \$31.0 million and \$12.4 million for the years ended December 31, 2008, 2007 and 2006,

respectively. These capital expenditures primarily relate to hardware purchases to continue the development and expansion of our electronic platforms, our new London office and physical relocation of our primary data center and disaster recovery sites in January 2008.

Financing Activities

Consolidated net cash provided by (used in) financing activities was (\$141.1 million), \$264.8 million and \$58.3 million for the years ended December 31, 2008, 2007 and 2006, respectively. Consolidated net cash used in financing activities for the year ended December 31, 2008 primarily relates to \$300.0 million used to finance stock repurchases under a \$500.0 million stock repurchase program approved by our board of directors, \$46.0 million in cash payments related to treasury shares received for restricted stock and stock option tax payments and \$37.5 million of borrowing repaid under our credit facilities, partially offset by \$195.0 million in additional borrowings under our credit facilities to finance a portion of the stock repurchases and \$44.1 million in excess tax benefits from stock-based compensation. Consolidated net cash provided by financing activities for the year ended December 31, 2007 primarily relates to the \$250.0 million in proceeds received from borrowings under the credit agreement and \$60.8 million in excess tax benefits generated from stock-based compensation, partially offset by \$25.5 million in cash payments related to treasury shares received for restricted stock and stock option tax payments as well as \$28.1 million in repayments under the credit agreement. Consolidated net cash provided by financing activities for the year ended December 31, 2006 primarily relates to the \$41.0 million excess tax benefits from stock-based compensation and \$22.0 million in proceeds from the exercise of common stock options.

Loan Agreements

We financed the cash portion of the ICE Futures U.S. acquisition with cash on hand and borrowings under a senior unsecured credit facility dated January 12, 2007, which we refer to in this report as our credit facilities. The credit facilities provide for a term loan facility in the aggregate principal amount of \$250.0 million and a revolving credit facility in the aggregate principal amount of \$250.0 million. We used the proceeds of the \$250.0 million term loan along with \$166.8 million of cash on hand to finance the \$416.8 million cash component of the ICE Futures U.S. acquisition. Under the terms of the credit facilities, we can borrow an aggregate principal amount of up to \$250.0 million under the revolving credit facility at any time until its termination on January 12, 2010. We have agreed to reserve \$50.0 million of the \$250.0 million available under the revolving credit facility for use by ICE Clear U.S. to provide short-term liquidity, if necessary, in the event of a default by a clearing member. During the three months ended September 30, 2008, we borrowed \$195.0 million of the amount available under the revolving credit facility which, combined with \$105.0 million of cash on hand, was used to make \$300.0 million in stock repurchases. For a discussion of the stock repurchase program, refer to note 10 to our consolidated financial statements and related notes included elsewhere in this Annual Report on Form 10-K. The remaining amount under the revolving credit facility, which is \$5.0 million after factoring in the \$50.0 million reserved for ICE Clear U.S., could be used by us for general corporate purposes.

As of December 31, 2008, we had outstanding borrowings under the credit facilities of \$379.4 million, representing a \$184.4 million outstanding six month LIBOR loan under the term loan facility with a stated interest rate of 2.44% per annum and a \$195.0 million six month LIBOR loan outstanding under the revolving credit facility with a stated interest rate of 3.73% per annum. For outstanding borrowings under the term loan facility, we began making payments on June 30, 2007, and will make payments quarterly thereafter until January 12, 2012, the fifth anniversary of the closing date of the acquisition of ICE Futures U.S. For outstanding borrowings under the revolving credit facility, all amounts outstanding must be repaid on January 12, 2010. The credit facilities include an unutilized revolving credit commitment that is equal to the unused maximum revolver amount multiplied by an applicable margin rate and is payable in arrears on a quarterly basis. The credit facilities require us to use 100% of the net cash proceeds raised from debt issuances or asset dispositions, with certain limited exceptions, to prepay outstanding loans under the credit facilities. With limited exceptions, we may prepay the outstanding loans under the credit facilities, in whole or in part, without premium or penalty. The credit facilities contain affirmative and negative covenants, including, but not

limited to, leverage and interest coverage ratios, as well as limitations or required approvals for acquisitions, dispositions of assets and certain investments, the incurrence of additional debt or the creation of liens and other fundamental changes to our business. We have been and are currently in compliance with all applicable covenants under the credit facilities.

On June 27, 2008, we entered into a separate senior unsecured credit agreement, or the credit agreement, which provides for a 364-day revolving credit facility in the aggregate principal amount of \$150.0 million, which may be increased to \$200.0 million under certain conditions. The credit agreement is available for operational use solely by ICE Clear Europe. No amounts are outstanding under the credit agreement as of December 31, 2008. The credit agreement contains affirmative and negative covenants, including, but not limited to, leverage and interest coverage ratios, as well as limitations or required approvals for acquisitions, dispositions of assets and certain investments, the incurrence of additional debt or the creation of liens and other fundamental changes to our business. We have been and are currently in compliance with all applicable covenants under the credit agreement.

Future Capital Requirements

Our future capital requirements will depend on many factors, including the rate of our trading volume growth, required technology initiatives, regulatory compliance costs, the timing and introduction of new products and enhancements to existing products, and the continuing market acceptance of our electronic platform. We currently expect to make aggregate capital expenditures ranging between \$30 million and \$40 million in 2009, which we believe will support the enhancement of our technology and the continued expansion of our futures, OTC and market data businesses. We believe that our cash flows from operations will be sufficient to fund our working capital needs and capital expenditure requirements at least through the end of 2010. We expect our capitalized software development costs to remain relatively consistent with our 2008 capitalized software development costs.

We currently have \$5.0 million available under our revolving credit facility which could be used by us for general corporate purposes, after factoring in the \$50.0 million reserved for ICE Clear U.S. The revolving credit facility is currently the only significant agreement or arrangement that we have with third parties to provide us with sources of liquidity and capital resources other than the revolving credit facility in the aggregate principal amount of \$150.0 million which is available for operational use solely by ICE Clear Europe. In the event that we consummate any strategic acquisitions or investments, or if we are required to raise capital for any reason, we may need to incur additional debt or issue additional equity to help raise the necessary funds. However, we cannot provide assurance that such financing will be available or that the terms of such financing will be favorable to us, particularly given prevailing economic conditions and disruptions in the credit markets.

Off-Balance Sheet Entities

We currently do not have any relationships with unconsolidated entities or financial partnerships, often referred to as structured finance or special purpose entities, which have been established for the purpose of facilitating off-balance sheet arrangements or other contractually narrow or limited purposes.

Contractual Obligations and Commercial Commitments

The following table presents, for the periods indicated, our contractual obligations (which we intend to fund from operations) and commercial commitments as of December 31, 2008:

	Payments Due by Period				
	Total	Less than 1 Year	1-3 Years (In thousands)	4-5 Years	After 5 Years
Contractual Obligations:					
Long-term debt and interest	\$397,471	\$ 57,837	\$320,743	\$18,891	\$ —
Russell licensing agreement	107,159	14,400	38,016	54,743	—
Operating and capital leases	72,125	15,737	28,649	22,238	5,501
Other liabilities	48,266	24,766	18,500	2,000	3,000
Total contractual cash obligations	<u>\$625,021</u>	<u>\$112,740</u>	<u>\$405,908</u>	<u>\$97,872</u>	<u>\$8,501</u>

We have excluded from the contractual obligations and commercial commitments table above \$12.1 billion in margin deposits and guaranty funds liabilities. Clearing members of ICE Clear Europe, ICE Clear U.S. and ICE Clear Canada are required to deposit original margin and variation margin and to make deposits to a guaranty fund. The cash deposits made to these margin accounts and to the guaranty fund are recorded in the consolidated balance sheet as current assets with offsetting current liabilities to the clearing members that deposited them. See Note 14 to our consolidation financial statements and related notes that are included elsewhere in this Annual Report on Form 10-K.

We have also excluded from the contractual obligations and commercial commitments table above \$12.6 million in uncertain tax liabilities that are expected to be reversed within the next five years. Of this amount, \$4.7 million is expected to be settled within the next year, \$7.1 million is expected to be settled in the next two to three years and \$785,000 is expected to be settled in the next four to five years. The anticipated reduction in the balance of the liability is due primarily to the anticipated expiration of the applicable statute of limitations. At this time, we are not able to determine which portion, if any, of the uncertain tax benefits will be settled by means of a cash payment so it has not been included in the table above.

Non-GAAP Financial Measures

We provide adjusted net income and adjusted earnings per common share as additional information regarding our operating results. We use these non-GAAP measures internally to evaluate our performance and in making financial and operational decisions. We believe that our presentation of these measures provides investors with greater transparency and supplemental data relating to our financial condition and results of operations. In addition, we believe the presentation of these measures is useful for period-to-period comparison of results because the NCDEX cost method impairment charge described below does not reflect historical operating performance. These measures are not in accordance with, or an alternative to, U.S. generally accepted accounting principles or GAAP, and may be different from non-GAAP measures used by other companies. Investors should not rely on any single financial measure when evaluating our business. We strongly recommend that investors review the GAAP financial measures included in this Annual Report on Form 10-K, including our consolidated financial statements and the notes thereto.

When viewed in conjunction with our GAAP results and the accompanying reconciliation, we believe adjusted net income and adjusted earnings per share provides a more complete understanding of factors affecting our business than GAAP measures alone. Our management uses adjusted net income and adjusted earnings per share to evaluate operating performance and management decisions made during the reporting period by excluding certain items that we believe have less significance on the day-to-day performance of our business. Our internal budgets are based on adjusted net income and adjusted earnings per share, and we report our adjusted net income and adjusted earnings per share to our board of directors. In addition, adjusted net income and adjusted earnings per share are among the criteria used in determining performance-based compensation. We understand that analysts and investors regularly rely on non-GAAP financial measures, such as adjusted net income and adjusted earnings per share, to assess operating performance. We use adjusted net

income and adjusted earnings per share because they more clearly highlight trends in our business that may not otherwise be apparent when relying solely on GAAP financial measures, since adjusted net income and adjusted earnings per share eliminates from our results specific financial items that have less bearing on our operating performance.

Adjusted net income for the 2008 periods below is calculated by adding net income and the NCDEX impairment charge, presented net of tax. We do not believe this item is representative of our future operating performance since the charge was not consistent with our historical operations. We believe that the NCDEX impairment charge is an unusual expense and is not representative of historical operating performance. Adjusted earnings per common share is calculated as adjusted net income divided by the weighted average common shares outstanding. These calculations exclude the NCDEX impairment charge. The following table reconciles our 2008 net income for the periods presented to adjusted net income and calculates adjusted earnings per common share.

	Consolidated		OTC Segment
	Year Ended December 31, 2008	Three Months Ended December 31, 2008	Year Ended December 31, 2008
	(In thousands, except per share amounts)		
Net income	\$ 300,972	\$ 48,855	\$ 92,879
Add: NCDEX impairment charge	15,700	15,700	15,700
Less: Income tax benefit of NCDEX impairment charge	(4,477)	(4,477)	(4,477)
Adjusted net income	\$ 312,195	\$ 60,078	\$ 104,102
Earnings per common share on net income:			
Basic	\$ 4.23	\$ 0.68	
Diluted	\$ 4.17	\$ 0.67	
Adjusted earnings per common share on adjusted net income:			
Adjusted basic	\$ 4.39	\$ 0.83	
Adjusted diluted	\$ 4.33	\$ 0.82	
Weighted average common shares outstanding:			
Basic	71,184	72,280	
Diluted	72,164	73,465	

Recently Adopted Accounting Pronouncements

In September 2006, the Financial Accounting Standards Board, or FASB, issued SFAS No. 157, *Fair Value Measurements*. SFAS No. 157 defines fair value, establishes a framework for measuring fair value and expands fair value measurement disclosures. SFAS No. 157 became effective for us beginning in fiscal year 2008. Our adoption of SFAS No. 157 did not have a material impact on our consolidated financial statements.

In February 2007, the FASB issued SFAS No. 159, *The Fair Value Option for Financial Assets and Financial Liabilities — including an Amendment of FASB Statement No. 115*, which permits entities to choose to measure certain financial assets and financial liabilities at fair value. Unrealized gains and losses on items for which the fair value option has been elected are reported in earnings. SFAS No. 159 became effective for us beginning in fiscal year 2008. Our adoption of SFAS No. 159 did not have a material impact on our consolidated financial statements.

New Accounting Pronouncements

In December 2007, the FASB issued Statement of Financial Accounting Standards (“SFAS”) No. 141 (revised 2007), *Business Combinations*, or SFAS No. 141(R). SFAS No. 141(R) will significantly change the accounting for business combinations. Under SFAS No. 141(R), an acquiring entity will be required to recognize all the assets acquired and liabilities assumed in a transaction at the acquisition-date fair value with limited exceptions. SFAS No. 141(R) will change the accounting treatment for certain specific acquisition

related items including expensing acquisition related costs as incurred, valuing non-controlling interests at fair value at the acquisition date and expensing restructuring costs associated with an acquired business. SFAS No. 141(R) also includes a substantial number of new disclosure requirements. SFAS No. 141(R) is to be applied prospectively to business combinations for which the acquisition date is on or after January 1, 2009. We expect that SFAS No. 141(R) will have an impact on our accounting for future business combinations once adopted but the extent of the impact is dependent upon the size, complexity and number of acquisitions that are made in the future. In addition, as of December 31, 2008, we have included deferred acquisition costs of \$2.2 million in our consolidated balance sheet related to the expected 2009 acquisition of The Clearing Corporation. These deferred costs will be expensed upon our adoption of SFAS No. 141(R) on January 1, 2009.

In December 2007, the FASB issued SFAS No. 160, *Noncontrolling Interests in Consolidated Financial Statements—an amendment of ARB No. 51*. SFAS No. 160 amends ARB No. 51 to establish and improve accounting and reporting standards for the noncontrolling interest in a subsidiary and for the deconsolidation of a subsidiary. SFAS No. 160 also changes the way the consolidated income statement is presented, establishes a single method of accounting for changes in a parent's ownership interest in a subsidiary that do not result in deconsolidation, requires that a parent recognize a gain or loss in net income when a subsidiary is deconsolidated, and expands disclosures in the consolidated financial statements in order to clearly identify and distinguish between the interests of the parent's owners and the interest of the noncontrolling owners of a subsidiary. SFAS No. 160 is effective for our 2009 fiscal year. We do not expect that the adoption of SFAS No. 160 will have a material impact on our consolidated financial statements.

Critical Accounting Policies

We have identified the policies below as critical to our business operations and the understanding of our results of operations. The impact of, and any associated risks related to, these policies on our business operations is discussed throughout "Management's Discussion and Analysis of Financial Condition and Results of Operations". For a detailed discussion on the application of these and other accounting policies, see note 2 to our consolidated financial statements and related notes included elsewhere in this Annual Report on Form 10-K. Our discussion and analysis of our financial condition and results of operations are based upon our consolidated financial statements, which have been prepared in accordance with GAAP. The preparation of financial statements in conformity with these accounting principles requires us to make estimates and assumptions that affect the reported amount of assets and liabilities, and the disclosure of contingent assets and liabilities, at the date of our financial statements and the reported amounts of revenues and expenses during the reporting period.

We evaluate our estimates and judgments on an ongoing basis, including those related to the accounting matters described below. We base our estimates and judgments on our historical experience and other factors that we believe to be reasonable under the circumstances when we make these estimates and judgments. Based on these factors, we make estimates and judgments about, among other things, the carrying values of assets and liabilities that are not readily apparent from market prices or other independent sources and about the recognition and characterization of our revenues and expenses. The values and results based on these estimates and judgments could differ significantly under different assumptions or conditions and could change materially in the future.

We believe that the following critical accounting policies, among others, affect our more significant judgments and estimates used in the preparation of our consolidated financial statements and could materially increase or decrease our reported results, assets and liabilities.

Goodwill and Other Identifiable Intangible Assets

We have significant intangible assets related to goodwill and other acquired intangibles. Our determination of the fair value of the intangible assets, related estimated useful lives of intangible assets and whether or not these assets are impaired requires us to make significant judgments. If we change our strategy or if market conditions shift, our judgments may change, which may result in adjustments to recorded asset balances. As of December 31, 2008, we had goodwill of \$1,434.8 million and net other intangible assets of \$728.9 million relating to our acquisitions, our purchase of trademarks and Internet domain names from various third parties,

and the Russell licensing agreement. Under the provisions of SFAS No. 142, *Goodwill and Other Intangible Assets*, we do not amortize goodwill or other intangible assets with indefinite useful lives. Intangible assets with finite useful lives are amortized over the lesser of their contractual or estimated useful lives.

In connection with our acquisitions, assets acquired and liabilities assumed are recorded at their estimated fair values. We have recorded goodwill for the excess of the purchase price of our acquisitions over the fair value of identifiable net assets acquired, including other identified intangible assets. We recognize specifically identifiable intangibles when a specific right or contract is acquired. Our fair value assumptions are based on management's judgment and require the use of significant estimates and assumptions regarding estimated future cash flows. In performing the purchase price allocation, we consider, among other factors, the intended future use of acquired assets, analyses of historical financial performance and estimates of future performance of the acquired business.

At the acquisition date, a preliminary allocation of the purchase price is recorded based upon a preliminary valuation. We continue to review and validate estimates, assumptions and valuation methodologies underlying the preliminary valuation during the purchase price allocation period. Accordingly, these estimates and assumptions are subject to change, which could have a material impact on our financial statements. The purchase price allocation period ends when we have obtained all of the information and that is known to be obtainable, which usually does not exceed one year from the date of acquisition.

We test goodwill in each of our reporting units for impairment at least annually in accordance with the provisions of SFAS No. 142 by comparing the carrying value of the reporting unit with its estimated fair value. If the carrying value of the reporting unit exceeds its estimated fair value, then an impairment loss is recorded if and to the extent that the carrying value of the goodwill is in excess of the implied fair value of the goodwill in accordance with the two-step process in SFAS No. 142. Other finite-lived intangible assets are evaluated for impairment under SFAS No. 144, *Accounting for the Impairment or Disposal of Long-Lived Assets*. Under SFAS No. 144, we are required to evaluate whether events or changes in circumstances indicate that the carrying value of our depreciable assets to be held and used may not be recoverable. An estimate of undiscounted future cash flows produced by these long-lived assets is then compared to the carrying value of those assets to determine if the asset is recoverable. If an asset is not recoverable, the loss is measured as the difference between fair value and carrying value of the impaired asset. Fair value of an asset is based on various valuation techniques, including discounted cash flow analyses.

In assessing whether goodwill and other intangible assets are impaired, we must make assumptions regarding estimated future cash flows, estimated long-term growth rates of our business, the period over which cash flows will occur, and other factors to determine the fair value of our assets. These estimates and assumptions require management's judgment, and changes to these estimates and assumptions could materially affect the determination of fair value and/or impairment for each reporting unit. Future events could cause us to conclude that indications of goodwill or intangible asset impairment exist. Impairment may result from, among other things, deterioration in the performance of our business, adverse market conditions, adverse changes in applicable laws and regulations, competition, or the sale or disposition of a reporting unit. Any resulting impairment loss could have a material adverse impact on our financial condition and results of operations.

Our goodwill and other indefinite lived intangible assets are evaluated for impairment annually in our fiscal fourth quarter or more often if events or changes in circumstances indicate that value may be impaired. The reporting unit levels for our impairment testing of goodwill are the OTC reporting unit, The Creditex reporting unit, the ICE Futures U.S. reporting unit, the ICE Futures Europe reporting unit, the ICE Futures Canada reporting unit and the market data reporting unit. This analysis has not resulted in impairment through December 2008.

Capitalized Software Development Costs

We capitalize costs related to software developed or obtained for internal use in accordance with AICPA Statement of Position 98-1, *Accounting for the Costs of Computer Software Developed or Obtained for Internal Use*. Costs incurred during the preliminary project work stage or conceptual stage, such as determining the performance requirements, system requirements and data conversion, are expensed as incurred. Costs incurred in the application development phase, such as coding, testing for new software and upgrades that result in additional functionality, are capitalized and are amortized using the straight-line method over the

useful life of the software, not to exceed three years. Amortization of these capitalized costs begins only when the software becomes ready for its intended use. Costs incurred during the post-implementation/operation stage, including training costs and maintenance costs, are expensed as incurred. We capitalized internally developed software costs of \$18.3 million, \$12.3 million and \$7.4 million during the years ended December 31, 2008, 2007 and 2006, respectively. Determining whether particular costs incurred are more properly attributable to the preliminary or conceptual stage, and thus expensed, or to the application development phase, and thus capitalized and amortized, depends on subjective judgments about the nature of the development work, and our judgments in this regard may differ from those made by other companies. General and administrative costs related to developing or obtaining such software are expensed as incurred.

We review our capitalized software development costs and our other long-lived assets for impairment at each quarterly balance sheet date and whenever events or changes in circumstances indicate that the carrying amount of our long-lived assets should be assessed. Our judgments about impairment are based in part on subjective assessments of the usefulness of the relevant software and may differ from comparable assessments made by others. We have not recorded any impairment charges since our formation. To analyze recoverability, we estimate undiscounted net future cash flows over the remaining life of such assets. If these projected cash flows are less than the carrying amount, impairment would be recognized, resulting in a write-down of assets to their estimated fair value with a corresponding charge to earnings. We believe that our capitalized software development costs are appropriately valued in our consolidated financial statements and related notes included elsewhere in this Annual Report on Form 10-K.

ITEM 7(A). QUANTITATIVE AND QUALITATIVE DISCLOSURES ABOUT MARKET RISK

We are exposed to market risk in the ordinary course of business. This market risk consists primarily of interest rate risk associated with our cash and cash equivalents, short-term and long-term investments, short-term and long-term restricted cash, current and long-term debt and foreign currency exchange rate risk.

Interest Rate Risk

We have exposure to market risk for changes in interest rates relating to our cash and cash equivalents, short-term and long-term investments, short-term and long-term restricted cash and indebtedness. As of December 31, 2008 and 2007, our cash and cash equivalents, short-term and long-term investments and short-term and long-term restricted cash were \$426.5 million and \$283.2 million, respectively, of which \$23.1 million and \$16.0 million, respectively, were denominated in pounds sterling, euros or Canadian dollars. The remaining investments are denominated in U.S. dollars. We do not use our investment portfolio for trading or other speculative purposes. A hypothetical 100 basis point decrease in long-term interest rates would decrease annual pre-tax earnings by \$4.3 million, assuming no change in the amount or composition of our cash and cash equivalents, short-term and long-term investments and short-term and long-term restricted cash.

As of December 31, 2008, we had \$379.4 million in outstanding indebtedness, which bears interest at fluctuating rates based on LIBOR and, therefore, subjects us to interest rate risk. A hypothetical 100 basis point increase in long-term interest rates would decrease annual pre-tax earnings by \$3.8 million, assuming no change in the volume or composition of our outstanding debt. The interest rates on our outstanding debt are currently reset on a quarterly or semi-annual basis.

Foreign Currency Exchange Rate Risk

We have foreign currency transaction risk related to the settlement of foreign currency denominated assets, liabilities and payables that occur through our foreign operations, which are received in or paid in pounds sterling or euros, due to the increase or decrease in the period-end foreign currency exchange rates between periods. We had foreign currency transaction gains (losses) of \$3.1 million, \$842,000 and (\$288,000) for the years ended December 31, 2008, 2007 and 2006, respectively, primarily attributable to the fluctuations of pounds sterling and euros relative to the U.S. dollar. The average exchange rate of pounds sterling to the U.S. dollar increased from 1.8434 for the year ended December 31, 2006 to 2.0020 for the year ended December 31, 2007 and then decreased to 1.8545 for the year ended December 31, 2008.

Of our consolidated revenues, 3.3%, 1.2% and 7.2% were denominated in pounds sterling, euros or Canadian dollars for the years ended December 31, 2008, 2007 and 2006, respectively. Of our consolidated

operating expenses, 20.2%, 15.9% and 29.8% were denominated in pounds sterling or Canadian dollars for the years ended December 31, 2008, 2007 and 2006, respectively. As the pounds sterling, euros or Canadian dollar exchange rate changes, the U.S. equivalent of revenues and expenses denominated in foreign currencies changes accordingly. A 10% adverse change in the underlying foreign currency exchange rates would not have a significant impact on our financial condition or results of operations.

As of the second quarter of 2006, we began charging exchange fees in U.S. dollars rather than in pounds sterling in our key U.K. futures contracts, including crude oil and heating oil contracts. Revenues in our businesses are denominated in U.S. dollars, except with respect to a portion of the sales through Creditex, all sales through ICE Futures Canada and a small number of futures contracts at ICE Futures Europe. We may experience gains or losses from foreign currency transactions in the future given there are still net assets or net liabilities and expenses of our U.K. and Canadian subsidiaries that are denominated in pounds sterling, euros or Canadian dollars. Our U.K. operations in some instances function as a natural hedge because we generally hold an equal amount of monetary assets and liabilities that are denominated in pounds sterling.

The revenues, expenses and financial results of ICE Futures Europe and the other U.K. subsidiaries have historically been denominated in pounds sterling, which previously was functional currency of our U.K. subsidiaries. We had foreign currency translation risk equal to our net investment in our U.K. subsidiaries. The financial statements of our U.K. subsidiaries were translated into U.S. dollars using current rates of exchange, with gains or losses included in the cumulative translation adjustment account, a component of shareholders' equity. Effective as of July 1, 2006, the functional currency of the majority of our U.K. subsidiaries became the U.S. dollar. The functional currency of an entity is the currency of the primary economic environment in which the entity operates. Normally, it is the currency of the environment in which an entity primarily generates and expends cash. Once the functional currency of a foreign entity is determined, that determination should be used consistently unless significant changes in economic facts and circumstances indicate clearly that the functional currency has changed. A change in functional currency should be accounted for prospectively, and previously issued financial statements should not be restated for a change in functional currency. In addition, if the functional currency changes from a foreign currency to the reporting currency, as is the case with us, translation adjustments for prior periods should not be removed from equity and the translated amounts for non-monetary assets as the end of the prior period become the accounting basis for those assets in the period of the change and subsequent periods. The functional currency switched based on various economic factors and circumstances, including the fact that beginning in the second quarter of 2006, ICE Futures Europe began to charge and collect exchange fees in U.S. dollars rather than pounds sterling in its key futures contracts, including crude oil and heating oil contracts. We will no longer recognize any translation adjustments in the consolidated financial statements subsequent to June 30, 2006 for those U.K. subsidiaries that have switched their functional currency to the U.S. dollar.

In connection with our acquisition of ICE Futures Canada in August 2007 and Creditex in August 2008, we have foreign currency translation risk equal to our net investment in certain Canadian and U.K. subsidiaries. The revenues, expenses and financial results of these Canadian and U.K. subsidiaries are denominated in Canadian dollars or pounds sterling, which are the functional currencies of these subsidiaries. The financial statements of these subsidiaries are translated into U.S. dollars using a current rate of exchange, with gains or losses included in the cumulative translation adjustment account, a component of shareholders' equity. As of December 31, 2008, the portion of our shareholders' equity attributable to accumulated other comprehensive income from foreign currency translation was \$22.4 million. The period-end foreign currency exchange rate for the Canadian dollar to the U.S. dollar decreased from 1.0120 as of December 31, 2007 to 0.8170 as of December 31, 2008 and the period-end foreign currency exchange rate for pounds sterling to the U.S. dollar decreased from 1.9843 as of December 31, 2007 to 1.4619 as of December 31, 2008.

Impact of Inflation

We have not been adversely affected by inflation as technological advances and competition have generally caused prices for the hardware and software that we use for our electronic platform to remain constant or to decline. In the event of inflation, we believe that we will be able to pass on any price increases to our participants, as the prices that we charge are not governed by long-term contracts.

ITEM 8. FINANCIAL STATEMENTS AND SUPPLEMENTARY DATA

INDEX TO CONSOLIDATED FINANCIAL STATEMENTS

	<u>Page</u>
IntercontinentalExchange, Inc. and Subsidiaries:	
Report of Management on Internal Control over Financial Reporting	88
Report of Independent Registered Public Accounting Firm on Internal Control over Financial Reporting	89
Report of Independent Registered Public Accounting Firm on Financial Statements	91
Consolidated Balance Sheets as of December 31, 2008 and 2007	92
Consolidated Statements of Income for the years ended December 31, 2008, 2007 and 2006	93
Consolidated Statements of Changes in Shareholders' Equity for the years ended December 31, 2008, 2007 and 2006	94
Consolidated Statements of Comprehensive Income for the years ended December 31, 2008, 2007 and 2006	95
Consolidated Statements of Cash Flows for the years ended December 31, 2008, 2007 and 2006	96
Notes to Consolidated Financial Statements	97

REPORT OF MANAGEMENT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

Our management is responsible for the preparation and integrity of the consolidated financial statements appearing in our Annual Report on Form 10-K. The financial statements were prepared in conformity with generally accepted accounting principles appropriate in the circumstances and, accordingly, include certain amounts based on our best judgments and estimates. Financial information in this Annual Report on Form 10-K is consistent with that in the financial statements.

Our management is responsible for establishing and maintaining adequate internal control over financial reporting as such term is defined in Rule 13a-15(f) under the Securities Exchange Act of 1934 (“Exchange Act”). Our internal control over financial reporting is designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of the consolidated financial statements. Our internal control over financial reporting is supported by a program of internal audits and appropriate reviews by management, written policies and guidelines, careful selection and training of qualified personnel and a written Code of Business Conduct adopted by our Board of Directors, applicable to all Company Directors and all officers and employees of our Company and subsidiaries.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect misstatements and even when determined to be effective, can only provide reasonable assurance with respect to financial statement preparation and presentation. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

The Audit Committee of our Board of Directors, comprised solely of directors who are independent in accordance with the requirements of the New York Stock Exchange listing standards, the Exchange Act and our Board of Director Governance Principles, meets with the independent auditors, management and internal auditors periodically to discuss internal control over financial reporting and auditing and financial reporting matters. The Audit Committee reviews with the independent auditors the scope and results of the audit effort. The Audit Committee also meets periodically with the independent auditors and the internal auditors without management present to ensure that the independent auditors and the internal auditors have free access to the Audit Committee. Our Audit Committee’s Report will be included in our 2009 Proxy Statement.

Management assessed the effectiveness of our internal control over financial reporting as of December 31, 2008. In making this assessment, management used the criteria set forth by the Committee of Sponsoring Organizations of the Treadway Commission (“COSO”) in *Internal Control — Integrated Framework*. Based on our assessment, management believes that we maintained effective internal control over financial reporting as of December 31, 2008.

As permitted by SEC regulations, our management has excluded Creditex Group Inc. from its assessment of internal control over financial reporting as of December 31, 2008 since it was acquired in a purchase business combination in 2008. Creditex Group Inc. is a wholly-owned subsidiary with total assets of \$87.6 million as of December 31, 2008 and total revenues of \$52.2 million since the date of acquisition.

Our independent auditors, Ernst & Young LLP, a registered public accounting firm, are appointed by the Audit Committee, subject to ratification by our shareholders. Ernst & Young LLP has audited and reported on our consolidated financial statements and the effectiveness of our internal control over financial reporting. The reports of our registered public accounting firm are contained in this Annual Report.

/s/ Jeffrey C. Sprecher
Jeffrey C. Sprecher
Chairman of the Board and
Chief Executive Officer

February 11, 2009

/s/ Scott A. Hill
Scott A. Hill
Senior Vice President,
Chief Financial Officer

February 11, 2009

REPORT OF INDEPENDENT REGISTERED PUBLIC ACCOUNTING FIRM ON INTERNAL CONTROL OVER FINANCIAL REPORTING

Board of Directors and Shareholders
IntercontinentalExchange, Inc.

We have audited IntercontinentalExchange, Inc.'s internal control over financial reporting as of December 31, 2008, based on criteria established in Internal Control — Integrated Framework issued by the Committee of Sponsoring Organizations of the Treadway Commission (the COSO criteria). IntercontinentalExchange, Inc.'s management is responsible for maintaining effective internal control over financial reporting, and for its assessment of the effectiveness of internal control over financial reporting included in the accompanying "Report of Management on Internal Control over Financial Reporting". Our responsibility is to express an opinion on the Company's internal control over financial reporting based on our audit.

We conducted our audit in accordance with the standards of the Public Company Accounting Oversight Board (United States). Those standards require that we plan and perform the audit to obtain reasonable assurance about whether effective internal control over financial reporting was maintained in all material respects. Our audit included obtaining an understanding of internal control over financial reporting, assessing the risk that a material weakness exists, testing and evaluating the design and operating effectiveness of internal control based on the assessed risk, and performing such other procedures as we considered necessary in the circumstances. We believe that our audit provides a reasonable basis for our opinion.

A company's internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

As indicated in the accompanying "Report of Management on Internal Control over Financial Reporting", management's assessment of and conclusion on the effectiveness of internal control over financial reporting did not include the internal controls of Creditex Group Inc., which is included in the 2008 consolidated financial statements of IntercontinentalExchange, Inc. and constituted \$87.6 million and \$43.3 million of total and net assets, respectively, as of December 31, 2008 and \$52.2 million and \$5.0 million of revenues and net income, excluding intercompany charges, respectively, for the year then ended. Our audit of internal control over financial reporting of IntercontinentalExchange, Inc. also did not include an evaluation of the internal control over financial reporting of Creditex Group Inc.

In our opinion, IntercontinentalExchange, Inc. maintained, in all material respects, effective internal control over financial reporting as of December 31, 2008, based on the COSO criteria.

Table of Contents

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States), the consolidated balance sheets of IntercontinentalExchange, Inc. and Subsidiaries as of December 31, 2008 and 2007, and the related consolidated statements of income, changes in shareholders' equity, comprehensive income, and cash flows for each of the three years in the period ended December 31, 2008, of IntercontinentalExchange, Inc. and Subsidiaries and our report dated February 10, 2009 expressed an unqualified opinion thereon.

/s/ Ernst & Young LLP

Atlanta, Georgia
February 10, 2009

**REPORT OF INDEPENDENT REGISTERED PUBLIC ACCOUNTING FIRM ON
FINANCIAL STATEMENTS**

Board of Directors and Shareholders
IntercontinentalExchange, Inc.

We have audited the accompanying consolidated balance sheets of IntercontinentalExchange, Inc. and Subsidiaries as of December 31, 2008 and 2007, and the related consolidated statements of income, changes in shareholders' equity, comprehensive income, and cash flows for each of the three years in the period ended December 31, 2008. Our audits also included the financial statement schedule listed in the Index at Item 15(a). These financial statements and schedule are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements and schedule based on our audits.

We conducted our audits in accordance with the standards of the Public Company Accounting Oversight Board (United States). Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the consolidated financial position of IntercontinentalExchange, Inc. and Subsidiaries at December 31, 2008 and 2007, and the consolidated results of their operations and their cash flows for each of the three years in the period ended December 31, 2008, in conformity with U.S. generally accepted accounting principles. Also, in our opinion, the related financial statement schedule, when considered in relation to the basic financial statements taken as a whole, presents fairly in all material respects the information set forth therein.

As discussed in Note 11 to the consolidated financial statements, the Company adopted Financial Accounting Standards Board Interpretation No. 48, "Accounting for Uncertainty in Income Taxes — an Interpretation of FASB Statement No. 109", effective January 1, 2007.

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States), IntercontinentalExchange, Inc.'s internal control over financial reporting as of December 31, 2008, based on criteria established in Internal Control — Integrated Framework issued by the Committee of Sponsoring Organizations of the Treadway Commission and our report dated February 10, 2009 expressed an unqualified opinion thereon.

/s/ Ernst & Young LLP

Atlanta, Georgia
February 10, 2009

IntercontinentalExchange, Inc. and Subsidiaries

Consolidated Balance Sheets
(In thousands, except per share amounts)

	December 31,	
	2008	2007
ASSETS		
Current assets:		
Cash and cash equivalents	\$ 283,522	\$ 119,597
Short-term restricted cash	30,724	19,624
Short-term investments	3,419	140,955
Customer accounts receivable, net of allowance for doubtful accounts of \$1,400 and \$370 at December 31, 2008 and 2007, respectively	81,248	52,018
Margin deposits and guaranty funds	12,117,820	792,052
Prepaid expenses and other current assets	35,855	17,848
Total current assets	12,552,588	1,142,094
Property and equipment, net	88,952	63,524
Other noncurrent assets:		
Goodwill	1,434,816	1,009,687
Other intangible assets, net	728,855	537,722
Long-term restricted cash	105,740	3,000
Cost method investments	32,724	38,778
Other noncurrent assets	15,906	1,540
Total other noncurrent assets	2,318,041	1,590,727
Total assets	\$14,959,581	\$2,796,345
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities:		
Accounts payable and accrued liabilities	\$ 49,663	\$ 27,811
Accrued salaries and benefits	41,096	23,878
Current portion of licensing agreement	12,686	10,572
Current portion of long-term debt	46,875	37,500
Income taxes payable	17,708	11,687
Margin deposits and guaranty funds	12,117,820	792,052
Current portion of unearned government grant	8,737	1,748
Other current liabilities	17,057	5,713
Total current liabilities	12,311,642	910,961
Noncurrent liabilities:		
Noncurrent deferred tax liability, net	194,301	108,739
Long-term debt	332,500	184,375
Noncurrent portion of licensing agreement	82,989	89,645
Long-term unearned government grant	—	8,737
Other noncurrent liabilities	24,901	17,032
Total noncurrent liabilities	634,691	408,528
Total liabilities	12,946,333	1,319,489
Commitments and contingencies		
Minority interest	5,949	—
Redeemable stock put	1,068	—
SHAREHOLDERS' EQUITY:		
Preferred stock, \$0.01 par value; 25,000 shares authorized; no shares issued or outstanding at December 31, 2008 and 2007	—	—
Common stock, \$0.01 par value; 194,275 shares authorized; 76,502 and 70,963 shares issued at December 31, 2008 and 2007, respectively; 72,364 and 69,711 shares outstanding at December 31, 2008 and 2007, respectively	765	710
Treasury stock, at cost; 4,138 and 1,252 shares at December 31, 2008 and 2007, respectively	(355,520)	(30,188)
Additional paid-in capital	1,608,344	1,043,971
Retained earnings	732,752	431,708
Accumulated other comprehensive income	19,890	30,655
Total shareholders' equity	2,006,231	1,476,856
Total liabilities and shareholders' equity	\$14,959,581	\$2,796,345

See accompanying notes.

IntercontinentalExchange, Inc. and Subsidiaries
Consolidated Statements of Income
(In thousands, except per share amounts)

	Year Ended December 31,		
	2008	2007	2006
Revenues:			
Transaction and clearing fees, net (including \$13,657 with related-parties in 2006)	\$693,229	\$490,358	\$273,629
Market data fees (including \$412 with related-parties in 2006)	102,944	70,396	34,236
Other (including \$680, \$1,729 and \$1,984 with related-parties in 2008, 2007 and 2006, respectively)	16,905	13,539	5,934
Total revenues	813,078	574,293	313,799
Operating expenses:			
Compensation and benefits	159,792	101,397	49,750
Professional services	29,705	23,047	11,395
Patent royalty	—	1,705	9,039
CBOT merger-related transaction costs	—	11,121	—
Selling, general and administrative	67,800	50,759	25,266
Depreciation and amortization	62,247	32,701	13,714
Total operating expenses	319,544	220,730	109,164
Operating income	493,534	353,563	204,635
Other income (expense):			
Interest and investment income	11,536	11,865	8,565
Interest expense	(19,573)	(18,641)	(231)
Other income (expense), net	(12,001)	11,647	(426)
Total other income (expense), net	(20,038)	4,871	7,908
Income before income taxes	473,496	358,434	212,543
Income tax expense	172,524	117,822	69,275
Net income	\$300,972	\$240,612	\$143,268
Earnings per common share:			
Basic	\$ 4.23	\$ 3.49	\$ 2.54
Diluted	\$ 4.17	\$ 3.39	\$ 2.40
Weighted average common shares outstanding:			
Basic	71,184	68,985	56,474
Diluted	72,164	70,980	59,599

See accompanying notes.

IntercontinentalExchange, Inc. and Subsidiaries
Consolidated Statements of Changes in Shareholders' Equity
(In thousands)

	Common Stock		Class A Common Stock, Series 1		Class A Common Stock, Series 2		Treasury Stock		Additional Paid-in Capital	Deferred Stock Compensation	Retained Earnings	Accumulated Other Comprehensive Income Net Unrealized Gain (Loss) from			Total Shareholders' Equity
	Shares	Value	Shares	Value	Shares	Value	Shares	Value				Foreign Currency Translation	Available-For-Sale Securities	Net Investment Hedges	
Balance, January 1, 2006	18,400	\$ 184	2,863	\$ 29	35,782	\$ 358	(1,534)	\$ (5,541)	\$ 177,602	\$ (6,899)	\$ 47,911	\$ 21,338	\$ 91	\$ (2,450)	\$ 232,623
Other comprehensive income (loss)	—	—	—	—	—	—	—	—	—	—	—	8,525	(93)	—	8,432
Exercise of common stock options	2,407	24	—	—	103	1	(3)	(188)	21,981	—	—	—	—	—	21,818
Reversal of deferred stock compensation in connection with adoption of SFAS No. 123(R)	—	—	—	—	—	—	—	—	(6,899)	6,899	—	—	—	—	—
Conversion of Class A common stock, Series 1 and Series 2 into common stock	38,748	388	(2,863)	(29)	(35,885)	(359)	—	—	—	—	—	—	—	—	—
Treasury shares received for restricted stock and stock option tax payments	—	—	—	—	—	—	(69)	(4,765)	—	—	—	—	—	—	(4,765)
Stock-based compensation	—	—	—	—	—	—	—	—	9,489	—	—	—	—	—	9,489
Issuance of restricted stock	16	—	—	—	—	—	135	746	(746)	—	—	—	—	—	—
Tax benefits from stock option plans	—	—	—	—	—	—	—	—	43,313	—	—	—	—	—	43,313
Issuance of common stock	25	—	—	—	—	—	—	—	290	—	—	—	—	—	290
Net income	—	—	—	—	—	—	—	—	—	—	143,268	—	—	—	143,268
Balance, December 31, 2006	59,596	596	—	—	—	—	(1,471)	(9,748)	245,030	—	191,179	29,863	(2)	(2,450)	454,468
Other comprehensive income	—	—	—	—	—	—	—	—	—	—	—	3,183	61	—	3,244
Exercise of common stock options	1,044	11	—	—	—	—	(4)	(472)	9,920	—	—	—	—	—	9,459
Issuance of shares for acquisitions	10,303	103	—	—	—	—	—	—	707,560	—	—	—	—	—	707,663
Treasury shares received during acquisition	—	—	—	—	—	—	(1)	(197)	—	—	—	—	—	—	(197)
Treasury shares received for restricted stock and stock option tax payments	—	—	—	—	—	—	(181)	(24,814)	—	—	—	—	—	—	(24,814)
Stock-based compensation	—	—	—	—	—	—	—	—	25,415	—	—	—	—	—	25,415
Issuance of restricted stock	20	—	—	—	—	—	405	5,043	(5,043)	—	—	—	—	—	—
Tax benefits from stock option plans	—	—	—	—	—	—	—	—	61,089	—	—	—	—	—	61,089
Cumulative effect of adoption of FIN 48	—	—	—	—	—	—	—	—	—	—	(83)	—	—	—	(83)
Net income	—	—	—	—	—	—	—	—	—	—	240,612	—	—	—	240,612
Balance, December 31, 2007	70,963	710	—	—	—	—	(1,252)	(30,188)	1,043,971	—	431,708	33,046	59	(2,450)	1,476,856
Other comprehensive loss	—	—	—	—	—	—	—	—	—	—	—	(10,657)	(108)	—	(10,765)
Exercise of common stock options	397	4	—	—	—	—	(1)	(225)	5,206	—	—	—	—	—	4,985
Issuance of shares for acquisitions	4,906	49	—	—	—	—	—	—	496,532	—	—	—	—	—	496,581
Repurchases of common stock	—	—	—	—	—	—	(3,220)	(300,000)	—	—	—	—	—	—	(300,000)
Change in fair value of redeemable stock put	—	—	—	—	—	—	—	—	—	—	72	—	—	—	72
Treasury shares received for restricted stock and stock option tax payments	—	—	—	—	—	—	(295)	(45,783)	—	—	—	—	—	—	(45,783)
Stock-based compensation	—	—	—	—	—	—	—	—	39,112	—	—	—	—	—	39,112
Issuance of restricted stock	236	2	—	—	—	—	630	20,676	(20,678)	—	—	—	—	—	—
Tax benefits from stock option plans	—	—	—	—	—	—	—	—	44,201	—	—	—	—	—	44,201
Net income	—	—	—	—	—	—	—	—	—	—	300,972	—	—	—	300,972
Balance, December 31, 2008	76,502	\$ 765	—	\$ —	—	\$ —	(4,138)	\$ (355,520)	\$ 1,608,344	\$ —	\$ 732,752	\$ 22,389	\$ (49)	\$ (2,450)	\$ 2,006,231

See accompanying notes.

IntercontinentalExchange, Inc. and Subsidiaries
Consolidated Statements of Comprehensive Income
(In thousands)

	Year Ended December 31,		
	2008	2007	2006
Net income	\$300,972	\$240,612	\$143,268
Other comprehensive income:			
Foreign currency translation adjustments, net of tax of (\$1,677), \$655 and \$830 for the years ended December 31, 2008, 2007 and 2006, respectively	(10,657)	3,183	8,525
Change in available-for-sale securities, net of tax of (\$39), \$22 and (\$34) for the years ended December 31, 2008, 2007 and 2006, respectively	(108)	61	(93)
Comprehensive income	<u>\$290,207</u>	<u>\$243,856</u>	<u>\$151,700</u>

See accompanying notes.

IntercontinentalExchange, Inc. and Subsidiaries

Consolidated Statements of Cash Flows
(In thousands)

	Year Ended December 31,		
	2008	2007	2006
Operating activities			
Net income	\$ 300,972	\$ 240,612	\$ 143,268
Adjustments to reconcile net income to net cash provided by operating activities:			
Depreciation and amortization	62,247	32,701	13,714
Gain on disposal of assets	—	(9,268)	—
Amortization of debt issuance costs	1,644	698	147
Allowance for doubtful accounts	530	(615)	724
Loss on impairment of NCDEX	15,700	—	—
Net realized gains on sales of available-for-sale investments	(47)	(171)	(882)
Stock-based compensation	36,382	23,595	8,825
Minority interest	55	—	—
Deferred taxes	(16,986)	(3,222)	(5,345)
Excess tax benefits from stock-based compensation	(44,080)	(60,812)	(40,996)
Changes in assets and liabilities:			
Customer accounts receivable:			
Trade, net	(15,159)	(4,919)	(19,397)
Related-parties	777	(329)	1,325
Prepaid expenses and other current assets	(3,051)	(2,359)	(4,310)
Noncurrent assets	1,029	1,267	(510)
Income taxes payable	58,023	74,003	37,791
Accounts payable, accrued salaries and benefits, and other accrued liabilities	(22,924)	(3,400)	16,335
Total adjustments	74,140	47,169	7,421
Net cash provided by operating activities	375,112	287,781	150,689
Investing activities			
Capital expenditures	(30,484)	(30,999)	(12,377)
Capitalized software development costs	(18,328)	(12,267)	(7,438)
Cash paid for acquisitions, net of cash acquired	(44,606)	(480,114)	—
Purchase of intangible assets	—	(61,099)	—
Proceeds from sale of assets	—	13,269	—
Cost method investment	(2,385)	(40)	(36,937)
Proceeds from sales of available-for-sale investments	236,935	272,771	346,090
Purchases of available-for-sale investments	(102,567)	(332,357)	(309,227)
Capitalized acquisition costs	(2,210)	(121)	(4,124)
Increase in restricted cash	(106,101)	(6,431)	(3,615)
Net cash used in investing activities	(69,746)	(637,388)	(27,628)
Financing activities			
Excess tax benefits from stock-based compensation	44,080	60,812	40,996
Net proceeds from issuance of common stock	—	—	290
Proceeds from credit facilities	195,000	250,000	—
Repayments of credit facilities	(37,500)	(28,125)	—
Issuance costs for credit facilities	(1,519)	(2,375)	—
Payments relating to treasury shares received for restricted stock and stock option tax payments and exercises	(46,008)	(25,484)	(4,953)
Repurchases of common stock	(300,000)	—	—
Payments on capital lease obligations	(382)	—	—
Proceeds from exercise of common stock options	5,210	9,931	22,006
Net cash provided by (used in) financing activities	(141,119)	264,759	58,339
Effect of exchange rate changes on cash and cash equivalents	(322)	188	2,855
Net increase (decrease) in cash and cash equivalents	163,925	(84,660)	184,255
Cash and cash equivalents, beginning of year	119,597	204,257	20,002
Cash and cash equivalents, end of year	\$ 283,522	\$ 119,597	\$ 204,257
Supplemental cash flow disclosure			
Cash paid for income taxes	\$ 129,879	\$ 54,255	\$ 38,279
Cash paid for interest	\$ 10,963	\$ 14,586	\$ 86
Supplemental noncash investing and financing activities			
Common stock and vested stock options issued for acquisitions	\$ 499,768	\$ 707,663	\$ —

See accompanying notes.

IntercontinentalExchange, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

1. Nature of Business and Organization

IntercontinentalExchange, Inc. (the “Company”) is a leading operator of global regulated futures exchanges and over-the-counter (“OTC”) markets for commodities and derivative financial products. The Company owns 100% of ICE Futures Europe, which operates as a United Kingdom (“U.K.”) Recognized Investment Exchange for the purpose of price discovery, trading and risk management within the energy commodity futures and options markets. The Company owns 100% of ICE Futures U.S., Inc. (“ICE Futures U.S.”), which operates as a United States (“U.S.”) Designated Contract Market for the purpose of price discovery, trading and risk management within the soft commodity, index and currency futures and options markets. The Company owns 100% of ICE Futures Canada, Inc. (“ICE Futures Canada”), which operates as a Canadian Commodity Futures Exchange for the purpose of price discovery, trading and risk management within the agricultural futures and options markets. The Company acquired 100% of Creditex Group Inc. (“Creditex”) on August 29, 2008. Creditex operates in the OTC credit default swaps (“CDS”) markets. In addition, the Company currently operates three central counterparty clearing houses. Headquartered in Atlanta, Georgia, the Company also has offices in London, New York, Chicago, Houston, Calgary, Winnipeg and Singapore.

The Company currently operates the OTC energy markets as an exempt commercial market (“ECM”) pursuant to the Commodity Exchange Act and regulations of the Commodity Futures Trading Commission (“CFTC”). As an ECM, the Company is required to file a notice with the CFTC, provide the CFTC with access to its trading system and certain trading reports and respond to requests for information or records from the CFTC.

ICE Futures Europe is subject to extensive regulation in the United Kingdom by the Financial Services Authority (“FSA”), in accordance with the Financial Services and Markets Act 2000. ICE Futures Europe is responsible for maintaining financial resources sufficient for the proper performance of its functions as a Recognized Investment Exchange, and, in order to satisfy this requirement, is obligated to maintain a minimum amount of liquid financial assets at all times.

ICE Futures U.S. is subject to extensive regulation in the U.S. by the CFTC under the Commodity Exchange Act. The Commodity Exchange Act generally requires that futures trading conducted in the U.S. be conducted on a commodity exchange designated as a contract market by the CFTC. It also establishes non-financial criteria for an exchange to be designated to list futures and options contracts. Designation as a contract market for the trading of specified futures contracts is non-exclusive. This means that the CFTC may designate additional exchanges as contract markets for trading in the same or similar contracts. As a designated contract market, ICE Futures U.S. is a self-regulatory organization that has instituted detailed rules and procedures to comply with the “core principles” applicable to it under the Commodity Exchange Act. ICE Futures U.S. also has surveillance and compliance operations and procedures to monitor and enforce compliance with its rules, and ICE Futures U.S. is periodically audited by the CFTC with respect to the fulfillment of ICE Futures U.S.’s self-regulatory programs in these areas.

ICE Futures Canada’s operations are subject to extensive regulation by the Manitoba Securities Commission (“MSC”), under the Commodity Futures Act (Manitoba) (“CFA”). The CFA requires that an organization must be recognized and registered before it can carry on the business of a futures exchange. It establishes financial and non-financial criteria for an exchange. ICE Futures Canada also has surveillance and compliance operations and procedures to monitor and enforce compliance by market participants with its rules, and ICE Futures Canada is under the audit jurisdiction of the MSC with respect to these self-regulatory functions.

The Company also owns three clearing houses. ICE Clear Europe clears and settles contracts for ICE Futures Europe and OTC cleared contracts and is regulated by the FSA as a Recognized Clearing House. ICE Futures U.S. owns its clearing house, ICE Clear U.S., which clears and settles contracts traded on, or subject to the rules of, ICE Futures U.S. ICE Clear U.S. is a Derivatives Clearing Organization and is

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

regulated by the CFTC. ICE Futures Canada owns its clearing house, ICE Clear Canada, which clears and settles contracts traded on, or subject to the rules of, ICE Futures Canada. ICE Clear Canada is a recognized clearing house under the provisions of the CFA and is regulated by the MSC.

The Company does not risk its own capital by engaging in any trading activities or by extending credit to market participants.

2. Summary of Significant Accounting Policies

Basis of Presentation

The accompanying consolidated financial statements are presented in accordance with U.S. generally accepted accounting principles. The consolidated financial statements include the accounts of the Company and its wholly-owned subsidiaries. All intercompany balances and transactions between the Company and its wholly-owned subsidiaries have been eliminated in consolidation. As discussed in Note 3, the Company completed several acquisitions in 2008 and 2007 and has included the financial results of these companies in its consolidated financial statements effective from the respective acquisition dates forward.

Use of Estimates

The preparation of financial statements in conformity with U.S. generally accepted accounting principles requires the Company's management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements. Estimates also affect the reported amounts of expenses during the reporting period. Actual amounts could differ from those estimates.

Minority Interest

For those consolidated subsidiaries in which the Company's ownership is less than 100% and for which the Company has control over the assets and liabilities and the management of the entity, the outside stockholders' interests are shown as minority interests. In connection with the Company's acquisition of Creditex, the Company holds a 50.1% equity ownership in QW Holdings LLC, which the Company consolidates. QW Holdings LLC owns Q-WIXX, which is a dealer-to-client electronic platform for trading portfolios of CDS. The platform is a joint initiative between Creditex and the dealer community and has been operated in both North America and Europe since June 2007. A minority interest in QW Holdings LLC is recorded in the accompanying consolidated balance sheet as of December 31, 2008 for the ownership interest held by the limited partners.

Segment and Geographic Information

The Company currently has three reportable operating segments: its OTC business segment, its futures business segment, and its market data business segment. All three operate across domestic and international markets. Substantially all of the Company's identifiable assets are located in the United States, the United Kingdom and Canada.

Cash and Cash Equivalents

The Company considers all short-term, highly liquid investments with remaining maturities at the purchase date of three months or less to be cash equivalents.

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

Restricted Cash

The Company classifies all cash and cash equivalents that are not available for general use by the Company, either due to FSA requirements or through restrictions in specific agreements, as restricted in the accompanying consolidated balance sheets (Note 4).

Short-Term and Long-Term Investments

The Company invests a portion of its cash in excess of short-term operating needs in government securities, equity securities, investment-grade marketable debt securities and municipal bonds (Note 5). These investments are classified as available-for-sale in accordance with Statement of Financial Accounting Standards (“SFAS”) No. 115, *Accounting for Certain Investments in Debt and Equity Securities*. The Company does not have any investments classified as held-to-maturity or trading. Available-for-sale investments are carried at their fair value, with unrealized gains and losses, net of deferred income taxes, reported as a component of accumulated other comprehensive income. Realized gains and losses, and declines in value deemed to be other-than-temporary on available-for-sale investments, are recognized currently in earnings.

The Company determines the appropriate classification of its investments at the time of purchase and reevaluates such designation at each balance sheet date. The Company may or may not hold securities with stated maturities greater than twelve months until maturity. In response to changes in the availability of and the yield on alternative investments as well as liquidity requirements, the Company occasionally sells these securities prior to their stated maturities. As these securities are viewed by the Company as available to support current operations and requirements, certain investments with maturities beyond 12 months are classified as current assets in the accompanying consolidated balance sheets. Investments that the Company intends to hold for more than one year are classified as long-term investments in the accompanying consolidated balance sheets.

Cost Method Investments

The Company uses the cost method to account for investments in companies that the Company does not control and for which the Company does not have the ability to exercise significant influence over the entities operating and financial policies (Note 6).

Margin Deposits and Guaranty Funds

Original margin, variation margin and guaranty funds held by the Company’s clearing houses for clearing members may be in the form of cash, money market mutual fund shares, Government obligations, or letters of credit (Note 14). Cash original margin, variation margin and guaranty fund deposits are reflected in the accompanying consolidated balance sheets as current assets and current liabilities. The amount of margin deposits on hand will fluctuate over time as a result of, among other things, the extent of open positions held at any point in time by market participants in contracts and the margin rates then in effect for such contracts. Non-cash original margin and guaranty fund deposits are not reflected in the accompanying consolidated balance sheets. These securities are held in safekeeping and are only pledged to the Company’s clearing houses, and the Company’s clearing houses do not take legal ownership.

Property and Equipment

Property and equipment are recorded at cost, reduced by accumulated depreciation (Note 7). Depreciation and amortization expense related to property and equipment is computed using the straight-line method based on estimated useful lives of the assets, or in the case of leasehold improvements, the shorter of the initial lease term or the estimated useful life of the asset. The Company reviews the remaining estimated useful lives of its property and equipment at each balance sheet date and will make adjustments to the estimated remaining

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

useful lives whenever events or changes in circumstances indicate that the remaining useful lives have changed. Gains on disposals of property and equipment are included in other income and losses on disposals of property and equipment and are included in depreciation expense. Maintenance and repairs are expensed as incurred.

Software Development Costs

The Company capitalizes costs, both internal and external direct and incremental costs, related to software developed or obtained for internal use in accordance with AICPA Statement of Position 98-1, *Accounting for Costs of Computer Software Developed or Obtained for Internal Use*. Software development costs incurred during the preliminary or maintenance project stage are expensed as incurred, while costs incurred during the application development stage are capitalized and are amortized using the straight-line method over the useful life of the software, not to exceed three years. Amortization of these capitalized costs begins only when the software becomes ready for its intended use. General and administrative costs related to developing or obtaining such software are expensed as incurred.

Goodwill and Indefinite-Lived Intangible Assets

The Company has recorded goodwill for the excess of the purchase price for its acquisitions over the fair value of identifiable net assets acquired, including other identified intangible assets (Note 8). The Company recognizes specifically identifiable intangibles when a specific right or contract is acquired. Goodwill has been allocated to reporting units for purposes of impairment testing based on the portion of synergy, cost savings and other expected future cash flows expected to benefit the reporting units at the time of the acquisition.

The Company tests its goodwill for impairment at the reporting unit level, which in some cases is different than the operating segment level where the goodwill is reported under SFAS No. 131, *Disclosures about Segments of an Enterprise and Related Information*. The reporting unit levels for the Company's goodwill are the OTC, Creditex, ICE Futures U.S, ICE Futures Europe, ICE Futures Canada and market data reporting units. Goodwill impairment testing at the reporting unit level is performed utilizing a two-step methodology in accordance with the provisions of SFAS No. 142, *Goodwill and Other Intangible Assets*. The initial step requires the Company to determine the fair value of each reporting unit and compare it to the carrying value, including goodwill and other intangible assets, of such reporting unit. If the fair value exceeds the carrying value, no impairment loss is recognized and the second step, which is a calculation of the impairment, is not performed. However, if the carrying value of the reporting unit exceeds its fair value, an impairment charge is recorded equal to the extent that the carrying amount of goodwill exceeds its implied fair value.

The Company's indefinite-lived intangible assets are evaluated for impairment annually in its fiscal fourth quarter or more often if events or changes in circumstances indicate that the asset may be impaired. Such evaluation includes comparing the fair value of the asset with its carrying value. If the fair value of the indefinite-lived intangible asset is less than its carrying value, an impairment loss is recognized in an amount equal to the difference. This analysis did not result in an impairment charge during the years ended December 31, 2008, 2007 or 2006.

Intellectual Property

All costs related to internally developed patents and trademarks are expensed as incurred. All costs related to purchased patents, trademarks and internet domain names are recorded as other intangible assets and are amortized on a straight-line basis over their estimated useful lives. All costs related to licensed patents are capitalized and amortized on a straight-line basis over the term of the license.

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

Impairment of Long-Lived Assets and Finite-Lived Intangible Assets

The Company reviews its property and equipment and finite-lived intangible assets for impairment whenever events or changes in circumstances indicate that the carrying amount may not be fully recoverable. To analyze recoverability, the Company projects undiscounted net future cash flows over the remaining life of such assets. If these projected cash flows are less than the carrying amount, an impairment would be recognized, resulting in a write-down of assets with a corresponding charge to earnings. The impairment loss is measured based upon the difference between the carrying amount and the fair value of the assets. Finite-lived intangible assets are generally amortized on a straight-line basis or using an accelerated method over the lesser of their contractual or estimated useful lives.

Income Taxes

The Company and its U.S. subsidiaries file a consolidated U.S. federal income tax return. State income tax returns are filed on a separate, combined or consolidated basis in accordance with relevant state laws and regulations. The majority of the Company's foreign subsidiaries are based in the United Kingdom and they file separate local country income tax returns and take advantage of the United Kingdom's group relief provisions when applicable. Deferred tax expenses and benefits are recognized for changes in deferred tax assets and liabilities. The difference between the statutory income tax rate and our effective tax rate for a given period is primarily a reflection of the tax effects of our foreign operations, general business and tax credits, tax-exempt income, state income taxes and the non-deductibility of certain expenses.

Revenue Recognition

The Company's revenues primarily consist of transaction and clearing fee revenues for OTC and futures transactions executed through the Company's internet-based global electronic platform, through the ICE Futures U.S. open-outcry exchange or through the Company's Creditex voice brokers and are recognized on the date the transactions occur. The Company calculates the transaction and clearing fee revenues based on the volume of each commodity traded multiplied by the transaction rate for each commodity type. The futures transaction and clearing fee revenues are determined on the basis of the transaction and clearing fee charged for each contract traded on the exchange. Prior to the launch of ICE Clear Europe in November 2008, the Company did not recognize any clearing revenue on the ICE Futures Europe and OTC cleared contracts and the cleared transaction fees were remitted by LCH.Clearnet Ltd, a clearing house based in London, to ICE Futures Europe and to the Company for cleared OTC contracts on a monthly basis.

Transaction and clearing fees are recorded net of rebates of \$93.0 million, \$37.3 million and \$7.4 million for the years ended December 31, 2008, 2007 and 2006, respectively. The Company offers rebates in certain of its markets primarily to help generate market liquidity and trading volumes by providing customers trading in those markets a full or partial discount to the applicable commission rate. Typically, the Company offers these rebates until it believes the market has generated sufficient liquidity and volume so that the rebates are no longer needed to sustain and promote liquidity. These rebates reduce revenue that the Company would have generated had it charged full transaction fees and had it generated the same volume without the rebate program.

Market data fee revenues primarily include terminal and license fees received from data vendors in exchange for the provision of real-time futures price information and data access fees. Market data fees are charged to data vendors on a monthly basis based on the number and type of terminals they have carrying futures data. Each data vendor also pays an annual license fee, which is deferred and recognized as revenue ratably over the period of the annual license. Market data fee revenues also include monthly data access fees charged to customers that are signed up to trade on the OTC electronic platform. The monthly data access amount for each company is based on the number of users at each company signed up to trade on the electronic platform. The difference between the monthly data access fee total for each company and the actual

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

amount of commissions paid that month for trading activity is recognized as monthly data access revenues. The actual amount of commissions paid that month for trading activity is recognized as transaction and clearing fee revenues.

Other revenues are recognized as services are provided or they are deferred and amortized ratably over the periods to which they relate.

Sources of Supplies

The Company uses 13 primary vendors for equipment used in the electronic platform and its network. If these vendors were unable to meet the Company's needs, management believes that the Company could obtain this equipment from other vendors on comparable terms and that its operating results would not be materially adversely affected.

Credit Risk and Significant Customers

The Company's accounts receivable related to its OTC business segment and its market data business segment subjects the Company to credit risk, as the Company does not require its customers to post collateral for bilateral trades or for market data services. The Company does not risk its own capital in transactions or extend credit to market participants in any commodities markets. The Company limits its risk of loss by allowing trading access to companies that qualify as eligible commercial entities, as defined in the Commodity Exchange Act, and by terminating access to trade to entities with delinquent accounts.

The growth of cleared OTC energy products also limits the Company's risk of loss in its OTC business as the clearing houses collect cleared transaction fees on the date the transactions occur. During the year ended December 31, 2008, 62.7% of the OTC business segment commission fee revenues were from cleared trades. The futures businesses have minimal credit risk as all of their transaction revenues are currently cleared through ICE Clear Europe, ICE Clear U.S. or ICE Clear Canada. The Company's clearing businesses have substantial credit risk, as more fully described in Note 14.

The Company's accounts receivable is stated at cost. There were no accounts receivable balances greater than 10% of total consolidated accounts receivable as of December 31, 2008 or December 31, 2007. No single customer accounted for more than 10% of total consolidated revenues during any of the years ended December 31, 2008, 2007 or 2006.

Stock-Based Compensation

The Company currently sponsors employee stock option and restricted stock plans. SFAS No. 123(R), *Share-Based Payment*, requires the measurement and recognition of compensation expenses for all share-based payment awards made to employees and directors including employee stock options and restricted stock based on estimated fair values. SFAS No. 123(R) requires companies to estimate the fair value of stock option awards on the date of grant using an option-pricing model. The value of the portion of the award that is ultimately expected to vest is recognized as stock-based compensation expenses over the requisite service period in the Company's consolidated financial statements.

During the years ended December 31, 2008, 2007 and 2006, the Company recognized excess tax benefits of \$44.2 million, \$61.1 million and \$43.3 million, respectively, as an increase to the additional paid-in capital balance. Of that amount, \$44.1 million, \$60.8 million and \$41.0 million for the years ended December 31, 2008, 2007 and 2006, respectively, were qualifying excess tax benefits that are eligible to absorb future write-offs, if any, of unrealized deferred tax assets related to stock options. In accordance with SFAS No. 123(R), the \$44.1 million, \$60.8 million and \$41.0 million is reported as a financing cash flow in the accompanying consolidated statement of cash flows for the years ended December 31, 2008, 2007 and 2006, respectively.

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

Regarding the ordering of tax benefits to determine whether an excess tax benefit is realized, as well as to measure that excess tax benefit, the Company follows applicable tax laws and disregards indirect effects of the excess tax benefit.

Employee and director stock-based compensation expenses and the related income tax benefit recognized for both stock options and restricted stock in the accompanying consolidated statement of income for the year ended December 31, 2008 was \$36.4 million and \$11.5 million, respectively, and was \$23.6 million and \$7.4 million, respectively, for the year ended December 31, 2007 and was \$8.8 million and \$2.8 million, respectively, for the year ended December 31, 2006. The amount expensed for the years ended December 31, 2008, 2007 and 2006 is net of \$2.5 million, \$1.8 million and \$664,000, respectively, of stock-based compensation that was capitalized as software development costs.

The Company uses the Black-Scholes option pricing model for purposes of valuing stock option awards. The Company's determination of fair value of stock option awards on the date of grant using the Black-Scholes option pricing model is affected by the Company's stock price as well as assumptions regarding a number of highly complex and subjective variables. These variables include, but are not limited to, the Company's expected share price volatility over the term of the awards and actual and projected employee stock option exercise behavior. Option-pricing models were developed for use in estimating the value of traded options that have no vesting or hedging restrictions and are fully transferable. Because the Company's employee stock options have certain characteristics that are significantly different from traded options, and because changes in the subjective assumptions can materially affect the estimated value, in management's opinion, the existing valuation models may not provide an accurate measure of the fair value of the Company's employee stock options. Although the fair value of employee stock options is determined in accordance with SFAS No. 123(R) using an option pricing model, that value may not be indicative of the fair value observed in a willing buyer/willing seller market transaction, if one was to exist.

Earnings Per Common Share

Basic earnings per common share is calculated using the weighted average common shares outstanding during the year. Common equivalent shares from stock options and restricted stock awards, using the treasury stock method, are also included in the diluted per share calculations unless their effect of inclusion would be antidilutive (Note 19).

Treasury Stock

The Company records treasury stock activities under the cost method whereby the cost of the acquired stock is recorded as treasury stock (Note 10).

Fair Value of Financial Instruments

The Company's financial instruments consist primarily of cash and cash equivalents, short-term and long-term restricted cash, short-term and long-term investments, customer accounts receivable, margin deposits and guaranty funds, cost method investments, short-term and long-term debt and other short-term assets and liabilities. The fair value of the investments is determined primarily by quoted prices in active markets for identical securities. The fair value of short-term and long-term debt approximates carrying value since the rate of interest on the debt adjusts to market rates on a periodic basis. All other financial instruments are determined to approximate carrying value due to the short period of time to their maturities.

We carry our cost method investments at cost, or if a decline in the value of the investment is deemed to be other than temporary, at fair value. Estimates of fair value are generally based on a discounted cash flow analysis.

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

Foreign Currency Translation Adjustments and Foreign Currency Transaction Gains and Losses

In accordance with SFAS No. 52, *Foreign Currency Translation*, the functional currency of all the Company's U.K. subsidiaries had historically been pounds sterling. The Company translated the assets and liabilities of its U.K. subsidiaries into U.S. dollars using period-end exchange rates and the revenues and expenses of these entities were translated using the average exchange rates for the reporting period. Translation adjustments were recorded in accumulated other comprehensive income, a separate component of shareholders' equity in the accompanying consolidated balance sheets and in the consolidated statements of comprehensive income.

Effective July 1, 2006, the functional currency of the majority of the Company's U.K. subsidiaries, including ICE Futures Europe, became the U.S. dollar. SFAS No. 52 states that the functional currency of an entity is the currency of the primary economic environment in which the entity operates. The functional currency changed based on various economic factors and circumstances, including the fact that during the second quarter of 2006, ICE Futures Europe began to charge and collect exchange fees in U.S. dollars rather than pounds sterling in its key futures contracts, including crude oil and heating oil contracts. The Company no longer recognizes any translation adjustments in the accompanying consolidated financial statements subsequent to June 30, 2006 for those U.K. subsidiaries that have switched their functional currency to the U.S. dollar.

In connection with the Company's acquisition of ICE Futures Canada in August 2007 and Creditex in August 2008 (Note 3), the Company now has foreign currency translation risk equal to its net investment in certain Canadian and U.K. subsidiaries. The revenues, expenses and financial results of these Canadian and U.K. subsidiaries are denominated in Canadian dollars or pounds sterling, which are the functional currencies of these subsidiaries. The financial statements of these subsidiaries are translated into U.S. dollars using current rates of exchange, with gains or losses included in the cumulative translation adjustment account, a component of shareholders' equity.

The Company has foreign currency transaction gains and losses related to the settlement of foreign currency denominated assets, liabilities and payables that occur through its operations which are received in or paid in pounds sterling or euros due to the increase or decrease in the period-end foreign currency exchange rates between periods. Gains and losses from foreign currency transactions are included in other income (expense) in the accompanying consolidated statements of income and resulted in net gains (losses) of \$3.1 million, \$842,000 and (\$288,000) for the years ended December 31, 2008, 2007 and 2006, respectively.

Marketing and Promotional Fees

Advertising costs, including print advertising and production costs, product promotion campaigns and seminar, conference and convention costs related to trade shows and other industry events, are expensed as incurred. The Company incurred advertising costs of \$4.3 million, \$4.1 million and \$1.8 million for the years ended December 31, 2008, 2007 and 2006, respectively.

Recently Adopted Accounting Pronouncements

In September 2006, the Financial Accounting Standards Board ("FASB"), issued SFAS No. 157, *Fair Value Measurements*. SFAS No. 157 defines fair value, establishes a framework for measuring fair value and expands fair value measurement disclosures. SFAS No. 157 became effective for the Company beginning in fiscal year 2008. The Company's adoption of SFAS No. 157 did not have a material impact on its consolidated financial statements.

In February 2007, the FASB issued SFAS No. 159, *The Fair Value Option for Financial Assets and Financial Liabilities — including an Amendment of FASB Statement No. 115*, which permits entities to choose to measure certain financial assets and financial liabilities at fair value. Unrealized gains and losses on items

IntercontinentalExchange, Inc. and Subsidiaries

Notes to Consolidated Financial Statements — (Continued)

for which the fair value option has been elected are reported in earnings. SFAS No. 159 became effective for the Company beginning in fiscal year 2008. The Company's adoption of SFAS No. 159 did not have a material impact on its consolidated financial statements.

New Accounting Pronouncements

In December 2007, the FASB issued SFAS No. 141 (revised 2007), *Business Combinations*, ("SFAS No. 141 (R)"). SFAS No. 141(R) will significantly change the accounting for business combinations. Under SFAS No. 141 (R), an acquiring entity will be required to recognize all the assets acquired and liabilities assumed in a transaction at the acquisition-date fair value with limited exceptions. SFAS No. 141(R) will change the accounting treatment for certain specific acquisition related items including expensing acquisition related costs as incurred, valuing non-controlling interests at fair value at the acquisition date and expensing restructuring costs associated with an acquired business. SFAS No. 141(R) also includes a substantial number of new disclosure requirements. SFAS No. 141(R) is to be applied prospectively to business combinations for which the acquisition date is on or after January 1, 2009. The Company expects that SFAS No. 141(R) will have an impact on its accounting for future business combinations once adopted but the extent of the impact is dependent upon the size, complexity and number of acquisitions that are made in the future. In addition, as of December 31, 2008, the Company has included deferred acquisition costs of \$2.2 million in its consolidated balance sheet in non-current assets related to the expected 2009 acquisition of The Clearing Corporation. The Clearing Corporation is a clearing house that provides clearing and settlement services to its participants for trades in futures contracts, options on futures contracts and OTC transactions executed on various exchanges and marketplaces. These deferred costs will be expensed upon the Company's adoption of SFAS No. 141 (R) on January 1, 2009.

In December 2007, the FASB issued SFAS No. 160, *Noncontrolling Interests in Consolidated Financial Statements—an amendment of ARB No. 51*. SFAS No. 160 amends ARB No. 51 to establish and improve accounting and reporting standards for the noncontrolling interest in a subsidiary and for the deconsolidation of a subsidiary. SFAS No. 160 also changes the way the consolidated income statement is presented, establishes a single method of accounting for changes in a parent's ownership interest in a subsidiary that do not result in deconsolidation, requires that a parent recognize a gain or loss in net income when a subsidiary is deconsolidated, and expands disclosures in the consolidated financial statements in order to clearly identify and distinguish between the interests of the parent's owners and the interest of the noncontrolling owners of a subsidiary. SFAS No. 160 is effective for the Company's 2009 fiscal year. The Company does not expect that the adoption of SFAS No. 160 will have a material impact on its consolidated financial statements.

3. Acquisitions***Creditex Acquisition***

The Company acquired 100% of Creditex on August 29, 2008 for a combination of stock and cash. The Company also assumed the Creditex stock option and restricted stock award plans. Creditex is a market leader and innovator in the execution and processing of CDS with markets spanning the United States, Europe and Asia. Creditex serves the most liquid segments of the traded CDS market, including indexes, single-name instruments and standardized tranches. The acquisition provides the Company with the opportunity to expand into the global CDS market, including trade execution and post-trade services. The acquisition has been accounted for as a purchase business combination. Assets acquired and liabilities assumed were recorded at

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

their estimated fair values as of August 29, 2008. The total purchase price was \$535.4 million, and was comprised of the following (in thousands):

Cash paid to Creditex stockholders	\$ 48,684
Fair value of the Company's common stock and vested stock options issued	475,197
Excess working capital	6,188
Transaction costs	5,326
Total purchase price	<u>\$535,395</u>

In connection with the acquisition, the Company issued 4.7 million shares of its common stock to Creditex stockholders and issued 764,000 vested stock options to Creditex employees. The fair value of the Company's common stock was determined for accounting purposes to be \$85.50 per share, which represented the average closing price of the Company's common stock for the five business day period commencing two business days prior to the first date on which the number of shares and the amount of other consideration became fixed, which was August 22, 2008. Acquisition-related transaction costs include investment banking, legal and accounting fees, valuation, printing and other external costs directly related to the acquisition.

Under purchase accounting, the total purchase price was allocated to Creditex's net tangible and identifiable intangible assets based on the estimated fair values of those assets as of August 29, 2008, as set forth below. The excess of the purchase price over the net tangible and identifiable intangible assets was recorded as goodwill. The purchase price allocation is as follows (in thousands):

Cash and cash equivalents and short-term investments	\$ 45,913
Other current assets	35,795
Property and equipment	5,368
Goodwill	380,080
Identifiable intangible assets	215,400
Other noncurrent assets	20,896
Current liabilities	(55,510)
Deferred tax liabilities on identifiable intangible assets	(99,110)
Other long-term liabilities and minority interests	(13,437)
Total purchase price allocation	<u>\$535,395</u>

The entire goodwill amount above is included in the OTC business segment for purposes of segment reporting as this is consistent with how it is reported internally to the Company's chief operating decision maker. The entire goodwill amount above was allocated to the Creditex reporting unit for purposes of future impairment testing.

In performing the purchase price allocation, the Company considered, among other factors, the intended future use of acquired assets, analyses of historical financial performance and estimates of future performance of Creditex's business. The following table sets forth the components of intangible assets associated with the acquisition as of December 31, 2008 (in thousands, except years):

<u>Intangible Asset</u>	<u>Fair Value</u>	<u>Accumulated Amortization</u>	<u>Net Book Value</u>	<u>Useful Life</u>
Customer relationships	\$184,000	\$ 3,534	\$180,466	12 years
Non-compete agreements	15,100	2,990	12,110	1-1.75 years
Developed technology	13,700	1,476	12,224	5 years
Trade names	2,600	433	2,167	2 years
Total	<u>\$215,400</u>	<u>\$ 8,433</u>	<u>\$206,967</u>	

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

Customer relationships represent the established and ongoing relationships with Creditex's existing customers. Non-compete agreements represent the estimated fair value of agreements with Creditex's brokers and management team. Developed technology represents both internally and externally developed software related to Creditex trading operations. Trade names represent the estimated fair value of the Creditex trade names and trademarks. The customer relationships intangible assets and the developed technology intangible assets are being amortized using an accelerated method over their estimated useful lives and the other intangible assets are being amortized using the straight-line method over their estimated useful lives.

The financial information in the table below summarizes the combined results of operations of the Company and Creditex, on a pro forma basis, as though the companies had been combined as of the beginning of the periods presented. The pro forma financial information is presented for informational purposes only and is not indicative of the results of operations that would have been achieved if the acquisition had taken place at the beginning of the periods presented. Such pro forma financial information is based on the historical financial statements of the Company and Creditex. This pro forma financial information is based on estimates and assumptions that have been made solely for purposes of developing such pro forma information, including, without limitation, purchase accounting adjustments. The pro forma financial information presented below also includes depreciation and amortization based on the preliminary valuation of Creditex's tangible assets and identifiable intangible assets resulting from the acquisition. The pro forma financial information does not reflect any synergies or operating cost reductions that may be achieved from the combined operations. The pro forma financial information combines the historical results for the Company and Creditex for the years ended December 31, 2008 and 2007 in the following table (in thousands).

	Year Ended December 31,	
	2008	2007
Revenues	\$933,584	\$733,634
Net Income	\$286,841	\$225,924
Earnings per common share — Basic	\$ 3.77	\$ 3.06
Earnings per common share — Diluted	\$ 3.72	\$ 2.95

ICE Futures U.S. Acquisition

The Company completed its acquisition of ICE Futures U.S. on January 12, 2007. The acquisition has been accounted for as a purchase business combination. Assets acquired and liabilities assumed were recorded at their estimated fair values as of January 12, 2007. The total purchase price was \$1.1 billion, and was comprised of the following (in thousands):

Cash paid to ICE Futures U.S. members	\$ 400,000
Fair value of the Company's common stock issued	706,663
Excess working capital	2,109
Transaction costs	14,670
Total purchase price	<u>\$1,123,442</u>

In connection with the acquisition, the Company issued 10.3 million shares of its common stock to ICE Futures U.S. members. The fair value of the Company's common stock was determined for accounting purposes to be \$68.63 per share, which represented the average closing price of the Company's common stock for the five business day period commencing two business days prior to the public announcement of the acquisition on September 14, 2006.

Under purchase accounting, the total purchase price was allocated to ICE Futures U.S.'s net tangible and identifiable intangible assets based on the estimated fair values of these assets as of January 12, 2007, as set

IntercontinentalExchange, Inc. and Subsidiaries

Notes to Consolidated Financial Statements — (Continued)

forth below. The excess of the purchase price over the net tangible and identifiable intangible assets was recorded as goodwill. The purchase price allocation is as follows (in thousands):

Cash and cash equivalents and short-term investments	\$ 39,945
Margin deposits and guaranty funds	784,385
Other current assets	14,993
Property and equipment	16,149
Goodwill	890,573
Identifiable intangible assets	327,500
Other noncurrent assets	24,658
Accounts payable and other accrued liabilities	(37,985)
Accrued restructuring costs	(14,366)
Margin deposits and guaranty funds	(784,385)
Deferred tax liabilities	(114,108)
Other long-term liabilities	(23,917)
Total purchase price allocation	<u>\$1,123,442</u>

The entire goodwill amount above is included in the OTC business segment for purposes of segment reporting as this is consistent with how it is reported internally to the Company's chief operating decision maker. Of the ICE Futures U.S. goodwill balance above, \$443.5 million was allocated to the OTC reporting unit, \$266.1 million was allocated to the ICE Futures Europe reporting unit, \$19.7 million was allocated to the market data reporting unit and the remaining \$161.3 million was allocated to the ICE Futures U.S. reporting unit for purposes of impairment testing. The goodwill from the ICE Futures U.S. acquisition was allocated based on the portion of the synergy, costs savings and other expected future cash flows expected to benefit the reporting units at the time of the acquisition.

The following table sets forth the components of intangible assets associated with the acquisition as of December 31, 2008 (in thousands, except years):

<u>Intangible Asset</u>	<u>Fair Value</u>	<u>Accumulated Amortization</u>	<u>Net Book Value</u>	<u>Useful Life</u>
Agriculture and soft commodity trading products	\$195,200	\$ —	\$195,200	Indefinite
Financial trading products	14,400	1,003	13,397	20 years
Customer relationships	29,700	4,030	25,670	17-20 years
Technology	7,900	5,178	2,722	3 years
Non-compete agreements	12,000	7,894	4,106	2-5 years
DCM/DCO designation	68,300	—	68,300	Indefinite
Total	<u>\$327,500</u>	<u>\$ 18,105</u>	<u>\$309,395</u>	

The agriculture and soft commodity trading products identifiable intangible asset relates to the core trading product rights and privileges relating to the agriculture and soft commodity trading products. An indefinite life was used for the agriculture and soft commodity trading products as these products have traded for many years at ICE Futures U.S., ICE Futures U.S. is allowed to trade these products without requiring a license from any third party and authorizations by the CFTC to trade these products are perpetual. The financial trading products have been assigned a 20 year useful life as they do not have a long trading history, are not unique to ICE Futures U.S. and in some cases are dependent on licenses with third parties. Customer relationships represent the underlying relationships with ICE Futures U.S.'s existing customers. Technology

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

represents both internally and externally developed software related to clearing operations, back office, floor operations and general operations. Non-compete agreements represent the estimated fair value of agreements with ICE Futures U.S.'s former management team. DCM/DCO designation represents Designated Contract Market ("DCM") and Derivatives Clearing Organization ("DCO") designations available from the CFTC under the Commodity Exchange Act when certain standards are met. The customer relationships intangible asset and the financial trading products intangible asset are being amortized using an accelerated method and the other finite-lived intangible assets are being amortized using the straight-line method.

As a part of the acquisition of ICE Futures U.S., the Company formed a plan to restructure the ICE Futures U.S. duplicative employee functions to align them with the Company's existing business functions and to streamline ICE Futures U.S.'s operations. The restructuring costs and the related payments are documented in the following table (in thousands):

Reserve balance, January 12, 2007	\$ 11,040
Increase in reserve	3,326
Cost applied against the reserve	<u>(11,761)</u>
Reserve balance, December 31, 2007	2,605
Cost applied against the reserve	<u>(2,605)</u>
Reserve balance, December 31, 2008	<u>\$ —</u>

Other Acquisitions

On February 13, 2008, the Company acquired 100% of YellowJacket Software, Inc. ("YellowJacket") for a combination of stock and cash. YellowJacket is a financial technology firm that operates electronic trade negotiation technology which offers a range of trading tools including instant communication, negotiation and data for various financial markets. With the YellowJacket platform, traders can aggregate and consolidate fragmented instant message-based communications and key transaction details on a single screen. The acquisition has been accounted for as a purchase business combination. The financial results of YellowJacket have been included in the OTC business segment from the date of acquisition.

On October 1, 2007, the Company acquired certain assets of Chatham Energy Partners, LLC ("Chatham") for cash. Chatham is a leading OTC brokerage firm that specializes in structuring and facilitating transactions in the natural gas markets for energy options. Chatham supports the execution of the Company's strategic plans to develop the leading electronic marketplace for the execution of OTC energy options. The acquisition has been accounted for as a purchase business combination. The financial results of Chatham have been included in the OTC business segment from the date of acquisition.

On August 27, 2007, the Company acquired 100% of ICE Futures Canada and its clearing house, ICE Clear Canada, Inc., for cash. ICE Futures Canada is the leading agricultural futures exchange in Canada and it offers futures and options contracts on canola and western barley. In connection with the acquisition, the Company transitioned the trading of the ICE Futures Canada products to the Company's electronic platform in December 2007. The acquisition has been accounted for as a purchase business combination. The financial results have been included in the futures business segment from the date of acquisition.

On July 9, 2007, the Company acquired certain assets of ChemConnect Inc. for cash. ChemConnect is an electronic marketplace for the trading of OTC natural gas liquids and chemical products, including propane, ethane, ethylene, propylene and benzene. On the closing date of the acquisition, the Company transitioned the trading of these products to the Company's electronic platform. The acquisition has been accounted for as a purchase business combination. The financial results have been included in the OTC business segment from the date of acquisition.

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

On February 28, 2007, the Company acquired all the assets of Commoditrack, Inc. for a combination of cash and the Company's common stock. The acquisition enables the Company to provide its customers a real-time risk management program as well as the ability to download trades and access profit and loss detail on the Company's electronic platform. The acquisition has been accounted for as a purchase business combination. The financial results have been included in the OTC business segment from the date of acquisition.

The aggregate cost of these other acquisitions was \$150.7 million, which was paid in cash and stock. Under purchase accounting, the total purchase price was allocated to net tangible and identifiable intangible assets based on estimated fair values of these assets. The Company will make additional payments in cash or stock to certain former shareholders of YellowJacket and former shareholders of certain other acquired companies if specified revenue targets or certain other strategic goals specified in the purchase agreements for those acquired companies are achieved. The maximum annual contingent payments that could be made in 2009 and 2010 are \$16.2 million and \$79.2 million, respectively.

4. Short-Term and Long-Term Restricted Cash

As a Recognized Investment Exchange, the FSA in the United Kingdom requires ICE Futures Europe to restrict the use of the equivalent of six months of operating expenditures in cash or cash equivalents at all times. As of December 31, 2008 and 2007, this amount was equal to \$12.1 million and \$13.1 million, respectively, and is reflected as short-term restricted cash in the accompanying consolidated balance sheets.

The Company owns 100% of ICE Markets Limited, which is based in London and supports the markets for European energy commodities, performs helpdesk functions and is authorized by the FSA to act as an arranger of deals in investments. The FSA requires ICE Markets Limited to maintain a minimum level of financial resources, which is calculated monthly on the basis of 25% of the relevant annual expenditures, adjusted for any illiquid assets. As of December 31, 2008 and 2007, the resource requirement was equal to \$1.9 million and \$2.7 million, respectively, and is reflected as short-term restricted cash in the accompanying consolidated balance sheets.

The Company formed ICE Clear Europe to serve as a clearing house to perform the clearing and settlement of each futures and options contract that trades through ICE Futures Europe and for all of the Company's cleared OTC energy products. ICE Clear Europe began clearing these contracts in November 2008, upon the transition of the clearing function from LCH.Clearnet Ltd. ICE Clear Europe has been recognized by the FSA as a U.K. Recognized Clearing House. As such, the FSA requires ICE Clear Europe to restrict the use of the equivalent of six months of operating expenditures in cash or cash equivalents at all times. As of December 31, 2008, the resource requirement was equal to \$7.2 million and is reflected as short-term restricted cash in the accompanying consolidated balance sheet.

Consistent with the other clearing houses that the Company owns, ICE Clear Europe requires that each clearing member make deposits in a fund known as the guaranty fund. The amounts in the guaranty fund will serve to secure the obligations of a clearing member to ICE Clear Europe and may be used to cover losses in excess of the margin and clearing firm accounts sustained by ICE Clear Europe in the event of a default of a clearing member. ICE Clear Europe has committed \$100.0 million of its own cash as part of its guaranty fund. This contribution was made in July 2008 and this cash is reflected as long-term restricted cash in the consolidated balance sheet as of December 31, 2008. ICE Clear U.S. and ICE Clear Canada do not contribute to their respective guaranty funds.

As of December 31, 2008 and 2007, there is \$15.3 million and \$6.9 million, respectively, of cash held as escrow for previous acquisitions that is reflected as short-term and long-term restricted cash in the accompanying consolidated balance sheets.

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

5. Short-Term and Long-Term Investments

Investments consist of available-for-sale securities. Available-for-sale securities are carried at fair value using primarily quoted prices in active markets for identical securities, with unrealized gains or losses reported as a component of accumulated other comprehensive income. The cost of securities sold is based on the specific identification method. As of December 31, 2008, available-for-sale securities consisted of the following (in thousands):

	<u>Cost</u>	<u>Gross Unrealized Gains</u>	<u>Gross Unrealized Losses</u>	<u>Estimated Fair Value</u>
Foreign government securities	\$ 143	\$ 1	\$ —	\$ 144
U.S. Treasury securities	1,997	—	—	1,997
Equity securities	8	—	2	6
Corporate bonds	1,320	—	48	1,272
Municipal bonds	3,065	—	—	3,065
Total	<u>\$6,533</u>	<u>\$ 1</u>	<u>\$ 50</u>	<u>\$ 6,484</u>

As of December 31, 2007, available-for-sale securities consisted of the following (in thousands):

	<u>Cost</u>	<u>Gross Unrealized Gains</u>	<u>Gross Unrealized Losses</u>	<u>Estimated Fair Value</u>
Government securities	\$ 418	\$ —	\$ 1	\$ 417
Corporate bonds	28,757	106	46	28,817
Municipal bonds	111,721	—	—	111,721
Total	<u>\$140,896</u>	<u>\$ 106</u>	<u>\$ 47</u>	<u>\$140,955</u>

The contractual maturities of these investments as of December 31, 2008, were as follows (in thousands):

	<u>Estimated Fair Value</u>
Maturities:	
Due within 1 year	\$ 3,107
Due within 1 year to 5 years	312
Due within 5 years to 10 years	—
Due after 10 years	3,065
Total	<u>\$ 6,484</u>

Investments that the Company intends to hold for more than one year are classified as long-term investments. The Company currently expects to hold \$3.1 million of the investments for more than one year as of December 31, 2008 and has classified them as long-term investments in the accompanying consolidated balance sheet. The \$3.1 million in long-term investments relates to an auction rate security that failed to settle at auction during the year ended December 31, 2008 due to recent credit market conditions. The fair value of this auction rate security, which has continued to pay the full coupon rate and has a high credit rating, was determined based on level 3 unobservable inputs, which means the inputs reflect management's own assumptions and the assets trade infrequently, and are supported by little or no market activity that are significant to the fair value of the asset. The Company does not intend to hold any of the other investments for more than one year. Therefore, the Company has classified the remaining \$3.4 million and \$141.0 million as short-term investments in the accompanying consolidated balance sheet as of December 31, 2008 and 2007, respectively.

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

The Company considers all short-term, highly liquid investments with remaining maturities at the purchase date of three months or less at the time of purchase to be cash equivalents. Due to the Company's decision to shift more of its funds into cash equivalent investments, the available-for-sale short-term and long-term investments decreased from \$141.0 million as of December 31, 2007 to \$6.5 million as of December 31, 2008. The decision to invest more in cash and cash equivalent investments was primarily due to credit market conditions.

6. Cost Method Investments and Impairment of NCDEX

The Company has an 8% equity ownership in the National Commodity and Derivatives Exchange, Ltd ("NCDEX"), a derivatives exchange located in Mumbai, India, which it acquired for \$37.0 million in 2006. In response to political pressure regarding high commodity prices, the Indian government suspended trading in several key agricultural contracts traded on NCDEX during the year ended December 31, 2007. It is not yet certain whether these suspensions will be permanent. However, the Company currently believes that the delisting of the contracts may be a temporary event as price volatility actually increased after the contracts were delisted from trading, suggesting little to no correlation between trading in these products and price volatility. The Company also may be required to sell a portion of its NCDEX stake by June 30, 2009 as a result of a recently announced change in Indian law that limits the total ownership by foreign entities in Indian commodities exchanges to a maximum of 5%. The Company, as well as NCDEX and other non-Indian NCDEX shareholders, have petitioned the Indian government and the Forward Markets Commission, the market regulator, to either increase the foreign ownership limit, to grandfather those who were foreign investors at the time that the law was passed in August 2008 or to extend the amount of time permitted to sell interests in excess of 5% given current market challenges. If these petitions are not successful, the Company could be required to sell the 3% interest by June 2009 or shortly thereafter. The Company currently believes there may not be sufficient demand for its shares due to current market conditions such that it will likely not be able to recover its carrying value if it is required to sell the 3% stake in the near term.

The Company has estimated the current fair value of the NCDEX investment to be in the range of \$19 million to \$23 million as of December 31, 2008. The fair value of this investment was determined based on level 3 unobservable inputs, which represent management's own assumptions. The level 3 inputs were based on analyses of discounted cash flows, comparable investments made by other companies and revenue multiples, weighted based on applicability. Observable inputs were not available as the asset trades infrequently and has little or no market activity that would be useful in estimating fair value. Given the significance of the decrease in the estimated fair value resulting from the suspended trading of the key NCDEX contracts, potential foreign investment limits, current market conditions and the uncertainty surrounding the potential for the Company to recover the carrying value of the investment, the Company has written down its cost method investment in NCDEX. As of December 31, 2008, the Company recorded an impairment loss of \$15.7 million, reducing the carrying value of the investment to \$21.3 million. The \$15.7 million impairment loss was recognized as other expense in the accompanying consolidated statement of income for the year ended December 31, 2008. The Company will continue to monitor the \$21.3 million carrying value and if it is determined that additional other-than-temporary impairment exists, the Company will recognize an impairment loss equal to the difference between the fair value and the adjusted carrying value of the 8% equity stake.

The Company has cost method investments in The Clearing Corporation and in Trade-Settlement, Inc., both of which the Company acquired in connection with its acquisition of Creditex on August 29, 2008. Trade-Settlement, Inc. is a post trade loan settlement process company that serves the global primary and secondary syndicated loan markets. The Company also has cost method investments in LCH.Clearnet Ltd, a third party clearing house that previously cleared the Company's OTC and energy futures contracts until the transition to ICE Clear Europe in November 2008, and in Psydex Corporation, a company that provides news aggregation services. The Company uses the cost method to account for these investments as the Company

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

does not control and does not have the ability to exercise significant influence over the operating and financial policies of these companies.

7. Property and Equipment

Property and equipment consisted of the following as of December 31, 2008 and 2007:

	<u>December 31,</u>		<u>Depreciation</u>
	<u>2008</u>	<u>2007</u>	<u>Period</u>
	<u>(In thousands)</u>		<u>(In years)</u>
Computer and network equipment	\$ 64,398	\$ 46,393	3
Software and internally developed software	94,733	70,336	3
Office furniture and equipment	12,830	11,707	5
Leasehold improvements	27,028	14,492	7
	198,989	142,928	
Less accumulated depreciation and amortization	(110,037)	(79,404)	
Property and equipment, net	\$ 88,952	\$ 63,524	

For the years ended December 31, 2008, 2007 and 2006, amortization of software and internally developed software was \$12.7 million, \$8.1 million and \$6.1 million, respectively, and depreciation of all other property and equipment was \$19.7 million, \$15.1 million and \$4.7 million, respectively. The unamortized software and internally developed software balances were \$32.8 million and \$21.5 million as of December 31, 2008 and 2007, respectively.

In August 2006, the Company entered into an agreement with a third party to sell its former open-outcry disaster recovery site in London. Prior to the closure of the Company's open-outcry floor in London during April 2005, the building on this site was used as a backup open-outcry trading facility. The sale was completed in February 2007 at which time final payment was received and a net gain on disposal of an asset of \$9.3 million was recognized as other income in the accompanying consolidated statement of income for the year ended December 31, 2007.

8. Goodwill and Other Intangible Assets

The following is a summary of the activity in the goodwill balance for the years ended December 31, 2008 and 2007 (in thousands):

Goodwill balance at January 1, 2007	\$ 79,575
Acquisition of ICE Futures U.S.	890,466
Other acquisitions	37,801
Other activity	1,845
Goodwill balance at December 31, 2007	1,009,687
Acquisition of Creditex	380,080
Acquisition of YellowJacket	46,961
Other activity	(1,912)
Goodwill balance at December 31, 2008	<u>\$1,434,816</u>

The Company completed the ICE Futures U.S. acquisition during the year ended December 31, 2007, which resulted in goodwill of \$890.6 million, and the Creditex acquisition during the year ended December 31, 2008, which resulted in goodwill of \$380.1 million (Note 3). The Company also completed the acquisition of YellowJacket during the year ended December 31, 2008 and the acquisitions of Commoditrack, ChemConnect, ICE Futures Canada and Chatham during the year ended December 31, 2007. The total amount of goodwill

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

expected to be deductible for tax purposes for the Company's acquisitions is \$15.1 million. The other activity in the goodwill balance relates to adjustments to the purchase price and related goodwill for acquisitions completed in the prior years, primarily relating to updated valuations of identified intangible assets, and to foreign currency translation adjustments. The Company did not recognize any impairment losses on goodwill during the years ended December 31, 2008, 2007 and 2006.

Other intangible assets and the related accumulated amortization consisted of the following as of December 31, 2008 and 2007:

	December 31,		Useful Life (In years)
	2008	2007	
	(In thousands)		
Customer relationships	\$249,409	\$ 62,709	4 to 20
Russell licensing rights	149,796	149,796	7
Trading products with finite lives	14,400	14,400	20
Non-compete agreements	31,402	15,502	1 to 5
Technology	31,580	9,383	3 to 11
Other	2,585	665	2 to 5
	<u>479,172</u>	<u>252,455</u>	
Less accumulated amortization	(45,516)	(15,754)	
Total finite-lived intangible assets, net	<u>433,656</u>	<u>236,701</u>	
Trading products with indefinite-lives	212,684	216,858	
DCM/DCO designation for ICE Futures U.S.	68,300	68,300	
Other	14,215	15,863	
Total other indefinite-lived intangible assets	<u>295,199</u>	<u>301,021</u>	
Total other intangible assets, net	<u><u>\$728,855</u></u>	<u><u>\$537,722</u></u>	

See Note 3 for a discussion of the \$327.5 million in other intangible assets relating to the ICE Futures U.S. acquisition during the year ended December 31, 2007 and \$215.4 million in other intangible assets relating to the Creditex acquisition during the year ended December 31, 2008. See Note 15 for a discussion of the \$149.8 million in Russell licensing rights. In addition to the Creditex acquisition, the Company also increased the other intangibles assets by \$5.5 million during the year ended December 31, 2008 relating to the YellowJacket acquisition completed during the year ended December 31, 2008 and updated valuations of identified intangible assets for acquisition completed during the year ended December 31, 2007.

For the years ended December 31, 2008, 2007 and 2006, amortization of other intangible assets was \$29.8 million, \$9.5 million and \$648,000, respectively. Collectively, the remaining weighted average useful lives of the finite-lived intangible assets is 11.3 years. The Company expects future amortization expense from other intangible assets as of December 31, 2008 to be as follows (in thousands):

2009	\$ 63,354
2010	55,860
2011	54,642
2012	53,068
2013	52,377
Thereafter	154,355
	<u><u>\$433,656</u></u>

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

9. Credit Facilities

The Company has a senior unsecured credit agreement under which a term loan facility in the aggregate principal amount of \$184.4 million is outstanding as of December 31, 2008, and a revolving credit facility in the aggregate principal amount of \$250.0 million (collectively, the “Credit Facilities”). Under the terms of the Credit Facilities, the Company may borrow an aggregate principal amount of up to \$250.0 million under the revolving credit facility at any time until its termination on January 12, 2010. The Company has agreed to reserve \$50.0 million of the \$250.0 million available under the revolving credit facility for use by ICE Clear U.S., ICE Futures U.S.’s clearing organization, to provide short-term liquidity, if necessary, in the event of default by a clearing member firm. The Company borrowed \$195.0 million under the revolving credit facility during the three months ended September 30, 2008 and that amount is outstanding as of December 31, 2008. This amount was used by the Company for stock repurchases (Note 10). The remaining amount under the revolving credit facility, which is \$5.0 million after factoring in the \$50.0 million reserved for ICE Clear U.S., could be used by the Company for general corporate purposes.

Loans under the Credit Facilities shall, at the option of the Company, bear interest on the principal amount outstanding at either (i) LIBOR plus an applicable margin rate or (ii) a “base rate” plus an applicable margin rate. The “base rate” will be equal to the higher of (i) Wachovia Bank, National Association’s (“Wachovia”) prime rate or (ii) the federal funds rate plus 0.5%. The applicable margin rate ranges from 0.625% to 1.125% on the LIBOR loans and from 0.00% to 0.125% for the base rate loans based on the Company’s total leverage ratio calculated on a trailing twelve month period. Interest on each loan is payable quarterly. As of December 31, 2008, the Company had a six-month LIBOR loan for \$184.4 million outstanding under the term loan facility with a stated interest rate of 2.44% per annum, including the applicable margin rate at December 31, 2008 of 0.625% on the LIBOR loan. For the borrowings under the term loan facility, the Company began making payments on June 30, 2007, and will make payments quarterly thereafter until January 12, 2012, the fifth anniversary of the closing date of the merger with ICE Futures U.S. Aggregate principal maturities on this note over each of the next four years are \$46.9 million, \$50.0 million, \$68.8 million and \$18.7 million in 2009, 2010, 2011 and 2012, respectively. As of December 31, 2008, the Company had a six-month LIBOR loan for \$195.0 million outstanding under the revolving credit facility with a stated interest rate of 3.60% per annum, including the applicable margin rate at December 31, 2008 of 0.50% on the LIBOR loan. For the borrowings under the revolving credit facility, any amount borrowed would need to be repaid by January 12, 2010.

The Credit Facilities require the Company to use 100% of the net cash proceeds raised from debt issuances or asset dispositions, with certain limited exceptions, to prepay outstanding loans under the Credit Facilities. With limited exceptions, the Company may prepay the outstanding loans under the Credit Facilities, in whole or in part, without premium or penalty. The Credit Facilities contain affirmative and negative covenants, including, but not limited to, leverage and interest coverage ratios, as well as limitations or required approvals for acquisitions, dispositions of assets and certain investments, the incurrence of additional debt or the creation of liens and other fundamental changes to the Company’s business. The Company has been and is currently in compliance with all applicable covenants under the Credit Facilities.

On June 27, 2008, the Company entered into a separate senior unsecured credit agreement (the “Credit Agreement”) with Wachovia, as Administrative Agent, Bank of America, N.A., as Syndication Agent, and the lenders named therein. The Credit Agreement provides for a 364-day revolving credit facility in the aggregate principal amount of \$150.0 million, which may be increased to \$200.0 million under certain conditions. The Credit Agreement is available for operational use solely by ICE Clear Europe, the Company’s wholly-owned U.K. clearing house. Loans under the Credit Agreement shall, at the option of the Company, bear interest on the principal amount outstanding at either (i) LIBOR plus an applicable margin rate or (ii) a “base rate” plus an applicable margin rate. The “base rate” will be equal to the higher of (i) Wachovia’s prime rate or (ii) the federal funds rate plus 0.5%. The applicable margin rate ranges from 1.50% to 2.50% on the LIBOR loans

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

and from 0.50% to 1.50% for the base rate loans based on the Company's total leverage ratio calculated on a trailing twelve month period. No amounts are outstanding under the \$150.0 million Credit Agreement as of December 31, 2008.

10. Shareholders' Equity

Stock Option Plans

The Company has adopted the IntercontinentalExchange, Inc. 2000 Stock Option Plan (the "2000 Stock Option Plan"). As of December 31, 2008, there are 5,250,000 shares of common stock reserved for issuance under the 2000 Stock Option Plan, of which 45,282 shares are available for future issuance as of December 31, 2008. The Company has also adopted the IntercontinentalExchange, Inc. 2005 Equity Incentive Plan (the "2005 Equity Incentive Plan"). The 2005 Equity Incentive Plan allows the Company to grant incentive stock options, nonqualified stock options, stock appreciation rights, restricted stock and restricted stock units. As of December 31, 2008, there are 2,125,000 shares reserved for issuance under the 2005 Equity Incentive Plan, of which 903,320 shares are available for future issuance as of December 31, 2008. In connection with the acquisition of Creditex in August 2008 (Note 3), the Company assumed the 1999 Stock Options/Stock Issuance Plan of Creditex ("the Creditex Plan"). Details of the Creditex Plan are discussed below.

Stock options are granted at the discretion of the compensation committee of the board of directors. All stock options are granted at an exercise price equal to the fair value of the common stock on the date of grant. The grant date fair value is based on the closing stock price on the date of grant. The fair value of the stock options on the date of grant is recognized as expense ratably over the vesting period, net of estimated forfeitures. The Company may grant, under provisions of the plans, both incentive stock options and nonqualified stock options. The options generally vest from three to four years, but can vest at different intervals based on the compensation committee's determination. Generally, options may be exercised up to ten years after the date of grant, but generally expire 14 days after termination of employment. The following is a summary of options for the years ended December 31, 2008, 2007 and 2006:

	Number of Options	Weighted Average Exercise Price per Option
Outstanding at January 1, 2006	4,787,418	\$ 9.51
Granted	170,654	100.38
Exercised	(2,510,481)	8.80
Forfeited	(142,683)	8.49
Outstanding at December 31, 2006	2,304,908	17.05
Granted	108,126	180.63
Exercised	(1,043,734)	9.51
Forfeited	(10,213)	10.79
Outstanding at December 31, 2007	1,359,087	35.91
Granted	1,534,390	31.28
Exercised	(397,255)	13.05
Forfeited	(32,807)	26.94
Outstanding at December 31, 2008	<u>2,463,415</u>	36.83

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

Details of stock options outstanding as of December 31, 2008 are as follows:

	<u>Number of Options</u>	<u>Weighted Average Exercise Price</u>	<u>Weighted Average Remaining Contractual Life (Years)</u>	<u>Aggregate Intrinsic Value (In thousands)</u>
Vested or expected to vest	2,281,687	\$34.68	6.94	\$118,308
Exercisable	1,675,337	\$24.35	6.32	\$101,377

The total intrinsic value of stock options exercised during the years ended December 31, 2008, 2007 and 2006 were \$45.3 million, \$143.6 million and \$157.7 million, respectively. As of December 31, 2008, there were \$28.7 million in total unrecognized compensation costs related to stock options. These costs are expected to be recognized over a weighted average period of 2.6 years as the stock options vest.

Details of options outstanding as of December 31, 2008 are as follows:

<u>Exercise Price</u>	<u>Options Outstanding</u>	<u>Weighted Average Remaining Contractual Life (Years)</u>	<u>Options Exercisable</u>
\$ 4.19 - 12.00	878,429	5.3	874,944
17.57 - 35.08	851,398	7.3	627,498
45.84 - 81.25	499,820	9.2	48,320
104.23 - 138.80	138,200	8.0	91,106
156.78 - 189.43	95,568	8.9	33,469
Total	<u>2,463,415</u>	7.1	<u>1,675,337</u>

Of the options outstanding at December 31, 2008, 1,675,337 were exercisable at a weighted-average exercise price of \$24.35. Of the options outstanding at December 31, 2007, 936,690 were exercisable at a weighted-average exercise price of \$15.59. Of the options outstanding at December 31, 2006, 1,346,834 were exercisable at a weighted-average exercise price of \$9.17.

The Company completed its acquisition of Creditex on August 29, 2008 (Note 3). In connection with the acquisition, the Company assumed the stock option and restricted stock plans of Creditex into the Company's stock award plans. As a result, the Company exchanged its stock options and restricted stock for Creditex stock options and restricted stock. The fair value of the acquiring-company awards was less than the fair value of the acquired-company awards. The Company issued approximately 764,000 vested stock options to Creditex employees. The Company issued approximately 636,000 unvested stock option awards and approximately 179,000 unvested restricted stock awards issued to Creditex employees and will recognize non-cash compensation expense on a straight-line basis as the awards vest based on the fair value of the awards on the consummation date of the transaction on August 29, 2008. These 1.4 million stock options issued are included in the tables above as being granted during the year ended December 31, 2008.

The Company uses the Black-Scholes option pricing model for purposes of valuing stock option awards. The Company has used the Black-Scholes option pricing model weighted-average assumptions in the table below to compute the value of all options for shares of common stock granted to employees, including options exchanged in connection with the acquisition of Creditex:

<u>Assumptions</u>	<u>Year Ended December 31,</u>		
	<u>2008</u>	<u>2007</u>	<u>2006</u>
Risk-free interest rate	2.13%	3.8%	4.6%
Expected life in years	1.7	6	6
Expected volatility	52%	49%	49%
Expected dividend yield	0%	0%	0%
Estimated weighted-average fair value of options granted per share	\$64.65	\$92.58	\$53.06

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

The risk-free interest rate is based on the zero-coupon U.S. Treasury yield curve in effect at the time of grant. Expected volatilities are based on historical volatility of the Company's stock. The expected life computation is derived from historical exercise patterns and anticipated future patterns. The decrease in the expected life assumption from prior years is primarily a result of the expected short life of awards exchanged in connection with the Creditex acquisition, as well as the Company's historical exercise patterns.

Restricted Stock Plans

The Company has adopted the IntercontinentalExchange, Inc. 2004 Restricted Stock Plan (the "Restricted Plan"). As of December 31, 2008, there are 1,475,000 shares of common stock reserved for issuance under the Restricted Plan, of which 117,768 shares are available for future issuance as of December 31, 2008.

The Company granted a maximum of 677,484, 398,013 and 407,661 time-based and performance-based restricted stock units under the 2005 Equity Incentive Plan and the Restricted Plan during the years ended December 31, 2008, 2007 and 2006, respectively, including 211,589, 85,460 and 141,111 time-based restricted stock units in 2008, 2007 and 2006, respectively. The grant date fair value of each award is based on the closing stock price at the date of grant. The fair value of the time-based restricted stock units on the date of the grant is recognized as expense ratably over the vesting period, net of forfeitures. Granted but unvested shares would be forfeited upon termination of employment. When restricted stock is forfeited, compensation costs previously recognized for unvested shares are reversed. Until the shares vest and are issued, the participants have no voting or dividend rights and the shares may not be sold, assigned, transferred, pledged or otherwise encumbered.

Under SFAS No. 123(R), the Company will recognize compensation costs, net of forfeitures, using an accelerated attribution method over the vesting period for awards with performance conditions. Compensation costs for such awards will be recognized only if it is probable that the condition will be satisfied. If the Company initially determines that it is not probable that the performance condition will be satisfied and later determines that it is probable that the performance condition will be satisfied, or vice versa, the effect of the change in estimate will be accounted for in the period of change by recording a cumulative catch-up adjustment to retroactively apply the new estimate. The Company would recognize the remaining compensation costs over the remaining vesting period. The Company's compensation committee, pursuant to the terms of the 2005 Equity Incentive Plan and the authority delegated to it by the Company's board of directors, can make equitable adjustments to the performance condition in recognition of unusual or non-recurring events.

In December 2008, the Company reserved a maximum of 465,895 restricted shares for potential issuance as performance-based restricted shares for certain Company employees. These restricted shares are also subject to a market condition that may reduce the number of shares that are granted if the 2009 Company total shareholder return falls below that of the Dow Jones Global Exchanges Index. The number of shares granted will be reduced by either 10% or 20% if the 2009 Company total shareholder return is below the 2009 return of the Dow Jones Global Exchange Index. These shares vest over a three-year period based on the Company's financial performance targets set by the Company's compensation committee for the year ending December 31, 2009. The potential compensation expenses to be recognized under these performance-based restricted shares are expected to be \$6.3 million if the Threshold Performance Target is met and 93,179 shares vest, \$12.7 million if the Target Performance Target is met and 186,358 shares vest, \$22.2 million if the Above Target Performance Target is met and 326,127 shares vest, and \$31.7 million if the Maximum Performance Target is met and 465,895 shares vest. Shares to be granted will be prorated on a straight-line basis between performance level targets. The Company will recognize expense on an accelerated basis over the three-year vesting period beginning January 1, 2009 based on the Company's quarterly assessment of the probable 2009 actual performance as compared to the 2009 financial performance targets.

In December 2007, the Company reserved a maximum of 309,913 restricted shares for potential issuance as performance-based restricted shares for certain Company employees. These restricted shares were subject to

IntercontinentalExchange, Inc. and Subsidiaries

Notes to Consolidated Financial Statements — (Continued)

a market condition that reduced the number of shares that were granted since the 2008 Company total shareholder return fell below that of the S&P 500 Index. Based on the actual shareholder return for the year ended December 31, 2008 compared to the S&P 500 Index, the Company reduced the number of shares granted by 20%. These shares vest over a three-year period based on the Company's financial performance targets set by the Company's compensation committee for the year ending December 31, 2008. As of December 31, 2008, the Company determined that the 96.8% target level was achieved for this award and 88,590 restricted shares were granted. The Company recorded non-cash compensation expenses in the accompanying consolidated statement of income of \$9.8 million for the year ended December 31, 2008 relating to this performance-based plan. The remaining \$6.2 million in non-cash compensation expenses will be expensed on an accelerated basis over the remaining two-year vesting period.

In December 2006, the Company reserved a maximum of 269,190 restricted shares for potential issuance as performance-based restricted shares for certain Company employees, of which 207,382 restricted shares were ultimately granted based on the Company's financial performance targets set by the Company's compensation committee for the year ended December 31, 2007. These shares vest over a three-year period. Non-cash compensation expenses recorded in the accompanying consolidated statements of income related to this performance-based plan were \$5.1 million and \$11.2 million for the years ended December 31, 2008 and 2007, respectively, and the remaining \$2.0 million in non-cash compensation expenses will be expensed during the year ended December 31, 2009.

The Company has adopted the IntercontinentalExchange, Inc. 2003 Restricted Stock Deferral Plan for Outside Directors (the "Director Plan"). Directors can elect to receive up to 100% of their board compensation in restricted stock or restricted stock units. The restricted stock generally vests over a three-year period. As of December 31, 2008 there are 250,000 shares of common stock reserved for issuance under the Director Plan. Under the Director Plan, the compensation committee reserved a number of the Company's common stock treasury shares sufficient to cover the current obligations under the Director Plan for issuance to the board of directors in lieu of fees otherwise payable in cash. During the years ended December 31, 2008, 2007 and 2006, 628, 947 and 5,043 shares, respectively, of restricted stock and restricted stock units were granted to members of the board of directors under the Director Plan.

Restricted shares are used as an incentive to attract and retain qualified senior officers and to increase shareholder returns with actual performance-based awards based on enhanced shareholder value. The restricted plans include a change in control provision that may accelerate vesting on both the time-based and performance-based restricted shares if employment is terminated or if the individual resigns for "good reason"

IntercontinentalExchange, Inc. and Subsidiaries

Notes to Consolidated Financial Statements — (Continued)

within 12 months after the effective date of a change in control. The following is a summary of the nonvested restricted shares under all plans discussed above for the years ended December 31, 2008, 2007 and 2006:

	Number of Restricted Stock Shares	Weighted Average Grant-Date Fair Value per Share
Nonvested at January 1, 2006	1,271,474	\$ 9.01
Granted	349,521	89.29
Vested	(213,391)	(9.78)
Forfeited	(68,535)	(8.31)
Nonvested at December 31, 2006	1,339,069	29.87
Granted	199,159	165.27
Vested	(268,998)	(21.91)
Forfeited	(32,276)	(38.09)
Nonvested at December 31, 2007	1,236,954	53.19
Granted	857,265	84.80
Vested	(898,927)	(26.58)
Forfeited	(30,694)	(103.62)
Nonvested at December 31, 2008	<u>1,164,598</u>	95.67

Restricted stock shares granted in the table above include both time-based and performance-based grants. Performance based shares awarded in prior years have been adjusted to reflect the actual shares to be issued based on the achievement of past performance targets. Unvested performance-based restricted shares granted are presented in the table above at the maximum number of restricted shares that would vest if the maximum performance targets are met. As of December 31, 2008, there were \$34.7 million in total unrecognized compensation costs related to the time-based restricted stock and the performance-based restricted stock. These costs are expected to be recognized over a weighted average period of 2.1 years as the restricted stock vests. During the years ended December 31, 2008, 2007 and 2006, the total fair value of restricted stock vested under all restricted stock plans was \$137.6 million, \$41.0 million and \$14.5 million, respectively.

Treasury Stock

During the years ended December 31, 2008, 2007 and 2006, the Company received 294,854, 180,601 and 68,654 shares, respectively, of common stock from certain employees of the Company related to tax withholdings made by the Company on the employee's behalf. The Company recorded the receipt of the shares as treasury stock. The Company also issued 629,444, 404,740 and 135,370 shares of treasury stock during the years ended December 31, 2008, 2007 and 2006, respectively, under the Director Plan and the Restricted Plan. During the years ended December 31, 2008, 2007 and 2006, the Company's compensation committee reserved 628, 947 and 5,043 treasury shares, respectively, for potential issuance under the Director Plan. Treasury stock activity is presented in the accompanying consolidated statements of changes in shareholders' equity.

Stock Repurchase Program

On August 4, 2008, the Company announced that its board of directors authorized the repurchase of up to \$500.0 million of the Company's outstanding common stock over a twelve month period. After the completion of the Creditex acquisition, the Company repurchased 3.2 million shares of the Company's common stock at a cost of \$300.0 million on the open market through December 31, 2008 at an average price per common share of \$93.16. The shares are being held in treasury as of December 31, 2008. Additional common shares may be

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

repurchased under this authorization from time to time, with consideration given to the market price of the common shares, the nature of the Company's investment opportunities, cash flows from operations and general economic conditions. The Company expects to fund any future share repurchases with a combination of cash on hand and future cash flows from operations. The Company is not obligated to acquire any specific number of shares and may amend, suspend or terminate the repurchase program at any time.

Redeemable Stock Put

The Creditex stock awards assumed by the Company include 35,937 vested and unvested stock options of the Company and 1,103 unvested restricted stock of the Company, as well as 16,388 common stock shares of the Company, that are held by a Creditex employee which were covered by a put agreement. The put agreement allowed the employee, under certain circumstances, the right to require the Company to purchase the Company's common stock held by the employee for an amount equal to the fair market value of the stock at the date the put was exercised. The employee had the right to exercise the put option if the employee was employed through a certain date and upon the termination of employment. The Company initially recorded the redeemable stock put at its redemption value at the August 29, 2008 acquisition date of Creditex and has adjusted it to this redemption amount at each subsequent balance sheet date.

The redemption amount for the common stock held by this employee in excess of six months was \$1.1 million as of December 31, 2008 and is recorded as redeemable stock put in the accompanying consolidated balance sheet. The redemption amount for the common stock held by this employee less than six months and for the vested and unvested stock options and restricted stock was \$2.1 million as of December 31, 2008 and is recorded as an other current liability in the accompanying consolidated balance sheet. The adjustment to the redemption amount has been recorded directly to retained earnings for the common stock classified as temporary equity and to operating expenses for awards and stock classified as a liability.

11. Income Taxes

For the years ended December 31, 2008, 2007 and 2006, income before income taxes from domestic operations was \$319.6 million, \$192.3 million and \$144.2 million, respectively, and income before income taxes from foreign operations was \$153.9 million, \$166.1 million and \$68.3 million, respectively. Details of the income tax provision in the accompanying consolidated statements of income for the years ended December 31, 2008, 2007 and 2006, are as follows (in thousands):

	Year Ended December 31,		
	2008	2007	2006
Current tax expense:			
Domestic	\$140,233	\$ 72,623	\$44,576
Foreign	49,277	48,144	30,359
	<u>189,510</u>	<u>120,767</u>	<u>74,935</u>
Deferred tax expense (benefit):			
Domestic	(11,609)	(4,393)	(2,370)
Foreign	(5,377)	1,448	(3,290)
	<u>(16,986)</u>	<u>(2,945)</u>	<u>(5,660)</u>
Total tax expense	<u>\$172,524</u>	<u>\$117,822</u>	<u>\$69,275</u>

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

The tax effects of temporary differences between the carrying amount of assets and liabilities in the consolidated financial statements and their respective tax bases which give rise to deferred tax assets (liabilities) as of December 31, 2008 and 2007 are as follows (in thousands):

	December 31,	
	2008	2007
Deferred tax assets:		
Deferred and stock-based compensation	\$ 10,998	\$ 7,478
Accrued expenses	12,119	9,904
Tax credits	7,130	8,446
NOL carryforward	4,209	1,888
NCDEX impairment	4,477	—
Other	5,765	3,398
Total	44,698	31,114
Valuation allowance	(5,078)	(2,718)
Total deferred tax assets, net of valuation allowance	39,620	28,396
Deferred tax liabilities:		
Property and equipment	(5,748)	(6,772)
Acquired intangibles	(213,358)	(122,642)
Other	(2,429)	(2,813)
Total deferred tax liabilities	(221,535)	(132,227)
Net deferred tax liabilities	(181,915)	(103,831)
Net current deferred tax assets	7,909	4,908
Net noncurrent deferred tax liabilities	\$(189,824)	\$(108,739)

As of December 31, 2008 and 2007, the Company has excess foreign tax credits of \$2.7 million and \$1.2 million, respectively, for tax purposes which are expected to offset future tax liabilities. As of December 31, 2008 and 2007, the Company has net operating loss carryforwards of \$16.5 million and \$13.0 million, respectively, for state and local tax purposes, which will be available to offset future taxable income. If not used, these carryforwards will begin to expire in 2026. In addition, as of December 31, 2008, the Company has a net operating loss carryforward of \$12.7 million related to Creditex's Singapore operations which is not expected to be utilized prior to expiration. The Company recognized a valuation allowance for deferred tax assets of \$5.1 million and \$2.7 million as of December 31, 2008 and 2007, respectively. The valuation allowance is due to excess state tax credits and Singapore net operating loss carryforwards that are available to offset future taxes.

A reconciliation of the statutory U.S. federal income tax rate to the Company's effective income tax rate for the years ended December 31, 2008, 2007 and 2006 is as follows:

	Year Ended December 31,		
	2008	2007	2006
Statutory federal income tax rate	35.0%	35.0%	35.0%
State income taxes, net of federal benefit	3.2	2.0	1.1
Tax credits	(1.1)	(2.2)	(0.2)
Foreign tax rate differential	(2.5)	(2.3)	(3.2)
Other	1.8	0.4	(0.1)
Total provision for income taxes	36.4%	32.9%	32.6%

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

The effective tax rate for the year ended December 31, 2008 is higher than the federal statutory rate primarily due to state taxes and non-deductible expenses, which are partially offset by favorable foreign income tax rates, tax exempt interest income and tax credits. The effective tax rate for the years ended December 31, 2007 and 2006 is lower than the federal statutory rate primarily due to favorable foreign income tax rates, tax exempt interest income and tax credits, which are partially offset by state taxes and non-deductible expenses. The effective tax rate for the year ended December 31, 2008 is higher than the effective tax rate for the years ended December 31, 2007 and 2006 primarily due to an increase in the percentage of income taxable in the United States at higher statutory tax rates in 2008 and the tax benefit recognized in 2007 and 2006 under the indefinite reinvestment exception of APB Opinion No. 23, *Accounting for Income Taxes-Special Areas*.

The undistributed earnings of the Company's foreign subsidiaries that have not been remitted to the United States totaled \$363.4 million and \$209.5 million as of December 31, 2008 and 2007. These earnings are not subject to U.S. income tax until they are distributed to the United States. Historically, the Company has provided for deferred U.S. federal income taxes on these undistributed earnings in the accompanying consolidated statements of income as they were determined not to be indefinitely reinvested. However, during the year ended December 31, 2006, the Company determined in accordance with APB No. 23, that \$51.0 million of the undistributed earnings are indefinitely reinvested, primarily related to the cost method investment made during the fourth quarter of 2006 (Note 6). Also during the three months ended March 31, 2007, the Company determined that \$31.2 million of the undistributed earnings will be indefinitely reinvested, primarily relating to the cash required to establish and to fund the new European clearing house that the Company began operating in the fourth quarter of 2008. The undistributed earnings that had been indefinitely reinvested total \$82.3 million and \$51.0 million as of March 31, 2007 and December 31, 2006, respectively. During the three months ended June 30, 2007, the Company further determined that all prior undistributed earnings of its foreign subsidiaries will be indefinitely reinvested. The Company made this determination on the basis of sufficient evidence that demonstrates that it will invest the undistributed earnings overseas indefinitely. Under APB Opinion No. 23, when it becomes apparent that some or all of the undistributed earnings of a foreign subsidiary on which income taxes have been accrued in the past will not be remitted in the foreseeable future, then the parent company should adjust income tax expense of the current period to reflect this change. The Company reduced tax expense by \$3.6 million and \$4.8 million for the years ended December 31, 2007 and 2006, respectively, to reflect the decision to indefinitely reinvest these prior undistributed earnings. Determination of the amount of unrecognized deferred U.S. income tax liability on the undistributed earnings of the Company's foreign subsidiaries is not practical.

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

A reconciliation of the beginning and ending amount of unrecognized tax benefits is as follows (in thousands):

Balance at January 1, 2007	\$13,173
Additions based on tax positions related to current year	2,570
Additions based on tax positions in prior years	1,659
Reductions based on tax positions related to current year	(3,365)
Reductions based on tax positions of prior years	(80)
Reductions resulting from statute of limitation lapses	(1,894)
Settlements	(100)
Balance at December 31, 2007	11,963
Additions related to acquisitions	5,217
Additions based on tax positions related to current year	1,409
Additions based on tax positions in prior years	117
Reductions based on tax positions related to current year	(370)
Reductions based on tax positions of prior years	(2,473)
Reductions resulting from statute of limitation lapses	(193)
Balance at December 31, 2008	<u>\$15,670</u>

As of the adoption date of FASB Interpretation No. 48, *Accounting for Uncertainty in Income Taxes — an Interpretation of FASB Statement No. 109*, on January 1, 2007, the Company had unrecognized tax benefits of \$13.2 million of which \$5.0 million, if recognized, would affect the effective tax rate. The Company recorded an increase to unrecognized tax benefits of \$3.7 million and a decrease of \$1.2 million as of December 31, 2008 and 2007, respectively, of which approximately \$915,000 and \$2.4 million increased income tax expense for the years ended December 31, 2008 and 2007, respectively. As of December 31, 2008, the Company had unrecognized tax benefits of \$15.7 million, of which \$7.4 million, if recognized, would affect the effective tax rate. As of December 31, 2007, the Company had unrecognized tax benefits of \$12.0 million, of which \$4.6 million, if recognized, would affect the effective tax rate. The Company recognizes interest accrued related to income tax uncertainties as a component of interest expense. Any related penalties, if incurred, would be included in selling, general and administrative expenses. Interest expense related to the unrecognized tax benefits totaled \$727,000 and \$478,000 for the years ended December 31, 2008 and 2007, respectively. Accrued interest and penalties were \$3.6 million and \$1.9 million as of December 31, 2008 and 2007, respectively.

The Company currently anticipates the amount of unrecognized tax benefits to decrease by \$4.6 million by December 31, 2009. The unrecognized tax benefit, related to research and development and investment tax credits claimed, settlement payments and the classification of income, would decrease due to the closing of the related statute of limitations of the jurisdiction where reported and the filing of tax returns. The Company or one of its subsidiaries files income tax returns in the U.S. federal jurisdiction, and various state and foreign jurisdictions. With few exceptions, the Company is no longer subject to U.S. federal, state, local or foreign examinations by tax authorities for years before 2005.

12. Related-Parties

Related-parties include principal owners of the Company and other parties that control or can significantly influence the management or operating policies of the Company. Principal owners include any party that owns more than 10% of the voting interest in or common stock of the Company. The Company previously had two shareholders who held more than 10% of the common stock of the Company and who were considered to be

IntercontinentalExchange, Inc. and Subsidiaries

Notes to Consolidated Financial Statements — (Continued)

related-parties. In connection with the Company's secondary offering of common stock on July 21, 2006, the voting interest of the two shareholders of the Company who previously held more than 10% of the common stock of the Company fell below the 10% threshold. Therefore, beginning on July 21, 2006, these two shareholders are no longer considered related-parties for disclosure purposes. The Company has also classified all companies that had board of director participation as a related-party due to their significant influence over the Company. Prior to March 18, 2008, the Company licensed its technology to an entity whose founder and Chief Executive Officer was also a member of the Company's board of directors. On March 18, 2008, this director resigned from the Company's board and this company is no longer considered to be a related party and the Company no longer has any related party transactions. Revenues earned from related-parties of the Company totaled \$680,000, \$1.7 million and \$16.1 million for the years ended December 31, 2008, 2007 and 2006, respectively.

13. Unearned Government Grant

In November 2002, ICE Futures U.S. entered into a ten-year agreement with the New York State Urban Development Corporation d/b/a Empire State Development Corporation ("ESDC"). As a result of the terrorist attacks on the World Trade Center on September 11, 2001, the ESDC, in cooperation with the New York City Economic Development Corporation d/b/a New York City Industrial Development Agency, determined that ICE Futures U.S. was eligible for assistance under the World Trade Center Job Creation and Retention Program. In November 2002, ICE Futures U.S. received a cash grant of \$23.3 million for fixed asset investment. This agreement requires ICE Futures U.S. to maintain certain annual employment levels in a certain geographic area of New York City and the grant is subject to recapture amounts on a declining scale over a ten year term if ICE Futures U.S. employment levels fall below the minimum level. The grant is recognized in the income statement ratably in accordance with the ten-year recapture schedule as a credit to depreciation and amortization expense. As of December 31, 2008, the potential recapture amount decreased to \$8.7 million and was scheduled to decrease by \$1.7 million at the end of each fiscal year for the next five years. However, the Company has calculated that as of December 31, 2008, the ICE Futures U.S. annual employment levels have fallen below the minimum level required per the agreement and it will be required to pay the recapture amount. Accordingly, the full amount of the unamortized grant proceeds of \$8.7 million is classified as a current liability in the accompanying consolidated balance sheet as of December 31, 2008 and this amount was paid in January 2009.

14. Clearing Organizations

ICE Clear U.S. performs the clearing and settlement of every futures and options contract traded through ICE Futures U.S., ICE Clear Canada performs the same function for every futures and options contract traded through ICE Futures Canada and ICE Clear Europe performs the same function for every futures and options contract traded through ICE Futures Europe and for all of the Company's cleared OTC energy products. ICE Clear Europe began clearing contracts in November 2008 upon the transition of clearing from LCH.Clearnet Ltd. ICE Clear U.S., ICE Clear Europe and ICE Clear Canada are referred to herein collectively as the "ICE Clearing Houses".

Each of the ICE Clearing Houses has equal and offsetting claims to and from their respective clearing members on opposite sides of each contract, standing as the central financial counterparty on every contract cleared. To the extent that funds are not otherwise available to satisfy an obligation under an applicable contract, each ICE Clearing House bears financial counterparty credit risk in the event that future market movements create conditions that could lead to its clearing members failing to meet their obligations to that ICE Clearing House. Accordingly, the ICE Clearing Houses account for this central counterparty guarantee as a performance guarantee under FIN 45, *Guarantor's Accounting and Disclosure Requirements for Guarantees, Including Indirect Guarantees of Indebtedness of Others* an interpretation of FASB Statements No. 5, 57, and 107 and rescission of FASB interpretation No. 34 ("FIN 45"). Given that each contract is settled on at least a

IntercontinentalExchange, Inc. and Subsidiaries**Notes to Consolidated Financial Statements — (Continued)**

daily basis for each clearing member, the ICE Clearing Houses' maximum exposure for this guarantee is approximately \$22 billion as of December 31, 2008, which represents the maximum estimated value by the ICE Clearing Houses of a one to two day movement in pricing of the underlying unsettled contracts. This amount is based on calculations determined using proprietary software that simulates gains and losses based on historical market prices, volatility and other factors present at that point in time for those particular unsettled contracts. Future actual market price volatility could result in the exposure being significantly different than the amount estimated by the ICE Clearing Houses. The net notional value of the unsettled contracts was approximately \$64 billion as of December 31, 2008.

The Company performed calculations to determine the fair value of a FIN 45 liability as of December 31, 2008 taking into consideration factors such as daily settlement of contracts, margining requirements, other elements of the Company's risk management program, historical evidence of default payments, and estimated probability of potential default payouts by the ICE Clearing Houses. Based on these analyses, the estimated FIN 45 liability was determined to be nominal and no liability was recorded as of December 31, 2008.

The ICE Clearing Houses reduce their exposure through a risk management program that includes initial and ongoing financial standards for admission as a clearing member, original and variation margin requirements and mandatory deposits to a guaranty fund. The standardized amounts that the clearing members are required to maintain in the original margin and Guaranty Fund accounts are determined by parameters established by the margin committees, risk management departments and the boards of directors of each of the ICE Clearing Houses and may fluctuate over time. The ICE Clearing Houses also have powers of assessment that provide the ability to collect additional funds from their clearing members to cover a defaulting member's remaining obligations. ICE Clear Europe has also set up \$100 million of insurance in the event of a clearing member default and this would be called upon prior to any member assessment.

Each of the ICE Clearing Houses requires all clearing members to maintain on deposit or through pledge with it cash, money market mutual fund shares, Government obligations or letters of credit to secure payment of variation margin as may become due from the clearing members, and such amounts in total are known as original margin. The daily payment of profits and losses from and to the ICE Clearing Houses in respect of relevant contracts are known as variation margin. ICE Clear U.S. marks all outstanding futures contracts to market at least twice daily and pays and collects option premiums daily. ICE Clear Europe and ICE Clear Canada mark all outstanding positions to market at least once per day.

Each of the ICE Clearing Houses requires that each clearing member make deposits in a fund known as a guaranty or clearing fund ("Guaranty Fund"), which is maintained by the relevant ICE Clearing House. These amounts serve to secure the obligations of a clearing member to the ICE Clearing House to which it has made the Guaranty Fund deposits and may be used to cover losses sustained by the respective ICE Clearing House in the event of a default of a clearing member. For ICE Clear U.S. and ICE Clear Canada, all income earned from investing clearing members' cash deposits in the Guaranty Fund, and for ICE Clear U.S., all income earned from the cash variation margin deposits, belongs to the respective ICE Clearing House and is included in interest income in the accompanying consolidated statements of income and all other interest earned on the cash margin deposits belong to the clearing members. ICE Clear Europe has agreed to pay clearing members all interest earned on their cash margin deposits plus an additional 115 basis points on cash deposits made to the Guaranty Fund and an additional 10 basis points for cash deposits made for original margin requirements. These additional basis points amounts paid to the clearing members are recorded net against revenue in the accompanying consolidated statement of income for the year ended December 31, 2008.

Should a particular clearing member fail to deposit original margin, or to make a variation margin payment, when and as required, the relevant ICE Clearing House may liquidate the clearing member's open positions and use the clearing member's original margin and Guaranty Fund deposits to make up the amount owed. In the event that those deposits are not sufficient to pay that owed amount in full, ICE Clear U.S. and ICE Clear Canada may utilize the Guaranty Fund deposits of all clearing members pro rata for that purpose.

IntercontinentalExchange, Inc. and Subsidiaries

Notes to Consolidated Financial Statements — (Continued)

For ICE Clear Europe, once a clearing member's deposits are depleted and a default occurs, a \$100.0 million contribution made by the Company to ICE Clear Europe would be utilized. The \$100.0 million is solely available in the event of an ICE Clear Europe clearing member default and \$50.0 million of the \$100.0 million will be utilized after the available funds of the defaulting member but before all other amounts within the Guaranty Fund. If additional cash is required to settle positions, then the remaining \$50.0 million will be called pro-rata along with other non-defaulting ICE Clear Europe clearing members' deposits in the Guaranty Fund. Additionally, for ICE Clear Europe, if all Guaranty Fund amounts are depleted, proceeds from the Company's \$100.0 million insurance policy would be utilized. In addition, the relevant ICE Clearing House may assess its clearing members to meet any remaining shortfall. As of December 31, 2008, original margin, unsettled variation margin and Guaranty Fund cash deposits are as follows for ICE Clear U.S., ICE Clear Europe and ICE Clear Canada (in thousands):

	<u>ICE Clear U.S.</u>	<u>ICE Clear Europe</u>	<u>ICE Clear Canada</u>	<u>Total</u>
Original margin	\$ 1,815,532	\$ 9,872,269	\$ 11,023	\$ 11,698,824
Variation margin	11,325	—	—	11,325
Guaranty Fund	22,914	381,877	2,880	407,671
Total	<u>\$ 1,849,771</u>	<u>\$ 10,254,146</u>	<u>\$ 13,903</u>	<u>\$ 12,117,820</u>

As of December 31, 2007, original margin, unsettled variation margin and Guaranty Fund cash deposits are as follows for ICE Clear U.S. and ICE Clear Canada (in thousands):

	<u>ICE Clear U.S.</u>	<u>ICE Clear Canada</u>	<u>Total</u>
Original margin	\$ 774,593	\$ 6,936	\$781,529
Variation margin	7,895	—	7,895
Guaranty Fund	1,768	860	2,628
Total	<u>\$ 784,256</u>	<u>\$ 7,796</u>	<u>\$792,052</u>

The Company has recorded these cash deposits in the accompanying consolidated balance sheets as current assets with offsetting current liabilities to the clearing members of the relevant ICE Clearing House. All cash, securities and letters of credit are only available to meet the financial obligations of that clearing firm to the relevant ICE Clearing House. ICE Clear U.S., ICE Clear Europe and ICE Clear Canada are separate legal entities and are not subject to the liabilities of the other ICE Clearing Houses or the obligations of the members of the other ICE Clearing Houses. These cash deposits may fluctuate due to the types of margin collateral choices available to clearing members and the change in the amount of deposits required. As a result, these assets and offsetting liabilities may vary significantly over time.

The ICE Clearing Houses have credit risk for maintaining the cash deposits at various financial institutions. The deposits at times may be in excess of federally insured limits. The ICE Clearing Houses monitor the cash deposits and mitigate credit risk by keeping such deposits in several financial institutions. If the cash deposits decrease in value, the ICE Clearing Houses would be liable for the losses. The ICE Clearing Houses have not experienced losses related to these cash deposits.

The total ICE Clear Europe Guaranty Fund balance as of December 31, 2008 is \$482.9 million. This includes the \$382.9 million in Guaranty Fund deposits from clearing members as well as \$100.0 million that ICE Clear Europe has committed of its own cash. As discussed in Note 4, the \$100.0 million is reflected in restricted cash in the accompanying consolidated balance sheet as of December 31, 2008.

In addition to the cash deposits for original margin, variation margin, and Guaranty Fund made to the relevant ICE Clearing House, clearing members also pledge assets, including Government obligations, money market mutual funds and letters of credit to the relevant ICE Clearing House to mitigate its credit risk. These

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

assets are held in safekeeping and any interest and gain or loss for ICE Clear U.S. and ICE Clear Canada accrues to the clearing member. However, ICE Clear Europe has agreed to pay clearing members all interest earned on their non-cash margin deposits plus an additional 50 basis points on non-cash deposits made to the Guaranty Fund and ICE Clear Europe will charge clearing members 5 basis points for non-cash deposits made for original margin requirements. These additional basis points amounts paid to the clearing members are recorded net against revenue in the accompanying consolidated statement of income for the year ended December 31, 2008. These assets are not reflected in the accompanying consolidated balance sheet as the ICE Clearing Houses do not take legal ownership of the assets as the risks and rewards remain with the clearing members. The ICE Clearing Houses have the ability to access the accounts where these assets are held at the financial institutions and depositories in the event of a clearing member default.

As of December 31, 2008, the U.S. Government obligations and money market mutual funds pledged by the clearing members as original margin and Guaranty Fund deposits for ICE Clear U.S. are detailed below (in thousands):

	U.S. Government Securities at Face Value	Money Market Mutual Fund
Original margin	\$8,238,542	\$ 580,906
Guaranty Fund	137,596	24,622
Total	<u>\$8,376,138</u>	<u>\$ 605,528</u>

As of December 31, 2008, the Government obligations pledged by the clearing members as original margin and Guaranty Fund deposits for ICE Clear Europe are detailed below (in thousands):

	Government Securities at Face Value	Letters of Credit
Original margin	\$4,803,718	\$1,270,000
Guaranty Fund	1,000	—
Total	<u>\$4,804,718</u>	<u>\$1,270,000</u>

As of December 31, 2008, the Canadian Government obligations and letters of credit pledged by the clearing members as original margin and Guaranty Fund deposits for ICE Clear Canada are detailed below (in thousands):

	Canadian Government Securities at Face Value	Letters of Credit
Original margin	\$ 55,842	\$ 5,311
Guaranty Fund	22,611	—
Total	<u>\$ 78,453</u>	<u>\$ 5,311</u>

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

As of December 31, 2007, the U.S. Government obligations and money market mutual funds pledged by the clearing members as original margin and Guaranty Fund deposits for ICE Clear U.S. are detailed below (in thousands):

	U.S. Government Securities at Face Value	Money Market Mutual Fund
Original margin	\$3,139,010	\$ 834,310
Guaranty Fund	94,443	—
Total	<u>\$3,233,453</u>	<u>\$ 834,310</u>

As of December 31, 2007, the Canadian Government obligations and letters of credit pledged by the clearing members as original margin and Guaranty Fund deposits for ICE Clear Canada are detailed below (in thousands):

	Canadian Government Securities at Face Value	Letters of Credit
Original margin	\$ 40,897	\$18,925
Guaranty Fund	17,751	—
Total	<u>\$ 58,648</u>	<u>\$18,925</u>

ICE Clear U.S. and the Options Clearing Corporation (“OCC”) have entered into a cross-margin agreement, whereby a common clearing firm, or a pair of affiliated clearing firms, may maintain a cross-margin account in which positions in certain of ICE Clear U.S.’s futures and options are combined with certain positions cleared by OCC for purposes of calculating margin requirements of the clearing firms. The margin deposits are held jointly by ICE Clear U.S. and OCC. Cross-margin cash, securities and letters of credit jointly held with OCC under the cross-margin agreement are reflected at 50% of the total, or ICE Clear U.S.’s proportionate share, in accordance with the agreement. As of December 31, 2008, the margin deposits in the joint account were \$167.0 million of which \$83.5 million is ICE Clear U.S.’s proportionate share and the entire \$83.5 million is reflected in the pledged asset margin balances above. Clearing firms maintain separate margin requirements with each clearing house. Depending on the impact resulting from offsetting positions between ICE Clear U.S. and OCC, each clearing house may reduce that firm’s margin requirements. Cross margin deposits are held in a joint custody account controlled by ICE Clear U.S. and OCC. If a participating firm defaults, the gain or loss on the liquidation of the firm’s open position and the proceeds from the liquidation of the cross-margin account will be split 50% each to ICE Clear U.S. and OCC. The cross-margining arrangement reduces capital costs for clearing firms and eligible customers. The agreement permits a participating clearing house to recognize a clearing firm’s open positions at another participating clearing house, and clearing firms are able to offset risks of positions held at one clearing house against those held at another participating clearing house, with respect to particular accounts.

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

15. Commitments and Contingencies

Leases

The Company leases office space, equipment facilities, and certain computer equipment. As of December 31, 2008, future minimum lease payments under these noncancelable operating agreements are as follows (in thousands):

2009	\$15,525
2010	14,345
2011	14,198
2012	12,709
2013	9,529
Thereafter	5,500
	<u>\$71,806</u>

The Company had capital lease obligations of \$3.7 million as of December 31, 2008 and no capital lease obligations as of December 31, 2007. The amortization of assets recorded under capital leases is included in depreciation expense in the accompanying consolidated statements of income and totaled \$176,000 for the year ended December 31, 2008. Rental expense amounted to \$13.9 million, \$11.8 million and \$4.0 million for the years ended December 31, 2008, 2007 and 2006, respectively.

Russell Licensing Agreement

On June 15, 2007, the Company entered into an exclusive licensing agreement (the “Licensing Agreement”) with the Frank Russell Company (“Russell”) to offer futures and options on futures contracts based on the full range of Russell’s benchmark U.S. equity indexes. Due to the wind-down provisions of other Russell licensing contracts, during the first year of the Licensing Agreement, the Company offered the Russell contracts on a non-exclusive basis. These rights became exclusive on September 19, 2008, and subject to achieving specified trading volumes, will remain exclusive throughout the remainder of the Licensing Agreement, which extends through June 2014. Beginning three years after the effective date of the Licensing Agreement, the Company will be required to maintain a minimum level of average trading volume per quarter to preserve the exclusive rights granted to it under the Licensing Agreement.

In exchange for the license rights, the Company paid Russell \$50.0 million in July 2007 and will also make annual royalty payments based on the annual contract trade volumes, subject to certain minimum annual royalty payments. The Company has recorded the license rights as intangible assets, which were valued based on the net present value of all minimum annual royalty payments that the Company is required to make to Russell throughout the term of the agreement. As of December 31, 2008 and 2007, the net assets related to the Licensing Agreement are \$142.5 million and \$149.7 million, respectively, and are included in other intangible assets in the accompanying consolidated balance sheets. The intangible assets are being amortized based on the Company’s valuations of the non-exclusive and the exclusive elements of the Licensing Agreement. For the years ended December 31, 2008 and 2007, amortization expense related to the Licensing Agreement was \$7.2 million and \$83,000, respectively, which reflects amortization on the non-exclusive and exclusive portions of the intangible assets. The exclusive period commenced on September 19, 2008 as noted above.

Because the Company is required to make minimum annual royalty payments in order to maintain the Russell license rights, the Company has also recorded a liability based on the net present value of the total required minimum royalty payments as of the effective date of the Licensing Agreement. As of December 31, 2008, the current and noncurrent liabilities relating to the minimum annual royalty payments under the Licensing Agreement are \$12.7 million and \$83.0 million, respectively, and are reflected as licensing agreement liabilities in the accompanying consolidated balance sheet. As of December 31, 2007, the current

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

and noncurrent liabilities relating to the minimum annual royalty payments of the Licensing Agreement are \$10.6 million and \$89.6 million, respectively. The difference between the present value of the payments and the actual payments is recorded as interest expense using the effective interest method over the term of the Licensing Agreement. For the year ended December 31, 2008 and 2007, interest expense related to the Licensing Agreement was \$6.0 million and \$3.1 million, respectively.

Patent Licensing Agreement

In 2002, the Company entered into a long-term, non-exclusive licensing agreement with eSpeed, Inc. (“eSpeed”), which granted the use of eSpeed’s patent to the Company and its majority-owned and controlled affiliates. Under the agreement, the Company was required to pay minimum annual license fees of \$2.0 million beginning in April 2002 through the expiration date of the patent in February 2007 along with additional royalty payments calculated quarterly based upon the volume of certain futures transactions executed on the electronic platform. The Company recorded amortization expense of \$283,000 and \$2.2 million during the years ended December 31, 2007 and 2006 respectively, relating to the licensing agreement. The Company paid royalty payments of \$1.7 million and \$9.0 million during the years ended December 31, 2007 and 2006, respectively, which were recorded as patent royalty expenses in the accompanying consolidated statements of income. The licensing agreement and related patent expired in February 2007 and no future payments are required.

Employment Agreements

The Company has entered into employment agreements with all of its corporate officers. If the corporate officers are terminated without cause, the employment agreements result in separation payments ranging from six months to three years of the corporate officer’s annual base salary. In some cases, the employment agreements also stipulate an additional payment for bonus compensation for the balance of the term of the employment agreement. Also, certain employment agreements have provisions that provide for termination payments following a change of control and corresponding loss of employment, which generally provide for base salary, bonus payment, benefits continuation for the full term of the employment agreement (ranging from one to three years), gross up payment for any excise taxes due under Section 4999 of the Internal Revenue Code of 1986 and the acceleration of vesting of any stock options granted after the execution of the employment agreements. The Company’s U.K. subsidiaries, in accordance with normal U.K. practice, have entered into employment agreements with all of its employees. The employment agreements require a severance notice ranging from one to six months.

Legal Proceedings

On April 6, 2007, the Supreme Court of the State of New York, County of New York, granted ICE Futures U.S.’s motion to dismiss all claims brought against it in an action commenced on December 8, 2006 by certain holders of non-equity trading permits (“Permit Holders”) of ICE Futures U.S. The plaintiffs alleged that, in violation of purported contract rights and/or rights under New York’s Not-For-Profit Corporation Law, ICE Futures U.S. had not allowed its Permit Holders, including plaintiffs, to vote on the merger pursuant to which the Company acquired ICE Futures U.S. and had improperly denied the Permit Holders a portion of the merger consideration. Plaintiffs sought (i) to enjoin consummation of the merger, (ii) declaratory relief regarding their past and future rights as Permit Holders, and (iii) an award of unspecified damages on claims for breach of fiduciary duty, breach of contract, unjust enrichment, estoppel and fraud. In addition to dismissing its claims, the court also denied the plaintiffs’ motion for a preliminary injunction. On February 4, 2008, the Permit Holders appealed the lower court’s ruling dismissing their complaint but did not pursue an appeal of the lower court’s denial of their request for an order enjoining the merger. The appeal was denied in its entirety by the appellate court in a decision issued on June 24, 2008. On October 7, 2008, a motion by the Permit Holders for leave to appeal to the New York Court of Appeals was denied by the Appellate Division.

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

Thereafter, a motion by the Permit Holders for leave to appeal directly to the New York Court of Appeals was denied on January 20, 2009 by the Court of Appeals.

The Company is subject to legal proceedings and claims that arise in the ordinary course of business. However, the Company does not believe that the resolution of these matters, including those specifically discussed above, will have a material adverse effect on the Company's consolidated financial condition, results of operations, or liquidity. It is possible, however, that future results of operations for any particular quarterly or annual period could be materially and adversely affected by any new developments relating to the legal proceedings and claims.

16. Employee Benefit Plans

The Company's U.K.-based subsidiaries have a defined contribution pension plan for eligible employees. The Company contributes a percentage of the employee's base salary to the plan each month and employees are also able to make additional voluntary contributions, subject to plan and statutory limits. The Company's contribution ranges from 10% to 20% of the employee's base salary. Total pension contributions made by the Company for the years ended December 31, 2008, 2007 and 2006 were \$1.0 million, \$982,000 and \$832,000, respectively.

The Company's ICE Futures U.S. employees are eligible to participate in ICE Futures U.S.'s 401(k) and Profit Sharing Plan (the "NY 401(k) Plan"). The Company offers a match of 50% of the first 4% of the eligible employee's compensation contributed to the NY 401(k) Plan, subject to plan and statutory limits, and an annual discretionary contribution. Total matching contributions and discretionary contributions under the NY 401(k) Plan for the years ended December 31, 2008 and 2007 was \$1.5 million and \$1.6 million, respectively. This plan was frozen to new contributions effective December 31, 2008.

The Company's Creditex employees are eligible to participate in The Creditex Group Inc. 401(k) Plan. There were no contributions to this plan during the year ended December 31, 2008. This plan was frozen to new contributions effective December 31, 2008.

The remaining employees of the Company's U.S. operations are eligible to participate in the Company's 401(k) and Profit Sharing Plan (the "401(k) Plan"). The Company offers a match of 100% of the first 5% of the eligible employee's compensation contributed to the 401(k) Plan, subject to plan and statutory limits. Total matching contributions under the Company's 401(k) Plan for the years ended December 31, 2008, 2007 and 2006 were \$1.4 million, \$1.1 million and \$860,000, respectively. No discretionary or profit sharing contributions were made during the years ended December 31, 2008, 2007 or 2006.

17. CBOT Merger-Related Transaction Costs

The Company incurred incremental direct merger-related transaction costs of \$11.1 million during the year ended December 31, 2007 relating to the proposed merger with CBOT Holdings, Inc. ("CBOT"). Ultimately, CBOT's board of directors did not accept the Company's proposal to merge with CBOT, and instead accepted an improved proposal from the Chicago Mercantile Exchange Holdings, Inc. ("CME"), which resulted in a completed transaction between CME and CBOT on July 13, 2007. The \$11.1 million in merger-related transaction costs included investment banking advisors, legal, accounting, proxy advisor, public relation services and other external costs directly related to the proposed transaction. These costs have been recorded as CBOT merger-related transaction costs in the accompanying consolidated statements of income for the year ended December 31, 2007.

18. Segment Reporting

As of December 31, 2008 and 2007 and for the years ended December 31, 2008, 2007 and 2006, the Company's principal business segments consist of its OTC business segment, its futures business segment and

IntercontinentalExchange, Inc. and Subsidiaries

Notes to Consolidated Financial Statements — (Continued)

its market data business segment. The operations of ICE Futures Europe, ICE Futures U.S. and ICE Futures Canada make up the futures business segment and the operations of ICE Data make up the market data business segment. The remaining companies, including the acquisitions of Creditex, YellowJacket, ChemConnect, Chatham and Commoditrack, have been included in the OTC business segment as they primarily support the Company's OTC business operations.

Intersegment revenues and transactions attributable to the performance of services are recorded at cost plus an agreed market percentage intercompany profit. Intersegment revenues attributable to licensing transactions have been priced in accordance with comparable third party agreements. The accounting policies of the business segments are the same as those described in the summary of significant accounting policies. Financial data for the Company's business segments and geographic areas are as follows:

	<u>OTC Business Segment</u>	<u>Futures Business Segment</u>	<u>Market Data Business Segment</u>	<u>Total</u>
	(In thousands)			
Year ended December 31, 2008:				
Revenues from external customers	\$ 396,351	\$ 362,194	\$54,533	\$ 813,078
Intersegment revenues	41,199	5,746	33,432	80,377
Depreciation and amortization	48,651	13,472	124	62,247
Interest and investment income	2,828	8,045	663	11,536
Interest expense	13,219	6,354	—	19,573
Income tax expense	61,622	84,017	26,885	172,524
Net income	92,879	156,343	51,750	300,972
Total assets	2,307,685	12,633,541	18,355	14,959,581
Capital expenditures and software development costs	35,473	13,121	218	48,812
Goodwill and other intangibles, net	2,021,201	142,470	—	2,163,671
Net cash provided by operating activities	176,445	110,182	88,485	375,112

Geographic areas:

	<u>United States</u>	<u>European Union and Canada</u>	<u>Total</u>
	(In thousands)		
Year ended December 31, 2008:			
Revenues	\$ 565,028	\$248,050	\$ 813,078
As of December 31, 2008:			
Property and equipment, net	74,488	14,464	88,952
Goodwill and other intangibles, net	2,163,671	—	2,163,671

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

Revenues from three clearing members of the futures business segment comprised 17.0%, 13.1% and 10.4% of the Company's futures revenues for the year ended December 31, 2008. These clearing members are primarily intermediaries and represent a broad range of principal trading firms. If a clearing member ceased its operations, the Company believes that the trading firms would continue to conduct transactions and would clear those transactions through a different clearing member. No additional customers accounted for more than 10% of the Company's segment revenues or consolidated revenues during the year ended December 31, 2008.

	<u>OTC Business Segment</u>	<u>Futures Business Segment</u>	<u>Market Data Business Segment</u>	<u>Total</u>
	(In thousands)			
Year ended December 31, 2007:				
Revenues from external customers	\$ 241,803	\$ 289,333	\$43,157	\$ 574,293
Intersegment revenues	32,311	3,754	19,079	55,144
Depreciation and amortization	26,286	6,386	29	32,701
Interest and investment income	5,589	5,747	529	11,865
Interest expense	15,658	2,983	—	18,641
Income tax expense	33,907	64,005	19,910	117,822
Net income	79,199	126,024	35,389	240,612
Total assets	1,654,133	1,122,279	19,933	2,796,345
Capital expenditures and software development costs	38,044	5,051	171	43,266
Goodwill and other intangibles, net	1,397,696	149,713	—	1,547,409
Net cash provided by operating activities	115,541	120,249	51,991	287,781

Geographic areas:

	<u>United States</u>	<u>European Union and Canada</u> (In thousands)	<u>Total</u>
Year ended December 31, 2007:			
Revenues	\$ 376,012	\$198,281	\$ 574,293
As of December 31, 2007:			
Property and equipment, net	60,874	2,650	63,524
Goodwill and other intangibles, net	1,547,409	—	1,547,409

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

Revenues from one clearing member of the futures business segment comprised 11.5% of the Company's futures revenues for the year ended December 31, 2007. This clearing member is primarily an intermediary and represents a broad range of principal trading firms. If a clearing member ceased its operations, the Company believes that the trading firms would continue to conduct transactions and would clear those transactions through a different clearing member. No additional customers accounted for more than 10% of the Company's segment revenues or consolidated revenues during the year ended December 31, 2007.

	<u>OTC Business Segment</u>	<u>Futures Business Segment</u>	<u>Market Data Business Segment</u>	<u>Total</u>
	(In thousands)			
Year ended December 31, 2006:				
Revenues from external customers	\$168,743	\$127,024	\$18,032	\$313,799
Intersegment revenues	26,704	4,404	11,123	42,231
Depreciation and amortization	11,671	2,031	12	13,714
Interest and investment income	6,067	2,402	96	8,565
Interest expense	231	—	—	231
Income tax expense	33,858	28,089	7,328	69,275
Net income	77,494	52,164	13,610	143,268
Total assets	414,193	71,972	7,046	493,211
Capital expenditures and software development costs	18,068	1,678	69	19,815
Goodwill and other intangibles, net	81,126	—	—	81,126
Net cash provided by operating activities	68,884	64,730	17,075	150,689

Geographic areas:

	<u>United States</u>	<u>European Union</u>	<u>Total</u>
	(In thousands)		
Year ended December 31, 2006:			
Revenues	\$ 178,100	\$135,699	\$313,799
As of December 31, 2006:			
Property and equipment, net	21,820	4,460	26,280
Goodwill and other intangibles, net	81,126	—	81,126

Revenues from two clearing members of the futures business segment comprised 15.4% and 12.1% of the Company's futures revenues for the year ended December 31, 2006. These clearing members are primarily intermediaries and represent a broad range of principal trading firms. If a clearing member ceased its operations, the Company believes that the trading firms would continue to conduct transactions and would clear those transactions through a different clearing member. No additional customers accounted for more than 10% of the Company's segment revenues or consolidated revenues during the year ended December 31, 2006.

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

19. Earnings Per Common Share

The following is a reconciliation of the numerators and denominators of the basic and diluted earnings per common share computations for the years ended December 31, 2008, 2007 and 2006 (in thousands, except per share amounts):

	Years Ended December 31,		
	2008	2007	2006
Basic:			
Net income	\$300,972	\$240,612	\$143,268
Weighted average common shares outstanding	71,184	68,985	56,474
Basic earnings per common share	\$ 4.23	\$ 3.49	\$ 2.54
Diluted:			
Weighted average common shares outstanding	71,184	68,985	56,474
Effect of dilutive securities:			
Stock options and restricted stock	980	1,995	3,125
Diluted weighted average common shares outstanding	72,164	70,980	59,599
Diluted earnings per common share	\$ 4.17	\$ 3.39	\$ 2.40

Basic earnings per common share is calculated using the weighted average common shares outstanding during the period. Common equivalent shares from stock options and restricted stock awards, using the treasury stock method, are also included in the diluted per share calculations unless their effect of inclusion would be antidilutive. During the years ended December 31, 2008 and 2007, 605,000 and 37,000 outstanding stock options, respectively, were not included in the computation of diluted earnings per common share, because to do so would have had an antidilutive effect because the outstanding stock option exercise prices were greater than the average market price of the common shares during the relevant periods.

IntercontinentalExchange, Inc. and Subsidiaries
Notes to Consolidated Financial Statements — (Continued)

20. Quarterly Financial Data (Unaudited)

The following table has been prepared from the financial records of the Company, and reflects all adjustments that are, in the opinion of management, necessary for a fair presentation of the results of operations for the interim periods presented (in thousands, except per share amounts):

	<u>1st Qtr(a)</u>	<u>2nd Qtr(b)</u>	<u>3rd Qtr</u>	<u>4th Qtr(c)</u>
Year Ended December 31, 2008				
Revenues	\$207,214	\$197,160	\$201,444	\$207,260
Operating income	144,280	132,785	119,142	97,327
Net income	92,290	84,864	74,963	48,855
Earnings per common share(d):				
Basic	\$ 1.31	\$ 1.20	\$ 1.05	\$ 0.68
Diluted	\$ 1.29	\$ 1.19	\$ 1.04	\$ 0.67
Year Ended December 31, 2007				
Revenues	\$126,608	\$136,654	\$151,735	\$159,296
Operating income	79,643	76,529	100,864	96,527
Net income	55,586	53,693	66,681	64,652
Earnings per common share(d):				
Basic	\$ 0.82	\$ 0.78	\$ 0.96	\$ 0.93
Diluted	\$ 0.80	\$ 0.75	\$ 0.93	\$ 0.90

- (a) The Company recognized a net gain on disposal of an asset of \$9.3 million during the first quarter of 2007 (Note 7).
- (b) The Company recognized \$11.1 million in CBOT merger-related transaction costs during the second quarter of 2007 (Note 17).
- (c) The Company recognized an impairment loss on the NCDEX cost method investment of \$15.7 million during the fourth quarter of 2008 (Note 6).
- (d) The annual earnings per common share may not equal the sum of the individual quarter's earnings per common share due to rounding.

ITEM 9. CHANGES IN AND DISAGREEMENTS WITH ACCOUNTANTS ON ACCOUNTING AND FINANCIAL DISCLOSURE

None.

ITEM 9(A). CONTROLS AND PROCEDURES

(a) *Evaluation of Disclosure Controls and Procedures.* As of the end of the period covered by this report, an evaluation was carried out by our management, with the participation of our Chief Executive Officer and Chief Financial Officer, of the effectiveness of our disclosure controls and procedures (as defined in Rule 13a-15(e) under the Securities Exchange Act of 1934). Based upon that evaluation, our Chief Executive Officer and Chief Financial Officer concluded that these disclosure controls and procedures were effective as of the end of the period covered by this report.

(b) *Changes in Internal Controls over Financial Reporting.* There were no changes in our internal controls over financial reporting that occurred during our most recent fiscal quarter that have materially affected, or are reasonably likely to materially affect, our internal controls over financial reporting. As a result, no corrective actions were taken.

(c) *Management's Annual Report on Internal Control over Financial Reporting and the Attestation Report of the Independent Registered Public Accounting Firm.* Management's report on its assessment of the effectiveness of our internal control over financial reporting as of December 31, 2008 and the attestation report of Ernst & Young LLP on our internal control over financial reporting are set forth in Part II, Item 8 of this Annual Report on Form 10-K.

ITEM 9(B). OTHER INFORMATION

Not applicable.

PART III

ITEM 10. DIRECTORS, EXECUTIVE OFFICERS AND CORPORATE GOVERNANCE

Information relating to our Board of Directors set forth under the captions "Proposal 1 — Election of Directors — Nominees for Election as Directors at the 2009 Annual Meeting" and "Proposal 1 — Election of Directors — Continuing Directors" in our Proxy Statement for our 2009 Annual Meeting of Stockholders ("2009 Proxy Statement") is incorporated herein by reference. Information relating to our executive officers is, pursuant to Instruction 3 of Item 401(b) of Regulation S-K and General Instruction G(3) of Form 10-K, set forth at Part I, Item 4 (A) of this Annual Report on Form 10-K under the caption "Executive Officers of IntercontinentalExchange, Inc." Information regarding compliance by our directors and executive officers and owners of more than ten percent of our Common Stock with the reporting requirements of Section 16(a) of the Securities Exchange Act of 1934, as amended, set forth under the caption "Section 16(a) of the Securities Exchange Act Beneficial Ownership Reporting Compliance" in the 2009 Proxy Statement is incorporated herein by reference. Information relating to our financial expert serving on our Audit Committee (Item 407(d)(5) of Regulation S-K), our Nominating and Corporate Governance Committee (Item 407(c)(3) of Regulation S-K), our Audit Committee (Item 407(d)(4) of Regulation S-K) and compliance with Section 16(a) of the Exchange Act (Item 405 of Regulation S-K), is set forth under the caption "Meetings and Committees of the Board" in our 2009 Proxy Statement and is incorporated herein by reference.

Code of Ethics

We have adopted a Code of Business Conduct and Ethics, which applies to all of our employees, officers and directors. Our Code of Business Conduct and Ethics meets the requirements of a "code of ethics" as defined by Item 406 of Regulation S-K, and applies to our Chief Executive Officer and Chief Financial Officer (who is the principal financial and principal accounting officer), as well as all other employees, as indicated above. Our Code of Business Conduct and Ethics also meets the requirements of a code of ethics and business

conduct under the New York Stock Exchange listing standards. Our Code of Business Conduct and Ethics is available on our website at www.theice.com under the heading “About ICE,” “Investors & Media,” then “Corporate Governance.” We will also provide a copy of the Code of Business Conduct and Ethics to stockholders at no charge upon written request.

ITEM 11. EXECUTIVE COMPENSATION

Information relating to executive compensation set forth under the captions “Proposal 1 — Election of Directors — Directors Compensation”, “Compensation Discussion & Analysis” and “Compensation Committee Interlocks and Insider Participation” in our 2009 Proxy Statement is incorporated herein by reference, except for the information set forth in the section entitled “Compensation Committee Report”, which specifically is not so incorporated by reference.

ITEM 12. SECURITY OWNERSHIP OF CERTAIN BENEFICIAL OWNERS AND MANAGEMENT AND RELATED STOCKHOLDER MATTERS

Information regarding ownership of our common stock by certain persons as set forth under the caption “Security Ownership of Certain Beneficial Owners and Management” in our 2009 Proxy Statement is incorporated herein by reference. In addition, information in tabular form relating to securities authorized for issuance under our equity compensation plans is set forth under the caption “Equity Compensation Plan Information” and “Benefit Plans” and is incorporated herein by reference.

ITEM 13. CERTAIN RELATIONSHIPS AND RELATED TRANSACTIONS, AND DIRECTOR INDEPENDENCE

Information regarding certain relationships and transactions between our company and certain of our affiliates as set forth under the caption “Certain Relationships and Related Transactions” in our 2009 Proxy Statement is incorporated herein by reference. In addition, information regarding our directors’ independence (Item 407(a) of Regulation S-K) as set forth under the caption “Proposal 1 — Election of Directors — Nominees for Election as Directors as the 2009 Annual Meeting” in our 2009 Proxy Statement is incorporated herein by reference.

ITEM 14. PRINCIPAL ACCOUNTANT FEES AND SERVICES

Information regarding principal accountant fees and services of our independent registered public accounting firm, Ernst & Young LLP, is set forth under the caption “Information About the Company’s Independent Registered Public Accounting Firm Fees and Services” in our 2009 Proxy Statement and is incorporated herein by reference.

PART IV

ITEM 15. EXHIBITS, FINANCIAL STATEMENT SCHEDULES

(a) *Documents Filed as Part of this Report.*

(1) *Financial Statements*

Our consolidated financial statements and the related reports of management and independent registered public accounting firm which are required to be filed as part of this Report are included in this Annual Report on Form 10-K. These consolidated financial statements are as follows:

- Consolidated Balance Sheets as of December 31, 2008 and 2007.
- Consolidated Statements of Income for the years ended December 31, 2008, 2007 and 2006.
- Consolidated Statements of Changes in Shareholders’ Equity for the years ended December 31, 2008, 2007 and 2006.

- Consolidated Statements of Comprehensive Income for the years ended December 31, 2008, 2007 and 2006.
- Consolidated Statements of Cash Flows for the years ended December 31, 2008, 2007 and 2006.
- Notes to Consolidated Financial Statements.

(2) *Financial Statement Schedules*

“Schedule II — Consolidated Valuation and Qualifying Accounts” is included as a schedule herein. Schedules not listed have been omitted because they are not applicable or the required information is included in the consolidated financial statements or notes, thereto.

(3) *Exhibits*

See (b) below.

(b) *Exhibits*

The exhibits listed below under “Index to Exhibits” are filed with or incorporated by reference in this Report. Where such filing is made by incorporation by reference to a previously filed registration statement or report, such registration statement or report is identified in parentheses. We will furnish any exhibit upon request to Investor Relations, 2100 RiverEdge Parkway, Suite 500, Atlanta, Georgia 30328.

SIGNATURES

Pursuant to the requirements of Section 13 or 15(d) of the Securities Exchange Act of 1934, the Registrant has duly caused this Report to be signed on its behalf by the undersigned, thereunto duly authorized.

INTERCONTINENTALEXCHANGE, INC.
(Registrant)

Date: February 11, 2009

By: /s/ Jeffrey C. Sprecher

Jeffrey C. Sprecher
Chief Executive Officer

KNOW ALL MEN BY THESE PRESENTS, that each person whose signature appears below constitutes and appoints Jeffrey C. Sprecher and Scott A. Hill, and each of them his or her true and lawful attorneys-in-fact and agents, with full power of substitution and resubstitution, for him or her and in his or her name, place and stead, in any and all capacities, to sign any and all amendments to this Annual Report on Form 10-K for the calendar year ended December 31, 2008 and to file the same, with all exhibits thereto and other documents in connection therewith, with the Securities and Exchange Commission, granting unto said attorneys-in-fact and agents, and each of them, full power and authority to do and perform each and every act and thing requisite or necessary to be done, as fully to all intents and purposes as he might or could do in person, hereby ratifying and confirming all that said attorneys-in-fact and agents or any of them, or their or his substitute or substitutes, may lawfully do or cause to be done by virtue hereof.

Pursuant to the requirements of the Securities Exchange Act of 1934, this Report has been signed below by the following persons on behalf of the Registrant and in the capacities indicated as of the date indicated.

<u>Signatures</u>	<u>Title</u>	<u>Date</u>
_____ /s/ Jeffrey C. Sprecher Jeffrey C. Sprecher	Chairman of the Board and Chief Executive Officer (principal executive officer)	February 11, 2009
_____ /s/ Scott A. Hill Scott A. Hill	Senior Vice President, Chief Financial Officer (principal financial and accounting officer)	February 11, 2009
_____ /s/ Charles R. Crisp Charles R. Crisp	Director	February 11, 2009
_____ /s/ Fredrick W. Hatfield Fredrick W. Hatfield	Director	February 11, 2009
_____ /s/ Jean-Marc Forneri Jean-Marc Forneri	Director	February 11, 2009
_____ /s/ Terrence F. Martell Terrence F. Martell	Director	February 11, 2009
_____ /s/ Sir Robert Reid Sir Robert Reid	Director	February 11, 2009

Table of Contents

<u>Signatures</u>	<u>Title</u>	<u>Date</u>
/s/ Frederic V. Salerno Frederic V. Salerno	Director	February 11, 2009
/s/ Fred W. Schoenhut Fred W. Schoenhut	Director	February 11, 2009
/s/ Judith A. Sprieser Judith A. Sprieser	Director	February 11, 2009
/s/ Vincent Tese Vincent Tese	Director	February 11, 2009

FINANCIAL STATEMENT SCHEDULE
INTERCONTINENTALEXCHANGE, INC. AND SUBSIDIARIES
SCHEDULE II — CONSOLIDATED VALUATION AND QUALIFYING ACCOUNTS
Years Ended December 31, 2008, 2007 and 2006

<u>Description</u>	<u>Balance at Beginning of Year</u>	<u>Additions Charged to Costs and Expenses(1)</u>	<u>Deductions(2)</u>	<u>Balance at End of Year</u>
(In thousands)				
Year Ended December 31, 2008:				
Allowance for doubtful accounts	\$ 370	\$ 2,019	\$ (989)	\$ 1,400
Deferred income tax valuation allowance	\$ 2,718	\$ 2,360	\$ —	\$ 5,078
Year Ended December 31, 2007:				
Allowance for doubtful accounts	\$ 985	\$ 199	\$ (814)	\$ 370
Deferred income tax valuation allowance	\$ —	\$ 2,718	\$ —	\$ 2,718
Year Ended December 31, 2006:				
Allowance for doubtful accounts	\$ 261	\$ 1,034	\$ (310)	\$ 985

- (1) Additions charged to costs and expenses for the allowance for doubtful accounts are based on our historical collection experiences and management's assessment of the collectibility of specific accounts. Additions to the deferred income tax valuation allowance relate to state research and development tax credits and foreign net operating loss carryforwards which the Company does not expect to realize. This column also includes the foreign currency translation adjustments.
- (2) Deductions represent the write-off of uncollectible receivables, net of recoveries.

INDEX TO EXHIBITS

The following exhibits are filed with this Report. We will furnish any exhibit upon request to IntercontinentalExchange, Inc., Investor Relations, 2100 RiverEdge Parkway, Suite 500, Atlanta, Georgia 30328.

<u>Exhibit Number</u>	<u>Description of Document</u>
2.1	— Agreement and Plan of Merger by and among IntercontinentalExchange, Inc., Columbia Merger Corporation, Creditex Group Inc. and TA Associates, Inc. dated June 3, 2008 (incorporated by reference to Exhibit 10.1 to ICE's Quarterly Report on Form 10-Q, filed with the SEC on August 4, 2008, File No. 001-32671).
2.2	— Amendment to Agreement and Plan of Merger, dated as of August 26, 2008, to the Agreement and Plan of Merger, dated as of June 3, 2008, by and among ICE, MergerCo, Creditex and the Stockholders' Representative (incorporated by reference to Exhibit 10.1 to ICE's Current Report on Form 8-K, filed with the SEC on September 2, 2008, File No. 001-32671).
3.1	— Fourth Amended and Restated Certificate of Incorporation of IntercontinentalExchange, Inc. (incorporated by reference to Exhibit 3.1 to ICE's Annual Report on Form 10-K, filed with the SEC on March 10, 2006, File No. 001-32671).
3.2	— Amended and Restated Bylaws of IntercontinentalExchange, Inc. (incorporated by reference to Exhibit 3.1 to ICE's Current Report on Form 8-K, filed with the SEC on December 16, 2008, File No. 001-32671).
10.1	— Employment Agreement, dated as of December 31, 2008, between IntercontinentalExchange, Inc. and Jeffrey C. Sprecher (incorporated by reference to Exhibit 10.1 to ICE's Current Report on Form 8-K, filed with the SEC on January 7, 2009, File No. 001-32671).
10.2	— Employment Agreement, dated as of December 31, 2008, between Intercontinental-Exchange, Inc. and Charles A. Vice (incorporated by reference to Exhibit 10.2 to ICE's Current Report on Form 8-K, filed with the SEC on January 7, 2009, File No. 001-32671).
10.3	— Employment Agreement, dated as of December 31, 2008, between Intercontinental-Exchange, Inc. and David S. Goone (incorporated by reference to Exhibit 10.3 to ICE's Current Report on Form 8-K, filed with the SEC on January 7, 2009, File No. 001-32671).
10.4	— Employment Agreement, dated as of December 31, 2008, between Intercontinental-Exchange, Inc. and Edwin D. Marcial (incorporated by reference to Exhibit 10.4 to ICE's Current Report on Form 8-K, filed with the SEC on January 7, 2009, File No. 001-32671).
10.5	— Employment Agreement dated as of December 31, 2008, between Intercontinental-Exchange, Inc. and Scott A. Hill (incorporated by reference to Exhibit 10.5 to ICE's Current Report on Form 8-K, filed with the SEC on January 7, 2009, File No. 001-32671).
10.6	— IntercontinentalExchange, Inc. 2000 Stock Option Plan, as amended effective December 31, 2008.
10.7	— IntercontinentalExchange, Inc. 2003 Restricted Stock Deferral Plan for Outside Directors, as amended effective December 31, 2008.
10.8	— IntercontinentalExchange, Inc. 2004 Restricted Stock Plan, as amended effective December 31, 2008.
10.9	— IntercontinentalExchange, Inc. 2005 Equity Incentive Plan, as amended effective December 31, 2008.
10.10	— \$500,000,000 Credit Agreement, dated as of January 12, 2007, among IntercontinentalExchange, Inc. Wachovia Bank, National Association, as Administrative Agent, Bank of America, N.A., as Syndication Agent, and other Lenders named therein (incorporated by reference to Exhibit 10.1 to ICE's Current Report on Form 8-K, filed with the SEC on January 12, 2007, File No. 001-32671).
10.11	— First Amendment to \$500,000,000 Credit Agreement among IntercontinentalExchange, Inc. and Wachovia Bank, National Association, as Administrative Agent, Bank of America, N.A., as Syndication Agent, and the Lenders named therein dated as of August 24, 2007 (incorporated by reference to Exhibit 10.1 to our Current Report on Form 8-K, filed with the SEC on August 30, 2007, File No. 001-32671).

<u>Exhibit Number</u>	<u>Description of Document</u>
10.12	— Second Amendment to \$500,000,000 Credit Agreement among IntercontinentalExchange, Inc. and Wachovia Bank, National Association, as Administrative Agent, Bank of America, N.A., as Syndication Agent, and the Lenders named therein dated as of June 13, 2008 (incorporated by reference to Exhibit 10.1 to our Current Report on Form 8-K, filed with the SEC on June 19, 2008, File No. 001-32671).
10.13	— \$150,000,000 Credit Agreement, dated as of June 27, 2008, among IntercontinentalExchange, Inc. Wachovia Bank, National Association, as Administrative Agent, Bank of America, N.A., as Syndication Agent, and other Lenders named therein (incorporated by reference to Exhibit 10.1 to ICE's Current Report on Form 8-K, filed with the SEC on July 3, 2008, File No. 001-32671).
10.14	— Office Lease, dated as of June 8, 2000, as amended, between CMD Realty Investment Fund IV, L.P. and IntercontinentalExchange, LLC (incorporated by reference to Exhibit 10.17 to ICE's registration statement on Form S-1, filed with the SEC on June 6, 2005, File No. 333-123500).*
10.15	— Lease Amendment Six, dated as of October 12, 2005, by and between CMD Realty Investment Fund IV, L.P. and IntercontinentalExchange, Inc. (incorporated by reference to Exhibit 10.27 to ICE's registration statement on Form S-1, filed with the SEC on October 14, 2005, File No. 333-123500).*
10.16	— Lease Amendment Seven, dated as of May 12, 2006, by and between CMD Realty Investment Fund IV, L.P. and IntercontinentalExchange, Inc. (incorporated by reference to Exhibit 10.2 to ICE's Current Report on Form 8-K, filed with the SEC on May 17, 2006, File No. 001-32671).*
10.17	— Lease Amendment Eight, dated as of November 28, 2006.*
10.18	— Lease Amendment Nine, dated as of February 21, 2007.*
10.19	— Lease Amendment Ten, dated as of May 15, 2008.*
10.20	— TRS — Application Services Agreement, dated as of April 25, 2001, between The International Petroleum Exchange of London Limited and LIFFE Services Company Limited (incorporated by reference to Exhibit 10.14 to ICE's registration statement on Form S-1, filed with the SEC on October 14, 2005, File No. 333-123500).*
10.21	— Deed of Novation, dated July 22, 2005, between The International Petroleum Exchange of London Limited, LIFFE Services Limited, Atos Euronext Market Solutions Limited, and LIFFE Administration and Management (incorporated by reference to Exhibit 10.25 to ICE's registration statement on Form S-1, filed with the SEC on October 14, 2005, File No. 333-123500).
10.22	— Managed Services Agreement, dated as of December 21, 2007, between ICE Clear Europe Limited and Atos Euronext Market Solutions Limited.*
10.23	— Patent License Agreement, dated as of March 29, 2002, between eSpeed, Inc. and IntercontinentalExchange, Inc. (incorporated by reference to Exhibit 10.16 to ICE's registration statement on Form S-1, filed with the SEC on June 6, 2005, File No. 333-123500).
10.24	— Settlement Agreement, dated as of September 1, 2005, by and between EBS Group Limited and IntercontinentalExchange, Inc. (incorporated by reference to Exhibit 10.26 to ICE's registration statement on Form S-1, filed with the SEC on October 14, 2005, File No. 333-123500).
10.25	— License Agreement For Index-Related Derivative Products dated as of June 15, 2007 between IntercontinentalExchange, Inc. and Frank Russell Company (incorporated by reference to Exhibit 10.1 to ICE's Current Report on Form 8-K, filed with the SEC on June 20, 2007, File No. 001-32671).*
10.26	— Contribution and Asset Transfer Agreement, dated as of May 11, 2000, by and between IntercontinentalExchange, LLC, Continental Power Exchange, Inc., and Jeffrey C. Sprecher (incorporated by reference to Exhibit 10.31 to ICE's registration statement on Form S-1, filed with the SEC on October 25, 2005, File No. 333-123500).
10.27	— First Amendment to Contribution and Asset Transfer Agreement, dated as of May 17, 2000, by and among IntercontinentalExchange, LLC, Continental Power Exchange, Inc., and Jeffrey C. Sprecher (incorporated by reference to Exhibit 10.32 to ICE's registration statement on Form S-1, filed with the SEC on October 25, 2005, File No. 333-123500).

Table of Contents

<u>Exhibit Number</u>	<u>Description of Document</u>
10.28	— Second Amendment to Contribution and Asset Transfer Agreement, dated as of October 24, 2005, by and among IntercontinentalExchange, Inc., Continental Power Exchange, Inc., and Jeffrey C. Sprecher (incorporated by reference to Exhibit 10.33 to ICE's registration statement on Form S-1, filed with the SEC on October 25, 2005, File No. 333-123500).
10.29	— IntercontinentalExchange, Inc. Amended and Restated 1999 Stock Option/Stock Issuance Plan (formerly the Creditex Group Inc. Amended and Restated 1999 Stock Option/Stock Issuance Plan) (incorporated by reference to Exhibit 4.1 to ICE's registration statement on Form S-8, filed with the SEC on September 2, 2008, File No. 333-153299).
21.1	— Subsidiaries of IntercontinentalExchange, Inc.
23.1	— Consent of Ernst & Young LLP, Independent Registered Public Accounting Firm.
24.1	— Power of Attorney (included with signature page hereto).
31.1	— Rule 13a - 14(a)/15d - 14(a) Certification of Chief Executive Officer.
31.2	— Rule 13a - 14(a)/15d - 14(a) Certification of Chief Financial Officer.
32.1	— Section 1350 Certification of Chief Executive Officer.
32.2	— Section 1350 Certification of Chief Financial Officer.

* Confidential treatment has been previously requested or granted to portions of this exhibit by the SEC.

INTERCONTINENTALEXCHANGE, INC.
2000 STOCK OPTION PLAN
Amended and Restated Effective as of December 31, 2008

1. PURPOSE

IntercontinentalExchange, Inc. (the "Corporation") hereby establishes a stock option plan to be known as the IntercontinentalExchange, Inc. 2000 Stock Option Plan (the "Plan"). The Plan is intended to attract Employees with outstanding qualifications to the Corporation and its subsidiaries, and to retain and reward these Employees of the Corporation, by providing an opportunity to obtain a proprietary interest in the Corporation.

2. DEFINITIONS

The following words and phrases when used in the Plan, unless otherwise specifically defined or unless the context clearly otherwise requires, shall have the following respective meanings:

(a) "Act" shall mean the Securities Act of 1933, as amended from time to time, and all rules promulgated thereunder.

(b) "Board" shall mean the board of directors of the Corporation.

(c) "Code" shall mean the Internal Revenue Code of 1986, as amended from time to time, and all regulatory guidance thereunder. A reference to any particular section of the Code shall be deemed to refer to any successor provisions thereto.

(d) "Committee" shall mean the Compensation Committee of the Board. In addition the Board shall have all the powers of the Committee.

(e) "Corporation" shall mean IntercontinentalExchange, Inc., a Delaware corporation.

(f) "Employee" shall mean an individual who is employed (within the meaning of Code Section 3401) by the Corporation or its Subsidiaries or is a director of the Corporation.

(g) "Exercise Price" shall mean the price per Share of Stock, determined by the Committee and set forth in the relevant option agreement, at which an Option may be exercised, provided that the Exercise Price shall be equal to or greater than Fair Market Value at the time of grant.

(h) "Fair Market Value" shall mean the value of one Share of Stock, determined as follows:

(1) if the Shares are traded on an exchange, the price at which Shares were traded at the close of business on the date of valuation;

(2) if the Shares are traded over-the-counter on the NASDAQ System, the mean between the bid and asked prices on the System at the close of business on the date of valuation; and

(3) if neither Paragraph (1) nor Paragraph (2) is applicable, the fair market value as determined by the Committee in its sole and absolute discretion, in good faith. This determination shall be conclusive and binding on all persons.

(i) “ Option ” shall mean an incentive stock option within the meaning of Code Section 422(b) or an option that is not an incentive stock option (*i.e.* a Nonqualified Stock Option) but not described in Code Section 423(b).

(j) “ Optionee ” shall mean an Employee who has been granted an Option.

(k) “ Plan ” shall mean this IntercontinentalExchange, Inc. 2000 Stock Option Plan, as it may be amended from time to time.

(l) “ Purchase Price ” shall mean the Exercise Price times the number of Shares with respect to which an Option is exercised.

(m) “ Rule 16b-3 ” shall mean Rule 16b-3 under Section 16(b) of the Securities Act, as amended from time to time, then in effect or any successor provisions.

(n) “ Securities Act ” shall mean the Securities Exchange Act of 1934, as amended from time to time, and any regulatory guidance promulgated thereunder.

(o) “ Share ” shall mean one share of Stock, adjusted under Section 9 of the Plan (if applicable).

(p) “ Stock ” shall mean the common stock, par value \$0.01 per Share, of the Corporation.

(q) “ Subsidiary ” shall mean any corporation, other than the Corporation, in an unbroken chain of corporations beginning with the Corporation if, at the time of the grant of an Option, each of the corporations, other than the last corporation in the unbroken chain, owns stock possessing 50 percent or more of the combined voting power of all classes of stock in one of the other corporations in such chain.

3. EFFECTIVE DATE

The Plan was originally effective June 28, 2000. The changes made by the November 21, 2005 amendment and restatement are clarifying and therefore are effective June 28, 2000 except for the changes made to Sections 7(l) and 10, which are effective September 20, 2004 for options granted on or after September 20, 2004.

(a) Prior to July 18, 2001, Sections 1, 2(j), 4 and 5 allowed options to be granted to independent contractors, Section 2(p) defined Stock as common stock, and Section 6 allowed options for only 1,000,000 shares (2,841,000 shares after the stock split) to be granted.

(b) Prior to December 11, 2001, Section 6 allowed options for only 3,855,000 shares to be granted.

(c) Prior to April 24, 2002, Section 5 did not allow options to be granted to directors, and Section 6 allowed options for only 8,635,651 shares to be granted.

(d) Prior to September 25, 2003, Section 6 allowed options for only 12,210,651 shares to be granted.

4. ADMINISTRATION

The Plan shall be administered and interpreted by the Committee. The Committee shall from time to time, in its sole and absolute discretion, select the Employees who are to be granted Options and determine the number of Shares to be optioned to each Optionee. A Committee member shall in no event participate in any determination relating to Options held by or to be granted to such Committee member. The interpretation and construction by the Committee of any provisions of the Plan or of any Option shall be final and shall be given the maximum deference permitted under the law. No member of the Committee shall be liable for any action or determination made in good faith with respect to the Plan or any Option.

5. PARTICIPATION

The Optionees shall be such persons as the Committee selects from the Corporation's Employees.

6. STOCK

The stock subject to Options granted under the Plan shall be Shares of the Corporation's authorized but unissued or reacquired Stock. The aggregate number of Shares that may be issued upon exercise of Options under the Plan shall not exceed an aggregate number equal to 5,252,000. The number of Shares subject to Options outstanding at any time shall not exceed the number of Shares remaining available for issuance under the Plan. If any outstanding Option for any reason expires or is terminated, the Shares allocable to the unexercised portion of the Option may again be made subject to an Option. The limitations established by this Section 6 shall be subject to adjustment in the manner provided in and upon the occurrence of an event specified in Section 9.

7. TERMS AND CONDITIONS OF OPTIONS

(a) Option Agreements Options shall be evidenced by written option agreements in such form as the Committee shall from time to time determine. These agreements shall comply with and be subject to the terms and conditions set forth below.

(b) Number of Shares Each Option shall state the number of Shares to which it pertains and shall provide for the adjustment under Section 9.

(c) Exercise Price Each option agreement shall state the Exercise Price of the Options granted thereunder.

(d) Medium and Time of Payment The Purchase Price shall be paid in such medium as the Committee shall from time to time determine, in its sole and absolute discretion. The applicable option agreement shall provide that the Purchase Price may be paid in one or more of the following manners:

(1) in United States dollars upon the exercise of the Option;

(2) by the surrender of Shares in good form for transfer, owned by the person exercising the Option at least six months (or shares that are deemed inactive for purposes of accounting rules so there would be no charge to earnings) and having a Fair Market Value on the date of exercise equal to the Purchase Price, or in any combination of cash and Shares, as long as the sum of the cash so paid and the Fair Market Value of the Shares so surrendered equals the Purchase Price;

(3) with a full recourse promissory note executed by the Optionee. The interest rate and other terms and conditions of this note shall be determined by the Committee in its sole and absolute discretion. The Committee may require that the Optionee pledge his or her Shares to the Corporation for the purpose of securing payment of this note, and the Corporation may retain possession of the stock certificate(s) representing these Shares in order to perfect its security interest; or

(4) such other medium the Committee determines, in its sole and absolute discretion.

If the Corporation determines that it should withhold local, state, or Federal taxes upon the exercise of an Option, as a condition to the exercise the Optionee may be required to make arrangements satisfactory to the Corporation to enable it to satisfy these withholding requirements.

(e) Right of First Refusal Any shares of Stock received pursuant to the exercise of an Option which are not readily tradeable on an established market shall be subject to a "right of first refusal." The right of first refusal shall provide that, prior to any subsequent transfer, the shares must first be offered for purchase in writing to the Corporation at the then fair market value. The price specified in a bona fide written offer from an independent prospective buyer will be deemed to be the fair market value of such Stock for this purpose. The Corporation will have a total of thirty (30) business days to exercise the right of first refusal on the same terms offered by an independent prospective buyer. The Corporation may assign any right of first refusal it may have, whether or not then exercisable, to person(s) as may be selected by the Corporation. The right of first refusal shall terminate upon the effective date of the Corporation's initial public offering (IPO).

(f) Term and Nontransferability of Options Each option agreement shall state the time or times when all or part of the Option thereunder becomes exercisable. No Option granted to an Optionee shall be exercisable after the expiration of ten (10) years from the date it was granted. During the lifetime of the Optionee, the Option shall be exercisable only by the Optionee and shall not be assignable or transferable. In the event of the Optionee's death, the Option shall not be transferable by the Optionee other than by will or the laws of descent and distribution.

(g) Termination of Employment (Except by Death) If an Optionee ceases to be an Employee for any reason other than his or her death, the Optionee shall have the right, subject to the restrictions of Subsection (f), to exercise the Options for at least within fourteen (14) days after ceasing to be an Employee. At the date of ceasing to be an Employee, the Optionee's right to exercise such Option must have accrued pursuant to the terms of the applicable option agreement and must not have been previously exercised.

For this purpose, the employment relationship shall be treated as continuing intact while the Optionee is on military leave, sick leave, or any other bona fide leave of absence (to be determined in the sole and absolute discretion of the Committee).

(h) Death of Optionee If an Optionee dies while an Employee, or after ceasing to be an Employee but during the period while he or she could have exercised the Option under this Section 7, and has not fully exercised the Option, the Option may be exercised in full, subject to the restrictions of Subsections (f), at any time within 12 months after the Optionee's death. The Option may be exercised solely by the executors or administrators of the Optionee's estate or by any person or persons who have acquired the Option directly from the Optionee by bequest or inheritance. At the date of death, the Optionee's right to exercise the Option must have accrued, must not have been forfeited pursuant to the terms of the applicable option agreement, and must not have been previously exercised.

(i) Rights as Stockholder An Optionee, or a transferee of an Optionee, shall have no rights as a stockholder with respect to any Shares covered by his or her Option until the date of the issuance of a stock certificate for such Shares. No adjustment shall be made for dividends (ordinary or extraordinary, whether in cash, securities, or other property), distributions, or other rights for which the record date is prior to the date the stock certificate is issued, except as provided in Section 9.

(j) Modification, Extension, and Renewal of Options Within the limitations of the Plan, the Committee may modify, extend, or renew outstanding Options or accept the cancellation of outstanding Options (to the extent not previously exercised) for the granting of new Options in substitution therefore. The foregoing notwithstanding, no modification of an Option shall, without the consent of the Optionee, alter or impair any rights or obligations under any Option previously granted.

(k) Sequential Exercise Unless required by law or by the particular option agreement, Options may be exercisable with respect to all or any part of the Shares without regard to the sequence in which options were granted to the Optionee (under this Plan or otherwise).

(1) Cancellation and Rescission If an Optionee who has a contract of employment that defines Optionee's obligations with respect to competition with the Corporation violates such obligations, or if an Optionee that has no such contract either renders services for any organization or business which is or becomes competitive with the Corporation or engages directly or indirectly in any organization or business which is or becomes otherwise prejudicial to or in conflict with the interests of the Corporation, prior to or during a six-month period after any exercise of an Option, such exercise shall be cancelled and rescinded. The Committee shall notify the Optionee in writing of any such cancellation and rescission within two years after such

exercise. Within ten days after receiving such notice from the Committee, the Optionee shall pay to the Corporation the amount of any gain realized or payment received as a result of the cancelled and rescinded exercise of the Option.

(m) Other Provisions The option agreements may contain such other provisions not inconsistent with the terms of the Plan (including, without limitation, restrictions upon the exercise of the Option or on a subsequent sale of the Stock) as the Committee shall deem advisable.

8. TERM OF PLAN

Options may be granted pursuant to the Plan until the expiration of the Plan on June 27, 2010.

9. RECAPITALIZATIONS

The number of Shares covered by the Plan as provided in Section 6, the number of Shares covered by each outstanding Option, and the Exercise Price shall be proportionately adjusted for any increase or decrease in the number of issued Shares resulting from a subdivision or consolidation of Shares or the payment of a stock dividend (but only of Stock) or any other increase or decrease in the number of issued Shares effected without receipt of consideration by the Corporation.

Subject to the provisions of Section 11, if the Corporation is the surviving corporation in any merger or consolidation, each outstanding Option shall pertain and apply to the securities to which a holder of the number of Shares subject to the Option would have been entitled.

To the extent that the foregoing adjustments relate to securities of the Corporation, such adjustments shall be made by the Committee, whose determination shall be conclusive and binding on all persons.

Except as expressly provided in this Section 9 and Section 11,

(a) the Optionee shall have no rights by reason of any subdivision or consolidation of shares of stock of any class, the payment of any stock dividend, or any other increase or decrease in the number of shares of stock of any class or by reason of any dissolution, liquidation, merger, consolidation, or spin-off of assets or stock of another corporation, and

(b) any issuance by the Corporation of shares of stock of any class, or securities convertible into shares of stock of any class, shall not affect, and no adjustment shall be made with respect to, the number or Exercise Price of Shares subject to an Option.

The grant of an Option under the Plan shall not affect in any way the right or power of the Corporation to make adjustments, reclassifications, reorganizations, or changes of its capital or business structure; to merge or consolidate; or to dissolve, liquidate, sell, or transfer all or any part of its business or assets.

10. RESTRICTIONS ON SHARES ACQUIRED

The Corporation (or a representative of the Corporation's underwriter(s)) may, in connection with the first underwritten registration of the offering of any securities of the Corporation, require that Optionee not sell, dispose of, transfer, make any short sale of, grant any option for the purchase of, or enter into any hedging or similar transaction with the same economic effect as a sale with respect to, any Shares or other securities of the Corporation held by Optionee, for a period of time specified by the underwriter(s) (not to exceed 12 months) following the Corporation's effective date of registration. Optionee will execute and deliver such other agreements that are reasonably requested by the Corporation or the underwriter(s) that are consistent with the foregoing or that are necessary to give further effect thereto, and the Corporation may impose stop-transfer instructions with respect to Optionee's Shares until the end of such specified period.

11. SECURITIES LAW REQUIREMENTS

(a) Legality of Issuance No Shares shall be issued upon the exercise of any Option unless and until the Corporation has determined that:

(1) it and the Optionee have taken all actions required to register the Shares under the Act, or to perfect an exemption from the registration requirements of the Act or any state or other securities laws;

(2) any applicable listing requirement of any stock exchange on which the Common Stock is listed has been satisfied; and

(3) all other applicable provisions of Federal, state or any other law have been satisfied.

Regardless of whether the offering and sale of Shares under the Plan has been registered under the Act or has been registered or qualified under the securities laws of any state, the Corporation may impose restrictions upon the sale, pledge, or other transfer of such Shares (including the placement of appropriate legends on stock certificates) if, in the judgment of the Corporation and its counsel, restrictions are necessary or desirable in order to achieve compliance with the provisions of the Act, the securities laws of any state, or any other law. If the sale of Shares under the Plan is not registered under the Act but an exemption is available that requires an investment representation or other representation, each Optionee shall be required to represent that the Shares are being acquired for investment, and not with a view to sale or distribution, and to make any other representations as are deemed necessary or appropriate by the Corporation and its counsel. Stock certificates evidencing Shares acquired under the Plan pursuant to an unregistered transaction shall bear the following restrictive legend and any other restrictive legends as are required or deemed advisable under the provisions of any applicable law:

THE SALE OF THE SECURITIES REPRESENTED HEREBY HAS NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED ("ACT"). ANY TRANSFER OF SUCH SECURITIES WILL BE INVALID UNLESS A REGISTRATION STATEMENT UNDER THE ACT IS IN EFFECT AS TO SUCH TRANSFER OR IN THE OPINION OF COUNSEL

FOR THE ISSUER SUCH REGISTRATION IS UNNECESSARY IN ORDER FOR SUCH TRANSFER TO COMPLY WITH THE ACT.

Any determination by the Corporation and its counsel in connection with any of the matters set forth in this Section 11 shall be conclusive and binding on all persons.

(b) Registration or Qualification of Securities The Corporation may, but shall not be obligated to, register or qualify the sale of Shares under the Act or any other applicable law. The Corporation shall not be obligated to take any affirmative action to cause the sale of Shares under the Plan to comply with any law.

(c) Exchange of Certificates If, in the opinion of the Corporation and its counsel, any legend placed on a stock certificate representing shares sold under the Plan is no longer required, the holder of the certificate shall be entitled to exchange the certificate for a certificate representing the same number of Shares but lacking the legend.

12. AMENDMENT OF THE PLAN

The Board may from time to time, with respect to any Shares at the time not subject to Options, suspend, discontinue, or terminate the Plan or revise or amend it in any respect whatsoever, except that, without the approval of the Corporation's stockholders, no such revision or amendment shall:

- (a) increase the number of Shares subject to the Plan;
- (b) change the designation in Section 5 with respect to the classes of persons eligible to receive Options; or
- (c) amend this Section 12 to defeat its purpose.

Additionally, stockholder approval shall be required for any other amendment if any other requirements of Rule 16b-3b require stockholder approval to amend. No amendment may materially adversely affect a previously granted Option without the consent of the Optionee.

13. APPLICATION OF FUNDS

The proceeds received by the Corporation from the sale of Stock pursuant to the exercise of an Option shall be used for general corporate purposes.

14. APPROVAL OF STOCKHOLDERS

The Plan shall be subject to approval by the affirmative vote of the holders of a majority of the outstanding Shares present and entitled to vote, and in no event later than June 27, 2001. Prior to such approval, Options may be granted but shall not be exercisable. Any amendment shall also be subject to approval by the Corporation's stockholders to the extent required by Section 12.

15. NUMBER AND GENDER

The masculine, feminine, and neuter, wherever used in the Plan or in any option agreement, shall refer to either the masculine, feminine, or neuter; and, unless the context otherwise requires, the singular shall include the plural and the plural the singular.

16. LEGENDS

The Corporation reserves the right to cause appropriate legends to be imprinted on the certificates representing shares of Stock to reflect all restrictions and limitations referred to in this Plan.

17. GOVERNING LAW

The laws of the State of Georgia (without regard to conflict of laws provisions) shall govern all matters relating to this Plan, except to the extent superseded by Federal law.

18. SECTION 409A OF THE CODE

The Company intends that the Committee may only grant Options that either comply with the applicable requirements of Section 409A of the Code, or do not result in the deferral of compensation within the meaning of Section 409A of the Code, and intends that the Committee will interpret the Plan accordingly.

INTERCONTINENTALEXCHANGE, INC.
2003 RESTRICTED STOCK DEFERRAL PLAN FOR OUTSIDE DIRECTORS
As Amended and Restated Effective December 31, 2008

1. PURPOSE

The purpose of the IntercontinentalExchange, Inc. (the “Corporation”) 2003 Restricted Stock Deferral Plan for Outside Directors (the “Plan”) is to aid the Corporation in attracting and retaining Outside Directors by encouraging and enabling the acquisition of a financial interest in the Corporation through the issuance of Restricted Stock or Restricted Stock Units and thereby providing Outside Directors a stake in the growth and profitability of the Corporation, in order to enable them to represent the viewpoint of other shareholders of the Corporation more effectively.

2. DEFINITIONS

The following words and phrases when used in the Plan, unless otherwise specifically defined or unless the context clearly otherwise requires, shall have the following respective meanings:

(a) “Board” shall mean the board of directors of the Corporation.

(b) “Cause” shall mean:

(1) The Outside Director is convicted of, pleads guilty to, or confesses or otherwise admits to any felony or any act of fraud, misappropriation or embezzlement;

(2) The Outside Director knowingly engages in any act or course of conduct or knowingly fails to engage in any act or course of conduct (i) which is reasonably likely to adversely affect the Corporation’s right or qualification under applicable laws, rules or regulations to serve as an exchange or other form of a marketplace for trading commodities or (ii) which violates the rules of any exchange or market on which the Corporation effects trades (or at such time is actively contemplating effecting trades) and which is reasonably likely to lead to a denial of the Corporation’s right or qualification to effect trades on such exchange or market;

(3) There is any act or omission by the Outside Director involving malfeasance or gross negligence in the performance of the Outside Director’s duties and responsibilities to the material detriment of the Corporation; or

(4) The Outside Director breaches in any material respect any of the provisions of any applicable service agreement or violates in any material respect any generally applicable code of conduct which is distributed in writing to the Corporation’s directors; provided, however,

(5) No such act or omission or event shall be treated as “Cause” unless (i) the Outside Director has been provided a detailed, written statement of the basis for the Corporation’s belief such act or omission or event constitutes “Cause” and an opportunity to meet with the Board (together with the Outside Director’s counsel if the Outside Director chooses to have the Outside Director’s counsel present at such meeting) after the Outside

Director has had a reasonable period in which to review such statement and, if the act or omission or event is one which can be cured by the Outside Director, the Outside Director has had at least a thirty (30) day period to take corrective action and (ii) the Board after such meeting (if the Outside Director exercises the Outside Director's right to have a meeting) and after the end of such thirty (30) day correction period (if applicable) determines reasonably and in good faith and by the affirmative vote of at least a majority or, after a Change in Control, at least three fourths of the members of such Board then in office at a meeting called and held for such purpose that "Cause" does exist; provided, however, the Outside Director shall have no right to participate in such vote, and the number of members needed to constitute a majority of, or three fourths of, whichever is applicable, the members of the Board shall be determined without counting the Outside Director as a member of the Board.

(c) "Change in Control" means the occurrence of any of the following events:

(1) Any "person" (as that term is used in Sections 13(d) and 14(d)(2) of the Securities Exchange Act of 1934), is or becomes the beneficial owner (as defined in Rule 13d-3 under such Act), directly or indirectly, of securities representing 30% or more of the combined voting power of the then outstanding securities of the Corporation eligible to vote for the election of the members of the Board unless (i) such person is the Corporation or a Subsidiary, (ii) such person is an employee benefit plan (or a trust which is a part of such a plan) which provides benefits exclusively to, or on behalf of, employees or former employees of the Corporation or a Subsidiary, (iii) such person is an underwriter temporarily holding such securities pursuant to an offering of such securities, (iv) such person is the Outside Director, an entity controlled by the Outside Director or a group which includes the Outside Director or (v) such person acquired such securities in a Non-Qualifying Transaction (as defined in (4) below);

(2) During any period of two consecutive years or less beginning after the closing date of the initial public offering of the common stock of the Corporation, individuals who at the beginning of such period constitute the Board cease, for any reason, to constitute at least a majority of such Board, unless the election or nomination for election of each new director was approved by at least two-thirds of the directors then still in office who were directors at the beginning of the period (either by a specific vote of such directors or by the approval of the Corporation's proxy statement in which each such individual is named as a nominee for a director without written objection to such nomination by such directors); provided, however, that no individual initially elected or nominated as a director of the Corporation as a result of an actual or threatened election contest with respect to directors or as a result of any other actual or threatened solicitation of proxies or consents by or on behalf of any person other than the Board shall be deemed to be approved;

(3) Any dissolution or liquidation of the Corporation or any sale or the disposition of 50% or more of the assets or business of the Corporation, or

(4) The consummation of any reorganization, merger, consolidation or share exchange or similar form of corporate transaction involving the Corporation unless (i) the persons who were the beneficial owners of the outstanding securities eligible to vote for the election of the members of the Board immediately before the consummation of such transaction hold more than 60% of the voting power of the securities eligible to vote for the members of the board of directors of the successor or survivor corporation in such transaction immediately following the consummation of such transaction and (ii) the number of the securities of such

successor or survivor corporation representing the voting power described in (i) above held by the persons described in (i) above immediately following the consummation of such transaction is beneficially owned by each such person in substantially the same proportion that each such person had beneficially owned the outstanding securities eligible to vote for the election of the members of the Board immediately before the consummation of such transaction, provided (iii) the percentage described in (i) above of the securities of the successor or survivor corporation and the number described in (ii) above of the securities of the successor or survivor corporation shall be determined exclusively by reference to the securities of the successor or survivor corporation which result from the beneficial ownership of shares of common stock of the Corporation by the persons described in (i) above immediately before the consummation of such transaction (any transaction which satisfies all of the criteria specified in (i), (ii) and (iii) above shall be deemed to be a “Non-Qualifying Transaction”).

(d) “ Committee ” shall mean the Compensation Committee of the Board. In addition the Board shall have all the powers of the Committee.

(e) “ Corporation ” shall mean IntercontinentalExchange, Inc., a Delaware corporation.

(f) “ Disability ” shall mean any physical or mental condition which renders the Outside Director unable even with reasonable accommodation by the Corporation to perform the essential functions of the Outside Director’s job for at least a one hundred and eighty (180) consecutive day period and which would make a participant in the Corporation’s long term disability plan as of the date that the Outside Director service terminates eligible to receive benefits.

(g) “ Fair Market Value ” shall mean the value of one share of Stock, determined as follows:

(1) if the Stock is traded on an exchange, the price at which Stock was traded at the close of business on the date of valuation;

(2) if the Stock is traded over-the-counter on the NASDAQ System, the mean between the bid and asked prices on the System at the close of business on the date of valuation; and

(3) if neither Paragraph (1) nor Paragraph (2) is applicable, the fair market value as determined by the Committee in its sole and absolute discretion, in good faith. This determination shall be conclusive and binding on all persons.

If Fair Market Value has not been determined as of a particular date, the Fair Market Value as of such date shall be deemed to be the Fair Market Value as of the date that Fair Market Value was most recently determined.

(h) “ Outside Director ” shall mean any person who is a member of the Board and who is not a full-time employee of the Corporation or any of its subsidiaries.

(i) “ Plan ” shall mean this 2003 IntercontinentalExchange, Inc. Restricted Stock Deferral Plan for Outside Directors, as it may be amended from time to time.

(j) “ Restricted Stock ” shall mean Stock subject to the restrictions described in Section 5.

(k) “ Restricted Stock Units ” shall mean the units credited to the bookkeeping account maintained pursuant to Section 6.

(l) “ Retirement ” means the Outside Director’s retirement from the Board at the end of the full term for which the Outside Director was elected, retirement from the Board at any time at or after age 70, or retirement at any time with the consent of the Board.

(m) “ Section 409A ” means Section 409A of the Internal Revenue Code of 1986, as amended.

(n) “ Separation from Service ” means an Outside Director’s “separation from service” with the Corporation within the meaning of Section 409A(a)(2)(A)(i) of the Internal Revenue Code.

(o) “ Stock ” shall have the following meaning:

(1) For Restricted Stock and Restricted Stock Units granted prior to November 21, 2005,

“ Stock ” shall initially mean the Class A Common Stock, Series 2, par value \$0.01 per share, of the Corporation. On November 21, 2005, each four outstanding Restricted Stock or Restricted Stock Units shall become one outstanding Restricted Stock or Restricted Stock Unit, pursuant to Section 7, due to the one for four reverse stock split of the Corporation’s Class A Common Stock, Series 1, par value \$0.01 per share, and Class A Common Stock, Series 2, par value \$0.01 per share, that became effective immediately prior to the closing of the Corporation’s initial public offering on November 21, 2005. On May 20, 2006, each Restricted Stock and Restricted Stock Unit for Class A Common Stock, Series 2, par value \$0.01 per share, of the Corporation shall become one Restricted Stock or Restricted Stock Unit for the Common Stock, par value \$0.01 per share, of the Corporation.

(2) For Restricted Stock Units granted and Restricted Stock issued on or after November 21, 2005 and before May 20, 2006,

“ Stock ” shall initially mean the Class A Common Stock, Series 2, par value \$0.01 per share, of the Corporation. On May 20, 2006, each Restricted Stock Unit for Class A Common Stock, Series 2, par value \$0.01 per share, of the Corporation shall become one Restricted Stock Unit for the Common Stock, par value \$0.01 per share, of the Corporation, and each share of Restricted Stock that is Class A Common Stock, Series 2, par value \$0.01 per share, of the Corporation shall become one share of Restricted Stock that is Common Stock, par value \$0.01 per share, of the Corporation.

(3) For Restricted Stock Units granted and Restricted Stock issued on or after May 20, 2006,

“ Stock ” shall mean the Common Stock, par value \$0.01 per share, of the Corporation.

(p) “Subsidiary” shall mean any corporation, other than the Corporation, in an unbroken chain of corporations beginning with the Corporation if, at the time of the grant of Restricted Stock or Restricted Stock Units, each of the corporations, other than the last corporation in the unbroken chain, owns stock possessing 50 percent or more of the combined voting power of all classes of stock in one of the other corporations in such chain.

3. STOCK RESERVED UNDER PLAN

The aggregate number of shares of Stock that may be issued under the Plan is 250,000 (prior to November 21, 2005, 1,000,000). Shares transferred under the Plan may be either authorized but unissued shares or issued but not outstanding shares. If any shares issued hereunder are thereafter acquired by the Corporation pursuant to rights reserved by the Corporation at the time of transfer as hereinafter described, such shares shall be added back to the number of shares reserved for issuance under the Plan. The number of shares of Stock shall be subject to adjustment in the manner provided in Section 8.

4. ELECTION TO RECEIVE SHARES OF RESTRICTED STOCK OR RESTRICTED STOCK UNITS

Each Outside Director may elect to receive all or a portion of his or her retainer and meeting fees relating to the Board or any Committee of the Board in shares of Restricted Stock or in Restricted Stock Units. In addition, each Outside Director may elect to receive all or a portion of his or her annual equity award in Restricted Stock Units.

a. The election must be made in writing, shall apply to the Outside Director’s retainer, meeting fees and/or annual equity award received for services performed during a calendar year, and shall be irrevocable. Separate elections are required for an Outside Director’s retainer, meeting fees and annual equity award.

b. The elections must be made before the last day of the calendar year preceding the calendar year in which the Outside Director earns the retainer, meeting fees or annual equity award, except that (i) any person who becomes an Outside Director (and who has not previously served as an Outside Director) other than at the beginning of a calendar year may make an “initial deferral election” (within the meaning of Treas. Reg. 1.409A-2(a)(7)) within the 30 days following the date on which such person first becomes an Outside Director, and (ii) elections may be made within thirty days after the Plan is first effective (February 1, 2003). For Outside Directors who make elections pursuant to clause (ii) of the preceding sentence, all such elections shall apply for the balance of the calendar year to the retainer, meeting fees and annual equity award earned (if any) for services performed during the year subsequent to the Outside Director’s valid election.

c. The election may be made in any percentage, with a minimum of 10% and a maximum of 100% and may apply to each (or any) of the retainer, meeting fees (Board and/or Committees) and annual equity award.

d. The number of shares of Restricted Stock or the number of Restricted Stock Units determined in respect of an Outside Director’s retainer and/or meeting fees shall be determined by dividing the deferred portion of the retainer and fees for the calendar quarter by 90% (prior to January 1, 2006, 100%) of the Fair Market Value of one share of Stock as of the end of such calendar quarter and rounded up to the next full number of shares.

e. The number of Restricted Stock Units determined in respect of an Outside Director's annual equity award shall be determined by dividing the dollar value of the deferred portion of the annual equity award by 100% of the Fair Market Value of one share of Stock as of the grant date of such annual equity award.

5. RESTRICTED STOCK

Shares of Restricted Stock issued under the Plan shall be subject to the following terms and conditions:

a. Shares shall be issued as of the end of each calendar quarter with respect to retainer and meeting fees otherwise payable in that quarter.

b. One third of shares issued in respect of an Outside Director's retainer and/or meeting fees shall vest each year on the anniversary of the end of the calendar quarter.

c. If, within three years from the end of the calendar quarter, the Outside Director's service on the Board is terminated for any reason other than death, Cause, Disability or Retirement, the unvested shares of Restricted Stock issued under the Plan shall be repurchased by the Corporation at a per share price equal to the lesser of

i. the retainer and meeting fees the Outside Director gave up to obtain such shares, or

ii. the Fair Market Value of such shares as of the date the Outside Director's service on the Board is terminated.

The purchase price shall be paid in cash to the Outside Director within thirty days after termination of service.

d. If the Outside Director's service on the Board terminates due to Cause, the Outside Director shall forfeit any unvested Shares and the Corporation shall pay the Outside Director the par value of \$.01 per Share for each vested Share.

e. If the Outside Director's service on the Board terminates due to death, Disability, or Retirement, all unvested Shares shall be fully vested as of the date of termination of service.

f. Shares of Restricted Stock issued under the Plan shall not be transferable and may not be sold, exchanged, transferred, pledged, hypothecated or otherwise disposed of at any time prior to the vesting of such shares. Upon issuance, the Stock shall be fully paid and nonassessable and shall be issued in the name of the Outside Director. However, at the request of the Outside Director, the Stock may be issued in the names of the Outside Director and his or her spouse (i) as joint tenants with right of survivorship, (ii) as community property, or (iii) as tenants in common without right of survivorship or may be issued in the name of a child or a family trust.

g. An Outside Director who receives shares of Restricted Stock under the Plan (or a permitted transferee) shall have all of the rights of a shareholder with respect to such Restricted Stock, including the right to receive dividends or other distributions in respect of such stock, and

to vote such Restricted Stock as the record owner thereof, unless and until the Outside Director (or a permitted transferee) ceases to be the record owner of such Restricted Stock.

h. Shares of Restricted Stock subject to the Plan may be subject to such other provisions, not inconsistent with the provisions of the Plan, as the Committee shall consider appropriate from time to time, including such provisions as may be appropriate to comply with federal, state and other securities laws and stock exchange requirements.

6. RESTRICTED STOCK UNITS

The number of Restricted Stock Units determined under Section 4 for each Outside Director shall be credited to a bookkeeping account established in the name of the Outside Director subject to the following terms and conditions:

a. Deferrals in Respect of Retainer and Meeting Fees.

i. For deferrals in respect of an Outside Director's retainer and meeting fees, the number of Restricted Stock Units determined pursuant to Section 4(d) shall be credited as of the end of each calendar quarter with respect to such retainer and meeting fees otherwise payable in that quarter.

ii. One third of the Restricted Stock Units credited to the Outside Director's bookkeeping account in respect of an Outside Director's retainer and meeting fees shall vest each year on the anniversary of the end of such calendar quarter.

iii. During January of the first calendar year after the termination of the Outside Director's service on the Board for any reason other than death, Cause, Disability or Retirement, the Corporation shall deliver to the Outside Director a number of shares of Stock equal to the number of Restricted Stock Units then credited to the Outside Director's account together with a cash payment equal to the Fair Market Value of any fractional stock equivalent; provided, however, that any unvested Restricted Stock Units shall instead be distributed in cash equal to the lesser of:

(1) the retainer and meeting fees the Outside Director deferred in respect of such Restricted Stock Unit, or

(2) the Fair Market Value of a share of Stock on the date the Outside Director's service on the Board terminated.

iv. If an Outside Director's service on the Board terminates due to Cause, the Outside Director shall forfeit all unvested Restricted Stock Units in the Outside Director's account and the Corporation shall pay the Outside Director \$0.01 per vested Restricted Stock Unit.

v. If an Outside Director's service on the Board terminates due to death, Disability or Retirement, all unvested Restricted Stock Units shall be fully vested as of the date of termination of service and a number of shares of Stock equal to the number of Restricted Stock Units then credited to the Outside Director's account together with a cash payment equal to the Fair Market Value of any fractional stock equivalent shall be

distributed during January of the first calendar year after the termination of the Outside Director's service.

b. Deferrals in Respect of Annual Equity Awards.

i. For deferrals in respect of an Outside Director's annual equity award, the number of Restricted Stock Units determined pursuant to Section 4(e) shall be credited as of the grant date of such annual equity award.

ii. One hundred percent (100%) of the Restricted Stock Units credited to the Outside Director's bookkeeping account in respect of an Outside Director's annual equity award shall vest on the one-year anniversary of the date of grant.

iii. During January of the first calendar year after the termination of the Outside Director's service on the Board for any reason, the Corporation shall deliver to the Outside Director a number of shares of Stock equal to the number of Restricted Stock Units then credited to the Outside Director's account together with a cash payment equal to the Fair Market Value of any fractional stock equivalent; provided, however, that any unvested Restricted Stock Units shall be forfeited.

iv. If an Outside Director's service on the Board terminates due to Cause, the Outside Director shall forfeit all unvested Restricted Stock Units in the Outside Director's account and the Corporation shall pay the Outside Director \$0.01 per vested Restricted Stock Unit.

c. If the Corporation pays a cash dividend with respect to Stock at any time while Restricted Stock Units are credited to an Outside Director's account, there shall be credited to the Outside Director's account additional Restricted Stock Units equal to:

i. the cash dividend the Outside Director would have received had he or she been the actual owner of a number of Shares of Stock equal to the number of Restricted Stock Units then credited to the Outside Director's account, divided by

ii. the Fair Market Value of one share of Stock on the dividend payment date.

Any such additional Restricted Stock Units shall vest at the same time as the Restricted Stock Units with respect to which the additional Restricted Stock Units were credited.

d. The Corporation's obligation with respect to Restricted Stock Units shall not be funded or secured in any manner, nor shall an Outside Director's right to receive payment be assignable or transferable, voluntarily or involuntarily, except as expressly provided herein.

e. An Outside Director shall not be entitled to any voting or other shareholder rights as a result of the credit of Restricted Stock Units to the Outside Director's account until the shares of Stock are issued. Upon issuance, the Stock shall be fully paid and nonassessable and shall be issued in the name of the Outside Director. However, at the request of the Outside Director, the Stock may be issued in the names of the Outside Director and his or her spouse (i) as joint tenants with right of survivorship, (ii) as community property, or (iii) as tenants in common without right of survivorship or may be issued in the name of a child or a family trust.

i. For purposes of the Plan, the service of an Outside Director on the Board shall be considered to terminate at the time that the Outside Director incurs a Separation from Service.

7. RECAPITALIZATIONS

The number of unissued shares of Restricted Stock or the number of Restricted Stock Units shall be proportionately adjusted for any increase or decrease in the number of issued shares resulting from a subdivision or consolidation of shares or the payment of a stock dividend (but only of Stock) or any other increase or decrease in the number of issued shares effected without receipt of consideration by the Corporation.

Subject to the provisions of Section 10, if the Corporation is the surviving corporation in any merger or consolidation, each unissued share of Restricted Stock or Restricted Stock Unit shall pertain and apply to the securities to which a holder of the number of unissued Restricted Stock or Restricted Stock Units would have been entitled.

To the extent that the foregoing adjustments relate to securities of the Corporation, such adjustments shall be made by the Committee, whose determination shall be conclusive and binding on all persons; provided, however, that any such adjustments pursuant to this Section 7 shall be effected in a manner intended to comply with Section 409A.

Except as expressly provided in this Section 8 and Section 10,

(a) the Outside Director shall have no rights by reason of any subdivision or consolidation of shares of stock of any class, or any other increase or decrease in the number of shares of stock of any class or by reason of any dissolution, liquidation, merger, consolidation, or spin-off of assets or stock of another corporation, and

(b) any issuance by the Corporation of shares of stock of any class, or securities convertible into shares of stock of any class, shall not affect, and no adjustment shall be made with respect to, the number of unissued Shares of Restricted Stock or Restricted Stock Units.

Any Shares reserved under the Plan shall not affect in any way the right or power of the Corporation to make adjustments, reclassifications, reorganizations, or changes of its capital or business structure; to merge or consolidate; or to dissolve, liquidate, sell, or transfer all or any part of its business or assets.

8. SECURITIES LAW REQUIREMENTS

(a) Legality of Issuance. No shares shall be issued under the Plan unless and until the Corporation has determined that:

(1) it and the Outside Director have taken all actions required to register the shares under the Act, or to perfect an exemption from the registration requirements of the Act or any state or other securities laws;

(2) any applicable listing requirement of any stock exchange on which the Stock is listed has been satisfied; and

(3) all other applicable provisions of Federal, state or any other law have been satisfied.

Regardless of whether the issuance of shares under the Plan has been registered under the Act or has been registered or qualified under the securities laws of any state, the Corporation may impose restrictions upon the sale, pledge, or other transfer of such shares (including the placement of appropriate legends on stock certificates) if, in the judgment of the Corporation and its counsel, restrictions are necessary or desirable in order to achieve compliance with the provisions of the Act, the securities laws of any state, or any other law. If the issuance of shares under the Plan is not registered under the Act but an exemption is available that requires an investment representation or other representation, each Outside Director shall be required to represent that the shares are being acquired for investment, and not with a view to sale or distribution, and to make any other representations as are deemed necessary or appropriate by the Corporation and its counsel. Stock certificates evidencing shares acquired under the Plan pursuant to an unregistered transaction shall bear the following restrictive legend and any other restrictive legends as are required or deemed advisable under the provisions of any applicable law:

THE SALE OF THE SECURITIES REPRESENTED HEREBY HAS NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED ("ACT"). ANY TRANSFER OF SUCH SECURITIES WILL BE INVALID UNLESS (i) A REGISTRATION STATEMENT UNDER THE ACT IS IN EFFECT AS TO SUCH TRANSFER, OR (ii) IN THE OPINION OF COUNSEL FOR THE ISSUER, SUCH REGISTRATION IS UNNECESSARY IN ORDER FOR SUCH TRANSFER TO COMPLY WITH THE ACT.

Any determination by the Corporation and its counsel in connection with any of the matters set forth in this Section 10 shall be conclusive and binding on all persons.

(b) Registration or Qualification of Securities. The Corporation may, but shall not be obligated to, register or qualify the issuance of shares under the Securities Act of 1933, as amended, or any other applicable law. The Corporation shall not be obligated to take any affirmative action to cause the issuance of shares under the Plan to comply with any law.

(c) Exchange of Certificates. If, in the opinion of the Corporation and its counsel, any legend placed on a stock certificate representing shares issued under the Plan is no longer required, the holder of the certificate shall be entitled to exchange the certificate for a certificate representing the same number of shares but lacking the legend.

9. LEGENDS

The Corporation reserves the right to cause appropriate legends to be imprinted on the certificates representing shares to reflect all restrictions and limitations referred to in this Plan.

10. TAXATION

i. Notwithstanding any other provisions of the Plan to the contrary, the Plan is intended to meet the requirements of Section 409A, the regulations thereunder, and any additional guidance provided by the Treasury Department, and as such shall be interpreted, construed and administered in accordance with this intent, so as to avoid the

imposition of taxes and penalties on an Outside Director pursuant to Section 409A. The Corporation shall have no liability to any Outside Director, such Outside Director's beneficiary, heir, successor or otherwise if the Plan or any amounts paid or payable hereunder are subject to the additional tax and penalties under Section 409A.

ii. If the Outside Director is deemed to be a "specified employee" (determined by the Corporation in accordance with Section 409A and Treasury Regulation Section 1.409A-3(i)(2)) as of the date that the Outside Director experiences a Separation from Service with the Corporation if any payment, benefit or entitlement provided for in the Plan or otherwise both (i) constitutes "nonqualified deferred compensation" within the meaning of and subject to Section 409A and (ii) cannot be paid or provided in a manner otherwise provided herein without subjecting the Outside Director to additional tax, interest and/or penalties under Section 409A, then any such payment, benefit or entitlement that is payable during the first six (6) months following the Separation from Service shall be paid or provided to the Outside Director in a lump sum cash payment to be made on the earlier of (x) the Outside Director's death and (y) the first business day of the seventh (7th) month immediately following the Outside Director's Separation from Service.

iii. Prior to December 31, 2008, the Corporation operated the Plan in good faith compliance with Section 409A and certain Internal Revenue Service transitional rules then in effect. Written deferral and distribution elections made during, or with respect to, 2005-2008 shall remain in effect hereunder, even to the extent that the specific election choices offered for such years may not be available under the Plan and/or specific election choices available under the Plan may not have been offered, provided that subsequent actions with respect to such elections (e.g., changes thereto, forms of distribution, claims procedures) shall be governed by the terms of the Plan.

11. ADMINISTRATION

The Plan shall be administered and interpreted by the Committee. A Committee member shall in no event participate in any determination relating to Restricted Stock or Restricted Stock Units held by such Committee member. The interpretation and construction by the Committee of any provisions of the Plan shall be final and shall be given the maximum deference permitted under the law. No member of the Committee shall be liable for any action or determination made in good faith with respect to the Plan.

12. AMENDMENT OR TERMINATION

The Board shall have the power to terminate the Plan at any time and to amend the Plan from time to time as it may deem proper; provided, however, that no such termination or amendment shall adversely affect any outstanding Restricted Stock or Restricted Stock Units; provided, further, that any such termination or amendment shall be effected in a manner intended to meet the requirements of Section 409A.

13. EFFECTIVE DATE AND TERM

The Plan shall first be effective with respect to retainer and meeting fees received after January 31, 2003. The Plan will have no specific term and shall expire only when all of the shares reserved hereunder are used.

14. APPROVAL OF STOCKHOLDERS

The Plan is not subject to approval by the Corporation's stockholders.

15. GOVERNING LAW

The laws of the State of Georgia (without regard to conflict of laws provisions) shall govern all matters relating to this Plan, except to the extent superseded by Federal law.

16. EXECUTION

To record the adoption of this amendment and restatement of the Plan by the Board on February 3, 2006, the Corporation has caused its authorized officers to affix the corporate name and seal hereto.

IN WITNESS WHEREOF, this amended and restated 2003 Restricted Stock Plan for Outside Directors is executed by duly authorized officers.

INTERCONTINENTALEXCHANGE, INC.

By /s/ Jeffrey C. Sprecher
Jeffrey C. Sprecher,
Chairman and Chief Executive Officer

By /s/ Johnathan H. Short
Johnathan H. Short,
Senior Vice President,
General Counsel and Corporate Secretary

[Seal]

**INTERCONTINENTALEXCHANGE, INC.
2004 RESTRICTED STOCK PLAN**

As Amended and Restated, effective December 31, 2008

1. PURPOSE

IntercontinentalExchange, Inc. (the "Corporation") established the IntercontinentalExchange, Inc. 2004 Restricted Stock Plan (the "Plan"), effective September 20, 2004. This Amendment and Restatement is intended to reflect the requirements of Section 409A of the Internal Revenue Code.

The Plan is intended to attract Employees with outstanding qualifications to the Corporation and its subsidiaries, and to retain and reward these Employees of the Corporation by providing an opportunity to obtain a proprietary interest in the Corporation.

2. DEFINITIONS

The following words and phrases when used in the Plan, unless otherwise specifically defined or unless the context clearly otherwise requires, shall have the following respective meanings:

- (a) "Act" shall mean the Securities Act of 1933, as amended from time to time, and all rules promulgated thereunder.
 - (b) "Award" means an award of Shares or units that convert to Shares.
 - (c) "Award Agreement" means an agreement evidencing an Award as described in Section 6(a).
 - (d) "Board" shall mean the board of directors of the Corporation.
 - (e) "Committee" shall mean the Compensation Committee of the Board. In addition, the Board shall have all the powers of the Committee.
 - (f) "Corporation" shall mean IntercontinentalExchange, Inc., a Delaware corporation.
 - (g) "Employee" shall mean an individual who
 - (1) is employed (within the meaning of Section 3401 of the Internal Revenue Code) by the Corporation or its Subsidiaries and is a member of a select group of management or highly compensated employees within the meaning of Sections 201(1), 301(a)(3) and 401(a)(1) of the Employee Retirement Income Security Act of 1974, or
 - (2) is a director of the Corporation.
 - (h) "Grantee" shall mean an Employee who has been granted an Award.
-

(i) “ Plan ” shall mean this IntercontinentalExchange, Inc. 2004 Restricted Stock Plan, as it may be amended from time to time.

(j) “ Share ” shall mean one share of Stock, adjusted under Section 8 of the Plan (if applicable).

(k) “ Stock ” shall mean, prior to November 21, 2005, the Class A Common Stock, Series 2, par value \$0.01 per share, of the Corporation. On November 21, 2005, each four Shares of Class A Common Stock, Series 2, par value \$0.01 per share, of the Corporation subject to an Award Agreement shall become one Share of Class A Common Stock, Series 2, par value \$0.01 per share, of the Corporation pursuant to Section 8, due to the one for four reverse stock split of the Corporation’s Class A Common Stock, Series 1, par value \$0.01 per share, and Class A Common Stock, Series 2, par value \$0.01 per share, effective immediately prior to the closing of the Corporation’s initial public offering on November 21, 2005. On May 20, 2006, each Share of Class A Common Stock, Series 2, par value \$0.01 per share, of the Corporation subject to an Award Agreement shall become one Share of Common Stock, par value \$0.01 per share, of the Corporation.

(l) “ Subsidiary ” shall mean any corporation, other than the Corporation, in an unbroken chain of corporations beginning with the Corporation if, at the time of the grant of an Award, each of the corporations, other than the last corporation in the unbroken chain, owns stock possessing 50 percent or more of the combined voting power of all classes of stock in one of the other corporations in such chain.

3. EFFECTIVE DATE

The Plan was adopted by the Board, effective as of September 20, 2004. Approval of the Corporation’s stockholders was not necessary. When the Corporation became listed on the New York Stock Exchange in November 2005, the rules of the New York Stock Exchange required that future grants of Awards must be approved by stockholders.

4. STOCK RESERVED UNDER PLAN

The aggregate number of shares of Stock that may be subject to Awards is 1,475,000 (prior to November 21, 2005, 5,900,000), subject to adjustment in the manner provided in Section 8.

5. ADMINISTRATION

The Plan shall be administered and interpreted by the Committee. The Committee shall from time to time, in its sole and absolute discretion, select the Employees who are to be granted Awards and determine the number of Shares to be in each Award. A Committee member shall in no event participate in any determination relating to Awards held by or to be granted to such Committee member. The interpretation and construction by the Committee of any provisions of the Plan or of any Award shall be final and shall be given the maximum deference permitted under the law. No member of the Committee shall be liable for any action or determination made in good faith with respect to the Plan or any Award.

6. TERMS AND CONDITIONS OF AWARDS

Awards provide for the transfer to an Employee of Shares that are subject to certain specified restrictions and limitations. The Committee will determine to whom an Award will be made, the number of Shares subject to the Award, the restrictions to which the Shares will be subject, and all other terms and conditions of the Award, subject to the following:

(a) Award Agreements . All Awards made pursuant to the Plan will be evidenced by written Award Agreements in such form (which need not be the same for each Grantee) as the Committee shall from time to time determine. The Award Agreements shall comply with and be subject to the terms and conditions of the Plan. An Award must be accepted by the Grantee's execution and delivery of the Award Agreement to be valid. If the Grantee does not execute and deliver the Award Agreement within 30 days of receipt, the Committee may revoke the Award.

(b) Number of Shares . Each Award Agreement shall state the number of Shares to which the Award pertains and shall provide for adjustment under Section 8.

(c) Consideration for Awards . Awards may be for past services, for future services, for the surrender of options granted under the IntercontinentalExchange, Inc. 2000 Stock Option Plan, or for any other consideration, provided that at least the par value of each Share transferred pursuant to an Award must be for consideration other than future services.

(d) Vesting and Forfeiture . The Award Agreement will provide a vesting schedule. Vesting may be immediate or deferred. Vesting may be time-based or performance-based. Vesting may be accelerated by events such as a change in control, a sale of the Corporation or all or substantially all of the Corporation's assets, death or disability of the Grantee, but may not be deferred for more than ten (10) years. If the Grantee incurs a "separation from service," as such term is defined in Section 409A(a)(2)(A)(i) of the Internal Revenue Code, any unvested Shares shall be forfeited and the Corporation shall pay the Grantee \$0.01 for each unvested Share, whether or not the Shares have been issued.

(e) Time of Issuance . Each Award Agreement shall state the time that the Shares shall be issued to the Grantee. Issuance may be accelerated by events permitted by Section 409A of the Internal Revenue Code. Upon issuance, the Shares shall be fully paid and nonassessable and shall be issued in the name of the Grantee. However, at the request of the Grantee, the Shares may be issued in the names of the Grantee and his or her spouse (i) as joint tenants with right of survivorship, (ii) as community property, or (iii) as tenants in common without right of survivorship or may be issued in the name of a child or a family trust.

(f) Withholding . If the Corporation determines that it should withhold local, state, Federal or foreign taxes with respect to Shares (upon the issuance of Shares pursuant to an Award, at the time of vesting, or at any other time), the Grantee shall be required to make arrangements satisfactory to the Corporation to enable it to satisfy such withholding requirements.

(g) Nontransferability of Awards . During the lifetime of the Grantee, the Award shall not be assignable or transferable. In the event of the Grantee's death, the Award shall not be transferable by the Grantee other than by will or the laws of descent and distribution. These restrictions apply only to Awards. They do not apply to Shares that have been issued.

(h) Rights as Stockholder. A Grantee, or a transferee of a Grantee, shall have no rights as a stockholder with respect to any Shares covered by his or her Award until the Shares are issued. No adjustment shall be made for dividends (ordinary or extraordinary, whether in cash, securities, or other property), distributions, or other rights for which the record date is prior to the date the Shares are issued, except as provided in Section 8.

(i) Modification, Extension, and Renewal of Awards. Within the limitations of the Plan, the Committee may modify, extend, or renew outstanding Awards or accept the cancellation of outstanding Awards (to the extent the Shares have not been issued) for the granting of new Awards in substitution therefore. The foregoing notwithstanding, no modification of an Award shall, without the consent of the Grantee, alter or impair any rights or obligations under any Award previously granted.

(j) Cancellation and Rescission. If a Grantee who has a contract of employment that defines Grantee's obligations with respect to competition with the Corporation violates such obligations, or if a Grantee that has no such contract either renders services for any organization or business which is or becomes competitive with the Corporation or engages directly or indirectly in any organization or business which is or becomes otherwise prejudicial to or in conflict with the interests of the Corporation, prior to or during a six-month period after the later of the issuance of Shares pursuant to an Award or the vesting of the Shares, such issuance shall be cancelled and rescinded. The Committee shall notify the Grantee in writing of any such cancellation and rescission within two years after such exercise. Within ten days after receiving such notice from the Committee, the Grantee shall pay to the Corporation the amount of any gain realized or payment received as a result of the cancelled and rescinded issuance of Shares.

(k) Other Provisions. The Award agreements may contain such other provisions consistent with Section 409A of the Internal Revenue Code and not inconsistent with the terms of the Plan as the Committee shall deem advisable. The Company intends that the Committee may only grant those Awards that either comply with the applicable requirements of Section 409A of the Code, or do not result in the deferral of compensation within the meaning of Section 409A of the Code, and intends that the Committee will interpret the Plan accordingly.

(l) Specific Amendments of Outstanding Awards. The Committee shall amend any Award outstanding on January 1, 2005 to conform the Award to the requirements of Section 409A of the Internal Revenue Code and to provide that any Shares scheduled to be issued prior to March 1, 2006 shall be issued on March 1, 2006, any Shares scheduled to be issued after March 1, 2006 shall be issued as originally scheduled, and any Shares scheduled to be issued after 2006 shall be subject to new elections (made during 2006) regarding the time of issuance (which shall be after 2006).

7. TERM OF PLAN

No Awards may be granted pursuant to the Plan after November 15, 2005.

8. RECAPITALIZATIONS

The number of Shares covered by each outstanding Award shall be proportionately adjusted for any increase or decrease in the number of issued Shares resulting from a subdivision or consolidation of Shares or the payment of a stock dividend (but only of Stock) or any other

increase or decrease in the number of issued Shares effected without receipt of consideration by the Corporation.

Subject to the provisions of Section 10, if the Corporation is the surviving corporation in any merger or consolidation, each outstanding Award shall pertain and apply to the securities to which a holder of the number of Shares subject to the Award would have been entitled.

To the extent that the foregoing adjustments relate to securities of the Corporation, such adjustments shall be made by the Committee, whose determination shall be conclusive and binding on all persons.

Except as expressly provided in this Section 8 and Section 10,

(a) the Grantee shall have no rights by reason of any subdivision or consolidation of shares of stock of any class, the payment of any stock dividend, or any other increase or decrease in the number of shares of stock of any class or by reason of any dissolution, liquidation, merger, consolidation, or spin-off of assets or stock of another corporation, and

(b) any issuance by the Corporation of shares of stock of any class, or securities convertible into shares of stock of any class, shall not affect, and no adjustment shall be made with respect to, the number of Shares subject to an Award.

The grant of an Award under the Plan shall not affect in any way the right or power of the Corporation to make adjustments, reclassifications, reorganizations, or changes of its capital or business structure; to merge or consolidate; or to dissolve, liquidate, sell, or transfer all or any part of its business or assets.

9. RESTRICTIONS ON SHARES ISSUED

The Corporation (or a representative of the Corporation's underwriter(s)) may, in connection with the first underwritten registration of the offering of any securities of the Corporation, require that Grantee not sell, dispose of, transfer, make any short sale of, grant any option for the purchase of, or enter into any hedging or similar transaction with the same economic effect as a sale with respect to, any Shares or other securities of the Corporation held by Grantee, for a period of time specified by the underwriter(s) (not to exceed 12 months) following the Corporation's effective date of registration. Grantee will execute and deliver such other agreements that are reasonably requested by the Corporation or the underwriter(s) that are consistent with the foregoing or that are necessary to give further effect thereto, and the Corporation may impose stop-transfer instructions with respect to Grantee's Shares until the end of such specified period.

10. SECURITIES LAW REQUIREMENTS

(a) Legality of Issuance. No Shares shall be issued pursuant to an Award unless and until the Corporation has determined that:

(1) it and the Grantee have taken all actions required to register the Shares under the Act, or to perfect an exemption from the registration requirements of the Act or any state or other securities laws;

(2) any applicable listing requirement of any stock exchange on which the Stock is listed has been satisfied; and

(3) all other applicable provisions of Federal, state or any other law have been satisfied.

Regardless of whether the issuance of Shares under the Plan has been registered under the Act or has been registered or qualified under the securities laws of any state, the Corporation may impose restrictions upon the sale, pledge, or other transfer of such Shares (including the placement of appropriate legends on stock certificates) if, in the judgment of the Corporation and its counsel, restrictions are necessary or desirable in order to achieve compliance with the provisions of the Act, the securities laws of any state, or any other law. If the issuance of Shares under the Plan is not registered under the Act but an exemption is available that requires an investment representation or other representation, each Grantee shall be required to represent that the Shares are being acquired for investment, and not with a view to sale or distribution, and to make any other representations as are deemed necessary or appropriate by the Corporation and its counsel. Stock certificates evidencing Shares acquired under the Plan pursuant to an unregistered transaction shall bear the following restrictive legend and any other restrictive legends as are required or deemed advisable under the provisions of any applicable law:

THE SALE OF THE SECURITIES REPRESENTED HEREBY HAS NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED ("ACT"). ANY TRANSFER OF SUCH SECURITIES WILL BE INVALID UNLESS (i) A REGISTRATION STATEMENT UNDER THE ACT IS IN EFFECT AS TO SUCH TRANSFER, OR (ii) IN THE OPINION OF COUNSEL FOR THE ISSUER, SUCH REGISTRATION IS UNNECESSARY IN ORDER FOR SUCH TRANSFER TO COMPLY WITH THE ACT.

Any determination by the Corporation and its counsel in connection with any of the matters set forth in this Section 10 shall be conclusive and binding on all persons.

(b) Registration or Qualification of Securities. The Corporation may, but shall not be obligated to, register or qualify the issuance of Shares under the Act or any other applicable law. The Corporation shall not be obligated to take any affirmative action to cause the issuance of Shares under the Plan to comply with any law.

(c) Exchange of Certificates. If, in the opinion of the Corporation and its counsel, any legend placed on a stock certificate representing shares issued under the Plan is no longer required, the holder of the certificate shall be entitled to exchange the certificate for a certificate representing the same number of Shares but lacking the legend.

11. LEGENDS

The Corporation reserves the right to cause appropriate legends to be imprinted on the certificates representing Shares to reflect all restrictions and limitations referred to in this Plan.

12. AMENDMENT OF THE PLAN

The Board may from time to time, with respect to any Shares at the time not subject to Awards, suspend, discontinue, or terminate the Plan or revise or amend it in any respect whatsoever. No amendment may materially adversely affect a previously granted Award without the consent of the Grantee. The rules of the New York Stock Exchange require that material amendments to the Plan must be approved by stockholders.

13. NUMBER AND GENDER

The masculine, feminine, and neuter, wherever used in the Plan or in any Award Agreement, shall refer to either the masculine, feminine, or neuter. Unless the context otherwise requires, the singular shall include the plural and the plural the singular.

14. GOVERNING LAW

The laws of the State of Georgia (without regard to conflict of laws provisions) shall govern all matters relating to this Plan, except to the extent superseded by Federal law.

15. EXECUTION

To record the amendment and restatement of the Plan by the Board on February 3, 2006, the Corporation has caused its authorized officers to affix the corporate name and seal hereto.

IN WITNESS WHEREOF, this Amended and Restated 2004 Restricted Stock Plan is executed by duly authorized officers.

INTERCONTINENTALEXCHANGE, INC.

By /s/ Jeffrey C. Sprecher
Jeffrey C. Sprecher, Chairman and Chief Executive Officer

By /s/ Johnathan H. Short
Johnathan H. Short, Senior Vice President, General
Counsel and Corporate Secretary

**INTERCONTINENTALEXCHANGE, INC.
2005 EQUITY INCENTIVE PLAN**

As Amended and Restated Effective December 31, 2008

1. Purpose. The purpose of the Plan is to provide an incentive to attract, retain and reward individuals performing services for the Company and to motivate such individuals to contribute to the growth and profitability of the Company.

The Plan permits the grant of Incentive Stock Options, Nonstatutory Stock Options, Stock Appreciation Rights, Restricted Stock, and Restricted Stock Units.

2. Administration.

(a) Powers of the Administrator. The Plan shall be administered by the Administrator. Subject to Applicable Laws and the provisions of the Plan, the Administrator shall have all powers and discretion necessary or appropriate to administer the Plan, including, but not limited to, the power to (i) select the persons to be granted Awards under this Plan, (ii) to determine the number of shares subject to each Award, (iii) to determine the exercise price or purchase price of each Award, (iv) to set the terms and conditions of each Award, (v) to determine whether Awards will be settled in Shares, cash or in any combination thereof, (v) to adopt such rules and procedures as it deems necessary or appropriate for the administration, interpretation and application of the Plan, and (vi) to determine all other matters relating to administration and operation of the Plan. The terms and conditions of each Option includes whether an Option should be an ISO or an NSO. All questions of interpretation, implementation, and application of the Plan shall be determined by the Administrator in its sole discretion. Such determinations shall be final and binding on all persons, and shall be given the maximum deference permitted by law. All determinations of the Administrator shall be made by a majority of its members either present in person or participating by conference telephone at a meeting or by written consent. No member of the Board or the Committee that acts as Administrator shall be liable for any act or omission on such member's own part, including but not limited to, the exercise of any power or discretion given to such member under the Plan, except for those acts or omissions resulting from such member's own gross negligence or willful misconduct.

(b) Delegation of Authority. Subject to Applicable Laws, the Administrator shall have the right, from time to time, to delegate to one or more executive officers of the Company the authority of the Administrator to grant and determine the terms and conditions of Awards granted under the Plan, subject to the requirements of Section 157(c) of the Delaware General Corporation Law (or any successor provision) and such other limitations as the Administrator shall determine. In no event shall any such delegation of authority be permitted with respect to Awards granted to any member of the Board or to any person who is subject to Rule 16b-3 under the Exchange Act or is a covered employee under Section 162(m) of the Code. The Administrator shall also be permitted to delegate, to any appropriate executive officer of the Company, responsibility for performing certain ministerial functions under the Plan. In the event that the Administrator's authority is delegated to executive officers in accordance with the foregoing, all provisions of the Plan relating to the Administrator shall be interpreted in a manner

consistent with the foregoing by treating any such reference as a reference to such executive officer for such purpose. Any action undertaken in accordance with the Administrator's delegation of authority hereunder shall have the same force and effect as if such action was undertaken directly by the Administrator and shall be deemed for all purposes of the Plan to have been taken by the Administrator.

(c) Section 409A of the Code. The Company intends that the Administrator may only grant those Awards that either comply with the applicable requirements of Section 409A of the Code, or do not result in the deferral of compensation within the meaning of Section 409A of the Code, and intends that the Administrator will interpret the Plan accordingly.

3. Shares Subject to the Plan

(a) Number of Shares. The maximum number of Shares that may be issued under the Plan is 2,125,000 (prior to November 21, 2005, 8,500,000), subject to limited re-issuance as indicated below. This limit is subject to adjustment as provided in Section 3(c). The Shares may be authorized, but unissued Shares, or reacquired Shares. Shares shall not be deemed to have been issued pursuant to the Plan with respect to any portion of an Award that is settled in cash. Upon payment in Shares pursuant to the exercise or settlement of an Award, the number of Shares available for issuance under the Plan shall be reduced only by the number of Shares actually issued in such payment.

(b) Lapsed Awards. If an Option or SAR expires, is surrendered, or becomes unexercisable without having been exercised in full, or if any unissued Shares are retained by the Corporation upon exercise of an Option or SAR in order to satisfy the exercise price or any withholding taxes due with respect to such exercise, the unissued or retained Shares shall become available for future grant under the Plan (unless the Plan has terminated). If unvested Shares are forfeited (repurchased by the Corporation at their original purchase price), such Shares shall also become available for future grant under the Plan, but the total number of such forfeited Shares that become available may not exceed twice the maximum number set forth above (subject to adjustment as provided in Section 3(c)). Other Shares that actually have been issued under the Plan pursuant to an Award shall not be returned to the Plan and shall not become available for future grant under the Plan. Upon the exercise of any Award granted in tandem with any other Award, such related Award shall be cancelled to the extent of the number of Shares as to which the Award is exercised and, notwithstanding the foregoing, such number of Shares shall no longer be available for Awards under the Plan.

(c) Adjustments in Awards and Authorized Shares. In the event of any merger, consolidation, reorganization, recapitalization, stock dividend, stock split, reverse stock split, separation, liquidation or other change in the corporate structure or capitalization affecting the Shares, appropriate adjustment shall be made by the Administrator in the kind, exercise price (or purchase price, as applicable), and number of Shares (including, but not limited to, the maximum number of Shares reserved under the Plan) that are or may become subject to Awards granted or to be granted under the Plan; provided, however, any adjustment to an outstanding Option or SAR shall comply with Section 424 of the Code. The determination by the Administrator as to the terms of any of the foregoing adjustments shall be conclusive and binding on all persons.

(d) Limitations.

(i) Subject to adjustment as provided in Section 3(c), not more than an aggregate of 2,125,000 (prior to November 21, 2005, 8,500,000) Shares may be issued under ISOs.

(ii) Effective on or after the Listing Date, subject to adjustment as provided in Section 3(c) above, the maximum number of Shares with respect to which Options or SARs, or a combination thereof, may be granted during any calendar year to any individual Grantee shall be 250,000 (prior to November 21, 2005, 1,000,000), and the maximum number of Shares with respect to which Restricted Stock or RSUs, or a combination thereof, may be granted during any calendar year to any individual Grantee shall be 125,000 (prior to November 21, 2005, 500,000). For persons hired on or after adoption of the Plan by the Board, these limits can be increased to 500,000 (prior to November 21, 2005, 2,000,000) Shares with respect to which Options or SARs may be granted, and 250,000 (prior to November 21, 2005, 1,000,000) Shares with respect to Restricted Stock or RSUs may be granted during any calendar year. These limitations shall be applied and construed consistently with Section 162(m) of the Code.

4. Eligibility. The Administrator may grant an Award to any natural person (or any other person if the securities law requirements are met) who is an employee, consultant, or director of the Company, as selected in the sole discretion of the Administrator.

5. Stock Options.

(a) Grant of Options. Subject to the terms and conditions of the Plan, the Administrator, at any time and from time to time, may grant Options. Each Option granted under the Plan shall be authorized by action of the Administrator and shall be evidenced by an Award Agreement.

(b) ISOs or NSOs. Options granted under the Plan shall be designated by the Administrator as either ISOs or NSOs. The Company does not represent or warrant that an Option intended to be an ISO qualifies as such. To the extent that the aggregate Fair Market Value (determined as of the date the Option is granted) of the Shares with respect to which ISOs are exercisable for the first time by any individual during any calendar year (under all plans of the Company) exceeds one-hundred thousand dollars (\$100,000), the Option shall be treated as an NSO. If an ISO is exercised more than three (3) months after the date on which Grantee ceases to be an employee (other than by reason of death or Disability), the Option will be treated as an NSO, and not an ISO, as required by Section 422 of the Code.

(c) Option Exercise Price. The exercise price for the Shares to be issued pursuant to the exercise of an Option shall be determined by the Administrator; provided, however, in the case of an ISO, and an NSO intended to qualify as "performance-based compensation" within the meaning of Section 162(m) of the Code, the per Share exercise price shall be not less than one hundred percent (100%) of the Fair Market Value of a Share on the date of grant.

(d) Time of Exercise. An Option shall become exercisable as specified in the Award Agreement. An Option shall not be exercisable after the 10th anniversary of the date of grant.

(e) Vesting.

(i) Shares shall become vested as specified in the Award Agreement. Vesting may be immediate or deferred. Vesting may be time-based or performance-based. Shares acquired on exercise of an Option shall first be attributable to vested Shares, then unvested Shares. Shares shall cease to vest at the time of termination of Service.

(ii) Shares acquired under the Plan that have not vested may be repurchased by the Corporation at the lesser of the original exercise price or the Shares' Fair Market Value if the Grantee's Service with the Company is terminated for any reason or no reason, with or without Cause. The Corporation may assign any unvested Share repurchase right it may have, whether or not then exercisable, to such person or persons as may be selected by the Corporation. The Corporation may require the Grantee to place certificates for any unvested Shares in escrow under reasonable terms established by the Administrator.

(iii) Upon the occurrence of a Change in Control, the unvested Share repurchase right shall lapse to the same extent as Options become exercisable pursuant to Section 8.

(iv) The unvested Share repurchase right may be exercised by written notice to Grantee within 90 days after termination of Grantee's Service (or exercise of the Option, if later). If notice is not given within such 90-day period, the repurchase option shall terminate unless the parties have extended the time for its exercise. Cash payment (or cancellation of purchase money indebtedness) must be made by the thirtieth (30th) day after the date of the written notice to Grantee of the exercise of the repurchase right.

(f) Special Rules for 10% Owners. The exercise price of an ISO granted to an individual who owns stock possessing more than ten percent (10%) of the combined voting power of all classes of stock of the Corporation shall not be less than one hundred ten percent (110%) of the fair market value of a Share on the date of grant. No ISO granted to an individual who owns stock possessing more than ten percent (10%) of the total combined voting power of all classes of stock shall be exercisable after the expiration of five (5) years from the date of grant. For purposes of determining whether an employee owns stock possessing more than ten percent (10%) of the total combined voting power of all classes of stock, an employee shall be considered as owning the stock owned, directly or indirectly, by or for his or her brothers and sisters (whether by the whole or half blood), spouse, ancestors, and lineal descendants. Stock owned, directly or indirectly, by or for a corporation, partnership, estate, or trust shall be considered as being owned proportionately by or for its stockholders, partners, or beneficiaries. Stock with respect to which the employee holds an Option shall not be counted.

(g) Payment of Exercise Price. The exercise price for Shares purchased under an Option shall be paid in full by delivery of consideration equal to the product of the Option exercise price and the number of Shares purchased. Subject to Applicable Laws, in the sole discretion of the Administrator, payment of any Option's exercise price may be made in cash, by check or cash equivalent, or as provided otherwise in this section, partly or wholly.

(i) By Tender of Stock. If the exercise occurs on or after the Listing Date, payment may be made by tender to the Corporation of Shares owned by Grantee or delivery of a properly executed form of attestation of ownership of Shares as the Administrator may require (including withholding of Shares otherwise deliverable upon exercise of the Option), which have a Fair Market Value on the date of tender or attestation equal to the aggregate exercise price of the Shares as to which said Option shall be exercised. Unless otherwise allowed under the Award Agreement, an Option may not be exercised by tender to the Corporation of Shares or attestation unless such Shares (i) have been owned by Grantee for more than six (6) months (or any shorter period necessary to avoid a charge to the Corporation's earnings for financial reporting purposes), (ii) were not acquired, directly or indirectly, from the Corporation or (iii) are to pay required taxes as described in Section 11(n).

(ii) By Cashless Exercise. If the exercise occurs on or after the Listing Date, and to the extent not prohibited by Section 402 of the Sarbanes-Oxley Act of 2002, by delivery of a properly executed exercise notice, together with irrevocable instructions, to

(a) a brokerage firm designated by the Corporation to deliver promptly to the Corporation the aggregate amount of sale or loan proceeds to pay the Option exercise price and any withholding tax obligations that may arise in connection with the exercise and

(b) the Corporation to deliver the certificates for such purchased shares directly to such brokerage firm, all in accordance with the regulations of the Federal Reserve Board.

(iii) Such other medium as the Administrator determines, in its sole discretion.

(h) Exercise of Option. Any Option granted hereunder shall be exercisable according to the terms of the Plan and at such times and under such conditions as determined by the Administrator and set forth in the Award Agreement. An Option will be deemed exercised when the Corporation receives: (i) written notice from the Grantee to the Corporation at the address specified in the Award Agreement, and (ii) full payment for the Shares with respect to which the Option is exercised (together with any applicable withholding taxes). After receiving proper notice of exercise and payment, the Corporation shall issue Shares as evidenced by issuing a certificate(s) for the Shares purchased or by the appropriate entry on the books of the Corporation or of a duly authorized transfer agent of the Corporation. Until the Shares are issued (as evidenced as described in preceding sentence), no right to vote or to receive dividends or any other rights as a stockholder shall exist with respect to the awarded stock, notwithstanding the exercise of the Option. The Corporation will issue such Shares as soon as practicable after exercise.

(i) Termination of Option.

(1) Termination of Service. If a Grantee's Service terminates, his or her rights to exercise an Option then held shall be limited. Grantee's Service shall not be deemed to have terminated merely because of a change in the capacity in which Grantee renders Service or a change in the Company, provided that there is no interruption or termination of Grantee's employment or service. Grantee's Service with the Company shall be treated as continuing

intact while the Grantee is on military leave, sick leave, or other bona fide leave of absence (such as temporary employment by the government) approved by the Company if the period of such leave does not exceed three (3) months, or, if longer, so long as the Grantee's right to reemployment with the Corporation is provided either by statute or by contract. Where the period of leave exceeds three (3) months and where the Grantee's right to reemployment is not provided either by statute or by contract, Service will be deemed to have terminated on the first day immediately following such three-month period. Subject to the foregoing, the Administrator, in its sole discretion, shall determine whether Grantee's Service has terminated and the effective date thereof.

(2) Regular Termination. Except as otherwise provided in paragraphs (3) through (5), if a Grantee's Service terminates, Grantee shall have the right for a period of three (3) months after the date of termination to exercise the Option to the extent Grantee was entitled to exercise the Option on that date; provided, however, that the date of exercise is in no event after the expiration of the term of the Option. To the extent the Option is not exercised within this period, the Option will terminate.

(3) Termination by Disability. If a Grantee terminates Service by reason of Disability, Grantee or his or her qualified representative shall have the right for a period of twelve (12) months after the date on which Grantee's Service ends to exercise the Option to the extent Grantee was entitled to exercise the Option on that date, provided the date of exercise is in no event after the expiration of the term of the Option. To the extent the Option is not exercised within this period, the Option will terminate.

(4) Termination Upon Death. If a Grantee dies while in Service, the person who acquired the right to exercise the Option by bequest or inheritance or by reason of the death of the Grantee shall have the right for a period of twelve (12) months after the date of death to exercise the Option to the extent Grantee was entitled to exercise the Option on that date, provided the date of exercise is in no event after the expiration of the term of the Option. To the extent the Option is not exercised within this period, the Option will terminate.

(5) Termination for Cause. If a Grantee's Service is terminated by the Company for Cause, Grantee shall have no right to exercise the Option, and the Option will terminate.

(6) Award Agreement. The Award Agreement may provide rules different from those set forth in subsections (1) through (5), provided that an Option may not be exercisable for more than three (3) months after the termination of Service (12 months if Service terminated by Disability as provided in Section 5(i)(3) or upon Death as provided in Section 5(i)(4)) unless the Committee concludes that a longer exercise period would not make variable accounting mandatory.

(j) Modification, Extension, and Renewal. Within the limitations of the Plan, the Administrator shall have the power to modify, extend, or renew outstanding Options and authorize the grant of new Options in substitution therefor, provided that any such action may not have the effect of significantly impairing any rights or obligations of any Option previously

granted without the consent of Grantee. The Administrator shall consider the impact of Section 409A of the Code on any such modification, extension, renewal, or substitution grant.

6. Stock Appreciation Rights.

(a) Grant of SARs. Subject to the terms and conditions of the Plan, the Administrator, at any time and from time to time, may grant SARs separately, or in tandem with any Options that have been or are granted under the Plan.

(b) Terms and Conditions. Each SAR granted under the Plan shall be subject to the same terms and conditions that apply to Options pursuant to Section 5 herein, except as otherwise provided in this Section 6 or by the Administrator. Each SAR granted under the Plan shall be evidenced by an Award Agreement.

(c) Exercise. An SAR shall be deemed exercised when the Corporation receives written notice of the exercise from the Grantee to the Corporation at the address specified in the Award Agreement.

(d) Tandem SARs. An SAR granted in tandem with a related Option shall entitle the holder of the related Option to surrender to the Corporation the unexercised portion of the related Option and to receive from the Corporation in exchange therefor an amount equal to the excess of the Fair Market Value of one Share on the date the right is exercised over the exercise price per Share times the number of Shares covered by the portion of the Option that is surrendered. At the discretion of the Administrator, the payment upon exercise may be in cash, in Shares, or in a combination thereof. A tandem SAR shall have the same other terms and provisions as the related Option. Any SAR granted in tandem with an ISO shall be designed to meet the requirements of Section 422 of the Code. SARs shall be canceled to the extent the related Options are exercised, and the related Options shall be canceled to the extent the SARs are exercised.

(e) Stand-Alone SARs. Upon exercise of a stand-alone SAR, a Grantee shall be entitled to receive from the Corporation an amount equal to the excess of the Fair Market Value of one Share on the date of exercise over the exercise price per Share times the number of Shares with respect to which the SAR is exercised. At the discretion of the Administrator, the payment upon SAR exercise may be in cash, in Shares, or in a combination thereof.

7. Restricted Stock and Restricted Stock Units.

(a) Grant of Restricted Stock. Subject to the terms and provisions of the Plan, the Administrator, at any time and from time to time, may grant Restricted Stock and Restricted Stock Units in such amounts as the Administrator, in its sole discretion, shall determine. Each Restricted Stock and Restricted Stock Unit Award shall be evidenced by an Award Agreement.

(b) Consideration for Awards. Restricted Stock Awards may be for past services, for future services, or for any other consideration, provided that at least the par value of each Share transferred pursuant to such Awards must be for consideration other than future services.

(c) Vesting and Forfeiture. The Award Agreement shall provide a vesting schedule. Vesting may be immediate or deferred. Vesting may be time-based or performance-based (as determined by the achievement of Performance Goals). If a Grantee's Service terminates during the applicable Restriction Period or portion thereof to which forfeiture conditions apply, any unvested Shares of Restricted Stock and Restricted Stock Units shall be forfeited, and the Corporation shall pay the Grantee \$0.01 for each unvested Share of Restricted Stock, whether or not the Shares have been issued. For this purpose, a Grantee shall be treated as continuing to provide Services while the Grantee is on military leave, sick leave, or any other bona fide leave of absence (to be determined in the sole and absolute discretion of the Administrator). Notwithstanding the foregoing, the Administrator may provide, by rule or regulation or in any Award Agreement, or may determine in any individual case, that restrictions or forfeiture conditions relating to Restricted Stock and Restricted Stock Units shall be waived in whole or in part in the event of terminations resulting from specified causes, and the Administrator may in other cases waive in whole or in part the forfeiture of Restricted Stock and Restricted Stock Units.

(d) Time of Issuance or Payment. Each Restricted Stock Award Agreement and Restricted Stock Unit Award Agreement shall state the time that the Shares shall be issued, or amounts paid, to the Grantee. Issuance or payment may be accelerated by events such as a Change in Control, an initial public offering (IPO), sale of the Corporation or all or substantially all of the Corporation's assets, or termination of Services, but may not be deferred. Upon issuance of Shares, the Shares shall be fully paid and nonassessable and shall be issued in the name of the Grantee; however, at the request of the Grantee, the Shares may be issued in the names of the Grantee and his or her spouse (i) as joint tenants with right of survivorship, (ii) as community property, or (iii) as tenants in common without right of survivorship or may be issued in the name of a child or a family trust. Until issuance, unless the Administrator determines otherwise, Shares shall be held by the Corporation as escrow agent.

(e) Other Restrictions. The Administrator, in its sole discretion, may impose such other restrictions on Shares of Restricted Stock and Restricted Stock Units as it may deem advisable or appropriate.

(f) Modification, Extension, and Renewal of Restricted Stock and RSU Awards. Within the limitations of the Plan, the Administrator may modify, extend, or renew outstanding Awards of Restricted Stock and Restricted Stock Units or accept the cancellation of such outstanding Awards (to the extent the Shares have not been issued) for the granting of new Awards in substitution therefore. The foregoing notwithstanding, no modification of an Award shall, without the consent of the Grantee, alter or impair any rights or obligations under any Award previously granted. The Administrator shall consider the impact of Section 409A of the Code on any such modification, extension, renewal, or substitution grant.

8. Change in Control. An Award's exercisability (or Restriction Period, as applicable) and term may be affected by a Change in Control, as described in this section.

(a) Optional Assumption or Substitution. At the time of a Change in Control, the surviving, continuing, successor or purchasing corporation or parent corporation thereof, as the case may be (the "Acquiror"), may either assume the Corporation's rights and obligations with

respect to outstanding Awards or substitute for outstanding Awards substantially equivalent Awards for the Acquiror's stock. If the Acquiror is the same corporate entity as the Corporation, or its successor by merger, a reaffirmation of the Award shall be treated as an assumption, and a failure to reaffirm shall be treated as a failure to assume. Any assumption or substitution of an Option or SAR shall be designed to meet the requirements of Section 424 of the Code.

(b) No Assumption or Substitution — Options and SARs . Unless otherwise determined by the Administrator, if the Acquiror does not assume or substitute for outstanding Options and SARs in connection with a Change in Control, a Grantee's outstanding Options and SARs shall become fully vested and exercisable as of the date seven (7) days before the Effective Date of the Change in Control. The Administrator shall notify the Grantee in writing or electronically that the Option or SAR shall be exercisable. The vesting and exercise of any Option or SAR that was permissible solely by reason of a Change in Control shall be conditioned upon consummation of the Change in Control. Options and SARs that are neither assumed nor substituted for by the Acquiror in connection with a Change in Control, nor exercised as of the time of the Change in Control, shall terminate and cease to be outstanding.

(c) No Assumption or Substitution — Restricted Stock and RSUs . Unless otherwise determined by the Administrator, if the Acquiror does not assume or substitute for a Grantee's outstanding Restricted Stock or Restricted Stock Units in connection with a Change in Control, the Grantee's outstanding Restricted Stock and Restricted Stock Units shall become fully vested as of the Effective Date of the Change in Control. The vesting of any Restricted Stock and Restricted Stock Unit that was permissible solely by reason of a Change in Control shall be conditioned upon consummation of the Change in Control. Shares that have not previously been issued under Restricted Stock or Restricted Stock Units, as applicable, that are neither assumed nor substituted for by the Acquiror in connection with a Change in Control shall be issued.

(d) Award Agreement . The Award Agreement may provide rules different from those set forth in subsections (a) through (c).

9. Securities Law Requirements . Shares shall not be issued pursuant to the exercise or settlement of an Award unless the exercise or settlement of such Award and the issuance and delivery of such Shares pursuant thereto shall comply with all Applicable Laws, and shall be further subject to the approval of counsel for the Corporation with respect to such compliance. As a condition to the exercise or receipt of an Award, the Company may require the person exercising or receiving such Award to represent and warrant at the time of any such exercise or receipt that the Shares are being purchased only for investment and without any present intention to sell or distribute such Shares if, in the opinion of counsel for the Corporation, such a representation is required by any Applicable Laws. The inability of the Corporation to obtain, from any regulatory body having jurisdiction, the authority deemed by the Corporation's counsel to be necessary for the lawful issuance and sale of any Shares hereunder or the unavailability of an exemption from registration for the issuance and sale of any Shares hereunder shall relieve the Corporation of any liability in respect of the nonissuance or sale of such Shares as to which such requisite authority shall not have been obtained.

10. Restrictions on Shares Issued . The Corporation (or a representative of the Corporation's underwriter(s)) may, in connection with the first underwritten registration of the

offering of any securities of the Corporation, require that Grantee not sell, dispose of, transfer, make any short sale of, grant any option for the purchase of, or enter into any hedging or similar transaction with the same economic effect as a sale with respect to, any Shares or other securities of the Corporation held by Grantee, for a period of time specified by the underwriter(s) (not to exceed 12 months) following the Corporation's effective date of registration. Grantee will execute and deliver such other agreements that are reasonably requested by the Corporation or the underwriter(s) that are consistent with the foregoing or that are necessary to give further effect thereto, and the Corporation may impose stop-transfer instructions with respect to Grantee's Shares until the end of such specified period.

11. Miscellaneous.

(a) No Rights to Awards. Nothing in the Plan shall be construed to give any person any right to be granted an Award.

(b) No Employment Rights. Neither the Plan nor the granting of an Award nor any other action taken pursuant to the Plan shall constitute or be evidence of any agreement or understanding, express or implied, that the Company will utilize Grantee's services for any period of time, or in any position, or at any particular rate of compensation.

(c) No Stockholders' Rights. A Grantee, or a transferee of a Grantee, shall have no rights as a stockholder with respect to any Shares covered by his or her Award until the Shares are issued. No adjustment shall be made for dividends (ordinary or extraordinary, whether in cash, securities, or other property), distributions, or other rights for which the record date is prior to the date the Shares are issued.

(d) Transferability. Unless otherwise provided in an Award Agreement, Awards may not be sold, pledged, assigned, hypothecated, transferred, or disposed of in any manner by the Grantee, whether by operation of law or otherwise, other than by will or by the laws of descent and distribution, and all Awards granted under the Plan shall be exercisable during the Grantee's lifetime only by the Grantee, or by the Grantee's legal representative or guardian in the event of the Grantee's incapacity; provided, however, that an NSO may be transferred upon the approval of the Administrator (in its sole discretion) by appropriate instrument to an inter vivos or testamentary trust in which the Option is to be passed to the Grantee's beneficiaries upon the Grantee's death or by gift to the Grantee's immediate family (consisting of the Grantee's child, stepchild, grandchild, parent, stepparent, grandparent, spouse, sibling, mother-in-law, father-in-law, son-in-law, daughter-in-law, brother-in-law, or sister-in-law, and shall include adoptive relationships). Any such purported assignment, sale, transfer, delegation, or other disposition in violation of this Section 11(d) shall be null and void. If the Administrator makes an Award transferable, such Award shall contain such additional terms and conditions as the Administrator deems appropriate.

(e) Claims. Any person who makes a claim for benefits under the Plan or under any Award Agreement entered into pursuant to the Plan shall file the claim in writing with the Administrator. Written notice of the disposition of the claim shall be delivered to the claimant within 60 days after filing. If the claim is denied, the Administrator's written decision shall set forth (i) the specific reason or reasons for the denial, (ii) a specific reference to the pertinent

provisions of the Plan or Award Agreement on which the denial is based, and (iii) a description of any additional material or information necessary for the claimant to perfect his or her claim and an explanation of why such material or information is necessary. If the Administrator describes additional material or information and such material or information is available, the claimant may resubmit the claim within 60 days after the claim is denied. No lawsuit may be filed by the claimant until a claim is made and denied pursuant to this subsection. The claimant may not present additional material or information in connection with any lawsuit unless the material or information has first been submitted to the Administrator in connection with the original claim or in connection with a resubmission within 60 days after the claim was denied.

(f) Attorneys' Fees . In any legal action or other proceeding brought by either party to enforce or interpret the terms of the Award Agreement, the prevailing party shall be entitled to recover reasonable attorneys' fees and costs.

(g) Confidentiality . The terms and conditions of the Award Agreement, including without limitation the number of Shares for which the Option is granted, are confidential. Grantee shall not disclose the terms of the Option to any third party, except to Grantee's financial or legal advisors, tax preparer or family members, unless disclosure is required by law.

(h) Corporation Free to Act . An Award grant shall not affect in any way the right or power of the Corporation or its stockholders to make or authorize any or all adjustments, recapitalizations, reorganizations, or other changes in the Company's capital structure or its business, or any merger or consolidation of any member of the Company or any issue of bonds, debentures, or preferred or preference stocks affecting the Shares or the rights thereof, or of any rights, options, or warrants to purchase any capital stock of the Corporation, or the dissolution or liquidation of the Corporation, any sale or transfer of all or any part of its assets or business, or any other corporate act or proceedings of the Corporation, whether of a similar character or otherwise.

(i) Acquired Company Awards . Notwithstanding anything in the Plan to the contrary, the Administrator may grant Awards under the Plan in substitution for awards issued under other plans, or assume under the Plan awards issued under other plans, if the other plans are or were plans of other acquired entities ("Acquired Entities") (or the parent of the Acquired Entity) and the new Award is substituted, or the old award is assumed, by reason of a merger, consolidation, acquisition of property or of stock, reorganization or liquidation (the "Acquisition Transaction"); provided, however, any substitution or assumption of a stock option or a stock appreciation right pursuant to an Acquisition Transaction shall meet the requirements of Section 424 of the Code. In the event that a written agreement pursuant to which the Acquisition Transaction is completed is approved by the Board and said agreement sets forth the terms and conditions of the substitution for or assumption of outstanding awards of the Acquired Entity, said terms and conditions shall be deemed to be the action of the Administrator without any further action by the Administrator, except as may be required for compliance with Rule 16b-3 under the Exchange Act, and the persons holding such Awards shall be deemed to be Grantees.

(j) Severability . If any provision of the Plan or Award Agreement, or its application to any person, place, or circumstance, is held by an arbitrator or a court of competent jurisdiction to be invalid, unenforceable, or void, that provision shall be enforced to the greatest extent

permitted by law, and the remainder of this Plan and Award Agreement and of that provision shall remain in full force and effect as applied to other persons, places, and circumstances.

(k) Governing Law. This Plan and the Award Agreement shall be governed by and construed in accordance with the laws of the State of Georgia applicable to contracts wholly made and performed in the State of Georgia, except to the extent superseded by Federal law.

(l) Rules of Exchange. If the Shares are listed on any established stock exchange or traded on the NASDAQ National Market or the NASDAQ SmallCap Market, the applicable requirements of any such exchange or market shall be hereby incorporated by reference.

(m) Competition. If the Award Agreement subjects the Award to this subsection, a Grantee who has a contract of employment that defines Grantee's obligations with respect to competition violates such obligations or if a Grantee has no such contract either renders services for any organization or business that is or becomes competitive with the Company or engages directly or indirectly in any organization or business which is or becomes otherwise prejudicial to or in conflict with the interests of the Company, as determined by the Administrator, prior to or during a six-month period after any exercise of an Option or settlement of an Award, the exercise or settlement shall be cancelled and rescinded. The Administrator shall notify the Grantee in writing of any such cancellation and rescission within two years after such exercise or settlement. Within ten days after receiving such notice from the Administrator, the Grantee shall pay to the Corporation the amount of any gain realized or payment received as a result of the cancelled and rescinded exercise of the Option or settlement of the Award.

(n) Taxes and Withholding. Prior to the delivery of any Shares or cash pursuant to an Award (or exercise thereof), the Corporation shall have the right to deduct from the Shares issuable or the cash payable, or to require a Grantee to remit to the Corporation, an amount sufficient to satisfy any federal, state, local and foreign taxes, if any, required by law to be withheld by the Corporation with respect to such Award (or exercise thereof). Alternatively or in addition, the Corporation, in its sole discretion, shall have the right to require a Grantee, through payroll withholding, cash payment or otherwise, including by means of a cashless exercise (as described in Section 5(g)(ii)), to make adequate provision for any such tax withholding obligations of the Corporation arising in connection with an Award. The Corporation may also accept from Grantee the tender of a number of whole Shares having a Fair Market Value equal to all or any part of the federal, state, local and foreign taxes, if any, required by law to be withheld by the Corporation with respect to an Option or the Shares acquired upon the exercise thereof.

(o) Fractional Shares. The Corporation shall not be required to issue or deliver any fractional Share upon the exercise of an Option or SAR, or the settlement of a Restricted Stock or Restricted Stock Unit Award. The Administrator shall determine whether cash, other Awards, or other property shall be issued or paid in lieu of such fractional Shares or whether such fractional Shares or any rights thereto shall be forfeited or otherwise eliminated. Any action pursuant to this Section 11(o) shall be consistent with Section 409A of the Code.

(p) Bifurcation. Notwithstanding anything in the Plan to the contrary, the Board, in its discretion, may bifurcate the Plan so as to restrict, limit or condition the use of any provision

of the Plan to Grantee's who are officers or directors subject to Section 16 of the Exchange Act without so restricting, limiting or conditioning the Plan with respect to other Grantees.

12. Right of First Refusal . Any Shares received pursuant to the exercise of an Option or SAR or upon settlement of an Award which are not readily tradable on an established market shall be subject to a "right of first refusal." The right of first refusal shall provide that, prior to any subsequent transfer, the Shares must first be offered for purchase in writing to the Corporation at the then fair market value, which, for this purpose, shall be the price specified in a bona fide written offer from an independent prospective buyer. The Corporation will have a total of thirty (30) business days to exercise the right of first refusal on the same terms offered by an independent prospective buyer. The Corporation may assign any right of first refusal it may have, whether or not then exercisable, to person(s) as may be selected by the Corporation. The right of first refusal shall terminate upon the Listing Date.

13. Effective Date of the Plan . The Plan will become effective upon adoption by the Board, subject to approval by the Corporation's stockholders within twelve (12) months of such adoption. Such stockholder approval shall be obtained in the degree and manner required under Applicable Laws. Awards may be granted under the Plan at any time after the Plan's adoption and before the termination of the Plan. The Plan shall terminate on the 10th anniversary of its adoption. Any Option exercised or Award received before stockholder approval is obtained shall be rescinded if stockholder approval is not obtained within the time prescribed, and Shares issued on the exercise of any such Option or settlement of such Award shall not be counted in determining whether stockholder approval is obtained.

14. Amendment and Termination of the Plan . The Board may at any time suspend or terminate the Plan or revise or amend it in any respect whatsoever. The Corporation shall obtain stockholder approval of any Plan amendment to the extent necessary and desirable to comply with Applicable Laws. No suspension, termination, revision or amendment of the Plan shall impair the rights of any Grantee, unless mutually agreed otherwise between the Grantee and the Administrator, which agreement must be in writing and signed by the Grantee and the Corporation. Termination of the Plan shall not affect the Administrator's ability to exercise the powers granted to it hereunder with respect to Awards granted under the Plan prior to the date of such termination.

15. Definitions . Whenever the following terms are used in the Plan, they shall have the meaning indicated below, unless a different meaning is required by the context.

"Administrator" means a committee consisting of two or more Board members, the composition of which shall satisfy at all times on and after the Listing Date the requirements of Rule 16b-3 of the Exchange Act, Section 162(m) of the Code, and the rules of any applicable stock exchange or national market system or quotation system on which the Common Stock is listed or quoted.

"Applicable Laws" means the legal requirements relating to the administration of equity compensation plans, if any, under applicable provisions of federal securities laws, applicable state corporate and securities laws, the Code, the rules of any applicable stock exchange or national market system or quotation system on which the Common Stock is listed or quoted, and

the applicable laws and rules of any foreign country or jurisdiction where Awards are, or will be, granted under the Plan.

“Award” means, individually or collectively, a grant under the Plan of Options, SARs, Restricted Stock, or Restricted Stock Units.

“Award Agreement” means the written agreement evidencing the grant of an Award. The Award Agreement shall be in such form as the Administrator shall from time to time approve, which shall comply with and be subject to the terms and conditions of the Plan. Award Agreements need not be the same for each Grantee.

“Board” means the board of directors of the Corporation.

“Cause” Unless the Award Agreement provides otherwise, for purposes of this Plan, “Cause” means:

(1) Grantee is convicted of, pleads guilty to, or confesses or otherwise admits to any felony involving intentional conduct or any act of fraud, misappropriation or embezzlement;

(2) Grantee knowingly engages in any act or course of conduct or knowingly fails to engage in any act or course of conduct (a) which is reasonably likely to adversely affect the Company’s right or qualification under applicable laws, rules or regulations to serve as an exchange or other form of a marketplace for trading commodities or (b) which violates the rules of any exchange or market on which the Company effects trades (or at such time is actively contemplating effecting trades) and which could lead to a denial of the Company’s right or qualification to effect trades on such exchange or market;

(3) There is any act or omission by Grantee involving malfeasance or gross negligence in the performance of Grantee’s duties and responsibilities to the material detriment of the Company; or

(4) Grantee breaches in any material respect any of the provisions of any applicable employment agreement or violates any provision of any generally applicable code of conduct which is distributed in writing to the Company’s employees; provided, however,

(5) If Grantee’s employment contract contains a procedure for determining whether Cause exists, that procedure shall apply under this Agreement.

“Change in Control” Unless the Award Agreement provides otherwise, for purposes of this Plan, “Change in Control” means the occurrence of any of the following events:

(1) Any “person” (as that term is used in Sections 13(d) and 14(d)(2) of the Securities Exchange Act of 1934), is or becomes the beneficial owner (as defined in Rule 13d-3 under such Act), directly or indirectly, of securities representing 30% or more of the combined voting power of the then outstanding securities of the Corporation eligible

to vote for the election of the members of the Board unless (A) such person is the Corporation or a subsidiary of the Corporation, (B) such person is an employee benefit plan (or a trust which is a part of such a plan) which provides benefits exclusively to, or on behalf of, employees or former employees of the Company, (C) such person is an underwriter temporarily holding such securities pursuant to an offering of such securities, (D) such person is Grantee, an entity controlled by Grantee or a group which includes Grantee or (E) such person acquired such securities in a Non-Qualifying Transaction (as defined in (4) below);

(2) During any period of two consecutive years or less beginning after the closing date of the initial public offering of the common stock of the Corporation, individuals who at the beginning of such period constitute the Board cease, for any reason, to constitute at least a majority of the Board, unless the election or nomination for election of each new director was approved by at least two-thirds of the directors then still in office who were directors at the beginning of the period (either by a specific vote of such directors or by the approval of the Corporation's proxy statement in which each such individual is named as a nominee for a director without written objection to such nomination by such directors); provided, however, that no individual initially elected or nominated as a director of the Corporation as a result of an actual or threatened election contest with respect to directors or as a result of any other actual or threatened solicitation of proxies or consents by or on behalf of any person other than the Board shall be deemed to be approved;

(3) Any dissolution or liquidation of the Corporation or any sale or the disposition of 50% or more of the assets or business of the Corporation, or

(4) The consummation of any reorganization, merger, consolidation or share exchange or similar form of corporate transaction involving the Corporation unless (A) the persons who were the beneficial owners of the outstanding securities eligible to vote for the election of the members of the Board immediately before the consummation of such transaction hold more than 60% of the voting power of the securities eligible to vote for the members of the board of directors of the successor or survivor corporation in such transaction immediately following the consummation of such transaction and (B) the number of the securities of such successor or survivor corporation representing the voting power described in (A) above held by the persons described in (A) above immediately following the consummation of such transaction is beneficially owned by each such person in substantially the same proportion that each such person had beneficially owned the outstanding securities eligible to vote for the election of the members of the Board immediately before the consummation of such transaction, provided (C) the percentage described in (A) above of the securities of the successor or survivor corporation and the number described in (B) above of the securities of the successor or survivor corporation shall be determined exclusively by reference to the securities of the successor or survivor corporation which result from the beneficial ownership of shares of common stock of the Corporation by the persons described in (A) above immediately before the consummation of such transaction (any transaction which satisfies all of the criteria specified in (A), (B) and (C) above shall be deemed to be a "Non-Qualifying Transaction");

Notwithstanding the foregoing, the initial public offering of the common stock of the Corporation shall in no event constitute a Change in Control.

“Code” means the Internal Revenue Code of 1986, as amended.

“Common Stock” means the Common Stock, par value \$0.01 per Share, of the Corporation.

“Company” means, collectively, the Corporation and any “parent corporation” or “subsidiary corporation” of the Corporation as defined in Code §424(e) and §424(f), respectively.

“Corporation” means IntercontinentalExchange, Inc., a Delaware corporation.

“Disability” Unless the Award Agreement provides otherwise, for purposes of this Plan, “Disability” means permanent and total disability as defined in Code §22(e)(3).

“Effective Date of a Change in Control” Unless the Award Agreement provides otherwise, for purposes of this Plan, “Effective Date of a Change in Control” means either the date which includes the “closing” (as such term is commonly understood in the United States) of the transaction which makes a Change in Control effective if the Change in Control is made effective through a transaction which has such a “closing” or the earliest date a Change in Control is reported in accordance with any applicable law, regulation, rule or common practice as effective to any government or any agency of any government or to any exchange or market in which the Corporation effects any trades if the Change in Control is made effective other than through a transaction which has such a “closing.”

“Exchange Act” means the Securities Exchange Act of 1934, as amended.

“Fair Market Value” means, as of any date, the value of Common Stock determined as follows:

(1) After the Listing Date, if the Shares are listed on any established stock exchange or traded on the NASDAQ National Market or the NASDAQ SmallCap Market, the Fair Market Value of a Share shall be the closing sales price for such stock (or the closing bid, if no sales were reported) as quoted on such exchange or market (or the exchange or market with the greatest volume of trading in the Common Stock) on the last market trading day prior to the day of determination, as reported in The Wall Street Journal or such other source as the Administrator deems reliable; or

(2) On or before the Listing Date, the Fair Market Value shall be determined in good faith by the Administrator using any reasonable valuation method.

“Grantee” means a person who has been granted an Award under the Plan.

“ISO” means an incentive stock option within the meaning of Code §422.

“Listing Date” means the first date upon which any security of the Corporation is listed or approved for listing upon notice of issuance on any securities exchange.

“NSO” means an option that is not an ISO.

“Option” means a stock option granted pursuant to the Plan.

“Performance Goals” means the goals determined by the Administrator, in its discretion, to be applicable to a Grantee with respect to an Award. As determined by the Administrator, the Performance Goals applicable to an Award may provide for a targeted level or levels of achievement using certain Company or individual performance measures. The Performance Goals may differ from Grantee to Grantee and from Award to Award. Any criteria used may be measured in absolute terms or relative to comparison companies. Such Performance Goals may include, but are not limited to, earnings; earnings per share; earnings before interest, taxes, depreciation and amortization; revenue; profits; profit growth; profit-related return ratios; cost management; dividend payout ratios; market share; economic value added; cash flow; total shareholder return, or other measures of performance selected by the Administrator. The Administrator shall have the authority to make equitable adjustments to the Performance Goals in recognition of unusual or non-recurring events affecting the Company or the financial statements of the Company, in response to changes in Applicable Laws, or to account for items of gain, loss or expense determined to be extraordinary or unusual in nature or infrequent in occurrence or related to the disposal of a segment of a business or related to a change in accounting principles.

“Plan” means this IntercontinentalExchange, Inc. 2005 Equity Incentive Plan.

“Restricted Stock” means an Award of Shares that may be subject to certain restrictions and a risk of forfeiture.

“Restricted Stock Unit” or **“RSU”** means a right granted to a Grantee to receive Shares or cash upon satisfaction of specified performance or other criteria, such as continuous Service.

“Restriction Period” means the period during which the transfer of Shares of Restricted Stock are subject to restrictions and therefore, the shares are subject to a substantial risk of forfeiture. Such restrictions may be based on continuous Service, the achievement of Performance Goals, and/or the occurrence of other events as determined by the Administrator.

“Service” means the Grantee’s employment or service with the Company, whether in the capacity of an employee, a director, or a consultant.

“Share” means one share of Common Stock.

“Stock Appreciation Right” or **“SAR”** means an Award that is designated as an SAR pursuant to Section 6 of the Plan.

IN WITNESS WHEREOF, the undersigned Secretary of the Corporation certifies that this Plan, as amended and restated, was adopted by the Compensation Committee on September 18, 2008, effective as of December 31, 2008.

/s/ Johnathan H. Short

Johnathan H. Short, Secretary

LEASE AMENDMENT EIGHT**(Expansion/Co-Terminous)**

THIS LEASE AMENDMENT EIGHT (“ **Amendment** ”) is made as of the 28th day of November, 2006, between **CMD Realty Investment Fund IV, L.P.** (“ **Landlord** ”), an Illinois limited partnership, and **InterContinentalExchange, Inc.** (“ **Tenant** ”), a Delaware corporation.

A. Landlord and Tenant are the current parties to that certain Office Lease (“ Original Lease ”) dated June 8, 2000, for space currently described as Suites 500 and 600 (collectively, “ Premises ”) in the building (“ Building ”) known as 2100 RiverEdge, located at 2100 RiverEdge Parkway, Atlanta, Georgia 30328 (“ Property ”), which lease has heretofore been amended by Lease Amendment One dated April 30, 2001, Lease Term Adjustment Confirmation Letter dated August 2, 2001, Lease Amendment Two dated March 6, 2003, Lease Amendment Three dated September 10, 2003, Lease Amendment Four dated June 4, 2004, Lease Amendment Five dated October 28, 2004, Lease Amendment Six dated October 12, 2005, Lease Amendment Seven dated May 12, 2006, and Lease Term Confirmation letter dated October 26, 2006 (collectively, and as amended herein, “ Lease ”).

B. The parties mutually desire to amend the Lease on the terms hereof.

NOW THEREFORE , in consideration of the mutual agreements herein contained, the parties hereby agree as follows.

1. **Additional Premises**. The space currently known as Suite 650 (“ **Additional Premises** ”), the approximate location of which is shown on Exhibit A hereto on the sixth (6th) floor of the Building, and which shall be deemed to contain 5,970 square feet of rentable area for purposes hereof, shall be added to and become a part of the Premises commencing on the earlier to occur of (i) Tenant’s occupancy of the Additional Premises for business purposes, or (ii) April 1, 2007 (“ **Additional Premises Commencement Date** ”) and continuing co-terminously with the expiration date under the Lease (“ **Lease Expiration Date** ”), as the same may be extended from time to time, subject to the terms herein. The Additional Premises Commencement Date and Lease Expiration Date shall be subject to adjustment and confirmation to the extent further described below.

*** Certain information in this agreement has been omitted and filed separately with the Commission. Confidential treatment has been requested with respect to the omitted portions.

2. **Base Rent For Additional Premises** . Tenant shall pay monthly base rent for the Additional Premises as provided below and otherwise as provided in the Lease:

<u>Period</u>	<u>Additional Premises Monthly Base Rent</u>
Additional Premises Commencement Date — May 31, 2007	[***]
June 1, 2007 — May 31, 2008	[***]
June 1, 2008 — May 31, 2009	[***]
June 1, 2009 — May 31, 2010	[***]
June 1, 2010 — May 31, 2011	[***]
June 1, 2011 — Lease Expiration Date	[***]

3. **Expenses and Taxes** . Commencing on the Additional Premises Commencement Date: (a) Tenant shall pay Tenant's Share for the Additional Premises of increases in Taxes and Expenses over the respective amounts for the year 2006, and as otherwise provided in the Lease, and (b) " **Tenant's Share** " for the Additional Premises shall be two and 24/100 percent (2.24%), for purposes hereof.

4. **Prorations; Consolidated or Separate Billings** . If the Additional Premises Commencement Date does not occur at the beginning of an applicable payment period under the Lease, Landlord shall reasonably pro rate Tenant's payment obligations on a per diem basis. The Base Rent, Expenses, Taxes, and all other rentals and charges respecting the Additional Premises are sometimes herein called "Additional Premises Rent". Landlord may compute and bill Additional Premises Rent (or components thereof) separately or treat the Additional Premises and Premises as one unit for computation and billing purposes.

5. **Other Terms; Remaining Right of Offer** . Commencing on the Additional Premises Commencement Date, the Additional Premises shall be added to, and become part of, the Premises under the Lease, and all applicable provisions then or thereafter in effect under the Lease shall also apply to the Additional Premises (including, without limitation, the Extension Option pursuant to Exhibit D attached to Lease Amendment Seven), except as provided to the contrary herein. The Additional Premises hereunder together with the Additional Premises pursuant to Lease Amendment Seven comprise the entire rentable area of the 6th floor of the Building; therefore, Tenant's Right of Offer pursuant to Exhibit E attached to Lease Amendment Seven shall hereafter apply only to all fourth (4th) floor space in the Building.

*** Confidential information on this page has been omitted and filed separately with the Commission. Confidential treatment has been requested with respect to the omitted portions.

6. **Condition of Additional Premises**. Tenant has inspected, or had an opportunity to inspect, the Additional Premises (and portions of the Property, Systems and Equipment providing access to or serving the Additional Premises), and agrees to accept the same "as is" without any agreements, representations, understandings or obligations on the part of Landlord to perform or pay for any alterations, repairs or improvements, except as may be expressly provided under this Lease. Tenant shall, at its option, perform certain Work to the Additional Premises, and Landlord shall provide an Allowance therefor, as further described in Exhibit B attached hereto. Notwithstanding the foregoing to the contrary, Landlord hereby represents that to Landlord's actual knowledge as of the date of this Amendment (i) the Building standard mechanical, electrical, plumbing, sprinkler and HVAC equipment servicing the Additional Premises are in good working order, and (ii) there are no current material violations of Laws affecting Tenant's use of the Additional Premises. "Landlord's actual knowledge" herein means the actual knowledge of the Asset Manager for the management company for the Property.

7. **Early Access; Possession Date; Date; Confirmation of Dates**. Landlord shall permit Tenant to enter the Additional Premises on the day immediately following mutual execution and delivery of this Amendment (" Possession Date ") but Tenant shall with respect to the Additional Premises have no obligation to pay Landlord the Additional Premises Rent (consisting of Base Rent, Taxes and Expenses) for such period prior to the Additional Premises Commencement Date (as defined in Section 1 above). During any period that Tenant shall enter the Additional Premises prior to the Additional Premises Commencement Date to perform Work under Exhibit B hereto, or to install telecommunications and computer cabling, equipment and furniture, Tenant shall comply with all terms and provisions of the Lease, except that the Additional Premises Commencement Date shall not occur based on such early possession for such purposes. The Additional Premises Commencement Date shall be the earlier to occur of (i) Tenant's occupancy of the Additional Premises for business purposes, or (ii) April 1, 2007. Landlord and Tenant shall execute a confirmation of any dates herein in such form as Landlord may reasonably request; any failure to respond within thirty (30) days after Landlord provides such written confirmation shall be deemed an acceptance of the dates set forth in Landlord's confirmation. If Tenant disagrees with Landlord's determination of such dates, Tenant shall pay Additional Premises Rent and perform all other obligations commencing and ending on the dates determined by Landlord, subject to refund or credit against Additional Premises Rent when the matter is resolved.

8. **Real Estate Brokers**. Landlord and Tenant hereby: (a) mutually represent to each other that they have dealt only with CB Richard Ellis, Inc. (representing Tenant) and PM Realty Group (representing Landlord) as broker, salesperson, agent or finder in connection with this Amendment (and to whom Landlord shall pay a commission pursuant to separate written agreement), and (b) mutually agree to defend, indemnify and hold each other harmless from and against all liabilities and expenses (including reasonable attorneys' and expert witness fees, and court costs) arising from any breach of their respective foregoing representations.

9. **Offer**. The submission and negotiation of this Amendment shall not be deemed an offer to enter into the same by Landlord. This Amendment shall not be binding on Landlord unless and until fully signed and delivered by both parties. Tenant's execution of this Amendment constitutes a firm offer to enter into the same which may not be withdrawn for a

period of thirty (30) days after delivery to Landlord. During such period, Landlord may proceed in reliance thereon, but such acts shall not be deemed an acceptance.

10. **Whole Amendment; Full Force and Effect; Conflicts**. This Amendment sets forth the entire agreement between the parties with respect to the matters set forth herein. There have been no additional oral or written representations or agreements. As amended herein, the Lease shall remain in full force and effect. In case of any inconsistency between the provisions of the Lease and this Amendment, the latter provisions shall govern.

11. **Interpretation**. This Amendment shall be interpreted in a reasonable manner in conjunction with the Lease. If an Exhibit is attached to this Amendment, the term "Lease" therein shall refer to this Amendment or the Lease as amended, and terms such as "Commencement Date" and "Lease Term" shall refer to analogous terms in this Amendment, all as the context expressly provides or reasonably implies. Unless expressly provided to the contrary herein: (a) any terms defined herein shall have the meanings ascribed herein when used as capitalized terms in other provisions hereof, (b) capitalized terms not otherwise defined herein shall have the meanings, if any, ascribed thereto in the Lease, and (c) non-capitalized undefined terms herein shall be interpreted broadly and reasonably to refer to terms contained in the Lease which have a similar meaning, and as such terms may be further defined therein.

12. **Authority**. Each signatory of this Amendment represents hereby that he or she has the authority to execute and deliver the same on behalf of the party hereto for which such signatory is acting.

IN WITNESS WHEREOF, the parties have executed this Amendment as of the date first set forth above.

LANDLORD:

CMD Realty Investment Fund IV, L.P. [SEAL]
an Illinois limited partnership

By: CMD/Fund IV GP Investments, L.P.,
an Illinois limited partnership, its general partner

By: CMD REIM IV, Inc.,
an Illinois corporation, its general partner

By: CMD Realty Investors,
an Illinois general partnership, as agent

/s/ Joseph J. Bowar

Joseph J. Bowar
Senior Vice President

TENANT:

IntercontinentalExchange, Inc. [SEAL]
a Delaware corporation

/s/ Jeffrey C. Sprecher

Jeffrey C. Sprecher
Chairman and Chief Executive Officer

EXHIBIT A
FLOOR PLATE SHOWING ADDITIONAL PREMISES

A-1

EXHIBIT B

WORK LETTER

This Exhibit is a "Work Letter" to the foregoing document (referred to herein for convenience as the "Lease Document").

I. Basic Arrangement

a. *Tenant to Arrange for Work* . Tenant desires to engage one or more contractors to perform certain improvements (the "Work," as further defined in Section VI) to or for the Premises under the Lease Document. Tenant shall arrange for the Work to be planned and performed in accordance with the provisions of this Exhibit and applicable provisions of the Lease Document. Tenant shall pay when due all costs for or related to the Plans and Work whatsoever ("Costs of the Work"), and Landlord shall reimburse certain such costs up to the Allowance, as further described below.

b. *Allowance* . Landlord shall provide up to [***] (the "Allowance") towards the Costs of the Work relating to permanent leasehold improvements (provided the portion of the Allowance available for the Plans shall be limited to five percent (5%), and shall exclude planning for furniture, trade fixtures and business equipment). Tenant shall pay Landlord's reasonable out-of-pocket costs, if any, for architectural and engineering review of the Plans and any Engineering Report, and all revisions thereof. The foregoing items may be charged against the Allowance, and if the Allowance shall be insufficient, Tenant shall pay Landlord for such amounts as additional Rent within fifteen (15) days after billing. Notwithstanding anything to the contrary contained herein, any personal property, trade fixtures or business equipment, including, but not limited to, modular or other furniture, and cabling for communications or computer systems, whether or not shown on the Approved Plans, shall be provided by Tenant, at Tenant's sole cost, and the Allowance shall not be used for such purposes. In the event that Landlord fails to timely pay the Allowance in accordance with this Section I.b. and such failure continues for more than five (5) business days following receipt of written notice from Tenant of such failure, then the unpaid amount of the Allowance shall accrue interest from the due date at the Default Rate until payment is received by Landlord.

c. *Funding and Disbursement* . Landlord shall fund and disburse the Allowance within thirty (30) days after the Work has been completed in accordance with the Approved Plans in accordance with the provisions hereof, and Tenant has submitted all invoices, architect's certificates, a Tenant's affidavit, complete unconditional lien waivers and affidavits of payment by all Tenant's Contractors, and such other evidence as Landlord may reasonably require that the cost of the Work has been paid and that no architect's, mechanic's, materialmen's or other such liens have been or may be filed against the Property or the Premises arising out of the design or performance of such Work. Landlord may issue checks to fund the Allowance jointly or

*** Confidential information on this page has been omitted and filed separately with the Commission. Confidential treatment has been requested with respect to the omitted portions.

separately to Tenant, its general contractor, and any other of Tenant's Contractors. If Tenant does not use the entire Allowance for the purposes permitted herein, or does not submit the foregoing documentation to Landlord, within nine (9) months after the Commencement Date, then Landlord shall be entitled to the savings and Tenant shall receive no credit therefor.

II. Planning. The term "Plans" herein means a "Space Plan," as the same may be superseded by any "Construction Drawings," prepared and approved pursuant to this Section (and as such terms are further defined in Section VI). In the event of any inconsistency between the Space Plan and Construction Drawings, or revisions thereto, as modified to obtain permits, the latest such item approved by Landlord shall control. The term "Approved Plans" herein means the Plans (and any revisions thereof) as approved by Landlord in writing in accordance with this Section.

a. *Tenant's Planners*. Tenant shall engage a qualified, licensed architect ("Architect"), subject to Landlord's prior written approval. To the extent required by Landlord or appropriate in connection with preparing the Plans, Tenant shall also engage one or more qualified, licensed engineering firms, e.g. mechanical, electrical, plumbing, structural and/or HVAC ("Engineers"), all of whom shall be designated or approved by Landlord in writing. The term "Tenant's Planners" herein shall refer collectively or individually, as the context requires, to the Architect or Engineers engaged by Tenant, and approved or designated by Landlord in writing in accordance with this Exhibit.

Notwithstanding anything contained herein to the contrary, Tenant agrees to engage Peacock Architects to prepare the Construction Drawings (as defined below).

b. *Space Plan and Construction Drawings*. Tenant shall promptly hereafter cause the Architect to submit three (3) sets of a "Space Plan" (as defined in Section VI) to Landlord for approval. Landlord shall, within ten (10) working days after receipt thereof, either approve said Space Plan, or disapprove the same advising Tenant of the reasons for such disapproval. In the event Landlord disapproves said Space Plan, Tenant shall modify the same, taking into account the reasons given by Landlord for said disapproval, and shall submit three (3) sets of the revised Space Plan to Landlord. Landlord shall review or comment on all revised plans and drawings (that have been approved by Tenant and are re-submitted to Landlord for approval) within five (5) business days after receipt of same. If Landlord provides comments to a revised Space Plan, then the process outlined above shall continue with all subsequent review and comment periods of Landlord being limited to five (5) business days (it being understood that Landlord shall be entitled to comment solely on the revised portions of such plan or drawing, unless the revisions affect any other portion of the plan or drawing or unless Landlord discovers a previously undetected material error in another portion of the plan or drawing). To the extent required by Landlord or the nature of the Work and as further described in Section VI, Tenant shall, after Landlord's approval of the Space Plan: (i) cause the Architect to submit to Landlord for approval "Construction Drawings" (including, as further described in Section VI below, sealed mechanical, electrical and plumbing plans prepared by a qualified, licensed Engineer approved or designated by Landlord), and (ii) cause the Engineers to submit for Landlord's approval a

report (the “Engineering Report”) indicating any special heating, cooling, ventilation, electrical, heavy load or other special or unusual requirements of Tenant, including calculations. Landlord shall, within fifteen (15) working days after receipt thereof (or such longer time as may be reasonably required in order to obtain any additional architectural, engineering or HVAC report or due to other special or unusual features of the Work or Plans), either approve the Construction Drawings and Engineering Report, or disapprove the same advising Tenant of the reasons for disapproval. If Landlord disapproves of the Construction Drawings or Engineering Report, Tenant shall modify and submit revised Construction Drawings, and a revised Engineering Report, taking into account the reasons given by Landlord for disapproval. . Landlord shall review or comment on all revised Construction Drawings and revised Engineering Report (that have been approved by Tenant and are re-submitted to Landlord for approval) within five (5) business days after receipt of same. If Landlord provides comments to revised Construction Drawings or revised Engineering Report, then the process outlined above shall continue with all subsequent review and comment periods of Landlord being limited to five (5) business days (it being understood that Landlord shall be entitled to comment solely on the revised portions of such revised Construction Drawings or revised Engineering Report, unless the revisions affect any other portion of the revised Construction Drawings or revised Engineering Report or unless Landlord discovers a previously undetected material error in another portion of the revised Construction Drawings or revised Engineering Report). The Construction Drawings shall include a usable computer aided design (CAD) file.

c. *Tenant’s Planning Responsibility and Landlord’s Approval.* Tenant has sole responsibility to provide all information concerning its space requirements to Tenant’s Planners, to cause Tenant’s Planners to prepare the Plans, and to obtain Landlord’s final approval thereof (including all revisions). Tenant and Tenant’s Planners shall perform independent verifications of all field conditions, dimensions and other such matters), and Landlord shall have no liability for any errors, omissions or other deficiencies therein. Landlord shall not unreasonably withhold, condition or delay approval of any Plans or Engineering Report submitted hereunder, if they provide for a customary office layout, with finishes and materials generally conforming to building standard finishes and materials currently being used by Landlord at the Property, are compatible with the Property’s shell and core construction, and if no modifications will be required for the Property electrical, heating, air-conditioning, ventilation, plumbing, fire protection, life safety, or other systems or equipment, and will not require any structural modifications to the Property, whether required by heavy loads or otherwise, and will not create any potentially dangerous conditions, potentially violate any codes or other governmental requirements, potentially interfere with any other occupant’s use of its premises, or potentially increase the cost of operating the Property.

d. *Governmental Approval of Plans; Building Permits.* Tenant shall cause Tenant’s Contractors (as defined in Section III) to apply for any building permits, inspections and occupancy certificates required for or in connection with the Work. If the Plans must be revised in order to obtain such building permits, Tenant shall promptly notify Landlord, promptly arrange for the Plans to be revised to satisfy the building permit requirements, and shall submit the revised Plans to Landlord for approval as a Change Order under Paragraph e below. Landlord shall have no obligation to apply for any zoning, parking or sign code amendments,

approvals, permits or variances, or any other governmental approval, permit or action. If any such other matters are required, Tenant shall promptly seek to satisfy such requirements (if Landlord first approves in writing), or shall revise the Plans to eliminate such requirements and submit such revised Plans to Landlord for approval in the manner described above. Upon request, at no cost to Landlord, Landlord shall (if Landlord has approved same as provided above) assist Tenant in obtaining all such permits and other items.

e. *Changes After Plans Are Approved.* If Tenant shall desire, or any governmental body shall require, any changes, alterations, or additions to the Approved Plans, Tenant shall submit a detailed written request or revised Plans (the “Change Order”) to Landlord for approval, which written request or revised Plans shall be reviewed by Landlord in the manner provided for in Section II.b. above. If reasonable and practicable and generally consistent with the Plans theretofore approved, Landlord shall not unreasonably withhold, condition or delay its approval. All costs in connection therewith, including, without limitation, construction costs, permit fees, and any additional plans, drawings and engineering reports or other studies or tests, or revisions of such existing items, shall be included in the Costs of the Work under Section VI. In the event that the Premises are not constructed in substantial accordance with the Approved Plans, Tenant shall not be permitted to occupy the Premises until the Premises reasonably comply in all respects therewith; in such case, the Rent shall nevertheless commence to accrue and be payable as otherwise provided in the Lease Document.

III. Contractors and Contracts. Tenant shall engage to perform the Work such contractors, subcontractors and suppliers (“Tenant’s Contractors”) as Landlord customarily engages or recommends for use at the Property; provided, Tenant may substitute other licensed, bonded, reputable and qualified parties capable of performing quality workmanship who have good labor relations and will be able to work in harmony with each other and those of Landlord and other occupants of the Property so as to ensure proper maintenance of good labor relationships, and in compliance with all applicable labor agreements existing between trade unions and the relevant chapter of the Association of General Contractors of America. Such substitutions may be made only with Landlord’s prior written approval. Such approval shall be granted, subject to specified reasonable conditions, or denied within ten (10) working days after Landlord receives from Tenant a written request for such substitution, containing a reasonable description of the proposed party’s background, finances, references, qualifications, and other such information as Landlord may request. For Work involving any mechanical, electrical, plumbing, structural, demolition or HVAC matters, or any Work required to be performed outside the Premises or involving Tenant’s entrance, Landlord may require that Tenant select Tenant’s Contractors from a list of such contractors.

IV. Performance of Work

a. *Conditions to Commencing Work.* Before commencing any Work, Tenant shall: (i) obtain Landlord’s written approval of Tenant’s Planners and the Plans, as described in Section II, (ii) obtain and post all necessary governmental approvals and permits as described in Section II, and provide copies thereof to Landlord, (iii) obtain Landlord’s written approval of Tenant’s

Contractors, and provide Landlord with copies of the contracts as described in Section III, and (iv) provide evidence of insurance to Landlord as required under the Lease Document.

b. *Compliance and Standards.* Tenant shall cause the Work to comply in all respects with the following: (i) the Approved Plans, (ii) the Property Code of the City and State in which the Property is located and Federal, State, County, City or other laws, codes, ordinances, rules, regulations and guidance, as each may apply according to the rulings of the controlling public official, agent or other such person, (iii) applicable standards of the National Board of Fire Underwriters (or successor organization) and National Electrical Code, (iv) applicable manufacturer's specifications, and (v) any work rules and regulations as Landlord or its agent may have adopted for the Property, including any Rules attached as an Exhibit to the Lease Document. Tenant shall use only new, first-class materials in the Work, except where explicitly shown in the Approved Plans. Tenant's Work shall be performed in a thoroughly safe, first-class and workmanlike manner, and shall be in good and usable condition at the date of completion. In case of inconsistency, the requirement with the highest standard protecting or favoring Landlord shall govern.

c. *Property Operations, Dirt, Debris, Noise and Labor Harmony .* Tenant and Tenant's Contractors shall make all efforts and take all proper steps to assure that all construction activities do not interfere with the operation of the Property or with other occupants of the Property. Tenant's Work shall be coordinated under Landlord's direction with any other work and other activities being performed for or by other occupants in the Property so that Tenant's Work will not interfere with or delay the completion of any other work or activity in the Property. Construction equipment and materials are to be kept within the Premises, and delivery and loading of equipment and materials shall be done at the Building loading dock and freight elevator, at such time as Landlord shall direct so as not to burden the construction or operation of the Property. Tenant's Contractors shall comply with any work rules of the Property and Landlord's requirements respecting the hours of availability of elevators and manner of handling materials, equipment and debris. Demolition must be performed before 7:00 a.m. or after 6:00 p.m. and on weekends, or as otherwise required by Landlord or the work rules for the Property. Construction which creates noise, odors or other matters that may bother other occupants may be rescheduled by Landlord at Landlord's sole discretion. Delivery of materials, equipment and removal of debris must be arranged to avoid any inconvenience or annoyance to other occupants. The Work and all cleaning in the Premises must be controlled to prevent dirt, dust or other matter from infiltrating into adjacent occupant, common or mechanical areas. Tenant shall conduct its labor relations and relations with Tenant's Planners and Contractors, employees, agents and other such parties so as to avoid strikes, picketing, and boycotts of, on or about the Premises or Property. If any employees of the foregoing parties strike, or if picket lines or boycotts or other visible activities objectionable to Landlord are established, conducted or carried out against Tenant or such parties in or about the Premises or Property, Tenant shall immediately close the Premises and remove or cause to be removed all such parties until the dispute has been settled.

d. *Removal of Debris .* Tenant's Contractors shall be required to remove from the Premises and dispose of, at least once a day and more frequently as Landlord may direct, all debris and rubbish caused by or resulting from the Work, and shall not place debris in the

Property's waste containers. Tenant shall be permitted to place a trash dumpster at the Building loading dock. If required by Landlord, Tenant shall sort and separate its waste and debris for recycling and/or environmental law compliance purposes. Upon completion of Tenant's Work, Tenant's Contractors shall remove all surplus materials, debris and rubbish of whatever kind remaining within the Property which has been brought in or created by Tenant's Contractors in the performance of Tenant's Work. If any of Tenant's Contractors shall neglect, refuse or fail to remove any such debris, rubbish, surplus material or temporary structures within 48 hours after notice to Tenant from Landlord with respect thereto, Landlord may cause the same to be removed by contract or otherwise as Landlord may determine expedient, and charge the cost thereof to Tenant as additional Rent under the Lease Document.

e. *Completion and General Requirements.* Tenant shall use commercially reasonable efforts to cause Tenant's Planners to prepare the Approved Plans, and to cause Tenant's Contractors to obtain permits or other approvals, diligently commence and prosecute the Work to completion, and obtain any inspections and occupancy certificates for Tenant's occupancy of the Premises by the Additional Premises Commencement Date set forth in the Lease Document. Any delays in the foregoing shall not serve to abate or extend the time for the Additional Premises Commencement Date or commencement of Rent under the Lease Document, except to the extent of the following, provided substantial completion of the Work and Tenant's ability to reasonably use the Premises by the Additional Premises Commencement Date (or by such later date when Tenant would otherwise have substantially completed the Work) is actually delayed thereby: (i) one (1) day for each day that Landlord delays approvals required hereunder beyond the times permitted herein without good cause, and (ii) any delay in the Work caused by fire or other casualty damage, war or civil disorder, strikes, lockouts, labor troubles, inability to procure labor or materials or reasonable substitutes or other events outside of Tenant's reasonable control (excluding delays resulting from changes in economic or market conditions, or financial or internal problems of Tenant and excluding delays by the City of Sandy Springs in processing building permits), collectively, "Force Majeure", which shall delay the Additional Premises Commencement Date on a day-for-day basis. Force Majeure shall apply only so long as Tenant uses commercially reasonable diligence and good faith efforts to end the delay, and keeps Landlord reasonably advised of such efforts. Tenant shall impose on and enforce all applicable terms of this Exhibit against Tenant's Planners and Tenant's Contractors. Landlord may impose reasonable additional requirements from time to time in order to ensure that the Work, and the construction thereof does not disturb or interfere with any other occupants of the Property, or their visitors, contractors or agents, nor interfere with the efficient, safe and secure operation of the Property. Tenant shall notify Landlord upon completion of the Work (and record any notice of completion contemplated by law). To the extent reasonably appropriate based on the nature of the Work, Tenant shall provide Landlord with "as built" drawings no later than thirty (30) days after completion of the Work.

f. *Landlord's Role and Rights.* The parties acknowledge that neither Landlord nor its managing agent is an architect or engineer, and that the Work will be designed and performed by independent architects, engineers and Tenant's Contractors engaged by Tenant. Landlord and its managing agent shall have no responsibility for construction means, methods or techniques or safety precautions in connection with the Work, and do not guarantee that the Plans or Work will

be free from errors, omissions or defects, and shall have no liability therefor. Landlord's approval of Tenant's Plans and contracts, and Landlord's designations, lists, recommendations or approvals concerning Tenant's Planners and Contractors shall not be deemed a warranty as to the quality or adequacy thereof or of the Plans or the Work, or the design thereof, or of its compliance with laws, codes and other legal requirements. Tenant shall permit access to the Premises, and inspection of the Work, by Landlord and Landlord's architects, engineers, contractors and other representatives, at all times during the period in which the Work is being planned, constructed and installed and following completion of the Work. Landlord shall have the right, but not the obligation, to order Tenant or any of Tenant's Contractors who violate the requirements imposed on Tenant or Tenant's Contractors in performing the Work to cease the Work and remove its equipment and employees from the Property.

V. HVAC Balancing. As a final part of the Work, Tenant shall cause its contractor to perform air balancing tests and adjustments on all areas of the Premises served by the air handling system that serves the areas in which the Work is performed (including any original space and any additional space being added to the Premises in connection herewith). Landlord shall not be responsible for any disturbance or deficiency created in the air conditioning or other mechanical, electrical or structural facilities within the Property or Premises as a result of the Work. If such disturbances or deficiencies result, and Tenant's contractor does not properly correct the same, Landlord reserves the right, after fifteen (15) days notice to Tenant, to correct the same and restore the services to Landlord's reasonable satisfaction, at Tenant's reasonable expense.

VI. Certain Definitions

a. "*Space Plan*" herein means, to the extent required by the nature of the Work, detailed plans (including any so-called "pricing plans"), including a fully dimensioned floor plan and drawn to scale, showing: (i) demising walls, interior walls and other partitions, including type of wall or partition and height, and any demolition or relocation of walls, and details of space occupancy and density, (ii) doors and other openings in such walls or partitions, including type of door and hardware, (iii) electrical and computer outlets, circuits and anticipated usage therefor, (iv) any special purpose rooms, any sinks or other plumbing facilities, heavy items, and any other special electrical, HVAC or other facilities or requirements, including all special loading and related calculations, (v) any space planning considerations to comply with fire or other codes or other governmental or legal requirements, (vi) finish selections, and (vii) any other details or features requested by Architect, Engineer or Landlord, or otherwise required, in order for the Space Plan to serve as a basis for Landlord to approve the Work, and for Tenant to contract and obtain permits for the Work, or for the Space Plan to serve as a basis for preparing Construction Drawings.

b. "*Construction Drawings*" herein means, to the extent required by the nature of the Work, fully dimensioned architectural construction drawings and specifications, and any required engineering drawings, specifications and calculations (including mechanical, electrical, plumbing, structural, air-conditioning, ventilation and heating), and shall include any applicable items described above for the Space Plan, and any other details or features requested by

Architect, Engineer or Landlord in order for the Construction Drawings to serve as a basis for Landlord to approve the Work, and for Tenant to contract and obtain permits for the Work.

c. “ *Work* ” herein means: (i) the improvements and items of work shown on the final Approved Plans (including changes thereto), and (ii) any preparation or other work required in connection therewith, including without limitation, structural or mechanical work, additional HVAC equipment or sprinkler heads, or modifications to any building mechanical, electrical, plumbing or other systems and equipment or relocation of any existing sprinkler heads, either within or outside the Premises required as a result of the layout, design, or construction of the Work or in order to extend any mechanical distribution, fire protection or other systems from existing points of distribution or connection, or in order to obtain building permits for the work to be performed within the Premises (unless Landlord requires that the Plans be revised to eliminate the necessity for such work).

VII. Miscellaneous . If this Work Letter is attached as an Exhibit to an amendment to an existing lease (“ Original Lease ”), whether such amendment adds space, relocates the Premises or makes any other modifications, the term “ Lease Document ” herein shall refer to such amendment, or the Original Lease as amended, as the context implies. By way of example, in such case, references to the “Premises” and “Commencement Date” herein shall refer, respectively, to such additional or relocated space and the effective date for delivery thereof under such amendment, unless expressly provided to the contrary herein. Capitalized terms not otherwise defined herein shall have the meanings, if any, ascribed thereto in the Lease Document. This Exhibit is intended to supplement and be subject to the provisions of the Lease Document, including, without limitation, those provisions requiring that any modification or amendment be in writing and signed by authorized representatives of both parties. The rights granted in this Exhibit are personal to Tenant as named in the Lease Document, and are intended to be performed for such Tenant’s occupancy of the Premises. Under no circumstance whatsoever shall any assignee or subtenant have any rights under this Exhibit. Any remaining obligations of Landlord under this Exhibit not theretofore performed shall concurrently terminate and become null and void if Tenant subleases or assigns the Lease Document with respect to all or any portion of the Premises, or seeks or proposes to do so (or requests Landlord’s consent to do so), or if Tenant or any current or proposed affiliate thereof issues any written statement indicating that Tenant will no longer move its business into, or that Tenant will vacate and discontinue its business from, the Premises or any material portion thereof. Any termination of Landlord’s obligations under this Exhibit pursuant to the foregoing provisions shall not serve to terminate or modify any of Tenant’s obligations under the Lease Document. In addition, notwithstanding anything to the contrary contained herein, Landlord’s obligations under this Exhibit, including obligations to perform any work, or provide any Allowance or rent credit, shall be subject to the condition that Tenant shall have faithfully complied with the Lease, and shall not have committed a material violation under the Lease by the time that Landlord is required to perform such work or provide such Allowance or rent credit.

LEASE AMENDMENT NINE**(Expansion/Co-Terminous)**

THIS LEASE AMENDMENT NINE (“ **Amendment** ”) is made as of the 21st day of February, 2007, between **CMD Realty Investment Fund IV, L.P.** (“ **Landlord** ”), an Illinois limited partnership, and **IntercontinentalExchange, Inc.** (“ **Tenant** ”), a Delaware corporation.

A. Landlord and Tenant are the current parties to that certain Office Lease (“ Original Lease ”) dated June 8, 2000, for space currently described as Suites 500, 600 and 650 (collectively, “ Premises ”) in the building (“ Building ”) known as 2100 RiverEdge, located at 2100 RiverEdge Parkway, Atlanta, Georgia 30328 (“ Property ”), which lease has heretofore been amended by Lease Amendment One dated April 30, 2001, Lease Term Adjustment Confirmation Letter dated August 2, 2001, Lease Amendment Two dated March 6, 2003, Lease Amendment Three dated September 10, 2003, Lease Amendment Four dated June 4, 2004, Lease Amendment Five dated October 28, 2004, Lease Amendment Six dated October 12, 2005, Lease Amendment Seven dated May 12, 2006, Lease Term Confirmation letter dated October 26, 2006, and Lease Amendment Eight dated November 28, 2006 (collectively, and as amended herein, “ Lease ”).

B. The parties mutually desire to amend the Lease on the terms hereof.

NOW THEREFORE , in consideration of the mutual agreements herein contained, the parties hereby agree as follows.

1. **Additional Premises**. The space currently known as Suite LL-9 on the lower level of the Building (“ **Additional Premises** ”), the approximate location of which is shown on Exhibit A hereto, and which shall be deemed to contain 1,773 square feet of rentable area for purposes hereof, shall be added to and become a part of the Premises commencing on the earlier to occur of (i) Tenant’s occupancy of the Additional Premises for business purposes, or (ii) May 1, 2007 (“ **Additional Premises Commencement Date** ”) and continuing co-terminously with the expiration date under the Lease (“ **Lease Expiration Date** ”), as the same may be extended from time to time, subject to the terms herein. The Additional Premises Commencement Date and Lease Expiration Date shall be subject to adjustment and confirmation to the extent further described below.

*** Certain information in this agreement has been omitted and filed separately with the Commission. Confidential treatment has been requested with respect to the omitted portions.

2. **Base Rent For Additional Premises** . Tenant shall pay monthly base rent for the Additional Premises as provided below and otherwise as provided in the Lease:

Period	Additional Premises Monthly Base Rent
Additional Premises Commencement Date — April 30, 2008	***
May 1, 2008 — April 30, 2009	***
May 1, 2009 — April 30, 2010	***
May 1, 2010 — April 30, 2011	***
May 1, 2011 — Lease Expiration Date	***

3. **Insurance and Taxes** . Commencing on the Additional Premises Commencement Date: (a) Tenant shall pay Tenant's Share for the Additional Premises of increases in Taxes over the year 2007, which shall be the Base Tax Year for the Additional Premises only, and as otherwise provided in the Lease, and (b) Tenant shall pay Tenant's Share for the Additional Premises of increases in Insurance (as hereinafter defined) over the year 2007, which shall be the Base Insurance Year for the Additional Premises only, and as otherwise provided in the Lease. "Tenant's Share" for the Additional Premises shall be zero and 66/100 percent (0.66%), for purposes hereof. "**Insurance**" shall mean costs of insurance that Landlord maintains for the Property, not limited to that required under the Lease, and which may include flood, earthquake, boiler, rent loss, workers' compensation and employers' liability, builders' risk, automobile and other coverages, including a reasonable allocation of costs under any blanket policies. Landlord shall bill and Tenant shall pay Tenant's Share of Insurance in the same manner as is provided for the payment of Taxes under Article 3 of the Original Lease. With respect to the Additional Premises only, Tenant shall not be required to pay Tenant's Share of any Expenses other than Insurance as described above.

4. **Prorations; Consolidated or Separate Billings** . If the Additional Premises Commencement Date does not occur at the beginning of an applicable payment period under the Lease, Landlord shall reasonably pro rate Tenant's payment obligations on a per diem basis. The Base Rent, Insurance, Taxes, and all other rentals and charges respecting the Additional Premises are sometimes herein called "Additional Premises Rent". Landlord may compute and bill Additional Premises Rent (or components thereof) separately or treat the Additional Premises and Premises as one unit for computation and billing purposes.

*** Confidential information on this page has been omitted and filed separately with the Commission. Confidential treatment has been requested with respect to the omitted portions.

5. **Other Terms**. Commencing on the Additional Premises Commencement Date, the Additional Premises shall be added to, and become part of, the Premises under the Lease, and all applicable provisions then or thereafter in effect under the Lease shall also apply to the Additional Premises (including, without limitation, the Extension Option pursuant to Exhibit D attached to Lease Amendment Seven), except as provided to the contrary herein.

6. **Electricity; Janitorial Services**. With respect to the Additional Premises only, Tenant shall pay for and arrange to have installed in the Additional Premises an electricity submeter to measure consumption of electricity in the Additional Premises. Landlord will monitor and use readings from such submeter to bill Tenant for electricity consumed in the Additional Premises as additional Rent. Tenant will also arrange for and pay for janitorial service to the Additional Premises, and Landlord shall have no responsibility hereunder to provide any such service to the Additional Premises.

7. **Condition of Additional Premises; Removal/Installation of Equipment; Supplemental HVAC; Additional Electrical Capacity for Additional Premises**. Tenant has inspected, or had an opportunity to inspect, the Additional Premises (and portions of the Property, Systems and Equipment providing access to or serving the Additional Premises), and agrees to accept the same “as is” without any agreements, representations, understandings or obligations on the part of Landlord to perform or pay for any alterations, repairs or improvements, except as may be expressly provided under the Lease and except that Landlord will, within fifteen (15) days after the execution and delivery of this Amendment by Landlord and Tenant and at Landlord’s expense, remove from the Additional Premises any and all existing supplemental HVAC, UPS and racking systems located within the Additional Premises (“Work”). Notwithstanding the foregoing to the contrary, Landlord hereby represents that to Landlord’s actual knowledge as of the date of this Amendment: (i) the existing mechanical, electrical, plumbing, halon fire suppression system and HVAC equipment servicing the Additional Premises are in good working order, and (ii) there are no current material violations of Laws affecting Tenant’s use of the Additional Premises. “Landlord’s actual knowledge” herein means the actual knowledge of the Asset Manager for the management company for the Property. If Tenant needs supplemental air conditioning for computer equipment, Tenant may install and operate supplemental HVAC equipment pursuant to Exhibit B hereto.

In addition, if the existing conduits serving the Additional Premises do not have the capacity for the total electrical load needed by Tenant for the Additional Premises, Tenant shall have the right to add additional “Electrical Conduit Building Penetrations” (which term is intended to mean conduits, panels, equipment and related items necessary to increase the capacity of the electrical system of the Additional Premises to meet the total electrical load needed by Tenant), provided that the installation and subsequent use of such items by Tenant shall be at Tenant’s sole expense, shall not adversely affect the Building, Systems and Equipment or other tenants of the Building and shall be subject to the other terms and conditions of Article 9 of the Original Lease (including Landlord’s right to review and approve plans for any such work by Tenant).

8. **Early Access; Possession Date; Confirmation of Dates**. Landlord shall permit Tenant to enter the Additional Premises on the day immediately following completion of the

Work described in Section 7 above (“Possession Date”) but Tenant shall with respect to the Additional Premises have no obligation to pay Landlord the Additional Premises Rent (consisting of Base Rent, Taxes and Insurance) for such period prior to the Additional Premises Commencement Date (as defined in Section 1 above). During any period that Tenant shall enter the Additional Premises prior to the Additional Premises Commencement Date to perform Work under Exhibit B hereto, or to install telecommunications and computer cabling, equipment and furniture, Tenant shall comply with all terms and provisions of the Lease, except that the Additional Premises Commencement Date shall not occur based on such early possession for such purposes. The Additional Premises Commencement Date shall be the earlier to occur of (i) Tenant’s occupancy of the Additional Premises for business purposes, or (ii) May 1, 2007. Landlord and Tenant shall execute a confirmation of any dates herein in such form as Landlord may reasonably request; any failure to respond within thirty (30) days after Landlord provides such written confirmation shall be deemed an acceptance of the dates set forth in Landlord’s confirmation. If Tenant disagrees with Landlord’s determination of such dates, Tenant shall pay Additional Premises Rent and perform all other obligations commencing and ending on the dates determined by Landlord, subject to refund or credit against Additional Premises Rent when the matter is resolved.

9. **Additional Generator**. Tenant shall have the right, at its sole cost and otherwise on the terms and conditions of Exhibit F to the Original Lease, to install an additional emergency generator in a location to be designated by Landlord.

10. **Real Estate Brokers**. Landlord and Tenant hereby: (a) mutually represent to each other that they have dealt only with CB Richard Ellis, Inc. (representing Tenant) and PM Realty Group (representing Landlord) as broker, salesperson, agent or finder in connection with this Amendment (and to whom Landlord shall pay a commission pursuant to separate written agreement), and (b) mutually agree to defend, indemnify and hold each other harmless from and against all liabilities and expenses (including reasonable attorneys’ and expert witness fees, and court costs) arising from any breach of their respective foregoing representations.

11. **Offer**. The submission and negotiation of this Amendment shall not be deemed an offer to enter into the same by Landlord. This Amendment shall not be binding on Landlord unless and until fully signed and delivered by both parties. Tenant’s execution of this Amendment constitutes a firm offer to enter into the same which may not be withdrawn for a period of thirty (30) days after delivery to Landlord. During such period, Landlord may proceed in reliance thereon, but such acts shall not be deemed an acceptance.

12. **Whole Amendment; Full Force and Effect; Conflicts**. This Amendment sets forth the entire agreement between the parties with respect to the matters set forth herein. There have been no additional oral or written representations or agreements. As amended herein, the Lease shall remain in full force and effect. In case of any inconsistency between the provisions of the Lease and this Amendment, the latter provisions shall govern.

13. **Interpretation**. This Amendment shall be interpreted in a reasonable manner in conjunction with the Lease. If an Exhibit is attached to this Amendment, the term “Lease” therein shall refer to this Amendment or the Lease as amended, and terms such as “Commencement Date” and “Lease Term” shall refer to analogous terms in this Amendment, all

as the context expressly provides or reasonably implies. Unless expressly provided to the contrary herein: (a) any terms defined herein shall have the meanings ascribed herein when used as capitalized terms in other provisions hereof, (b) capitalized terms not otherwise defined herein shall have the meanings, if any, ascribed thereto in the Lease, and (c) non-capitalized undefined terms herein shall be interpreted broadly and reasonably to refer to terms contained in the Lease which have a similar meaning, and as such terms may be further defined therein.

14. **Authority**. Each signatory of this Amendment represents hereby that he or she has the authority to execute and deliver the same on behalf of the party hereto for which such signatory is acting.

[Signatures are on next page.]

IN WITNESS WHEREOF , the parties have executed this Amendment as of the date first set forth above.

LANDLORD:

CMD Realty Investment Fund IV, L.P. [SEAL]
an Illinois limited partnership

By: CMD/Fund IV GP Investments, L.P.,
an Illinois limited partnership, its general partner

By: CMD REIM IV, Inc., an Illinois corporation,
its general partner

By: Wind Realty Partners, an Illinois general
partnership, as agent

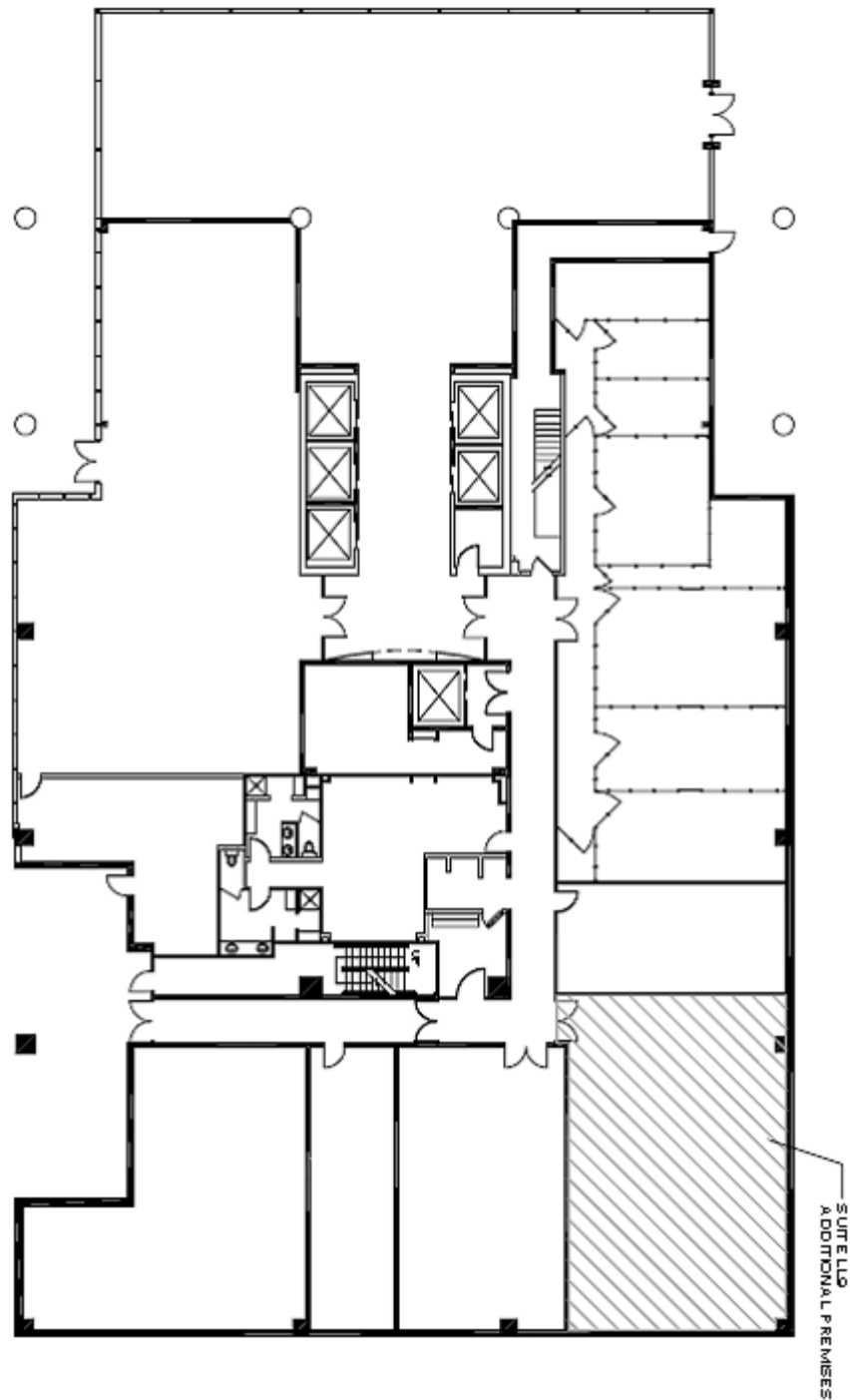
/s/ Andrew Runge
Andrew Runge
Senior Vice President

TENANT:

IntercontinentalExchange, Inc. [SEAL]
a Delaware corporation

/s/ Jeffrey C. Sprecher
Jeffrey C. Sprecher
Chairman and Chief Executive Officer

EXHIBIT A
FLOOR PLATE SHOWING ADDITIONAL PREMISES



SUPPLEMENTAL HVAC — CEILING OR EXTERIOR**(For Computer Room)**

1. Supplemental HVAC Equipment in Suspended Ceiling or Exterior Area. Tenant shall have a continuing license to install and operate reasonable supplemental air conditioning equipment (up to a maximum cooling capacity to be designated by Landlord) for Tenant's computer room in the Premises (such equipment, together with any related connecting lines or additional conduits or other related equipment and facilities, collectively referred to herein as the "Supplemental HVAC Equipment"), subject to the other provisions hereof, including the following provisions: (a) at Landlord's option, such Supplemental HVAC Equipment shall consist of smaller "Leibert-type" units installed in the suspended ceiling above the Premises ("Suspended Ceiling"), if such installation is a feasible method to provide adequate capacity as reasonably determined by Landlord, (b) if Landlord reasonably determines that such smaller units cannot feasibly be located in the Suspended Ceiling so as to provide adequate capacity, or if Landlord otherwise so elects, such Supplemental HVAC Equipment shall consist of a larger unit or units located in an area designated by Landlord on the roof or other exterior area of the Property ("Exterior Space"), (c) the Supplemental HVAC Equipment shall be installed and operated at Tenant's sole cost and expense. The term ("Term") of this license shall continue until the earlier to occur of the expiration or earlier termination of the Lease or Tenant's abandonment of the Premises.

2. Utilities, Repairs, Alterations or Installation of New Supplemental HVAC Equipment. Tenant:

(a) shall not install the Supplemental HVAC Equipment, or make any repairs, alterations, additions or improvements to the Exterior Space or the Supplemental HVAC Equipment, without the prior written consent of Landlord concerning all details thereof, including, but not limited to, the size, weight, and location of the Supplemental HVAC Equipment. Landlord shall not unreasonably withhold or delay such consent, except that Landlord reserves the right to withhold consent in Landlord's sole discretion for work affecting the structure or safety of the Property or the appearance of the Property from any common or public areas,

(b) agrees that (i) any work hereunder, including the installation, repairs, alterations, additions or improvements, of the Supplemental HVAC Equipment shall be performed in a good and workmanlike manner and customary industry practices and procedures, in accordance with all governmental requirements and in accordance with all provisions of the Lease respecting work to the Premises, including without limitation Article 9 of the Original Lease, and any Property reasonable rules, standards or other requirements for similar equipment and/or under the supervision of Landlord's employees or agents, and in a manner so as to avoid damage to the Property, (ii) all work affecting the Exterior Space shall be performed by contractors approved or designated by Landlord (any work affecting the roof must be performed by Landlord's roofing contractor),

(c) shall make any necessary repairs or replacements, and thereafter properly operate, inspect, repair, maintain and replace the Supplemental HVAC Equipment (if Tenant thereafter desires to replace the Supplemental HVAC Equipment), all in accordance with manufacturer's specifications and through the services of a qualified HVAC contractor, and shall have a contract for regular inspection and servicing by a qualified contractor reasonably designated or approved by Landlord in writing, all at Tenant's sole expense, and

(d) shall pay for all utilities consumed by or for the Supplemental HVAC Equipment during the Term, as extended, directly to the utility company based on separate-meters, which Tenant shall install as part of the installation of the Supplemental HVAC Equipment.

3. Roof or Other Property Damage. Tenant shall take all appropriate reasonable actions to prevent any roof or building leaks or other damage or injury to the Exterior Space or the Property or contents thereof (collectively, "Property Damage") caused by Tenant's operation, inspection, repair, maintenance, alteration, installation or replacement of the Supplemental HVAC Equipment, and shall promptly notify Landlord of any such Property Damage. In the event of any such Property Damage, Landlord may: (i) require that Tenant pay Landlord's reasonable costs for repairing such Property Damage within thirty (30) days after Landlord submits an invoice and reasonable supporting documentation therefor, or (ii) require that Tenant perform the necessary repairs in a good and workmanlike manner using a contractor designated or approved by Landlord at Tenant's expense within thirty (30) days after Landlord's notice (provided, if the nature of the Property Damage is such that more than 30 days is reasonably required in order to cure, Tenant shall not be in Default if Tenant commences to repair promptly within such period, diligently seeks and keeps Landlord reasonably advised of efforts to repairs, and completes such repair within sixty (60) days following Landlord's notice).

4. Miscellaneous. Landlord shall permit Tenant reasonable access to the Exterior Space for the purposes permitted hereunder, during normal business hours at the Property upon reasonable advance notice and scheduling through Landlord's management and security personnel. Access after normal business hours may be granted by Landlord in its reasonable discretion, and for such reasonable charges as Landlord shall impose. Landlord reserves the right to enter the Exterior Space, without notice, at any time for the purpose of inspecting the same, or making repairs, additions or alterations to the Property, or to exhibit the Exterior Space to prospective tenants, purchasers or others, or for any other reason not inconsistent with Tenant's rights hereunder. In connection with exercising such rights, upon ten days prior written or oral notice to Tenant's on-site manager (except that no notice shall be required in an emergency, e.g. to repair roof leaks associated with the Exterior Space or Supplemental HVAC Equipment), Landlord may temporarily disconnect the Supplemental HVAC Equipment and/or move the Supplemental HVAC Equipment at a time which is reasonably agreeable to Tenant. Landlord also reserves the right, from time to time upon thirty days prior written notice to Tenant, to relocate the Exterior Space and/or move or require that Tenant move the Supplemental HVAC Equipment, to another location or locations, provided: (i) Landlord shall use reasonable efforts to provide such other space that will be reasonably feasible for Tenant's purposes, and (ii) Landlord shall pay all reasonable, direct, out-of-pocket expenses incurred by Tenant in connection therewith (excluding lost profits or other consequential damages). Tenant may not assign or sublicense its rights

under this Exhibit, nor let any other party tie into or use the Supplemental HVAC Equipment or the Exterior Space, except to any Tenant Affiliate as defined in Article 13.G of the Original Lease, and any attempt to do so in violation of the foregoing shall be null and void. Tenant shall not operate the Supplemental HVAC Equipment so as to unreasonably interfere in any way with the ability of Landlord or its tenants and occupants of the Property and neighboring properties to receive radio, television, telephone, microwave, short-wave, long-wave or other signals of any sort, nor so as to unreasonably interfere with the use of any antennas, satellite dishes or other electronic or electric equipment or facilities currently or hereafter located on the Exterior Space or any floor or area of the Property or other property. If Tenant violates this Exhibit and fails to cure such violation within a reasonable period of time, Landlord shall have the right to disconnect the Supplemental HVAC Equipment until the violations are cured (without limitation as to Landlord's other remedies under the Lease or at law or equity). Notwithstanding anything herein to the contrary, upon the expiration or earlier termination of this Lease, Tenant shall remove the Supplemental HVAC Equipment, repair any damage to the Property caused by such removal and restore any affected areas of the Property to their condition prior to installation of the Supplemental HVAC Equipment.

5. **Existing Fan-Coil Unit** . Tenant shall have the right, free of charge, to use (in the Exterior Space) or discard that certain fan-coil unit (the “ **Unit** ”) currently located in the generator area of the Building. Tenant has had an opportunity to inspect the Unit, including its condition, and Landlord is making no representations or warranties, and shall have no liability whatsoever, relating to the Unit, including, but not limited to, the condition thereof or whether there is any damage thereto or defects therein, or as to any other matter pertaining to the Unit. Upon expiration or earlier termination of the Lease or Tenant's right to possess the Premises, the Unit shall belong to Landlord and Tenant shall have no right to use or keep the same.

LEASE AMENDMENT TEN
(Extension and Expansion/Co-Terminous)

THIS LEASE AMENDMENT TEN (“**Amendment**”) is made as of the 15th day of May, 2008 between **RFP Mainstreet 2100 RiverEdge, LLC** (“**Landlord**”), a Delaware limited liability company, successor-in-interest to CMD Realty Investment Fund IV, L.P., an Illinois limited partnership, and **IntercontinentalExchange, Inc.** (“**Tenant**”), a Delaware corporation.

A. A. Landlord and Tenant are the current parties to that certain Office Lease (“**Original Lease**”) dated June 8, 2000, for space currently described as Suites 500, 600, 650 and LL19 (“**Premises**”; sometimes referred to herein as the “**Existing Premises**”) in the building (“**Building**”) known as 2100 RiverEdge, located at 2100 RiverEdge Parkway, Atlanta, Georgia 30328 (“**Property**”), which lease has heretofore been amended by Lease Amendment One dated April 30, 2001, Lease Term Adjustment Confirmation Letter dated August 2, 2001, Lease Amendment Two dated March 6, 2003, Lease Amendment Three dated September 10, 2003, Lease Amendment Four dated June 4, 2004, Lease Amendment Five dated October 28, 2004, Lease Amendment Six dated October 12, 2005, Lease Amendment Seven dated October 12, 2006 (“**Lease Amendment Seven**”), Lease Amendment Eight dated November 28, 2006, Lease Amendment Nine dated February 21, 2007, Lease Term Adjustment Confirmation Letter dated April 16, 2007 and Lease Term Adjustment Confirmation Letter dated May 2, 2007 (collectively, and as amended herein, “**Lease**”).

B. The parties mutually desire to amend the Lease on the terms hereof.

NOW THEREFORE, in consideration of the mutual agreements herein contained, the parties hereby agree as follows.

1. Term Extension. The term of the Lease is hereby modified to extend for a period (“**Extended Term**”) commencing on March 1, 2012 (“**Extension Date**”) and expiring on the last day of the seventy-second (72nd) full calendar month after the Additional Premises Commencement Date, as hereinafter defined (“**New Expiration Date**”), unless sooner terminated in accordance with the terms of the Lease.

2. Additional Premises. Suite 400 (“**Additional Premises**”), the approximate location of which is shown on Exhibit A hereto on the fourth (4th) floor of the Building, and which shall be deemed to contain 15,274 square feet of rentable area for purposes hereof, shall be added to and become a part of the Existing Premises commencing on the earlier to occur of (i) substantial completion of the Work (as defined in Exhibit B) in the Additional Premises, or (ii) November 1, 2008 (“**Additional Premises Commencement Date**”) and continuing co-terminously with the New Expiration Date, as the same may be extended, subject to the terms herein. The Additional Premises Commencement Date and New Expiration Date shall be subject to adjustment and confirmation as described in Section 11 below.

*** Certain information in this agreement has been omitted and filed separately with the Commission. Confidential treatment has been requested with respect to the omitted portions.

Upon completion of the Work within the Additional Premises, Landlord and its architect and Tenant and its architect shall each have the right to re-measure the Additional Premises using the “Standard Measure for Measuring Floor Area in Office Buildings” published by the Secretariat, Building Owners and Managers Association International (ANSI/BOMA Z65.1-1996), approved June 7, 1996 (“BOMA Standards”). Base Rent, Tenant’s Share, and all other items which are calculated based on the rentable square footage of the Additional Premises shall be adjusted if Landlord or Tenant elects to re-measure, but otherwise shall be based upon the initial determination of rentable square footage contained herein.

3. Temporary Space . Tenant shall have the right to occupy certain temporary space on the 12th floor on the terms and conditions set forth in Exhibit C attached hereto.

4. Storage Space . Commencing on the Additional Premises Commencement Date, Tenant shall have a license to use that certain storage space located next to Space 1-B and currently known as Cage 1-C (“ **Additional Storage Space** ”), located on the lower level of the Property, which shall be deemed to contain 147 rentable square feet and is shown on Exhibit E hereto. Such license shall be on the terms and conditions contained in Exhibit G to Lease Amendment Seven.

5. Base Rent .

a. Existing Premises. Commencing on the Extension Date, Tenant shall pay monthly Base Rent for the Existing Premises as provided below and otherwise as provided in the Lease:

Suite 500 Base Rent Schedule

<u>Period</u>	<u>Suite 500 Monthly Base Rent</u>
March 1, 2012 — February 28, 2013	[***]
March 1, 2013 — February 28, 2014	[***]
March 1, 2014 — New Expiration Date	[***]

Suite 600 Base Rent Schedule

<u>Period</u>	<u>Suite 600 Monthly Base Rent</u>
March 1, 2012 — February 28, 2013	[***]
March 1, 2013 — February 28, 2014	[***]
March 1, 2014 — New Expiration Date	[***]

*** Confidential information on this page has been omitted and filed separately with the Commission. Confidential treatment has been requested with respect to the omitted portions.

Suite 650 Base Rent Schedule

Period	Suite 650 Monthly Base Rent
March 1, 2012 — February 28, 2013	[***]
March 1, 2013 — February 28, 2014	[***]
March 1, 2014 — New Expiration Date	[***]

Suite LL-9 Base Rent Schedule

Period	Suite LL-9 Monthly Base Rent
March 1, 2012 — February 28, 2013	[***]
March 1, 2013 — February 28, 2014	[***]
March 1, 2014 — New Expiration Date	[***]

b. Additional Premises. Tenant shall pay monthly Base Rent for the Additional Premises as provided below and otherwise as provided in the Lease:

Additional Premises Base Rent Schedule

Period	Additional Premises Monthly Base Rent
Additional Premises Commencement Date — October 31, 2009	[***]
November 1, 2009 — October 31, 2010	[***]
November 1, 2010 — October 31, 2011	[***]
November 1, 2011 — October 31, 2012	[***]
November 1, 2012 — October 31, 2013	[***]
November 1, 2013 — New Expiration Date	[***]

c. Base Rent Abatement. Notwithstanding anything to the contrary herein, as a concession to enter this Amendment and provided Tenant is not then in Default and subject to the conditions set forth in the following sentence: (i) Tenant's obligations for Base Rent for the Additional Premises shall be abated for [***] commencing on the Additional Premises Commencement Date (except if the Additional Premises Commencement Date does not occur on the first day of a calendar month, the abatement period shall be 180 days), and (ii) Tenant's obligations for Base Rent for the Existing Premises shall be abated for one (1) month commencing on the Additional Premises Commencement Date (except if the Additional Premises Commencement Date does not occur on the first day of a calendar month, the

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abatement period shall be 30 days). If Tenant shall Default under the Lease, Tenant shall: (i) immediately commence paying the full amount otherwise required under the Lease without regard to such periods, if either of the foregoing periods is still in effect, and (ii) immediately pay Landlord the unamortized portion of the amount theretofore abated (such amortization to be computed over the number of full calendar months in the initial Term following such abatement period with interest at the Default Rate).

6. Expenses and Taxes Base Year .

a. Existing Premises . Commencing on the Additional Premises Commencement Date, Tenant shall pay Tenant's Share for the Existing Premises of increases in Taxes and Expenses over the respective amounts for the year 2008, and as otherwise provided in the Lease.

b. Additional Premises . Commencing on the Additional Premises Commencement Date: (i) Tenant shall pay Tenant's Share for the Additional Premises of increases in Taxes and Expenses, over the respective amounts for the year 2008, and as otherwise provided in the Lease, and (ii) "Tenant's Share" for the Additional Premises shall be five and 73/100 percent (5.73%), for purposes hereof.

7. Prorations; Consolidated or Separate Billings . If the Additional Premises Commencement Date or the Extension Date do not occur at the beginning, or the New Expiration Date does not occur at the end, of an applicable payment period under the Lease, Landlord shall reasonably pro rate Tenant's payment obligations on a per diem basis; Tenant shall remain liable for all amounts accruing during or relating to the period prior to the Additional Premises Commencement Date or Extension Date, and through the New Expiration Date, whether or not theretofore billed. The Base Rent, Taxes, Expenses and all other charges respecting the Additional Premises are sometimes herein called "**Additional Premises Rent**". Landlord may compute and bill Additional Premises Rent (or components thereof) separately or treat the Additional Premises and Existing Premises as one unit for computation and billing purposes.

8. Options . Tenant shall continue to have the Extension Options set forth in Exhibit D of Lease Amendment Seven. Tenant shall have a right of first refusal to expand as provided in Exhibit D attached hereto, and Exhibit E to Lease Amendment Seven is hereby deleted.

9. Other Terms . Except to the extent inconsistent herewith or provided to the contrary herein: (a) commencing on the Additional Premises Commencement Date, the Additional Premises shall be added to, and become part of, the Existing Premises under the Lease, and all applicable provisions then or thereafter in effect under the Lease shall also apply to the Additional Premises, and (b) all provisions of the Lease currently in effect or scheduled to become effective shall remain in effect and become effective in accordance with their terms, except for any provisions which by their express terms have lapsed, are scheduled to lapse, or were to be in effect only during the initial Term or other period (in which case such express terms shall govern the periods during which such provisions were, or will remain, in effect).

10. Tenant Improvements .

a. **Condition of Additional Premises; Improvement Allowance.** Tenant has been occupying the Existing Premises, and has inspected the Additional Premises (and portions of the Building, Property, systems and equipment providing access to or serving the Additional Premises) or has had an opportunity to do so, and agrees to accept the same "AS IS" without any agreements, representations, understandings or obligations on the part of Landlord to perform or pay for any alterations, repairs or improvements, except as provided herein. Notwithstanding the foregoing to the contrary, Landlord hereby represents that to Landlord's actual knowledge as of the date of this Amendment: (i) the Building standard mechanical, electrical, plumbing, sprinkler and HVAC equipment servicing the Additional Premises are in good working order, and (ii) there are no current material violations of Laws affecting Tenant's use of the Additional Premises. "Landlord's actual knowledge" herein means the actual knowledge of the Property Manager for the management company for the Property. Notwithstanding anything contained herein to the contrary, Landlord shall provide an allowance ("**Allowance**") to be used towards the performance of certain tenant improvement work by Tenant in the Additional Premises and Suites 500, 600 and 650, as further set forth in Exhibit B attached hereto.

b. **Removal of Stairwell.** Without limiting the generality of any other terms of the Lease requiring restoration of the Premises upon expiration of the Lease, at Landlord's written request, Tenant shall, within thirty (30) days after expiration or earlier termination of the Lease, remove any stairwell installed by Tenant pursuant to Exhibit B of this Amendment, close the stairwell opening, and restore the stairwell area to its original condition (the "**Stairwell Restoration Work**"), all such work to be at Tenant's sole cost. Landlord's request may be made prior to the expiration or earlier termination of the Lease but if Landlord's request is made less than thirty (30) days before the expiration or earlier termination of the Lease then Tenant shall have sixty (60) days after its receipt of Landlord's request to complete the Stairwell Restoration Work. At Landlord's option, Landlord shall perform the Stairwell Restoration Work, at Tenant's cost; provided, however, the cost therefore is reasonable and customary based on competitive market conditions. Prior to commencing the Stairwell Restoration Work Landlord shall obtain an estimate of the cost of the Stairwell Restoration Work which is reasonably acceptable to Tenant, and Tenant shall deposit such estimated cost with Landlord within ten (10) days after Landlord's written request for same. If such estimated amount exceeds the actual cost of the Stairwell Restoration Work, Tenant shall receive a refund of the difference within thirty (30) days of completion of the Stairwell Restoration Work, and if the actual cost of the Stairwell Restoration Work amount shall exceed the estimated amount, Tenant shall pay the difference to Landlord within thirty (30) days after Landlord's written request for same. Tenant's obligations under this paragraph with respect to removal of any stairwell installed by Tenant between the 4th and 5th floors is in addition to, and not in lieu of, Tenant's obligations as set forth in Section 8.B of Lease Amendment Seven with respect to removal of any stairwell installed by Tenant between the 5th and 6th floors.

11. Early Access; Possession Date; Date; Confirmation of Dates. Landlord shall permit Tenant to enter the Additional Premises on the day immediately following mutual execution and delivery of this Amendment ("**Possession Date**") but Tenant shall with respect to the Additional Premises have no obligation to pay Landlord the Additional Premises Rent (consisting of Base Rent, Taxes and Expenses) for such period prior to the Additional Premises Commencement Date (as defined in Section 2 above). During any period that Tenant shall enter the Additional Premises prior to the Additional Premises Commencement Date to perform Work under Exhibit B hereto, or to install telecommunications and computer cabling, equipment and

furniture, Tenant shall comply with all terms and provisions of the Lease, except that the Additional Premises Commencement Date shall not occur based on such early possession for such purposes. The Additional Premises Commencement Date shall be the earlier to occur of (i) substantial completion of the Work (as defined in Exhibit B) in the Additional Premises, or (ii) November 1, 2008. Landlord and Tenant shall execute a confirmation of any dates herein in such form as Landlord may reasonably request; any failure to respond within thirty (30) days after Landlord provides such written confirmation shall be deemed an acceptance of the dates set forth in Landlord's confirmation. If Tenant disagrees with Landlord's determination of such dates, Tenant shall pay Rent for the Existing Premises and Additional Premises Rent and perform all other obligations commencing and ending on the dates determined by Landlord, subject to refund or credit against Additional Premises Rent when the matter is resolved.

12. Parking. Tenant and its employees shall have a license to use a total of 3.5 parking spaces per 1,000 rentable square feet of the Additional Premises, as follows: (a) fifty-one (51) general parking spaces on a non-exclusive, unassigned "first come, first served" basis in the unreserved areas of the Parking Facility ("**General Spaces**"), and (b) two (2) reserved parking spaces in the Parking Facility ("**Reserved Spaces**"). The Reserved Spaces shall be in a location mutually and reasonably agreed to by the parties, but shall be immediately adjacent to each other. Such Reserved Spaces shall be assigned parking spaces identified with numbers in accordance with Landlord's standard procedures, provided Landlord shall have no obligation to tow vehicles that are improperly parked in such assigned spaces (but Landlord reserves the right to do so after receiving notice thereof from Tenant or otherwise). The aforesaid parking spaces shall be free of separate parking charges through the New Expiration Date. Use by Tenant and its employees of the preceding parking spaces shall be governed by the existing provisions of the Lease regarding parking, except as expressly modified herein. Nothing contained in this Section 12 shall be deemed to modify any of Tenant's existing parking rights in the Lease.

13. Third Generator. Tenant shall have the right, at its sole cost and otherwise on the terms and conditions of Exhibit F to the Original Lease, to install a third emergency generator in a location to be designated by Landlord. Without limiting the generality of the terms and conditions set forth in Exhibit F to the Original Lease, the Generator Space for the third Generator shall be delivered in its "as is" "where is" condition and Tenant shall be responsible, at its sole expense, for all site preparation, including compliance with applicable Laws, including re-planting of trees or making payments to the Tree Trust Fund, as required by applicable governmental authorities. Generator Space Rent pursuant to Exhibit F to the Original Lease shall continue to be waived during the Extended Term under this Amendment as to all 3 Generators Spaces.

14. Real Estate Brokers. Landlord and Tenant hereby: (a) mutually represent to each other that they have dealt only with CB Richard Ellis, Inc. (representing Tenant) and Jones Lang LaSalle (representing Landlord) as broker, salesperson, agent or finder in connection with this Amendment (and to whom Landlord shall pay a commission pursuant to separate written agreement), and (b) mutually agree to defend, indemnify and hold each other harmless from and against all liabilities and expenses (including reasonable attorneys' and expert witness fees, and court costs) arising from any breach of their respective foregoing representations.

15. Offer. The submission and negotiation of this Amendment shall not be deemed an offer to enter into the same by Landlord. This Amendment shall not be binding on Landlord

unless and until fully signed and delivered by both parties. Tenant's execution of this Amendment constitutes a firm offer to enter into the same which may not be withdrawn for a period of thirty (30) days after delivery to Landlord. During such period, Landlord may proceed in reliance thereon, but such acts shall not be deemed an acceptance.

16. Whole Amendment; Full Force and Effect; Conflicts . This Amendment sets forth the entire agreement between the parties with respect to the matters set forth herein. There have been no additional oral or written representations or agreements. As amended herein, the Lease shall remain in full force and effect. In case of any inconsistency between the provisions of the Lease and this Amendment, the latter provisions shall govern.

17. Interpretation . This Amendment shall be interpreted in a reasonable manner in conjunction with the Lease. If an Exhibit is attached to this Amendment, the term "Lease" therein shall refer to this Amendment or the Lease as amended, and terms such as "Commencement Date" and "Lease Term" shall refer to analogous terms in this Amendment, all as the context expressly provides or reasonably implies. Unless expressly provided to the contrary herein: (a) any terms defined herein shall have the meanings ascribed herein when used as capitalized terms in other provisions hereof, (b) capitalized terms not otherwise defined herein shall have the meanings, if any, ascribed thereto in the Lease, and (c) non-capitalized undefined terms herein shall be interpreted broadly and reasonably to refer to terms contained in the Lease which have a similar meaning, and as such terms may be further defined therein.

18. Authority . Each signatory of this Amendment represents hereby that he or she has the authority to execute and deliver the same on behalf of the party hereto for which such signatory is acting.

19. Consent . Landlord represents and warrants to Tenant that all of Landlord's lenders have consented to this Amendment.

20. OFAC Certification . Tenant certifies that:

a. It is not acting, directly or indirectly, for or on behalf of any person, group, entity or nation named by any Executive Order or the United States Treasury Department as a terrorist, "Specially Designated National and Blocked Person," or other banned or blocked person, entity, nation or transaction pursuant to any law, order, rule or regulation that is enforced or administered by the Office of Foreign Assets Control; and

b. It is not engaged in this transaction, directly or indirectly, on behalf of, or instigating or facilitating this transaction, directly or indirectly, on behalf of any such person, group, entity or nation.

Tenant hereby agrees to defend, indemnify, and hold harmless Landlord from and against any and all claims, damages, losses, risks, liabilities, and expenses (including attorney's fees and costs) arising from or related to any breach of the foregoing certification.

IN WITNESS WHEREOF, the parties have executed this Amendment as of the date first set forth above.

LANDLORD :

[SEAL]

RFP MAINSTREET 2100 RIVEREDGE, LLC, a
Delaware limited liability company

/s/ Paul J. Kilgallon
Paul J. Kilgallon, President

TENANT :

[SEAL]

INTERCONTINENTALEXCHANGE, INC. , a
Delaware corporation

/s/ Jeffrey C. Sprecher
Jeffrey C. Sprecher
Chairman and Chief Executive Officer

EXHIBIT A
Floor Plate Showing Additional Premises

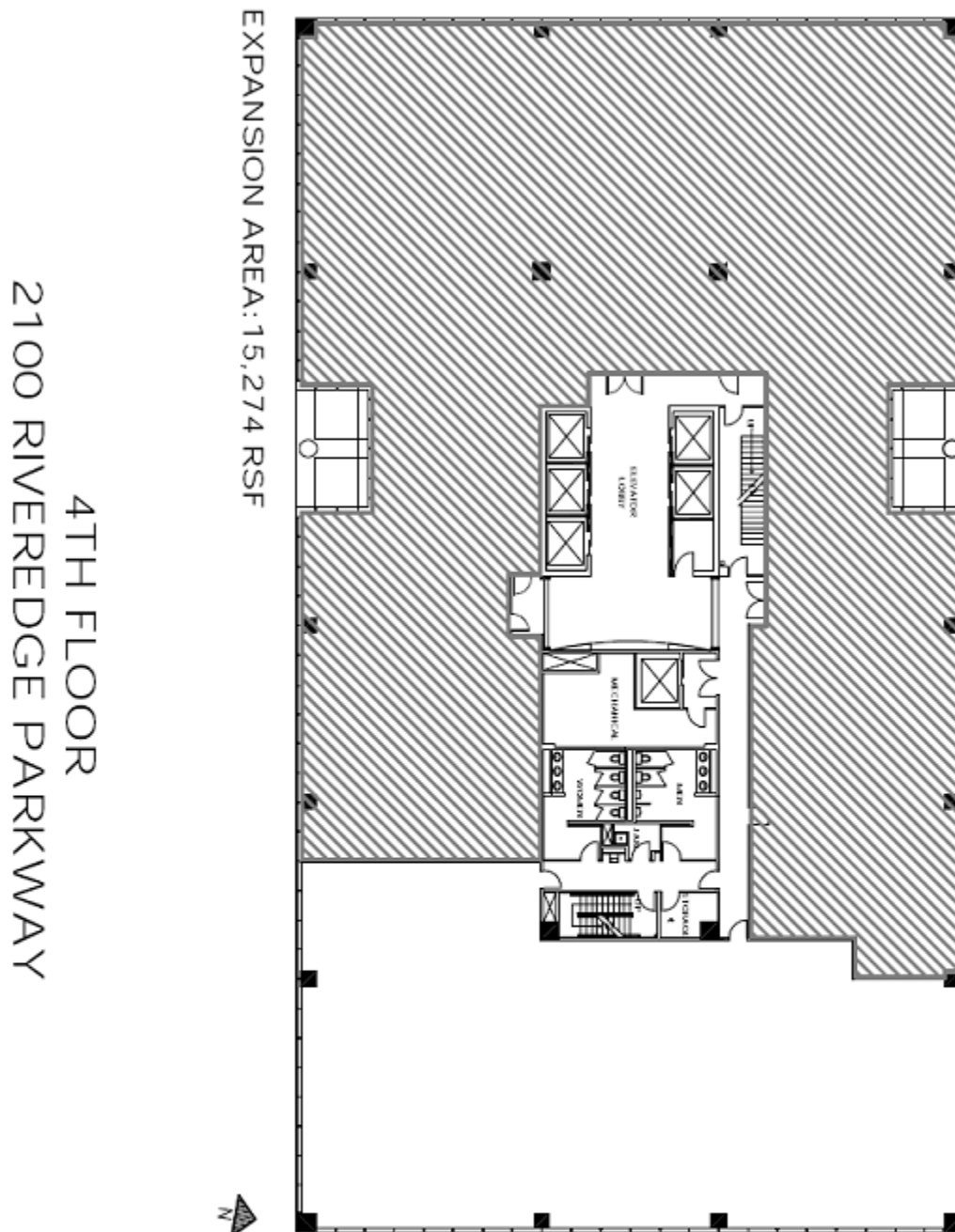


EXHIBIT B

108C (3/04)
Tenant Performance/Allowance

WORK LETTER

This Exhibit is a “Work Letter” to the foregoing document (referred to herein for convenience as the “Lease Document”).

I. BASIC ARRANGEMENT

(a) *Tenant to Arrange for Work* . Tenant desires to engage one or more contractors to perform certain improvements (the “**Work**,” as further defined in Section VI) to or for the Premises under the Lease Document. Tenant shall arrange for the Work to be planned and performed in accordance with the provisions of this Exhibit and applicable provisions of the Lease Document. Tenant shall pay when due all costs for or related to the Plans and Work whatsoever (“**Costs of the Work**”), and Landlord shall reimburse certain such costs up to the Allowance, as further described below.

(b) *Allowance and Administrative Fee* . Landlord shall provide up to [***] for the Additional Premises and up to [***] for Suites 500, 600 and 650 (the “**Allowance**”) towards the hard construction costs portion of the Costs of the Work relating to permanent leasehold improvements in the Additional Premises and Existing Premises (provided the portion of the Allowance available for the Plans shall be limited to five percent (5%), and shall exclude planning for furniture, trade fixtures and business equipment). Tenant shall pay Landlord’s reasonable out-of-pocket costs, if any, for architectural and engineering review of the Plans and any Engineering Report, and all revisions thereof, and an administrative fee (“**Administrative Fee**”) of [***] for Landlord’s time in reviewing the Plans and Work and coordinating with Tenant’s Contractors. The costs of foregoing items may be charged against the Allowance, and if the Allowance shall be insufficient, Tenant shall pay Landlord for such amounts as additional Rent within fifteen (15) days after billing. Notwithstanding anything to the contrary contained herein, any personal property, trade fixtures or business equipment, including, but not limited to, modular or other furniture, and cabling for communications or computer systems, whether or not shown on the Approved Plans, shall be provided by Tenant, at Tenant’s sole cost, and the Allowance shall not be used for such purposes.

(c) *Funding and Disbursement* . Landlord shall fund and disburse the Allowance within thirty (30) days after the Work has been completed in accordance with the Approved Plans in accordance with the provisions hereof, and Tenant has submitted all invoices, architect’s certificates, a Tenant’s affidavit, complete unconditional lien waivers and affidavits of payment by all Tenant’s Contractors, and such other evidence as Landlord may reasonably require that the cost of the Work has been paid and that no architect’s, mechanic’s, materialmen’s or other such liens have been or may be filed against the Property or the Premises arising out of the design or performance of such Work. Landlord may issue checks to fund the Allowance jointly or separately to Tenant, its general contractor, and any other of Tenant’s Contractors. If Tenant

*** Confidential information on this page has been omitted and filed separately with the Commission. Confidential treatment has been requested with respect to the omitted portions.

does not use the entire Allowance for the purposes permitted herein, or does not submit the foregoing documentation to Landlord, within one (1) year after the date of this Amendment, then Landlord shall be entitled to the savings and Tenant shall receive no credit therefore, time being of the essence of this provision so that Landlord may close out Landlord's books for the Work.

II. **PLANNING**. The term "**Plans**" herein means a "Space Plan," as the same may be superseded by any "Construction Drawings," prepared and approved pursuant to this Section (and as such terms are further defined in Section VI). In the event of any inconsistency between the Space Plan and Construction Drawings, or revisions thereto, as modified to obtain permits, the latest such item approved by Landlord shall control. The term "**Approved Plans**" herein means the Plans (and any revisions thereof) as approved by Landlord in writing in accordance with this Section.

(a) *Tenant's Planners*. Tenant shall engage a qualified, licensed architect ("**Architect**"), subject to Landlord's prior written approval. To the extent required by Landlord or appropriate in connection with preparing the Plans, Tenant shall also engage one or more qualified, licensed engineering firms, e.g. mechanical, electrical, plumbing, structural and/or HVAC ("**Engineers**"), all of whom shall be designated or approved by Landlord in writing. The term "**Tenant's Planners**" herein shall refer collectively or individually, as the context requires, to the Architect or Engineers engaged by Tenant, and approved or designated by Landlord in writing in accordance with this Exhibit.

Notwithstanding anything contained herein to the contrary, Tenant agrees to engage Peacock Architects to prepare the Construction Drawings (as defined below).

(b) *Space Plan and Construction Drawings*. Tenant shall promptly hereafter cause the Architect to submit three (3) sets of a "**Space Plan**" (as defined in Section VI) to Landlord for approval. Landlord shall, within ten (10) working days after receipt thereof, either approve said Space Plan, or disapprove the same advising Tenant of the reasons for such disapproval. In the event Landlord disapproves said Space Plan, Tenant shall modify the same, taking into account the reasons given by Landlord for said disapproval, and shall submit three (3) sets of the revised Space Plan to Landlord. Landlord shall review or comment on all revised plans and drawings (that have been approved by Tenant and are re-submitted to Landlord for approval) within five (5) business days after receipt of same. If Landlord provides comments to a revised Space Plan, then the process outlined above shall continue with all subsequent review and comment periods of Landlord being limited to five (5) business days (it being understood that Landlord shall be entitled to comment solely on the revised portions of such plan or drawing, unless the revisions affect any other portion of the plan or drawing or unless Landlord discovers a previously undetected material error in another portion of the plan or drawing). To the extent required by Landlord or the nature of the Work and as further described in Section VI, Tenant shall, after Landlord's approval of the Space Plan: (i) cause the Architect to submit to Landlord for approval "**Construction Drawings**" (including, as further described in Section VI below, sealed mechanical, electrical and plumbing plans prepared by a qualified, licensed Engineer approved or designated by Landlord), and (ii) cause the Engineers to submit for Landlord's approval a report (the "**Engineering Report**") indicating any special heating, cooling,

ventilation, electrical, heavy load or other special or unusual requirements of Tenant, including calculations. Landlord shall, within fifteen (15) working days after receipt thereof (or such longer time as may be reasonably required in order to obtain any additional architectural, engineering or HVAC report or due to other special or unusual features of the Work or Plans), either approve the Construction Drawings and Engineering Report, or disapprove the same advising Tenant of the reasons for disapproval. If Landlord disapproves of the Construction Drawings or Engineering Report, Tenant shall modify and submit revised Construction Drawings, and a revised Engineering Report, taking into account the reasons given by Landlord for disapproval. Landlord shall review or comment on all revised Construction Drawings and revised Engineering Report (that have been approved by Tenant and are re-submitted to Landlord for approval) within five (5) business days after receipt of same. If Landlord provides comments to revised Construction Drawings or revised Engineering Report, then the process outlined above shall continue with all subsequent review and comment periods of Landlord being limited to five (5) business days (it being understood that Landlord shall be entitled to comment solely on the revised portions of such revised Construction Drawings or revised Engineering Report, unless the revisions affect any other portion of the revised Construction Drawings or revised Engineering Report or unless Landlord discovers a previously undetected material error in another portion of the revised Construction Drawings or revised Engineering Report). The Construction Drawings shall include a usable computer aided design (CAD) file. In the event that Landlord fails to timely pay the Allowance in accordance with this Section I.b. and such failure continues for more than five (5) business days following receipt of written notice from Tenant of such failure, then the unpaid amount of the Allowance shall accrue interest from the due date at the Default Rate until payment is received by Landlord.

(c) *Tenant's Planning Responsibility and Landlord's Approval.* Tenant has sole responsibility to provide all information concerning its space requirements to Tenant's Planners, to cause Tenant's Planners to prepare the Plans, and to obtain Landlord's final approval thereof (including all revisions). Tenant and Tenant's Planners shall perform independent verifications of all field conditions, dimensions and other such matters), and Landlord shall have no liability for any errors, omissions or other deficiencies therein. Landlord shall not unreasonably withhold, condition or delay approval of any Plans or Engineering Report submitted hereunder, if they provide for a customary office layout, with finishes and materials generally conforming to building standard finishes and materials currently being used by Landlord at the Property, are compatible with the Property's shell and core construction, and if no modifications will be required for the Property electrical, heating, air-conditioning, ventilation, plumbing, fire protection, life safety, or other systems or equipment, and will not require any structural modifications to the Property, whether required by heavy loads or otherwise, and will not create any potentially dangerous conditions, potentially violate any codes or other governmental requirements, potentially interfere with any other occupant's use of its premises, or potentially increase the cost of operating the Property.

Tenant shall have the right to install a stairwell between Tenant's Premises on the 4th and 5th floors, subject to Landlord's right to approve the details of such installation, including without limitation, location, design and materials and subject to the other provisions of this Work Letter.

(d) *Governmental Approval of Plans; Building Permits.* Tenant shall cause Tenant's Contractors (as defined in Section III) to apply for any building permits, inspections and

occupancy certificates required for or in connection with the Work. If the Plans must be revised in order to obtain such building permits, Tenant shall promptly notify Landlord, promptly arrange for the Plans to be revised to satisfy the building permit requirements, and shall submit the revised Plans to Landlord for approval as a Change Order under Paragraph II.e below. Landlord shall have no obligation to apply for any zoning, parking or sign code amendments, approvals, permits or variances, or any other governmental approval, permit or action. If any such other matters are required, Tenant shall promptly seek to satisfy such requirements (if Landlord first approves in writing), or shall revise the Plans to eliminate such requirements and submit such revised Plans to Landlord for approval in the manner described above. Upon request, at no cost to Landlord, Landlord shall (if Landlord has approved same as provided above) assist Tenant in obtaining all such permits and other items.

It is understood and agreed that to expedite the construction of the Additional Premises, Tenant may, if same is permitted by applicable Law, apply for a two-phase building permit, consisting of Phase I for the office area (consisting of approximately 10,000 rsf) and Phase II for the stairwell area (consisting of approximately 5,000 rsf).

(e) *Changes After Plans Are Approved.* If Tenant shall desire, or any governmental body shall require, any changes, alterations, or additions to the Approved Plans, Tenant shall submit a detailed written request or revised Plans (the “ **Change Order** ”) to Landlord for approval, which written request or revised Plans shall be reviewed by Landlord in the manner provided for in Section II.b. above. If reasonable and practicable and generally consistent with the Plans theretofore approved, Landlord shall not unreasonably withhold, condition or delay its approval. All costs in connection therewith, including, without limitation, construction costs, permit fees, and any additional plans, drawings and engineering reports or other studies or tests, or revisions of such existing items, shall be included in the Costs of the Work under Section VI. In the event that the Premises are not constructed in substantial accordance with the Approved Plans, Tenant shall not be permitted to occupy the Premises until the Premises reasonably comply in all respects therewith; in such case, the Rent shall nevertheless commence to accrue and be payable as otherwise provided in the Lease Document.

III. CONTRACTORS AND CONTRACTS. Tenant shall engage to perform the Work such contractors, subcontractors and suppliers (“ **Tenant’s Contractors** ”) as Landlord customarily engages or recommends for use at the Property; provided, Tenant may substitute other licensed, bonded, reputable and qualified parties capable of performing quality workmanship who have good labor relations and will be able to work in harmony with each other and those of Landlord and other occupants of the Property so as to ensure proper maintenance of good labor relationships, and in compliance with all applicable labor agreements existing between trade unions and the relevant chapter of the Association of General Contractors of America. Such substitutions may be made only with Landlord’s prior written approval. Such approval shall be granted, granted subject to specified reasonable conditions, or denied within ten (10) working days after Landlord receives from Tenant a written request for such substitution, containing a reasonable description of the proposed party’s background, finances, references, qualifications, and other such information as Landlord may request. For Work involving any mechanical, electrical, plumbing, structural, demolition or HVAC matters, or any Work required to be performed outside the Premises or involving Tenant’s entrance, Landlord may require that Tenant select Tenant’s Contractors from a list of such contractors.

IV. PERFORMANCE OF WORK

(a) *Conditions to Commencing Work.* Before commencing any Work, Tenant shall: (i) obtain Landlord's written approval of Tenant's Planners and the Plans, as described in Section II, (ii) obtain and post all necessary governmental approvals and permits as described in Section II, and provide copies thereof to Landlord, (iii) obtain Landlord's written approval of Tenant's Contractors, and provide Landlord with copies of the contracts as described in Section III, and (iv) provide evidence of insurance to Landlord as required under the Lease Document.

(b) *Compliance and Standards.* Tenant shall cause the Work to comply in all respects with the following: (i) the Approved Plans, (ii) the Property Code of the City and State in which the Property is located and Federal, State, County, City or other laws, codes, ordinances, rules, regulations and guidance, as each may apply according to the rulings of the controlling public official, agent or other such person, (iii) applicable standards of the National Board of Fire Underwriters (or successor organization) and National Electrical Code, (iv) applicable manufacturer's specifications, and (v) any work rules and regulations as Landlord or its agent may have adopted for the Property, including any Rules attached as an Exhibit to the Lease Document. Tenant shall use only new, first-class materials in the Work, except where explicitly shown in the Approved Plans. Tenant's Work shall be performed in a thoroughly safe, first-class and workmanlike manner, and shall be in good and usable condition at the date of completion. In case of inconsistency, the requirement with the highest standard protecting or favoring Landlord shall govern.

(c) *Property Operations, Dirt, Debris, Noise and Labor Harmony .* Tenant and Tenant's Contractors shall make all efforts and take all proper steps to assure that all construction activities do not interfere with the operation of the Property or with other occupants of the Property. Tenant's Work shall be coordinated under Landlord's direction with any other work and other activities being performed for or by other occupants in the Property so that Tenant's Work will not interfere with or delay the completion of any other work or activity in the Property. Construction equipment and materials are to be kept within the Premises, and delivery and loading of equipment and materials shall be done at the Building loading dock and freight elevator, at such time as Landlord shall direct so as not to burden the construction or operation of the Property. Tenant's Contractors shall comply with any work rules of the Property and Landlord's requirements respecting the hours of availability of elevators and manner of handling materials, equipment and debris. Demolition must be performed before 7:00 a.m. or after 6:00 p.m. and on weekends, or as otherwise required by Landlord or the work rules for the Property. Construction which creates noise, odors or other matters that may bother other occupants may be rescheduled by Landlord at Landlord's sole discretion. Delivery of materials, equipment and removal of debris must be arranged to avoid any inconvenience or annoyance to other occupants. The Work and all cleaning in the Premises must be controlled to prevent dirt, dust or other matter from infiltrating into adjacent occupant, common or mechanical areas. Tenant shall conduct its labor relations and relations with Tenant's Planners and Contractors, employees, agents and other such parties so as to avoid strikes, picketing, and boycotts of, on or about the Premises or Property. If any employees of the foregoing parties strike, or if picket lines or boycotts or other visible activities objectionable to Landlord are established, conducted or carried out against Tenant or such parties in or about the Premises or Property, Tenant shall immediately close the Premises and remove or cause to be removed all such parties until the dispute has been settled.

(d) *Removal of Debris*. Tenant's Contractors shall be required to remove from the Premises and dispose of, at least once a day and more frequently as Landlord may direct, all debris and rubbish caused by or resulting from the Work, and shall not place debris in the Property's waste containers. Tenant shall be permitted to place a trash dumpster at the Building loading dock. If required by Landlord, Tenant shall sort and separate its waste and debris for recycling and/or environmental law compliance purposes. Upon completion of Tenant's Work, Tenant's Contractors shall remove all surplus materials, debris and rubbish of whatever kind remaining within the Property which has been brought in or created by Tenant's Contractors in the performance of Tenant's Work. If any of Tenant's Contractors shall neglect, refuse or fail to remove any such debris, rubbish, surplus material or temporary structures within 48 hours after notice to Tenant from Landlord with respect thereto, Landlord may cause the same to be removed by contract or otherwise as Landlord may determine expedient, and charge the cost thereof to Tenant as additional Rent under the Lease Document.

(e) *Completion and General Requirements*. Tenant shall use commercially reasonable efforts to cause Tenant's Planners to prepare the Approved Plans, and to cause Tenant's Contractors to obtain permits or other approvals, diligently commence and prosecute the Work to completion, and obtain any inspections and occupancy certificates for Tenant's occupancy of the Premises by the Additional Premises Commencement Date set forth in the Lease Document. Any delays in the foregoing shall not serve to abate or extend the time for the Additional Premises Commencement Date or commencement of Rent under the Lease Document, except to the extent of the following, provided substantial completion of the Work and Tenant's ability to reasonably use the Premises by the Additional Premises Commencement Date (or by such later date when Tenant would otherwise have substantially completed the Work) is actually delayed thereby: (i) one (1) day for each day that Landlord delays approvals required hereunder beyond the times permitted herein without good cause, and (ii) any delay in the Work caused by fire or other casualty damage, war or civil disorder, strikes, lockouts, labor troubles, inability to procure labor or materials or reasonable substitutes or other events outside of Tenant's reasonable control (excluding delays resulting from changes in economic or market conditions, or financial or internal problems of Tenant and excluding delays by the City of Sandy Springs in processing building permits or delays caused by Tenant's request for a two-phase permit), collectively, "Force Majeure", which shall delay the Additional Premises Commencement Date on a day-for-day basis. Force Majeure shall apply only so long as Tenant uses commercially reasonable diligence and good faith efforts to end the delay, and keeps Landlord reasonably advised of such efforts. Tenant shall impose on and enforce all applicable terms of this Exhibit against Tenant's Planners and Tenant's Contractors. Landlord may impose reasonable additional requirements from time to time in order to ensure that the Work, and the construction thereof does not disturb or interfere with any other occupants of the Property, or their visitors, contractors or agents, nor interfere with the efficient, safe and secure operation of the Property. Tenant shall notify Landlord upon completion of the Work (and record any notice of completion contemplated by law). To the extent reasonably appropriate based on the nature of the Work, Tenant shall provide Landlord with "as built" drawings no later than thirty (30) days after completion of the Work.

(f) *Landlord's Role and Rights*. The parties acknowledge that neither Landlord nor its managing agent is an architect or engineer, and that the Work will be designed and performed by independent architects, engineers and Tenant's Contractors engaged by Tenant. Landlord and

its managing agent shall have no responsibility for construction means, methods or techniques or safety precautions in connection with the Work, and do not guarantee that the Plans or Work will be free from errors, omissions or defects, and shall have no liability therefor. Landlord's approval of Tenant's Plans and contracts, and Landlord's designations, lists, recommendations or approvals concerning Tenant's Planners and Contractors shall not be deemed a warranty as to the quality or adequacy thereof or of the Plans or the Work, or the design thereof, or of its compliance with laws, codes and other legal requirements. Tenant shall permit access to the Premises, and inspection of the Work, by Landlord and Landlord's architects, engineers, contractors and other representatives, at all times during the period in which the Work is being planned, constructed and installed and following completion of the Work. Landlord shall have the right, but not the obligation, to order Tenant or any of Tenant's Contractors who violate the requirements imposed on Tenant or Tenant's Contractors in performing the Work to cease the Work and remove its equipment and employees from the Property.

V. HVAC BALANCING. As a final part of the Work, Tenant shall cause its contractor to perform air balancing tests and adjustments on all areas of the Premises served by the air handling system that serves the areas in which the Work is performed (including any original space and any additional space being added to the Premises in connection herewith). If Tenant elects to install a stairwell between the 4th and 5th floors pursuant to Section II.C above, then Tenant shall cause its contractor to perform air balancing tests and adjustments for the Additional Premises only. Landlord shall not be responsible for any disturbance or deficiency created in the air conditioning or other mechanical, electrical or structural facilities within the Property or Premises as a result of the Work. If such disturbances or deficiencies result, and Tenant's contractor does not properly correct the same, Landlord reserves the right, after fifteen (15) days notice to Tenant, to correct the same and restore the services to Landlord's reasonable satisfaction, at Tenant's reasonable expense.

VI. CERTAIN DEFINITIONS

(a) "*Space Plan*" herein means, to the extent required by the nature of the Work, detailed plans (including any so-called "pricing plans"), including a fully dimensioned floor plan and drawn to scale, showing: (i) demising walls, interior walls and other partitions, including type of wall or partition and height, and any demolition or relocation of walls, and details of space occupancy and density, (ii) doors and other openings in such walls or partitions, including type of door and hardware, (iii) electrical and computer outlets, circuits and anticipated usage therefor, (iv) any special purpose rooms, any sinks or other plumbing facilities, heavy items, and any other special electrical, HVAC or other facilities or requirements, including all special loading and related calculations, (v) any space planning considerations to comply with fire or other codes or other governmental or legal requirements, (vi) finish selections, and (vii) any other details or features requested by Architect, Engineer or Landlord, or otherwise required, in order for the Space Plan to serve as a basis for Landlord to approve the Work, and for Tenant to contract and obtain permits for the Work, or for the Space Plan to serve as a basis for preparing Construction Drawings.

(b) "*Construction Drawings*" herein means, to the extent required by the nature of the Work, fully dimensioned architectural construction drawings and specifications, and any required engineering drawings, specifications and calculations (including mechanical, electrical,

plumbing, structural, air-conditioning, ventilation and heating), and shall include any applicable items described above for the Space Plan, and any other details or features requested by Architect, Engineer or Landlord in order for the Construction Drawings to serve as a basis for Landlord to approve the Work, and for Tenant to contract and obtain permits for the Work.

(c) “ *Work* ” herein means: (i) the improvements and items of work shown on the final Approved Plans (including changes thereto), and (ii) any preparation or other work required in connection therewith, including without limitation, structural or mechanical work, additional HVAC equipment or sprinkler heads, or modifications to any building mechanical, electrical, plumbing or other systems and equipment or relocation of any existing sprinkler heads, either within or outside the Premises required as a result of the layout, design, or construction of the Work or in order to extend any mechanical distribution, fire protection or other systems from existing points of distribution or connection, or in order to obtain building permits for the work to be performed within the Premises (unless Landlord requires that the Plans be revised to eliminate the necessity for such work).

VII. MISCELLANEOUS . If this Work Letter is attached as an Exhibit to an amendment to an existing lease (“ **Original Lease** ”), whether such amendment adds space, relocates the Premises or makes any other modifications, the term “ **Lease Document** ” herein shall refer to such amendment, or the Original Lease as amended, as the context implies. By way of example, in such case, references to the “Premises” and “Commencement Date” herein shall refer, respectively, to such additional or relocated space and the effective date for delivery thereof under such amendment, unless expressly provided to the contrary herein. Capitalized terms not otherwise defined herein shall have the meanings, if any, ascribed thereto in the Lease Document. This Exhibit is intended to supplement and be subject to the provisions of the Lease Document, including, without limitation, those provisions requiring that any modification or amendment be in writing and signed by authorized representatives of both parties. The rights granted in this Exhibit are personal to Tenant as named in the Lease Document, and are intended to be performed for such Tenant’s occupancy of the Premises. Under no circumstance whatsoever shall any assignee or subtenant have any rights under this Exhibit. Any remaining obligations of Landlord under this Exhibit not theretofore performed shall concurrently terminate and become null and void if Tenant subleases or assigns the Lease Document with respect to all or any portion of the Premises, or seeks or proposes to do so (or requests Landlord’s consent to do so), or if Tenant or any current or proposed affiliate thereof issues any written statement indicating that Tenant will no longer move its business into, or that Tenant will vacate and discontinue its business from, the Premises or any material portion thereof. Any termination of Landlord’s obligations under this Exhibit pursuant to the foregoing provisions shall not serve to terminate or modify any of Tenant’s obligations under the Lease Document. In addition, notwithstanding anything to the contrary contained herein, Landlord’s obligations under this Exhibit, including obligations to perform any work, or provide any Allowance or rent credit, shall be subject to the condition that Tenant shall have faithfully complied with the Lease, and shall not have committed a material violation under the Lease by the time that Landlord is required to perform such work or provide such Allowance or rent credit.

EXHIBIT C

TEMPORARY SPACE PROVISIONS

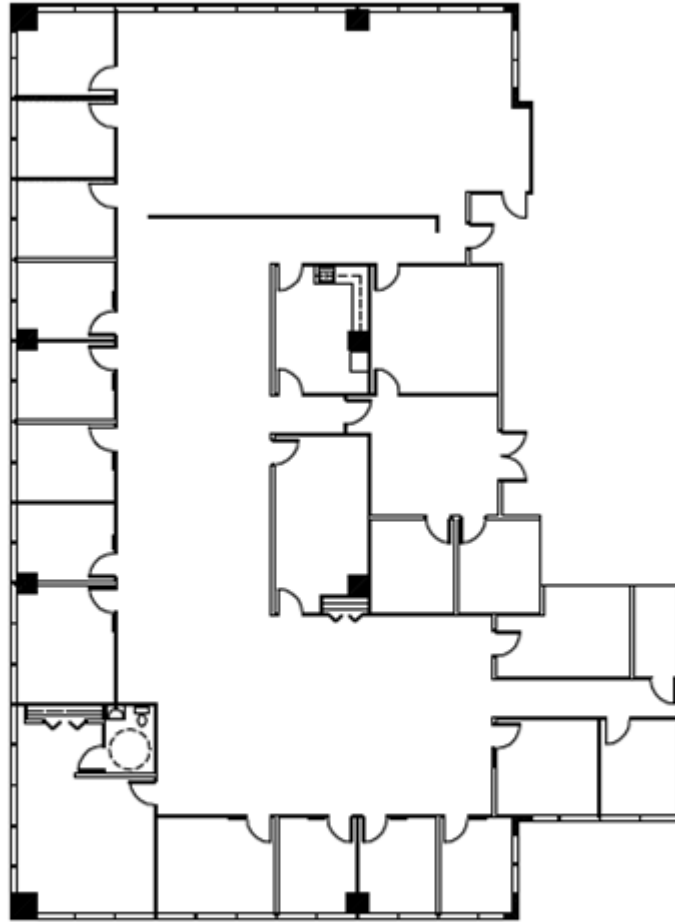
The parties agree that Tenant may occupy Suite 1200 on the twelfth (12th) floor of the Building (“**Temporary Space**”) which shall be deemed to contain approximately 8,981 square feet of rentable area for purposes hereof, the approximate location of which is shown on Exhibit C-1, commencing on the first business day after execution and delivery of this Amendment by both parties and continuing until 30 days after the Additional Premises Commencement Date, as such date may be adjusted thereunder. Tenant shall not be required to pay Base Rent, Taxes or Expenses for the Temporary Space for the period beginning on the date of this Amendment and ending on October 31, 2008. Commencing on November 1, 2008, Tenant shall pay a total fixed monthly Rent for the Temporary Space of [***], payable in advance on or before the first day of each month, without set-off, deduction or counterclaim, and with any initial or final partial calendar month prorated on a per diem basis; there shall be no free rent period respecting the Temporary Space. The foregoing provisions and Landlord’s acceptance of any such amounts, shall not serve as permission for Tenant to hold-over in the Temporary Space beyond the date which is 30 days after the Additional Premises Commencement Date, and Landlord shall have such other remedies to recover possession of the Temporary Space as may be available to Landlord under applicable Laws.

Tenant shall accept the Temporary Space “as is”, without any obligation by Landlord to provide any improvements or an allowance therefor whatsoever. Except to the extent inconsistent herewith, the Temporary Space shall be subject to all terms and conditions of the Lease.

*** Confidential information on this page has been omitted and filed separately with the Commission. Confidential treatment has been requested with respect to the omitted portions.

EXHIBIT C-1

Floor Plate Showing Temporary Space



Suite 1200
8,981 RSF

**RIGHT OF FIRST
REFUSAL**

1. Right of Refusal. Landlord hereby grants Tenant a right of refusal (“ **Right Of Refusal** ”) to lease all other rentable areas in the Building consisting of least 5,000 internally contiguous rentable square feet (the “ **Expansion Space** ”), on and subject to the following provisions.

2. Landlord’s Notice of Expansion Terms. Landlord shall notify Tenant in writing (“ **Landlord’s Notice** ”) when Landlord has received a bona fide offer from a third party to lease the Expansion Space which Landlord desires to accept.

a. Expansion Space Commencement Date Within First 18 Months . If the Expansion Space Commencement Date (as hereinafter defined) will occur within the first 18 full calendar months after the Additional Premises Commencement Date under this Amendment, Landlord’s Notice shall set forth “Expansion Terms” as follows: (i) a date for the commencement of Tenant’s leasing of the Expansion Space (“ **Expansion Space Commencement Date** ”), (ii) an expiration date therefor, which shall be co-terminous with the Extended Term of this Lease, (iii) rentable area, (iv) monthly Base Rent and scheduled increases therein (which shall be the same rates per square foot of rentable area as contained in Section 5 of this Amendment then in effect with respect to the Additional Premises hereunder), (v) Tenant’s Share of Taxes and Expenses applicable to the Expansion Space (any so-called Base Expense Year and Base Tax Year shall be the same as set forth in Section 6 of this Amendment with respect to the Additional Premises Lease), and (vi) that the space shall be provided in “as is” condition at the time possession is delivered, except that Landlord shall provide an allowance (“ **Expansion Allowance** ”) towards Tenant’s reasonable direct out-of-pocket costs of designing and performing permanent leasehold improvements to the Expansion Space of up to \$20.00 times the number of square feet of rentable area of the subject Expansion Space, multiplied by a fraction, the numerator of which is the number of full calendar months that will be left in the Extended Term of the Lease on the Expansion Space Commencement Date, and the denominator of which is the total number of full calendar months in the Extended Term of the Lease.

b. Expansion Space Commencement Date After 18 Months . If the Expansion Space Commencement Date will occur more than 18 full calendar months after the Additional Premises Commencement Date under this Amendment, then Landlord’s Notice shall set forth the Third Party Basic Business Terms (as hereinafter defined) on which Landlord would propose to lease the Expansion Space to Tenant (“ **Expansion Terms** ”). The Third Party Basic Business Terms offer shall include (1) the term, (2) rentable area, (3) rental rate per square foot of rentable area, and any fixed rent increases therein, (4) proportionate share of expenses/taxes or increases therein, and any expense/tax stops or base years, and (5) any leasehold improvements or allowance therefor, and any additional fair market terms contained in the bona fide offer which Landlord has received from a third party which Landlord desires to accept (“ **Third Party Basic Business Terms** ”).

c. **General Terms.** Except as set forth in Landlord's Notice, the Expansion Terms shall be deemed to include the same terms then in effect on the Expansion Space Commencement Date, and thereafter scheduled to be in effect, under the Lease (with any matters in the Lease based on square footage adjusted proportionately to reflect the rentable area of the Expansion Space and Landlord's then current Building standard ratios and policies).

3. Tenant's Notice. If Tenant desires to lease the Expansion Space on the Expansion Terms set forth in Landlord's Notice, Tenant shall so notify Landlord in writing (" **Tenant's Notice** ") exercising Tenant's right to lease the Expansion Space on such Expansion Terms within five (5) business days after Landlord delivers Landlord's Notice. TIME PERIODS AND STRICT COMPLIANCE IN GIVING TENANT'S NOTICE ARE OF THE ESSENCE OF THIS RIGHT OF REFUSAL.

4. Expansion Documentation. If Tenant validly exercises Tenant's Right Of Refusal herein, the parties shall execute a confirmatory amendment (" **Expansion Documentation** "), mutually and reasonably agreeable to both parties, to confirm the leasing of the Expansion Space, which Landlord shall reasonably prepare, and which shall be consistent with Landlord's Notice and the provisions hereof. The parties shall cooperate diligently and in good faith, and use commercially reasonable efforts, to sign and deliver the Expansion Documentation within twenty (20) days after Landlord provides the same to Tenant (but the Right Of Refusal shall be deemed to have been unconditionally and irrevocably exercised, and both parties shall be fully bound by the terms thereof in accordance with the provisions hereof, whether or not such confirmatory Expansion Documentation is signed).

5. Offering Portions of Expansion Space; Adjustments to Expansion Space; Prior Rights. This Right of Refusal shall apply only with respect to the entire Expansion Space, and may not be exercised with respect to only a portion thereof (unless only a portion of the Expansion Space shall be included in Landlord's Notice). If only a portion of the Expansion Space shall be included in Landlord's Notice, this Right of Refusal shall apply to such portion, and shall thereafter apply to such other portions of the Expansion Space as they become the subject of Landlord's Notices, subject to good faith adjustments by Landlord in the size, configuration and location of such remaining portions. If the Expansion Space is part of a larger space that Landlord desires to lease as a unit, then Landlord's Notice shall, at Landlord's option, identify the entire such space and the Expansion Terms therefor, and in such case, this Right of Refusal shall apply only to such entire space. This Right of Refusal shall be subject to the then existing tenants or occupants of the Expansion Space renewing their leases or entering into new leases whether pursuant to options to extend previously granted or otherwise, and such Right of Refusal, and any rights of Tenant to extend the Term of the Lease with respect to the Expansion Space, are subordinate to, and limited by, any rights of any other parties to lease the Expansion Space granted prior to full execution and delivery of this document.

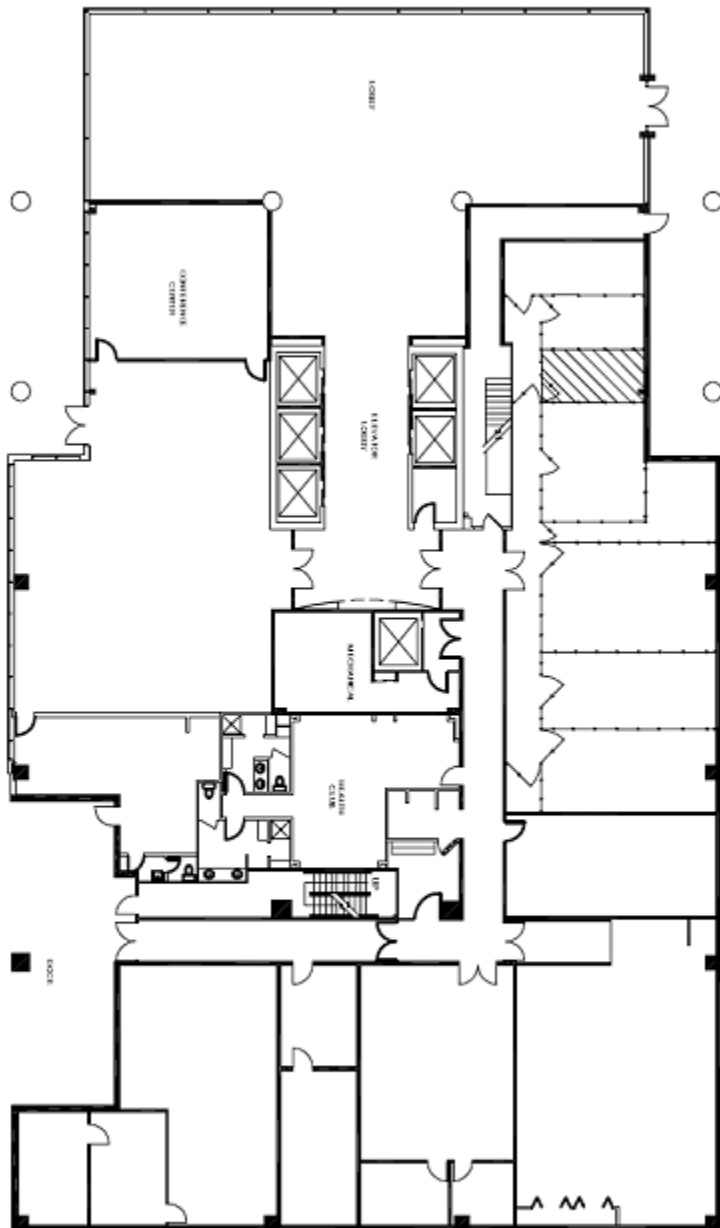
6. Continuing Right. This is a continuing Right of Refusal during the Extended Term of the Lease. In the event that Tenant waives or elects not to exercise this Right of Refusal and Landlord fails to enter into a lease for the Expansion Space with a third party within nine (9) full calendar months thereafter, then Landlord shall be obligated to offer the Expansion Space to Tenant when Landlord receives a new bona fide offer that Landlord desires to accept, subject to

and in accordance with, the foregoing provisions.

7. Miscellaneous. This Right of Refusal is subject to the condition that the Lease be in full force and effect, and that Tenant not then be in default beyond any applicable cure period under the Lease on the date when Landlord provides or would otherwise provide Landlord's Notice, or at any time thereafter and prior to the Expansion Space Commencement Date. The rights granted in this Exhibit are personal to Tenant as named in this Lease document. Under no circumstance whatsoever shall the assignee under a complete or partial assignment of the Lease document, or a subtenant under a sublease of the Premises, have any right to exercise the rights of Tenant under this Exhibit. If Tenant shall sublease or assign the Lease with respect to all or any portion of the Premises, then immediately upon such sublease or assignment Tenant's rights under this Exhibit shall concurrently terminate and become null and void. If Tenant shall exercise the Right of Refusal herein, Landlord does not guarantee to deliver possession of the Expansion Space on the Expansion Space Commencement Date due to continued possession by the then existing occupants or any other reason beyond Landlord's reasonable control. In such event, rent and other charges with respect to the Expansion Space shall be abated until Landlord delivers the same to Tenant (except to the extent that Tenant or its affiliates, agents, employees or contractors cause the delay), as Tenant's sole recourse. Tenant's exercise of this Right of Refusal is intended to supersede any rights of Tenant under the Lease to reduce or relocate the Premises, or terminate the Lease early, and all such provisions shall thereupon be automatically deleted. Tenant's failure to exercise this Right of Refusal in accordance with the terms of this Exhibit is intended to supersede any other rights of Tenant under other provisions of the Lease to expand or relocate the Premises, and all such other provisions shall thereupon be automatically deleted.

EXHIBIT E

EXPANSION AREA: 147 RSF



LOWER LEVEL
2100 RIVEREDGE PARKWAY

EXHIBIT F

NEW MONUMENT SIGN WITH TENANT'S NAME

(Tenant's Expense — Tenant or Landlord Installs)

1. New Monument and Tenant Sign; Term. Landlord hereby grants Tenant a license to have, at Tenant's expense as further described below, and subject to the other provisions hereof, a new monument (the "**Monument**"), and a listing thereon identifying the name and logo of Tenant ("**Monument Listing**"), such Monument to be of a size sufficient to allow Tenant to spell out its full name and logo in a manner to allow visitors easy recognition of Tenant's name when driving by the Monument and in an area of the Property near the Building's existing monument sign. The Monument shall be of a similar size as the existing monument sign ("**Existing Monument**") located on the Property, and Tenant shall be the sole company listed on the Monument, except as provided in Section 4 below. The term of this license ("**License Term**") shall commence on the date of this Amendment, and shall continue until the earlier to occur of the expiration or earlier termination of the Lease or, at Landlord's option, Tenant's ceasing to occupy one-half or more of the Premises as described in Section 4 of this Exhibit F, subject to the other provisions hereof. Upon approval by Landlord and the installation of the Monument under this Exhibit, Tenant's rights to its Monument Listing under Exhibit F of Lease Amendment Seven shall permanently terminate.

2. Design/Fabrication/Installation. If Tenant desires to design and/or fabricate and/or install its own Monument and Monument Listing, or desires to make any alterations to the Monument and Monument Listing, then Tenant shall submit for Landlord's written approval, which approval shall not be unreasonably withheld, conditioned or delayed: (a) the name and address of the professional sign designer/fabricator/installer to be used by Tenant, (b) after Landlord has approved of the designer/fabricator/installer, a professionally prepared plan ("**Monument and Monument Listing Plan**"), showing all aspects of the design, including, but not limited to, font of lettering, number of letters, content, color and finish, type and quality of materials, dimensions of the Monument and Monument Listing and of every detail (including letters), and all other details of the Monument and Monument Listing and all components thereof, and (c) after Landlord has approved of the Monument and Monument Listing Plan, copies of all required governmental and other permits, licenses, and approvals which Tenant will obtain at its own expense. If Landlord approves of fabrication or installation of the Monument and Monument Listing by Tenant's sign professional, Tenant shall ensure that such work be done in a good and workmanlike manner, strictly in accordance with the approved Monument and Monument Listing Plan, and in accordance with the Property rules, standards or other requirements for such work and/or under the supervision of Landlord's employees or agents, in a manner so as to avoid damage to any part of the Property. If Landlord does not approve of Tenant's Monument and Monument Listing Plan, then Landlord shall, at Tenant's written request, arrange for the design, fabrication and/or installation of the Monument and Monument Listing using Landlord's design criteria as determined after consultation with Tenant, within a reasonable time after mutual execution of this document, subject to delays beyond Landlord's reasonable control, and the other provisions hereof. Landlord agrees to communicate to Tenant

Landlord's design, fabrication and/or installation requirements of the Monument and Monument Listing, including, without limitation, the costs relating thereto. In the event Tenant agrees to Landlord's design, fabrication and/or installation of the Monument and Monument Listing, then Tenant shall reimburse Landlord for its out-of-pocket costs for such design, fabrication and/or installation of same within thirty (30) days after Landlord bills the same.

3. Maintenance and Removal. Tenant shall, at its expense, maintain and repair the Monument, subject to the following sentence. In the event Tenant requests that Landlord perform repair or maintenance to the Monument, or reasonably agrees with Landlord's written notification to Tenant that repair or maintenance to the Monument is necessary to ensure the Monument remains in good condition, then Tenant shall reimburse Landlord for all reasonable actual costs of maintaining and repairing the Monument; provided, however, Landlord shall be responsible for any costs for repair or maintenance necessitated by the negligence or willful misconduct of Landlord or its agents or representatives. Upon termination of the Lease or this license, by expiration or otherwise, Landlord may remove and dispose of the Monument and repair and restore the Monument to the same condition as prior to installation of the Monument; Tenant shall pay Landlord's reasonable charges for doing so. Tenant shall pay any charges hereunder, as additional Rent, within thirty (30) days after billing.

4. Miscellaneous. Any change to the design, fabrication, content or location of the Monument (including any temporary relocation in the event that repairs or other work to the Property need to be done beneath the Monument) shall require Tenant's prior written consent, which consent shall not be unreasonably withheld. Tenant agrees to provide its consent to a permanent change in the location of the Monument so long as the Existing Monument is being moved to the same location, and such new location will provide the same or better visibility for allowing visitors to the Property to recognize Tenant's name when driving by the Monument. The exercise by Landlord or any of its rights hereunder shall not be deemed an eviction or a violation of Tenant's rights. All costs in connection with the Monument, in addition to those costs described above, shall be paid by Tenant, except as otherwise noted in this Exhibit F. The rights granted in this Exhibit are personal to Tenant as named in this Lease document (and any Tenant Affiliate to whom Tenant makes a complete assignment pursuant to Article 13.G of the Lease). Under no circumstance whatsoever shall the assignee under a complete or partial assignment of the Lease document (other than such a Tenant Affiliate), or a subtenant under a sublease of the Premises, have any right to exercise the rights of Tenant under this Exhibit. If Tenant shall assign the Lease (other than to such a Tenant Affiliate) with respect to all or any portion of the Premises, then immediately upon such assignment Tenant's rights under this Exhibit shall concurrently terminate and become null and void. Notwithstanding the foregoing but subject to the following sentence, Tenant may, at its option and at its sole expense, place on the Monument the names of not more than two (2) subtenants (approved by Landlord or otherwise permitted pursuant to Article 13 of the Lease), so long as each such subtenant occupies at least 5,000 rentable square feet of the Premises and Tenant's name also remains on the sign. At Landlord's option by written notice to Tenant, the License Term shall terminate at any time that Tenant and its employees cease to occupy at least one half of the rentable area of the Premises and any other space at the Property currently under lease by Tenant and its affiliates (whether such cessation is due to Tenant having assigned its rights under the lease or having subleased a portion or portions

of such space, or having actually vacated such space or a portion thereof, and without limitation as to any other rights available to Landlord to terminate this license).

AGREEMENT is made December 21, 2007

Exhibit 10.22

BETWEEN:

1. **ATOS EURONEXT MARKET SOLUTIONS LIMITED**, a company incorporated in England with registered number 3962327 and having its registered office at 25 Bank Street, Canary Wharf, London E14 5NQ (**“Supplier”**); and
2. **ICE CLEAR EUROPE LIMITED** a company incorporated in England with registered number 06219884 and having its principal office at International House, St Katharine’s Way, London E1W 1UY (the **“Customer”**).

WHEREAS:

The Customer has requested that the Supplier provide the Services (as hereinafter defined) to the Customer on the terms and conditions set out below.

IT IS AGREED as follows:

PART A — PRELIMINARY

1. DEFINITIONS AND INTERPRETATION

1.1 In this Agreement:

- 1.1.1 **“Affiliate”** means any company, partnership or other entity which is a Subsidiary or Holding Company (as such expressions are defined by Section 736 of the Companies Act 1985 (as amended)).
- 1.1.2 **“Agreement”** means this agreement and any and all schedules and appendices to it as may be varied from time to time in accordance with the provisions of this agreement.
- 1.1.3 **“Best Industry Standards”** means the standards which fall within the upper quartile in the relevant industry for the provision of comparable services which are substantially similar to the Services or the relevant part of them, having regard to factors such as the nature and size of the parties, the service levels, the term, the pricing structure and any other relevant factors.
- 1.1.4 **“Business Continuity Plan”** has the meaning given to that term in Clause 3.1.
- 1.1.5 **“Business Day”** shall be any day upon which the market operated by ICE Futures Europe is open for business.

*** Certain information in this agreement has been omitted and filed separately with the Commission. Confidential treatment has been requested with respect to the omitted portions.

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- 1.1.6 **“Certified Emissions Reductions”** means a unit issued by the UN Clean Development Mechanism Executive Board pursuant to Article 12 of the Kyoto Protocol and the decisions adopted pursuant to the UNFCCC or the Kyoto Protocol.
 - 1.1.7 **“Change”** means any change to the Services, the Service Level Agreement or any other aspect of this Agreement proposed by either party in accordance with Schedule 5.
 - 1.1.8 **“Change of Control”** means a transaction in which there is a change in Control of either the Supplier or Customer
 - 1.1.9 **“Change Control Procedure”** means the procedure for changing the Services set out in Schedule 5.
 - 1.1.10 **“Change Request”** means a document containing full written particulars of a Change which either party may require.
 - 1.1.11 **“Charges ”** means the charges which are payable by the Customer for the Services as set out in Schedule 3.
 - 1.1.12 **“Clearing Member”** means a clearing member of the clearing house operated by the Customer .
 - 1.1.13 **“Commencement Date”** means the date of execution of this Agreement by the parties.
 - 1.1.14 **“Confidential Information”** means any and all confidential information relating to the business, finance or affairs of one party coming into the possession of the other party pursuant to this Agreement.
 - 1.1.15 **“Contracts”** means contracts, including options (being any option contract as defined by Article 83 of the Regulated Activities Order), futures (being any future as defined by Article 84 of the Regulated Activities Order), contracts for differences (being any contract for differences or other contract defined by Article 85 of the Regulated Activities Order) and cash or spot contracts and over the counter bilateral forward and option contracts, over or in respect or in respect of any underlying product, commodity, financial instrument or other asset.
 - 1.1.16 **“Control”** means the ownership of more than 50% of the issued share capital or the legal power to direct or cause the direction of the general management and policies of the party in question.
 - 1.1.17 **“CPS” or “Clearing Processing System”** means the Supplier’s proprietary clearing processing system which is used together with TRS to provide the Services .
 - 1.1.18 **“Customer”** means ICE Clear Europe Limited and excludes ICE Futures US, Inc. and its subsidiaries.
 - 1.1.19 **“Data”** means pre-existing and new Customer data pertaining to its business (including without limitation as to its Member Firms and their customers) generated, modified and/or adapted by the Services.
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- 1.1.20 **“Data Controller”** has the meaning set out in the Data Protection Act 1998.
 - 1.1.21 **“Data Processor”** has the meaning set out in the Data Protection Act 1998.
 - 1.1.22 **“Development Services”** means the services described in Schedule 1 relating to the development phase of the Services.
 - 1.1.23 **“Disclosing Party”** means a party which discloses Confidential Information to the other party.
 - 1.1.24 **“Disengagement Plan”** means the disengagement plan set out in Schedule 4 as the same may be amended from time to time in accordance with this Agreement.
 - 1.1.25 **“Emissions Contracts”** means Contracts over or in respect of emissions of Sulphur Dioxide, Nitrous Oxide, Carbon Dioxide, or Contracts over or in respect of Certified Emissions Reductions..
 - 1.1.26 **“Energy Contracts”** means Contracts over or in respect of oil and oil products, ethanol, palm oil, biofuels, coal, natural gas, and electricity.
 - 1.1.27 **“Exchange Member Firms”** means the members of the market place operated by ICE Futures Europe.
 - 1.1.28 **“Force Majeure”** has the meaning given to that term in Clause 20.
 - 1.1.29 **“Go Live Date”** means the date on which the Services become operational in accordance with the provisions of Schedule 1. For the avoidance of doubt, the Go Live Date shall not be before the date on which ICE Futures Europe and/ or ICE Futures US Inc and/ or any Affiliate or associated company’s current clearing contract with LCH.Clearnet terminates or expires.
 - 1.1.30 **“ICE Futures Europe”** means the company established under the laws of England and Wales being a recognised investment exchange (“Recognised Investment Exchange”) for the purposes of section 285 of the Financial Services and Markets Act of 2000, having its principal place of business at International House, 1 St. Katharine’s Way, London E1W 1UY, an Affiliate of the Customer.
 - 1.1.31 **“ICE Futures US, Inc.”** means the Derivatives Contract Market (“DCM”) operated by ICE Futures US, Inc., an Affiliate of the Customer, with headquarters at the World Financial Center, One North End Avenue, 13th Floor, New York, New York 10282, USA, formerly known as “NYBOT” or the “New York Board of Trade.
 - 1.1.32 **“Incentive Scheme”** means the applicable debits or bonuses against Service Levels provided herein accruing and calculated in accordance with the process outlined in Schedule 3
 - 1.1.33 **“Indexation”** means the adjustment of the sum or figure in question by the addition of a percentage of that sum or figure which is equal to 75% of the percentage increase in the Retail Price Index (**“RPI”**) produced by the
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United Kingdom Office for National Statistics published most recently prior to the Commencement Date and the last such published RPI prior to the date when Indexation is to occur pursuant to the terms of this Agreement. In the event of the abolition or fundamental variation in the basis of the RPI prior to the later date, the parties at their joint cost and expense shall obtain the opinion of any independent UK chartered accountant as to the increase which ought to be made to the sum in question to reflect wages' costs in the information technology sector (having regard to such varied or substituted index or indices as he considers appropriate) and the opinion of that accountant shall be final and binding on the parties..

- 1.1.34 **“Intellectual Property Rights”** means copyright, database rights, domain names, patents, design rights (registered and unregistered), trade marks, confidential information, know-how and any and all like rights of whatever nature subsisting in any country.
 - 1.1.35 **“Liability”** means any loss, damage, liability, expenses or costs whether arising in contract, tort (including negligence), under statute, statutory provision regulation or otherwise.
 - 1.1.36 **“Market Competitor”** means an exchange, trading system or facility, platform, any other type of market, or clearing house, or any Affiliate thereof, that offers execution and/or clearing services in connection with products that are the same as or substantially similar to, or which can be used as substitutes for, the OTC Contracts or Futures Contracts which form a material part of the business of the Customer or any Affiliate of the Customer save that NYSE Euronext Inc., or any Affiliate thereof, shall not be deemed to be a Market Competitor of the Customer . For the avoidance of doubt, the New York Mercantile Exchange is a Market Competitor of the Customer.
 - 1.1.37 **“Member Firm”** means a broker or a trading company (including any agent or customer of a Member Firm) which is a registered Clearing Member of the Customer and is authorised by the Customer to use CPS and/or TRS.
 - 1.1.38 **“OTC Contracts”** means those contracts those OTC contracts (including forwards, swaps, differentials, spreads, and options) available for trading on the electronic OTC market operated by ICE, Inc. on the Commencement Date.
 - 1.1.39 **“Recipient Party”** means a party which receives Confidential Information from the other party.
 - 1.1.40 **“Regulatory Authority”** means, in the UK, the Financial Services Authority (**“FSA”**), and any comparable authority which exercises a regulatory or supervisory function under the laws of any jurisdiction in relation to financial services, the financial markets, exchanges or clearing organisations.
 - 1.1.41 **“Relief Event”** means any: (i) act or omission of the Customer, its officers, directors, employees, agents or sub-contractors in relation to its obligations set out in this Agreement; and, (ii) any delay or failure by the
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Customer to comply with any of its obligations as set out in this Agreement.

1.1.42 **“Representative”** has the meaning given to that term in Clause 10.1.

1.1.43 **“Service Level”** means a performance standard set out in the Service Level Agreement in accordance with which the Supplier is to provide the Service to which it relates.

1.1.44 **“Service Level Agreement”** or **“SLA”** means the service level agreement set out in Schedule 2 as the same may be amended from time to time in accordance with this Agreement.

1.1.45 **“Services”** means those services more particularly described in Schedule 1..

1.1.46 **“Source Code”** means the human readable version of the applicable software which has not been compiled or interpreted by a computer system and all documentation and materials related thereto.

1.1.47 **“Staff”** mean the Supplier’s employees, sub-contractors or consultants engaged in the provision of the Services.

1.1.48 **“Term”** means the period from the Commencement Date until [***].

1.1.49 **“Clearing Day”** means a day upon which the Customer is open for business .

1.1.50 **“The NCC Group”** means the independent information technology assurance, security and consultancy service provider whose registered office is at Manchester Technology Centre, Oxford Road, Manchester, M1 7EF.

1.1.51 **“TRS”** or **“Trade Registration System”** means the Supplier’s proprietary trade registration system used to provide real time matching of trades carried out by Member Firms and Exchange Member Firms.

1.1.52 **“Working Day”** means any day other than a Saturday, Sunday, bank or other public holiday in England and Wales.

1.2 In this Agreement:-

1.2.1 unless the context otherwise requires all references to a particular Clause or Schedule shall be a reference to that Clause or Schedule in or to this Agreement as it may be amended from time to time pursuant to this Agreement;

*** Confidential information on this page has been omitted and filed separately with the Commission. Confidential treatment has been requested with respect to the omitted portions.

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- 1.2.2 unless the contrary intention appears words denoting persons shall include any individual, firm, partnership, company, or other body corporate, corporation, joint venture, trust, association, organisation or other entity, in each case whether or not having separate legal personality;
 - 1.2.3 reference to any statute, statutory provision or regulation includes any modification, amendment, re-enactment or replacement of that statute, statutory provision or regulation;
 - 1.2.4 any reference to a “day” shall mean a period of 24 hours running from midnight to midnight;
 - 1.2.5 references to “indemnifying” any person against any circumstance include indemnifying and keeping him harmless from all actions, claims and proceedings from time to time made against him and all loss, damage, payments, cost or expenses suffered made or incurred by him as a consequence of that circumstance;
 - 1.2.6 If there is any conflict or inconsistency between the terms and conditions of Parts A-D herein and the Schedules, such conflict or inconsistency shall be resolved in accordance with the following order of priority:
 - 1.2.6.1 the terms and conditions of Parts A-D herein; and
 - 1.2.6.2 the Schedules.
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PART B — SERVICES

2. PROVISION OF SERVICES

- 2.1 The Supplier shall provide the Development Services from the Commencement Date and the entirety of the Services from the Go Live Date to the Customer subject to and in accordance with the terms and conditions of this Agreement.
- 2.2 The Supplier warrants to the Customer that it shall:
- 2.2.1 provide the Services in accordance with the Service Level Agreement (where the SLA does not make proper provision for the same, the Supplier shall apply Best Industry Standards in the adoption of appropriate and reasonable standards, techniques and methodologies for achievement of quality which are relevant to the Services);
 - 2.2.2 perform the Services with all due care and skill;
 - 2.2.3 ensure that the Services are performed by Staff possessing suitable skills, training and experience and that they will carry out the Services in accordance with Best Industry Standards;
 - 2.2.4 maintain a sufficient number of Staff to enable it to perform its obligations under this Agreement;
 - 2.2.5 at all times act in good faith;
 - 2.2.6 ensure that the Services will be capable on an ongoing basis of supporting the requirements of the Customer as such are identified in the Service Level Agreement;
 - 2.2.7 devote senior management time to the provision of the Services as is consistent with the standard of reasonable skill and care;
 - 2.2.8 apply the logical security and encryption safeguards in the provisions of the Services which are specified further in Schedule 7;
 - 2.2.9 to the extent that the Supplier is required as part of the Services to procure ongoing or periodic licences and/or approvals subsequent to the Commencement Date, maintain such licences and approvals;
 - 2.2.10 have the full power and authority to enter into this Agreement and to perform all of its obligations under this Agreement;
 - 2.2.11 supply the instance of CPS, together with all data within CPS, to the Customer which, at the Business Day prior to the Go Live Date, interfaces with the instance of TRS provided by the Supplier to ICE Futures Europe.
- 2.3 The Customer warrants that it shall:
- 2.3.1 have the full power and authority to enter into this Agreement and to perform all of its obligations under this Agreement;
 - 2.3.2 perform the tasks assigned to it in this Agreement;
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2.3.3 on the reasonable request of the Supplier procure access to and co-operation from the Customer's suppliers, regulators and end-users for the sole purpose of the Supplier discharging its obligations under this Agreement; and

2.3.4 at all times act in good faith.

- 2.4 Subject to Clauses 2.2 and 2.3 above (together with any express provision of this Agreement indicating the contrary) and to the extent permitted by law, all other implied warranties and representations in relation to the Services and any other matter arising under this Agreement are expressly excluded.
- 2.5 If the Supplier fails to provide the Services or any aspect thereof in accordance with the SLA or is aware (on a reasonable basis) of any such likely failure which has not yet occurred, the Supplier shall promptly report each such failure (or potential failure) to the Customer.
- 2.6 For the avoidance of doubt, the Services provided by the Supplier only allow the Customer to clear products as outlined in Schedule 1. They do not allow the Customer to clear products or process trades in respect of contracts falling outside of the expressly stated scope of use set out at Schedule 1. To the extent the Customer requires the Services to apply to additional contracts and to have them included within the scope of this Agreement at a future date, the parties shall agree and discuss the consequent changes required to this Agreement (including costs) and, subject to agreement, shall implement them by way of a letter amendment to these terms and conditions and appropriate Change Requests in respect of the Services. Any use of the Services or submission of data for processing by the Customer in contravention of Schedule 1 (i.e. contrary to the scope of use set out in this Agreement) will be deemed a material breach of this Agreement.

3. BUSINESS CONTINUITY PLANS

- 3.1 No later than 90 days after the Commencement Date, the Supplier, working in conjunction with the Customer, shall submit to the Customer a business continuity plan to secure the continued performance and operational resilience of the Services (the **"Business Continuity Plan"**) (in specified circumstances including in the event of a Force Majeure event) which shall take appropriate account of the Supplier's regulatory obligations .
- 3.2 The Supplier shall maintain and where appropriate revise the Business Continuity Plan periodically in accordance with Best Industry Standards and, in consultation with the Customer, in accordance with the Customer's regulatory obligations. Any such revisions shall be entirely for the account of the Supplier.
- 3.3 The Supplier shall implement the Business Continuity Plan throughout the Term in accordance with the provisions of the Business Continuity Plan and shall also include specific testing arrangements.

4. TECHNOLOGY REFRESH AND SERVICES ENHANCEMENT

- 4.1 The Supplier shall monitor market practice in the United Kingdom in relation to the provision of services equivalent to the Services to ensure that it maintains provision of the Services and the performance levels contained in the Service Level Agreement to levels commensurate with Best Industry Standards, as appropriate. As a result of such monitoring, the Supplier shall provide to the Customer, on a
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Commercial in Confidence

quarterly basis, an update in the Governance Committee meetings. If the Supplier, pursuant to the terms of this clause, is required to provide a technology refresh and/ or service enhancement, it will provide a written statement following such Governance Committee containing:

4.1.1 improvements and upgrades which could be made to the Services; and

4.1.2 the likely costs (if any) of implementing such improvements and upgrades.

4.2 Any request by the Customer to implement improvements or upgrades notified by the Supplier pursuant to Clause 4.1 shall constitute a Change Request.

4.3 The Supplier shall at all times during this Agreement be responsive to the Customer's diverse and changing business needs and shall discuss with the Customer whether these should result in modifications to the Services which shall be effected using the Change Control Procedure or as otherwise agreed between the parties.

5. SERVICE LEVEL AGREEMENT REVIEW

5.1 At least once quarterly, the Governance Committee (as defined in Schedule 6) shall meet in accordance with the provisions of Schedule 6.

6. CHANGE REQUEST

6.1 All Change Requests will be handled in accordance with the Change Control Procedure.

6.2 The Supplier will conduct a risk assessment of each Change and will advise the Customer of that assessment. Where the Supplier and Customer disagree as to the risk associated with a Change Request the matter will be escalated to Contract Management in accordance with Schedule 6.

7. DELAYS IN PROVISION OF SERVICE

7.1 The Supplier shall provide the Services on the Go Live Date.

7.2 Subject to clause 18 if the Services are not provided by the Go Live Date, the Supplier shall be liable for any reasonable costs up to a maximum of 25% of the Charges payable by the Customer to the Supplier for the first 12 months of the Term, that the Customer can demonstrate it incurred as a direct result of such delay.

7.3 For the avoidance of doubt, the Supplier shall not be liable for any delays, and any costs/ expenses or losses incurred by the Customer in relation to such delays, if such delay was caused as a result of a Force Majeure or a Relief Event.

8. RELIEF EVENTS

8.1 To the extent that the Supplier is prevented or delayed in performing the Services as a direct result of a Relief Event, (a) the Supplier shall be granted an appropriate extension of time in respect of the performance of those Services or, at the Customer's option, a waiver of such performance, and shall not be liable with respect to such prevented or delayed performance and (b) any Service Levels and

Commercial in Confidence

delivery schedules applicable to such Services shall be adjusted or extended accordingly.

9. CONTRACT MANAGEMENT

- 9.1 The parties shall perform their respective obligations in accordance with the provision of Schedule 6. In doing so, the Supplier shall appoint a Service Manager in accordance with Schedule 6 to serve as the individual responsible for the day to day management of the relationship the parties have with respect to the Services. The Customer shall appoint a Relationship Manager in accordance with Schedule 6 to serve as the individual responsible for liaising with the Service Manager.

10. REPRESENTATIVE

- 10.1 The Customer and the Supplier shall each nominate a Representative (**“Representative”**) who shall be the Account Manager for either Party, as outlined in Schedule 6, and who shall have full authority to take all necessary decisions regarding the provision of the Services and the other obligations of the party nominating such Representative under this Agreement including any variation to this Agreement. The Representative of each party must at all times be an employee, contractor or agent of that party. The first such appointments are set out in Schedule 6. Each party may replace the Representative from time to time provided that it has obtained the prior written approval of the other party, such approval not to be unreasonably withheld or delayed. Each party shall ensure that its Representative has full authority to bind it in connection with its obligations under or pursuant to this Agreement.
- 10.2 Where, in this Agreement, any decision, consent, approval, notice or certification is required to be given by a party, it shall be sufficient for such decision, consent, approval, notice or certification to be given by that party’s Representative without any further enquiry or action by the other party.
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PART C — CHARGES

11. PAYMENT

- 11.1 The Supplier shall raise invoices and the Customer shall pay Charges to the Supplier in accordance with the payment provisions and procedures set out in Schedule 3.
- 11.2 In addition to the Charges, the Customer shall:
- 11.2.1 pay the Supplier for such additional work carried out in accordance with any agreed Change Request(s); and
 - 11.2.2 reimburse the Supplier for reasonable travelling, accommodation and other expenses provided that the Supplier obtains the Customer's prior written consent to incur such expenses; and
 - 11.2.3 pay the Supplier as outlined in the Incentive Scheme in Schedule 3 in accordance with the payment terms of this Agreement.
- 11.3 Each invoice submitted by the Supplier which is not reasonably disputed by the Customer in accordance with the dispute resolution procedure outlined in clause 27 shall be payable within 28 days of its receipt by the Customer.
- 11.4 The Charges shall be subject to Indexation on each anniversary of the Commencement Date.
- 11.5 The Supplier shall notify the Customer of the amount of the increase within 28 days of each such anniversary and shall be entitled to add to any subsequent invoice an amount which reflects that the Indexation to the Charges will be effective from each such anniversary.
- 11.6 All payments under the terms of this Agreement are expressed to be exclusive of Value Added Tax, or similar tax, howsoever arising and the Customer shall pay to the Supplier in addition to those payments or if earlier on receipt of a valid tax invoice or invoices from the Supplier, all Value Added Tax in relation to any supply made or deemed to be made for Value Added Tax purposes pursuant to this Agreement.
- 11.7 The Supplier shall indemnify the Customer against any liability (including any interest, penalties, or costs incurred) which is levied, demanded or assessed on the Customer at any time in respect of the Supplier's failure to account for, or to pay any VAT relating to the payments made by the Supplier under this Agreement.
- 11.8 Without prejudice to any other right or remedy of the Supplier, if the Supplier does not receive payment of any invoice due to it under this Agreement (unless such invoice is reasonably disputed by the Customer) on the due date for payment, interest will accrue 30 days from the due date for payment at the rate of 2.5% per month above LIBOR on such outstanding invoice from the date payment is due until payment in full. Interest under this Clause 11.8 shall accrue from day to day and shall be paid by the Customer on demand.
- 11.9 Subject to Clause 11.3, the Customer shall not be entitled to withhold any amount payable to the Supplier under this Agreement.
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Commercial in Confidence

11.10 Both Parties together acknowledge and agree that the bonus and debit scheme specified in Schedule 3, the “Incentive Scheme”, represents a genuine pre-estimate of the specific loss which may be suffered by the Customer.

PART D — GENERAL

12. CONFIDENTIALITY

12.1 Each Recipient Party undertakes and agrees to:

12.1.1 use the Confidential Information solely for the purposes envisaged under this Agreement and not use the same for any other purpose whatsoever;

12.1.2 ensure that only those of its officers, employees and advisors who are directly concerned with the carrying out of this Agreement and who need to know the Confidential Information have access to the Confidential Information; and

12.1.3 keep the Confidential Information secret and confidential and shall not directly or indirectly disclose or permit to be disclosed the same to any third party for any reason without the prior written consent of the Disclosing Party.

12.2 The Supplier shall not, and shall procure that its Staff and other officers, employees and advisors do not use any of the Customer's Confidential Information received otherwise than for the purposes of this Agreement.

12.3 At the written request of the Customer, the Supplier shall procure that its Staff and each officer, employee or advisor identified in the Customer's request signs a confidentiality undertaking prior to commencing any work in connection with this Agreement.

12.4 The obligations of confidence referred to in Clause 12.1 shall not extend to any Confidential Information which:

12.4.1 is or becomes generally available to the public otherwise than by reason of breach by the Recipient Party of the provisions of this Clause;

12.4.2 is known to the Recipient Party and is at its free disposal prior to its disclosure by the Disclosing Party;

12.4.3 is subsequently disclosed to the Recipient Party without obligations of confidence by a third party owing no such obligations to the Disclosing Party in respect of that Confidential Information;

12.4.4 is required by law to be disclosed; or,

12.4.5 is required by any Regulatory Authority to be disclosed.

13. DIRECT ENGAGEMENT

13.1 During the term of this Agreement and for 12 months thereafter neither party shall solicit, entice or offer employment to any person employed or engaged by the other party without the express written consent of the other party except where such person is recruited as a result of an otherwise unsolicited response to a public recruitment advertisement. If a party breaches this Clause 13, that party shall pay to the other a sum equivalent to such person's total compensation for his first 12 months' work for any person other than the party which employed him. The parties agree that such sum, constituting liquidated damages, represents a

Commercial in Confidence

fair estimate of the cost to the party which employed the person of recruiting a suitable replacement for such person.

14. DATA PROTECTION

- 14.1 With respect to the parties' rights and obligations under this Agreement, the parties agree that the Customer is the Data Controller and that the Supplier is the Data Processor.
 - 14.2 The Customer warrants that all personal data held by the Customer to be processed by the Supplier under this Agreement ("**Customer Personal Data**") has been or will be obtained and processed by the Customer (in so far as such data has been or will be processed by the Customer) in accordance with the Data Protection Act 1984 and to the extent superseded thereby the Data Protection Act 1998 and all associated regulations (the "**Acts**") and in a manner which permits the Supplier to perform its obligations under this Agreement in compliance with the Acts.
 - 14.3 Each party warrants to the other that:
 - 14.3.1 it is, and at all times during the term of this Agreement will be, adequately and appropriately registered under the Acts in order to comply with its obligations under this Agreement; and
 - 14.3.2 it will at all times during the term of this Agreement comply with the Acts in performing its obligations under this Agreement.
 - 14.4 The Supplier shall:
 - 14.4.1 process the Customer Personal Data only on behalf of the Customer only for the purposes of performing this Agreement and only in accordance with instructions contained in this Agreement or received from the Customer in writing from time to time;
 - 14.4.2 not otherwise modify, amend or alter the contents of the Customer Personal Data or disclose or permit the disclosure of any of the Customer Personal Data to any third party unless specifically authorised in writing by the Customer;
 - 14.4.3 at all times comply with the provisions of the Seventh Data Protection Principle set out in Schedule 1 of the Data Protection Act 1998 and, in so doing, provide a written description of the technical and organisational methods employed by the Supplier for processing the Customer Personal Data (within the timescales required by the Customer) and implement appropriate technical and organisational measures to protect the Customer Personal Data against unauthorised or unlawful processing and against accidental loss, destruction, damage, alteration or disclosure;
 - 14.4.4 take reasonable steps to ensure the reliability of any Staff who has access to the Customer Personal Data;
 - 14.4.5 obtain prior written consent from the Customer before transferring the Customer Personal Data to any sub-contractors in connection with the provision of the Services;
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Commercial in Confidence

- 14.4.6 ensure that only those of the Staff who need to have access to the Customer Personal Data are granted access to such data and only for the purposes of the performance of this Agreement and all of the Staff required to access the Customer Personal Data are informed of the confidential nature of the Customer Personal Data and comply with the obligations set out in this clause 14;
- 14.4.7 not publish, disclose or divulge any of the Customer Personal Data to any third party unless directed to do so in writing by the Customer;
- 14.5 The parties shall, and the Supplier shall procure that its Staff shall, comply at all times with the Data Protection legislation and shall not perform their obligations under this Agreement in such a way as to cause either party to breach any of its obligations under the Data Protection legislation. The Supplier shall immediately notify the Customer in the event that it becomes aware of any breach of the Data Protection Legislation by the Supplier or any of the Staff in connection with this Agreement;
- 14.6 The Supplier shall, at all times during and after the Term, subject to Clause 18, indemnify the Customer and keep the Customer indemnified against all losses, damages, costs or expenses and other liabilities (including legal fees) incurred by, awarded against or agreed to be paid by the Customer arising from any breach of the Supplier's obligations under this clause 14 except and to the extent that such liabilities have resulted directly from the Customer's instructions.

15. INTELLECTUAL PROPERTY RIGHTS

- 15.1 Subject to clause 15.4 all Intellectual Property Rights created by the Staff in the course of providing the Services to the Customer under this Agreement in modifications and enhancements to any Existing Materials (as defined below) ("**Project IPRs**") shall remain the property of the Supplier.
 - 15.2 In respect of programs, specifications, designs or reports (including data) which are pre-existing or are an adaptation of or derived from existing materials, including any adaptations made to such programs, specifications, designs or reports pursuant to the Change Control Procedure (together "**Existing Materials**") which are made available as part of the provision of the Services the ownership of the intellectual property rights in such Existing Materials remains with the owner thereof.
 - 15.3 Neither party shall delete proprietary information or trade mark notices if any appear on any software or documentation supplied to it by the other at any time. Further, both parties shall ensure that all copies of software or documentation created or supplied by them under the provisions hereof shall carry a copyright notice.
 - 15.4 The Supplier grants to the Customer the following licences:
 - 15.4.1 a non-exclusive non-transferable royalty free licence for the duration of the Term to use the Existing Materials for its own internal business purposes only in accordance with Schedule 1.
 - 15.4.2 a non-exclusive, non-transferable royalty free licence for the duration of the Term to use the Project IPRs for its own internal business purposes only in accordance with Schedule 1. The Customer agrees that:
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Commercial in Confidence

- a. it may not permit any third party to use the Project IPRs and shall not make any related documentation available to any third party; and
- b. it will use the Project IPRs in accordance with any conditions contained in the Service Level Agreement.

15.5 It being understood that in the event that the use of the Existing Materials or the Project IPRs needs to be licensed to a third party agent of the Customer (which might for the avoidance of doubt, include Affiliates of the Customer) for the purposes of ensuring that the Services can be appropriately implemented, then the Supplier shall grant a limited licence for the purposes of ensuring the appropriate implementation of the Services.

15.6 The Parties agree that breach of these license terms will automatically be deemed a material breach of this Agreement.

15.7 The Supplier represents and warrants that it will not infringe the Intellectual Property Rights of any person or entity in the provision of the Services.

15.8 Either party (the “ **Indemnifying Party** ”) shall indemnify and keep indemnified the other (the “ **Indemnified Party** ”) against any and all Liability suffered by the Indemnified Party as a result of any claim by a third party that the use of the Services or Existing Material or the Project IPRs which the Indemnifying Party has licensed to or supplied to the Indemnified Party to use by the Indemnified Party in accordance with this Agreement infringes the Intellectual Property Rights of that third party provided that:

15.8.1 the Indemnifying Party is given notice of the claim as soon as reasonably practicable after receipt of a written claim by the Indemnified Party from any such third party;

15.8.2 the Indemnifying Party is given complete control over such claim, and the Indemnified Party co-operates with the Indemnifying Party at the Indemnifying Party’s expense in the conduct of such claim, unless the Indemnifying Party is proposing to make representations and/or statements in relation to the Indemnified Party, in which event the Indemnifying Party may only make such representations and/or statements that might form part of the Indemnifying party’s management of such claim with the approval of the Indemnified Party;

15.8.3 the Indemnified Party does not prejudice the Indemnifying Party’s conduct of such claim;

15.8.4 the Supplier will not be obliged to indemnify the Customer for any claim of infringement based on the:

- c. use of an altered version of the Existing Materials or Project IPRs;
 - d. combination, operation or use of the Existing Materials or Project IPRs with software, hardware, equipment or other materials not supplied by the Supplier; or
 - e. use of a superseded version of the Existing Materials or Project IPRs where the Customer has failed to comply with a request by the
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Commercial in Confidence

Supplier to install any new version of the Existing Materials or Project IPRs.

15.9 The provisions of this clause 15 shall survive termination of this Agreement for any reason.

16. TERM AND TERMINATION

16.1 This Agreement shall commence on the Commencement Date and shall continue for at least the duration of the Term unless terminated in accordance with the provisions of this clause 16.

16.2 At the end of the Term this Agreement shall be automatically renewed for 1 year periods on the mutual agreement of the parties.

16.3 Without prejudice to any of its other rights or remedies under this Agreement, either party may terminate this Agreement:

16.3.1 During the final calendar year of the Term by providing no less than 12 months written notice to the other party;

16.3.2 After the end of the Term by providing no less than 12 months written notice to the other party.

16.4 Without prejudice to any of its other rights or remedies under this Agreement, Customer may terminate this Agreement

16.5 if there is a material delay in the provision of the Services by the Supplier pursuant to Clause 7.

16.6 Without prejudice to any of its other rights or remedies under this Agreement, each party (the “Terminating Party”) shall have the right to terminate this Agreement upon giving written notice of termination to the other party (the “Defaulting Party”) if the Defaulting Party:

16.6.1 commits a material breach of this Agreement which in the case of a breach capable of remedy shall not have been remedied within 30 days of the receipt by it of a written notice from the other party identifying the breach and requiring its remedy; or

16.6.2 makes any voluntary arrangement with its creditors or becomes subject to an administration or passes a resolution for winding-up (otherwise than for a bona fide reconstruction or amalgamation) or becomes bankrupt or insolvent or goes into liquidation or a receiver or similar officer is appointed over any or all of the assets of the Defaulting Party or the Defaulting Party ceases or threatens to cease to carry on business.

16.7 The Supplier may terminate this Agreement by giving written notice to the Customer if the Customer fails to pay any invoice which is not reasonably disputed to the Supplier under this Agreement and has not remedied such failure within 30 days of receiving written notice from the Supplier requiring it to remedy such failure.

16.8 Both Parties agree to provide notice (“a Change of Control Notice”) to the other Party of the earlier of: (i) its execution of any agreement effecting a Change of

Commercial in Confidence

Control with respect to it; or, (ii) its awareness of a transaction that has resulted in a Change of Control with respect to it. In the event of the Customer receiving a Change of Control Notice the Customer shall have the right to terminate the Agreement (within three months of the date of receipt of the Change of Control Notice) on a period of notice that shall not exceed 12 months, save that it will not be deemed a Change of Control if either NY Euronext Inc., or an Affiliate, or Atos Origin SA, or an Affiliate, assumes Control of the Supplier.

- 16.9 In the event of the Supplier receiving a Change of Control Notice the Supplier shall have the right to terminate the Agreement (within three months of the date of receipt of the Change of Control Notice) on a period of notice that shall not be less than 12 months.
- 16.10 Clauses [12, 13, 16.7, 18, Schedule 4] [Note: Internal referencing to be checked] and any other provision which expressly or impliedly survives the expiry or termination of this Agreement shall remain in force notwithstanding the expiry or termination of this Agreement.

17. CONSEQUENCES OF TERMINATION

- 17.1 Upon the expiry or termination of this Agreement for whatever reason the parties shall follow the provisions of the Disengagement Plan as set out in Schedule 4; and the licence of the Existing Materials and Project IPRs granted to the Supplier under this Agreement shall terminate automatically and the Supplier shall return all copies of such Existing Materials and Project IPRs.
- 17.2 the Supplier shall repay to the Customer any amount which it may have paid in advance in respect of Services not provided or procured by the Supplier as at the date of termination of this Agreement..

18. LIABILITY

- 18.1 The Supplier acknowledges and agrees that its liability for death or personal injury caused by its negligence or the negligence of its directors, officers, employees, contractors or agents or fraudulent misrepresentation shall not be limited.
- 18.2 Subject to Clauses 7 and 18.1, the Supplier's total liability to the Customer whether in contract, tort (including negligence) or otherwise in connection with this Agreement shall not exceed in aggregate the amount paid or payable in charges by the Customer to the Supplier under the Agreement during the 12 month period prior to the date upon which the events giving rise to any relevant claim arose, or in the case of a series of events the date upon which the first of the series occurred
- 18.3 Subject to Clauses 7 and 18.1, the Customer's total liability to the Supplier (other than for charges properly due and payable under this Agreement) whether in contract, tort (including negligence) or otherwise in connection with this Agreement shall not exceed the amount paid or payable in charges by the Customer to the Supplier under the Agreement during the 12 month period prior to the date upon which the events giving rise to any relevant claim arose, or in the case of a series of events the date upon which the first of the series occurred
- 18.4 Subject to Clauses 7 and 18.1, in no circumstances will the Supplier be liable for any loss of profit, loss of business, loss of goodwill, loss of anticipated savings, loss of data or any consequential or indirect loss suffered by the Customer unless
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Commercial in Confidence

such loss(es) arise as a result of the Supplier's breach of its obligations under this Agreement.

18.5 If either party (**"Claiming Party"**) wishes to make any claim against the other party (**"Defending Party"**) under or in connection with this Agreement:

18.5.1 the Claiming Party must give written notice to the Defending Party specifying in reasonable detail the reason for such claim and the amount of such claim prior to taking any other action;

18.5.2 each party must continue to perform its obligations under this Agreement notwithstanding such claim; and

18.5.3 the Claiming Party must give the notice required under Clause 18.5.1 to the Defending Party as soon as practicable and in any event no later than [two] years after the event or incident giving rise to such claim.

18.6 Any failure to comply with the provisions of this Clause 18.5 shall not however invalidate the claim of the Claiming Party in the event that the Claiming Party elects to commence legal proceedings immediately.

19. ASSIGNMENT

19.1 Neither party may assign any or all of its rights under this Agreement (excepting monies due or to become due) to a third party without the prior written consent of the other, such consent not to be unreasonably withheld.

19.2 A party may assign its rights under this Agreement to an Affiliate, Atos Origin S.A. or an Affiliate thereof, or a third party acquiring the entire business of the assigning party without requiring the consent of the other party provided that such Affiliate, Atos Origin S.A. or an Affiliate thereof, or third party first undertakes in writing to the other party to be bound by the terms of this Agreement.

19.3 The Supplier's right to assign under the terms of Clauses 19.1 and 19.2 are at all times qualified by the fact that the Supplier may not assign any or all of its rights under this Agreement to a Market Competitor of the Customer.

19.4 Except as in the case of an assignment under the terms of Clause 19.1 or 19.2 as appropriate, no term of this agreement shall be enforceable under the Contracts (Rights of Third Parties) Act 1999 by a third party.

20. FORCE MAJEURE

20.1 Neither party shall be liable to the other for any breach or non-performance of this Agreement arising from any event beyond its reasonable control including, without limitation, acts of God, failure or shortage of power supplies, flood, drought, lightning, fire, earthquake, strike, lock-out, trade dispute or labour disturbance, act or omission of Government or any regulatory authority, war, riot, civil disorder, or delay or failure due to any such cause in manufacture, production or supply by third parties of any goods or services required for performance under this Agreement provided that lack of funds shall not constitute an event beyond the reasonable control of either party (each of the above events, a **"Force Majeure"** event). However, if the Force Majeure event continues to affect a party's ability to perform its obligations under this agreement for a period exceeding 30 days, either

Commercial in Confidence

party may terminate the agreement by giving the other party written notice without incurring any liability to the other.

20.2 The Party affected by the Force Majeure will use all reasonable endeavours to mitigate the effect of the Force Majeure.

21. SEVERANCE OF TERMS

21.1 If the whole or any part of this Agreement is or becomes or is declared illegal, invalid or unenforceable in any jurisdiction for any reason:

21.1.1 in the case of the illegality, invalidity or unenforceability of the whole of this Agreement it shall terminate in relation to the jurisdiction in question; or

21.1.2 in the case of the illegality, invalidity or unenforceability of part of this Agreement, that part shall be severed from this Agreement in the jurisdiction in question and that illegality, invalidity or unenforceability shall not in any way whatsoever prejudice or affect the remaining parts of this Agreement which shall continue in full force and effect.

22. ENTIRE AGREEMENT/VARIATIONS

22.1 This Agreement constitutes the entire agreement and understanding between the parties in relation to its subject matter and supercedes all prior oral or written understandings, arrangements, representations or agreements between them relating to the subject matter of this Agreement. The parties acknowledge that no claims shall arise in respect of any understandings, arrangements, representations or agreements so superceded. No director, employee or agent of any party is authorised to make any representation or warranty to the other party not contained in this Agreement, and each party acknowledges that it has not relied on any such oral or written representations or warranties.

22.2 No variation, amendments, modification or supplement to this Agreement shall be valid unless agreed in writing in the English language and signed by a duly authorised representative of each party.

23. NOTICES

23.1 Any notice or other communication given pursuant to or made under or in connection with the matters contemplated by this Agreement shall be in writing and shall be delivered by courier, sent by post or sent by facsimile to the address of the recipient set out above or as notified to the other party in accordance with this Clause. Notices sent by e-mail shall not be valid of themselves and must be confirmed in hard copy form by courier, by post or facsimile.

23.2 Any notice given pursuant to this Clause shall be deemed to have been received:

23.2.1 if delivered by courier, at the time of delivery; or

23.2.2 if sent by post, on the second Working Day following the day of posting; or

23.2.3 if sent by facsimile on acknowledgement by the recipient facsimile receiving equipment on a Working Day if the acknowledgement occurs before 1700 hours local time on a Working Day of the recipient and in any other case on the following Working Day.

24. THIS AGREEMENT NOT TO CONSTITUTE A PARTNERSHIP

- 24.1 Nothing in this Agreement and no action taken by the parties pursuant to this Agreement shall constitute or be deemed to constitute a partnership, association, joint venture or other co-operative entity between the parties and neither party shall have any authority to bind the other in any way except as provided in this Agreement.

25. WAIVER

- 25.1 Save as expressly provided in this Agreement neither party shall be deemed to have waived any of its rights or remedies whatsoever howsoever arising unless the waiver is made in writing, signed by a duly authorised representative of that party and may be given subject to any conditions thought fit by the grantor. Unless otherwise expressly stated any waiver shall be effective only in the instance and for the purpose for which it is given.
- 25.2 No delay or failure of either party in exercising or enforcing any of its rights or remedies whatsoever shall operate as a waiver of those rights or remedies or so as to preclude or impair the exercise or enforcement of those rights or remedies. No single or partial exercise or enforcement of any right or remedy by either party shall preclude or impair any other exercise or enforcement of that right or remedy by that party.

26. ANNOUNCEMENTS

- 26.1 Both parties agree not to make any public announcements about the existence or contents of this Agreement without the prior notice to and the written approval of the other Party, unless such announcement is required by law or regulation.

27. DISPUTE RESOLUTION

- 27.1 Any dispute which may arise with respect to any matter or thing arising out of or in relation to this Agreement shall be dealt with in accordance with the Contract Management procedure as set out in Schedule 6

28. REGULATORY CHANGES

- 28.1 The Parties shall be responsible pursuant to the Change Control Procedure for making such modifications as are necessary to take into account any changes to existing financial services legislation, rules and regulations or any such new legislation, rules and regulations which have an impact (either directly or indirectly) on the provision of the Services or any part thereof and which are outside the scope of Clause 28.2, below.
- 28.2 The Parties shall also be responsible, at the Customer's expense, for making such modifications as are necessary to take into account:
- 28.2.1 any changes to existing commodities or derivatives trading legislation and statutory restrictions or any such new legislation and regulations relating specifically to the commodities or derivatives trading industry noted to the Supplier by the Customer and which have an impact (either directly or indirectly) on the provision of the Services or any part thereof; and/or
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Commercial in Confidence

28.2.2 any changes which are deemed necessary by the Customer or a Regulatory Authority.

28.3 The changes referred to above in Clauses 28.1 and 28.2 (**“Regulatory Changes”**) shall be implemented by way of the Change Control Procedure. For the avoidance of doubt, the Supplier shall not be able to decline to perform any Regulatory Change deemed necessary by the Customer as long as the Customer agrees to the Charge for the Regulatory Change.

29. AUDIT

29.1 The Customer or the Regulatory Authority (for the purposes of this clause references to the Customer shall be deemed to include the Regulatory Authority) shall have the right, from time to time and upon 7 Working Days written notice to the Supplier, to conduct an audit of the compliance by the Supplier with its obligations under this Agreement and the changes made by Supplier in performing such obligations (an “Audit”). The Audit must be in relation to, matters specified by the Customer in such notice, the assessment of the proper amount of any payment made or to be made hereunder, or, the performance by the Supplier of its obligations under this Agreement (“Audit Matters”). The Audit may be conducted by such professional auditors or advisers as the Customer may decide to appoint and notify to the Supplier.

29.2 For the avoidance of doubt, the categories of information that may be sought under this provision shall only be that which is necessary for the reasonable assessment of the Audit Matters specified in any notice issued by the Customer under Clause 29.1 above.

29.3 The Supplier shall provide to the Customer and its advisers such assistance and facilities and access to such premises, accounts, invoices, documents and information as it shall reasonably require for the purposes of any Audit. The Supplier shall provide the Customer with copies of relevant accounts, invoices, documents and information in such form as the Customer or its advisers shall reasonably require, but only to the extent that such accounts, invoices, documents and information relate to the Audit Matters.

29.4 The Customer shall be entitled to conduct an Audit at such times as it may reasonably require subject to a maximum of one Audit in any 6 month period, provided that such maximum shall not apply (and neither shall the advance notice period specified in Clause 29.1) where the Customer bona fide believes that there is a material non-compliance (as the case may be) by Supplier with any of its obligations under this Agreement which an Audit may detect or of which an Audit may provide details.

29.5 The Customer shall:

29.5.1 use its reasonable endeavours to minimise any disruption to the Supplier’s operations or the performance of the Services caused by an Audit; and

29.5.2 ensure that all of the employees and agents are under a duty of confidence in relation to any information disclosed or made available to them by the Supplier for the purpose of that Audit.

29.6 The Customer shall pay all reasonable costs incurred by the Supplier in relation to any Audit.

30. DATA SECURITY

- 30.1 In the event of a loss, corruption or destruction of Data attributable to the Customer's failure to perform its obligations under this Agreement, the Supplier shall take such steps which someone using Best Industry Standards would take to recover, retrieve and reconstruct any such lost, corrupted or destroyed Data as appropriate. The Customer shall pay all reasonable costs incurred by the Supplier in relation to such reconstruction.
- 30.2 Subject to Clause 18, the Supplier hereby indemnifies and undertakes to keep the Customer indemnified in respect of any loss, corruption or destruction of Data caused by the act or omission of the Supplier, calculation of any such loss to take reasonable account of any successful reconstruction under sub-Clause 30.1

31. INSURANCE

- 31.1 The Supplier warrants and represents to the Customer that it has the benefit of policies of insurance with reputable insurers which are sufficient to cover its responsibilities and obligations under this Agreement including, inter alia, in respect of loss or damage to tangible property and professional indemnity for amounts suitable to cover such liability.

32. ESCROW

- 32.1 The parties shall, within 90 days of execution of this Agreement, enter into an escrow agreement in respect of the Source Code of the Existing Materials and Project IPR (the "Escrowed Material") with the NCC Group for the provision of a full validation escrow service ("the Escrow Agreement") in accordance with the Escrow Order Form outlined in Schedule 8. The Supplier shall, from time to time, deliver into escrow with NCC further Source Code in the Project IPR as it is created and in accordance with the terms of the Escrow Agreement with NCC.
- 32.2 In accordance with the terms of the Escrow Agreement NCC will release the Escrow Material to the Customer if the Supplier:
- (a) materially breaches the Agreement in a manner giving rise to a termination right on the part of the Customer; (b) becomes insolvent or unable to pay its debts and/or perform its obligations in the ordinary course of business; or, (c) becomes the subject of any voluntary or involuntary proceeding in bankruptcy, liquidation, dissolution, receivership, attachment or composition, or makes a general assignment for the benefit of creditors. The Customer's licence rights to released Escrow Material will be sufficient to permit the Customer to perform the Services with the addition of the rights to use, reproduce and create derivative works of the released Escrow Material and to distribute, perform and display (publicly or otherwise) such derivative works, all in connection with the sole purpose of implementing, operating and maintaining the Services.
- 32.3 All charges with respect to the Escrow Agreement will be shared equally between the parties.

33. GOVERNING LAW AND JURISDICTION

- 33.1 This Agreement shall be governed by and construed in accordance with English law and the parties hereby submit to the exclusive jurisdiction of the courts of England and Wales.
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33.2 Any proceedings relating to any claim or matter arising under or in connection with this Agreement instituted against either party by the Customer may be brought in the courts of England and Wales .

IN WITNESS WHEREOF the parties have executed this Agreement the day and year first above written.

SIGNED by
for and on behalf of
**ATOS EURONEXT MARKET
SOLUTIONS LIMITED**

) /s/ K. Tregidgo
) Head of Strategy
)
)

SIGNED by Sir Bob Reid
for and on behalf of
ICE CLEAR EUROPE LIMITED

) /s/ Sir Bob Reid
) Board of Directors
)

SIGNED by Paul Swann
for and on behalf of
ICE CLEAR EUROPE LIMITED

) /s/ Paul Swann
) President & Chief Operating Officer
)

Schedule 1 — THE SERVICES

1.1 Introduction

1.1.1 The managed services which together constitute CPS provided by the Supplier are defined as follows:

- **Scope of Use** — defining the business transactions that are permitted to utilise the functional services
- **Functional Services** — defining the high level functional services available to the Customer and their clients
- **Environments** — for each requested instance of the Function Services, service characteristics and capacity requirements are defined.
- **Support Services** — additional services required for the managed service

1.1.2 Changes to the Services shall be by Change Request, as set out in Schedule 5, Change Control Procedure.

1.2 Scope of use — The Services

1.2.1 The Services are restricted to Energy Contracts and Emissions Contracts (including, futures, options on futures, forwards, swaps, differentials, spreads and options) to the extent traded on markets owned and operated by ICE Inc, ICE Futures Europe Ltd and European Climate Exchange Ltd.

1.2.2 Such service scope may be extended or otherwise amended by prior written agreement of the Parties from time to time, in accordance with the Change Control Procedures set out in Schedule 5.

1.3 Functional Services

1.3.1 Clearing Functions

The clearing functions enable the Customer and their clients to manage position information. These functions are made available via a GUI. This enables back offices to correctly record, report, manage and reconcile their open interest. These functions also provide end users with a number of reports. The functions available are:

- Position keeping — the automatic maintenance of positions as post-trade functions are performed
 - Position search — the ability to review current and historical position data
 - Settlement instruction entry, edit and search — the management of long and short positions
 - Position transfer instruction entry, edit and search — the movement of volume between position accounts
 - Exercise instruction entry, edit and search — nomination of options positions for exercise
 - Automatic Exercise instruction edit and search — position selection criteria for options expiry processing
 - Tender Deletion instruction entry, edit and search — manual deletion of positions awaiting delivery
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- Margin Exclusion Instruction entry, edit and search — manual omission of delivery positions from margin calculation
- Delivery instruction entry edit and search — manual early notification of an intention to deliver

1.3.2 Clearing Processing Service

The clearing processing service performs a number of batch processes against trades and positions maintained by the post-trade and clearing functions. The main batch process is performed at the end of each Clearing Day, whilst small intraday batches can be performed as certain products expire. The end-of-day batch also calculates margin values for all trades and positions, and consolidates those margin values into the Customer's accounts. The clearing processing service comprises:

- Clearing instruction processing — the processing of settlement, transfer, exercise, delivery, tender deletion and margin exclusion instructions to update positions
- Variation margin calculation — the calculation of realised and unrealised profit and loss
- Initial margin calculation — the calculation of initial margin liability using the "London SPAN" algorithm

1.3.3 Management Functions

A number of management functions are available to the Customer. These functions enable the maintenance of standing data ("Product and Participant"), and more dynamic data such as prices. In addition, management functions enable the Customer to correct invalid trade and position data, and to control/monitor the Clearing Processing Service:

- Contract expiry date entry, edit and search
- London SPAN parameter maintenance
- Clearing price entry, edit and search
- Validate and load standing data files
- Load clearing prices
- Calculation of options volatility values
- Monitor and control intraday and end-of-day clearing processes
- Generation and dissemination of London SPAN risk arrays

1.3.4 Systems Integration Functions

The systems integration services enable the Customer and their clients' systems to interact with the clearing functions and the clearing processing service. This enables a high degree of process automation for the Customer and their clients, and provides them with a full audit trail of all activities that have taken place:

- **TRAMP interface** — an electronic messaging interface through which the Customer and their clients can perform Post-Trade Functions
 - **TSCS Feed** — an electronic feed of audit events providing the Customer and their clients details of:
 - o Trade and claim changes
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- o Clearing instruction changes
- o Clearing processing changes
- o Initial and Variation margin values
- o End of day position details
- o System events

1.3.5 File Transfer Service

In addition to the Systems Integration Service, a file transfer service is provided to move report information between the Supplier and the Customer. It also enables the Customer to make other information available to their clients through a common interface.

- Files transferred from Supplier to Customer:
 - o Trade File
 - o SPAN File
 - o Position File
 - o Margin File
 - o Position Note File
 - o Open Interest File
- Files transferred from Customer to Supplier:
 - o Banking Reports

1.4 Production Environment

The Production Environment shall be provided for use with live products and users. The environment will have the following characteristics:

Characteristic	Value
Resilience Model	Fault Tolerant (service will be provided on hardware hosted in two geographically-separated Tier 4 data centres, connected via diversely-routed telecommunications channels. The hardware in each data centre shall be capable of delivering the services to the specified capacity. The functional services may be provided by system components in both data centres. Data shall be protected using Raid 5 technology and inter-data centre disk mirroring technology. Failure of a single hardware or software component or an entire data centre will not cause significant interruption to the services)
Service Capacity	Monthly Futures Contracts: 150 Monthly Futures Expiries: 3,500 Daily Futures Contracts: 60 Daily Futures Expiries: 3,000 Options Contracts: 10 Options Expiries: 200 Options Series: 30,000 Daily Half-trades recorded: 950,000 Open Positions (single day): 50,000 Open Positions (historical): 6,000,000 Interactive (GUI) Users: 250 Electronic (TRAMP/TSCS) Users: 100
Clearing Functions Start	07:00 each Clearing Day

Time

Clearing Functions Close 24:00, or until “End of Stream ¹”, each Clearing Day
Time



1.5 Support Services

- 1.5.1 **Change Control Function** — An agreed process for notifying the Customer of planned changes to the services provided by the Supplier, and for the submission of change requests (both system enhancement and product configuration) by the Customer to the Supplier will be documented and subject to performance targets.
- 1.5.2 **Call Management Service** — The staffing of a Supplier service desk with agreed call management performance criteria and response times subject to agreed maximum peak and average levels of calls.
- 1.5.3 **Incident Management Service** — A system for the categorisation of incidents relating to any of the services provided by severity according to agreed criteria, with associated limits on time to resolution.
- 1.5.4 **Software Maintenance Service** — The correction of known or suspected errors, through the release of specific fixes, service packs or full software releases.
- 1.5.5 **Service Level Management Service** — The provision of agreed schedules detailing service statistics by the Supplier. Separate review processes will periodically determine service, performance and capacity thresholds, Change Management plans, and maintenance schedules. Service levels will be subject to review at the service review meetings and may be subject to change as agreed at those meetings.
- 1.5.6 **Backup and Restore Service** — The Supplier will employ a backup scheme agreed with the Customer with standards for frequency, scope and data retention time. Requests for restoration of historical data (in a non-disaster/BCP context) will be subject to performance targets.
- 1.5.7 **Disaster Recovery Service** — The Supplier will provide a continuously-available hot standby facility for the provision of the Services in the event of a disaster affecting the data centre where CPS is currently running. Agreed schedules will be in place for the testing of the facility and production of statistics and reports from the testing.
- 1.5.8 **IMAC Service** — The Supplier will provide a service to process requests for infrastructure installations, moves and ceases (IMAC). Infrastructure represents connectivity between the Supplier's data centres and the Customer and their clients

1.1. ¹“End of Stream” (EOS) is the last event recorded in the TRS Audit Stream for a trading day, and represents the end of processing.

Schedule 2 — SERVICE LEVEL AGREEMENT

2.1 General

- 2.1.1 The Supplier will support and maintain all services, hardware and system software that comprises the Services to ensure that the application performs in accordance with its appropriate functional specification and that performance targets are met as specified in section 2.5.
- 2.1.2 The Supplier shall, in each month following the Go Live Date, measure the performance for each of the Service Levels at the specified Service Target(s).
- 2.1.3 Service Requests
- 2.1.4 Requests for modifications to the Services will be handled as set out in Schedule 5 Change Control Procedure.
- 2.1.5 Availability
- 2.1.6 The Supplier agrees to make the Services available to the Customer in accordance with section 2.5.
- 2.1.7 Service Level
- 2.1.8 The Supplier agrees to provide the Services to service levels in accordance with section 2.5.
- 2.1.9 For maintenance of the Services, Supplier will respond to reported faults in line with section 2.5.
- 2.1.10 Customer Responsibilities
- 2.1.11 The Customer shall use the Services in accordance with the user manuals as at the Go Live Date, and updates as issued by the Supplier.

2.2 Service Availability

2.2.1 Service Availability and Whole Availability shall mean that that Service is usable by a defined number of authorised users in the normal operational manner in support of normal business processes. Availability is calculated as follows for each Service Period:

Service Availability %

=

((Total Available Time) -

(Whole Unavailable Time — Exceptions))

* 100

Total Available Time

Whole Availability %

=

((Total Available Time) -

(Whole Unavailable Time + Partial
Unavailable Time — Exceptions))

* 100

Total Available Time

and

Total Available Time in
minutes in the Reporting
Period

Equals

(#days in Reporting Period) *

(service hours per day) * 60



For example, for a Service which is available from 7:00 — 24:00 during a 21 day period:

*Total Available Time = 21 (days) * 17 (hours) * 60 (minutes) = 21,420 minutes.*

2.3 Unavailability Definitions for Functional Services

Condition	Criteria
Wholly Unavailable Time occurs when the process or function was suspended, halted or denied due to the criteria adjacent arising.	The inability for Customer and all of their clients to be able to utilise the Clearing Functions
Partial Unavailable Time occurs when the process or function was affected due to the criteria adjacent arising.	The inability of some, but not all of the Customer’s users, or one of their clients, to utilise the Clearing Functions

2.4 Exceptions

- 2.4.1 “Exceptions” for each Service shall be the sum of the minutes of unavailable time during the appropriate Service Time arising from the following factors:
- Agreed scheduled downtime arising from planned events which cannot be performed outside the Service Time (e.g. system changes, system upgrades, system housekeeping, existing hardware preventative maintenance arrangements, maintenance of Applications and releases relating to Applications).
 - Downtime directly due to the Customer’s failure to meet its obligations.
 - Downtime due to Force Majeure.
 - Any downtime arising from unauthorised interference with equipment by the Customer.
 - Downtime incurred when system usage is shown to be outside the limits of relevant Operational Assumptions.
 - Periods of time for which the Supplier can reasonably demonstrate that member users have not adhered to normal operational practice. The Supplier shall provide guidelines to the Customer for relevant end-user training in such normal operational practice and the Customer shall ensure that end-users are trained accordingly. Where the Supplier introduces a change to TRS/CPS that requires the Customer’s staff to be trained, the Supplier will provide that training without charge to the Customer.
 - For certain Performance Targets relevant Operational Assumptions are given. When actual usage of the Services is greater than one or more of these Operational Assumptions for a period of time, such period during the relevant Service Time shall be included in the exceptions for relevant performance targets. Notwithstanding this, the Supplier shall at all times use all reasonable endeavours to meet all Performance Targets.
 - Downtime incurred outside the relevant Service Time
-

2.5 Service Targets and Service Thresholds

2.5.1 For the purposes of the table below the following words shall have the following meanings:

“Service Time” means the period of time between the Service Start Time and Service Close Time as referred to in Clause 2.5.2.

“Service Period” means the period of time during which the performance of a Managed Service will be measured which shall be one (1) month.

“Service Target” means the targeted level of performance of a Managed Service during the applicable Service Period. The Service Target for each applicable Managed Service is shown in the table below.

“Service Threshold” means the threshold applicable to each Managed Service which, if exceeded, may impair the delivery of such Managed Service. These Service Thresholds are derived from steady state service experience and/or solution design specifications.

2.5.2 The table below details the Service Targets and Service Thresholds which the Supplier shall meet in the performance of the Service:

MANAGED SERVICE	SERVICE START TIME	SERVICE CLOSE TIME	SERVICE TARGET	SERVICE THRESHOLD and EXCLUSIONS
CPS 1 — Production Environment Clearing Functions Availability	As defined in Services Schedule	As defined in Services Schedule	Clearing Functions Service Availability for 99.6% of available hours during each Service Period. Clearing Functions Service Whole Availability for 98% of available hours during each Service Period.	Subject to Service Capacity for Production Environment
CPS 2 — Production Environment End of Day Clearing Processing Time	ICE Futures TRS System in “End of Day”	“End of Stream”	End of Day Clearing processing elapsed time < 60 minutes for all but 2 days per Service Period <90 minutes for all days per Service Period System drop dead time of 3:00am	Calculation excludes time elapsed due to Clearing runs being halted or recovered due to Customer business reasons not associated with technology failure.

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MANAGED SERVICE	SERVICE START TIME	SERVICE CLOSE TIME	SERVICE TARGET	SERVICE THRESHOLD and EXCLUSIONS
CPS 3 — Production Environment System Management Functions Availability	Clearing Functions Service Start Time as defined in Services Schedule	“End of Stream”	System Management Functions to be operable by at least one user for 99.60% of available hours during each Service Period.	Maximum number of concurrent users of each console of four (4). Excludes any incidents of unavailability that are proven, upon further investigation, to be due to failures within the Customer’s infrastructure.
CPS 4 — Production Environment System Integration Functions Availability	Clearing Functions Service Start Time as defined in Services Schedule	“End of Stream”	System Integration Functions Service Availability for 99.6% of available hours during each Service Period. System Integration Functions Service Whole Availability for 98% of available hours during each Service Period.	
CPS 5 — Production Environment File Transfer Functions Availability			File Transfer criteria and targets are defined in section 2.6 Critical File transfer to be achieved by the Expected Time in for 90% of the service period. Remainder to be achieved by the Maximum Time. Routine File transfer to be achieved by the Expected Time for 90% of the service period. Remainder to be achieved by the Maximum Time. File transfer to be achieved by Latest Time.	
CPS 6 — Change Control Function			The Supplier shall advise the Customer of known changes, planned or otherwise, that may affect the delivery of the Services, where possible providing a minimum of 5 Business Days, or other agreed, notice of such changes. The Supplier shall also use best endeavours to ensure such changes are effected outside the Available Hours	
CPS 7 — Call Management Service			Customer Service Desk to Supplier Service Desk 90% of calls to be answered within 3 rings (if within Service Time). The management of Calls and Incidents will be performed in accordance with the applicable procedure: call, incident or serious incident management as agreed between the Parties from time to time.	

MANAGED SERVICE	SERVICE START TIME	SERVICE CLOSE TIME	SERVICE TARGET	SERVICE THRESHOLD and EXCLUSIONS
CPS 8 — CPS Incident Management Service			The target time to restore an adversely impacted service is shown below in order of decreasing severity of the incident. The target restoration time is measured from the time the incident is reported to the Call Management Function to the time the impacted process or function is restored. Each incident is assigned one of four severity ratings according to the impact it has upon the affected process or function: Severity 1 = most severe, Severity 4 = least severe. Severity 1 Serious Incidents : The Customer, or two or more of their clients, are unable to utilise one or more Functional Services, System Integration Functions and/or CMR Report availability. Restoration time for Severity 1 incidents is not more than one (1) hour. Severity 2 High Impact Incidents : Unacceptable response time is experienced by the Customer, or two or more of their clients Restoration time for Severity 2 incidents is not more than two (2) hours. Targets for resolution of Serious Incidents, Severity 1 and Severity 2 High Impact incidents are taken into account in the calculation of the agreed total of Wholly Unavailable Hours per Service Period. Severity 3 Medium Impact Incidents : End of Day Clearing Processing is delayed or File Transfer to Customer is delayed, or Customer is unable to use one or more Management Functions or report availability. Restoration time for Severity 3 incidents is not more than four (4) hours providing that the drop dead time on the end of day processing and file transfer is not compromised. Severity 4 Low Impact Incidents : Any other reported incidents. Restoration time for Severity 4 incidents is not more than twelve (12) hours. The incident and escalation processes are described in section 2.7	

MANAGED SERVICE	SERVICE START TIME	SERVICE CLOSE TIME	SERVICE TARGET	SERVICE THRESHOLD and EXCLUSIONS
CPS 9 — Software Maintenance Service			Maintenance of Software to maintain service targets. Correction of known or suspected errors, through the release of fixes, service packs and or new releases of software. Severity 1 errors include: software defects that significantly disrupt the availability of services, for example by impacting availability or by reducing functionality at critical periods, and where no viable work around exists. The resolution of a Severity 1 error will be accorded the highest priority by the Supplier, which may result in delay to other programmes or projects. Severity 2 errors include significant defects in software that impacts availability or functionality of services. The error may have a business or technical work around or the frequency of the incident which caused it may be such that it does not significantly impact service levels. The timescales for resolution of a Severity 2 error will be agreed between the Parties, fixes will be delivered either as part of a future software release or as a scheduled service pack which may include the resolution of other errors. Severity 3 errors include minor software defects not significantly impacting availability or functionality of services. Resolution of Severity 3 errors will be undertaken when it is convenient, e.g. if the software is being worked on for other reasons. A review of all outstanding errors will be conducted by the Parties.	

MANAGED SERVICE	SERVICE START TIME	SERVICE CLOSE TIME	SERVICE TARGET	SERVICE THRESHOLD and EXCLUSIONS
CPS 10 — Service Level Management Service			Supplier shall ensure that the following events take place at the end of each Service Period in accordance with time scales set out below: +5 trading days : a report containing actual levels of services provided. To include actual levels of service achieved against service levels documented; trend analysis of historical service level performance; summary information of reported Incidents arising during the Service Period and proposed timetable for correction; Service Improvement plans, current status and proposed new plans; Service metrics correlating to the thresholds within the SLA. +10 trading days : a review meeting shall be held to discuss the report. +12 trading days : review meeting minutes shall be distributed. Outside of the Service Review the Parties shall periodically review: Service, performance and capacity thresholds to determine the proximity of current volumes to service thresholds; Change Management historical analysis and forward schedule for the immediate following 3 months Where applicable preventive maintenance schedules for the immediate following 6 months. The Service Management roles and responsibilities are described in section 2.9	

<u>MANAGED SERVICE</u>	<u>SERVICE START TIME</u>	<u>SERVICE CLOSE TIME</u>	<u>SERVICE TARGET</u>	<u>SERVICE THRESHOLD and EXCLUSIONS</u>
CPS 11 — Backup and Restore service			Backup Service — Daily Backup of all data processed by and resulting from the Functional Services to primary backup media, as an integral part of the backup cycle which captures all reports and transaction data each Trading Day. Primary backup media is stored in a secure offsite location, by the Supplier's archival supplier, for a minimum for 7 years. The Supplier retains and maintains the equipment necessary to restore data from this media for that 7 year period. Media recall for offsite backup tapes can be made via scheduled delivery (24 hours), or within 5 hours, as a chargeable service by the archival supplier. Restoration requests from the Customer are to be requested via the Change Control Process. Daily Backup to a secondary copy is kept on site for 4 weeks then reused within the backup cycle. The Supplier provides a restoration service: If request is < 3 days from data creation then restoration completion target is 3 working days If request is > 3 days from data creation then restoration completion target is 10 working days	Maximum of 10 media recall requests per Service Period. Maximum of 10 restoration service requests per Service Period
CPS 12 — Disaster Recovery Function			Supplier shall maintain at all times a backup facility capable of providing the CPS service in the event of a disaster affecting the data centre from which the current instance of TRS/CPS is running. Targets are: Establishment of capability Recover service to the point of failure with no loss of data or transaction information within 4 hours following invocation BCP testing to be undertaken twice a year and a report to be provided by the Supplier to the Customer within 10 Business Days of such test.	

2.6 File Transfer Performance Targets

Critical File	Direction	Frequency	Expected	Maximum	Latest
Span File	Supplier -> Customer	Daily	5 minutes from Load Sett ²	10 minutes from Load Sett	23:00
Position File	Supplier -> Customer	Daily	10 minutes from EOS	20 minutes from EOS	01:00
Margin File	Supplier -> Customer	Daily	10 minutes from EOS	20 minutes from EOS	01:00
Position Note File	Supplier -> Customer	Daily	10 minutes from EOS	20 minutes from EOS	01:00
Routine File	Direction	Frequency	Expected	Maximum	Latest
Trade File	Supplier -> Customer	Daily	40 minutes from EOD ³	60 minutes from EOD	03:00
Open Interest	Supplier -> Customer	Daily	10:00	11:00	12:00
Banking Reports	Customer -> Supplier	Daily	Publication within 1 hour of receipt	Publication within 2 hours of receipt	Publication within 3 hours of receipt

2.7 Incident and Escalation Processes

- 2.7.1 Support Services shall be provided by the Supplier to assist the Customer with the proper operation and smooth running of the services.
- 2.7.2 Upon receipt of a call to the Supplier Service Desk the Supplier will set the severity of the call to reflect the business impact. Once the severity is set in accordance with CPS 9, it shall not be changed with the exception of escalation of incidents. Each severity rating will have a target resolution time, which is described under support services in section 2.5.
- 2.7.3 The target time to restore an adversely impacted service is defined in section 2.5. The target restoration time is measured from the time the incident is reported to the Call Management Function to the time the impacted process or function is restored.

2.8 Escalation Procedure

- 2.8.1 Call and Incident Management includes an escalation process which may be invoked at any time by the Customer during the hours of service availability.

-
- 1.2. ²“Load Sett” is the Management Function through which settlement prices are loaded into the Clearing Service. The SPAN File is generated as a result of this function.
- 1.3. ³“EOD” is the system event that indicates that all post-trade activities have been completed. End of Day Clearing Processing is initiated at this time.

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- 2.8.2 The procedure to instigate escalation is detailed in Schedule 6 to this Agreement. The process can be invoked by the Customer contacting the IT Duty Manager directly and invoking a Serious Incident.
- 2.8.3 Serious incidents can be raised by the IT Duty Manager on receipt of an issue raised or the support analyst escalating an issue from the monitoring tools or checks put in place to identify serious incidents.
- 2.8.4 Once a Serious Incident has been identified the IT Duty Manager will escalate to the Duty Incident Manager who will take control of the incident through to resolution.
- 2.8.5 If the incident is identified as a Severity 1 (service impacting) then the Duty Incident Manager will contact the Duty Director and Service Manager who will set up a conference call with the Customer. Incidents deemed as Severity 2 will be escalated to the Duty Director and Service Manager after 120 minutes.
- 2.8.6 Customer Responsibilities shall be to provide accurate and complete information to the extent that it is available to the Customer when placing a call with the Call and Incident Management Service.

2.9 Service Management and Service Reviews

- 2.9.1 The Supplier shall provide manage the Service in order to review the service specifications originating from the Customer, develop new services or propose amendment to existing Services.
- 2.9.2 The Supplier shall also track performance of the Supplier in delivering the Services against the service targets set out in 2.5.
- 2.9.3 The Supplier shall also provide an escalation vehicle in the event the Customer is dissatisfied with the level of service provided by the Supplier in addition to the incident escalation process.
- 2.9.4 At the end of each Service Period, the Supplier shall provide information pertaining to the services provided for the entire Service Period. A Service Level Report shall be produced to show the actual service provided compared to service targets.
- 2.9.5 The Supplier shall organise and chair review meetings, and shall minute and publish the outcome of service review meetings.
- 2.9.6 Responsibilities
 - The Supplier and Customer agree to attend Service Level reviews and provide feedback as appropriate.
 - The Supplier and Customer shall nominate a representative to act as single point of contact known as the Contract Manager (Customer) and Service Manager (Supplier).
 - The Supplier and Customer shall attend scheduled and ad-hoc service review meetings with the Service Manager on an agreed frequency and at an agreed location.
 - The Customer shall review service level reports and raise any concerns or anomalies with measurement data with Supplier Service Manager.

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2.9.7 The parties shall notify each other in writing from time to time of the persons authorised by each as a contact for each of the following areas of responsibility, assuming the titles, described below. Authorised deputies may be assigned to cover periods of absence of nominated individuals:

- The Supplier

Title	Area of responsibility
Service Manager	Service Level Management
IT Duty Manager	Management of Supplier Service Desk
Account Manager	Pricing and Service extensions

- The Customer

Title	Area of responsibility
Contract Manager	Management of the service and contract terms and conditions
Service Desk Manager	Management of Supplier Service Desk

Schedule 3 — CHARGES

3.1 Purpose

3.1.1 This schedule sets out the Charges, which shall apply to all amounts payable in respect of this Agreement.

3.2 Scope

3.2.1 A Service Charge will be levied in advance of each Monthly Service Period.

3.2.2 Fee Rates will apply to Changes carried out under the provisions of Schedule 5 (Change Control) of this Agreement or Schedule 4 (Disengagement Services).

3.3 The Charges

3.3.1 A Service Charge of [***] will be made for the first and subsequent Monthly Service Periods subject to revisions in accordance with section 3.4 of this schedule.

3.3.2 Work undertaken in association with Changes will be invoiced on a monthly basis. A final invoice will be levied on completion of a change which will be signified by the acceptance of the Change by an authorised member of ICE Clear.

3.3.3 Charges in respect of Changes will be based upon the Fee Rates specified in Section 3.3.4 of this schedule or shall be as otherwise agreed between the Parties.

3.3.4 The Fee Rates chargeable in respect of any Changes commissioned under this Agreement shall be in accordance with the Fee Rates applicable in relation to the supply of TRS by the Supplier to ICE Futures Europe.

3.3.5 The above Fee Rates are subject to review as described in Section 3.4.2 of this schedule and exclude V.A.T. which is charged at the prevailing rate. Any long term projects are subject to preferential rate discussions.

*** Confidential information on this page has been omitted and filed separately with the Commission. Confidential treatment has been requested with respect to the omitted portions.

3.4 Variation of Charges

- 3.4.1 On each anniversary of the Go Live Date, Supplier reserves the right to increase the Service Charge by an amount equal to 75% of the percentage increase in RPI over the last twelve months for which figures are available.

3.5 Disengagement Charges

- 3.5.1 Charges for Disengagement referenced in Schedule 4 of this Agreement will be levied at the then prevailing Fee Rates for the relevant activities.

3.6 Incentive Scheme

- 3.6.1 The Parties have agreed to implement a scheme to incentivise the Supplier to achieve service excellence when delivering the Services (the **"Incentive Scheme"**) which shall operate from the Commencement Date.
- 3.6.2 The Incentive Scheme shall comprise a pool the total value of which will be 10% of the annual value of the Service Charge. The scheme is based on the principal of shared risk so that the pool will be equally funded by the Supplier and the Customer.
- 3.6.3 **Monthly Bonus and Debit Scheme**
- 3.6.3.1 The two Key Service elements, CPS1 — Production Environment Clearing Functions Availability and CPS2 — Production Environment End of Day Clearing Processing Time will be measured on a monthly basis such that:
- a. a service or service element that exceeds its service level will result in the Supplier accumulating bonus (positive) points ("Credits") in accordance with the formulae set out in clauses 3.6.7 and 3.6.8 of this schedule (a service or service element that meets its service level equates to zero bonus points);
 - b. a service or service element that does not meet its service level will result in the Supplier accumulating debit (negative) points ("Debits") in accordance with the formulae set out in clauses 3.6.7 and 3.6.8 of this schedule.
 - c. The value of each bonus and debit point shall be 0.05% of the monthly Service Charge.
- 3.6.3.2 At the end of each month the total number of accumulated bonus (positive) points will be added to the total number of accumulated debit (negative) points, and;
- a. if the resulting points total is positive, the Supplier will be entitled to a sum equivalent to the number of positive points multiplied by the value of each point for that month; or
 - b. if the resulting points total is negative the Supplier will not be entitled to a payment for that month.
- 3.6.4 **Service Stability Periods**

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3.6.4.1 The application of Credits or Debits for the Incentive Scheme under this Schedule may be waived during a period following a significant change to the Services. Such changes may include:

- c. Hardware platform
- d. Software upgrade
- e. Increased product listings by the Customer

3.6.4.2 The purpose of the stability period is for the parties to evaluate the performance of the Services, and to agree any adjustments to the Incentive Scheme.

3.6.4.3 The period of such a stability period is to be agreed by the Parties.

3.6.5 Bonus and Debit Points Allocation

3.6.5.1 A maximum of 100 bonus points and 100 debit points have been allocated to the Monthly Bonus and Credit Scheme which are allocated to two applicable Service elements

3.6.5.2 The allocation of each of the allocated points to the individual services will be split 50 / 50 between the services applicable to the Monthly Bonus and Debit Scheme.

3.6.6 Review

3.6.6.1 The Parties shall review the Incentive Scheme at least annually and will co-operate to seek consensus to incorporate, any applicable modifications to the Incentive Scheme that may have arisen as a result of Changes.

3.6.7 Formula for Availability and Performance Service Elements

3.6.7.1 Points for service elements based upon availability percentages are calculated by prorating the achieved performance percentage below or above the Service Target each month and using the resultant variance to determine the positive or negative points accumulated for that service element.

3.6.7.2 Maximum points are achieved for performing 100% to SLA, Performance at the SLA target shall equate to 0 (Zero) points and maximum negative points where the performance fails by equal to or more than the percentage difference between the target and 100%.

3.6.7.3 Example 1:

- a. Assume the target is 99.6% and the number of points allocated is 50, maximum points are achieved at 100% achieved performance (50 Points), Zero points are scored when the performance is 99.6% and maximum negative points are scored when the service falls at or below 99.2% (-50 points)
- b. If the achieved percentage is 99.8% the number of points scored will be half way between the SLA target and 100%, therefore the points scored will be 25

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- c If the achieved percentage is 99.3% the number of negative points will be three quarters between the maximum negative point performance and the Target, therefore the point's allocation will be -37.5 points.

3.6.8 Formula for Deadline Service Elements

3.6.8.1 Points for service elements based on deadlines are calculated by subtracting the total number of debit points accrued for breaching the deadline from the maximum bonus points available for the applicable service element. A service element that misses the final deadline accrues maximum debit points for that service element for that month.

3.6.8.2 Example 2

- a. Assume the total number of point allocated is 50
- b. The Service Target is no more that 2 breaches of the Maximum Time, therefore the number of points allocated for each breach will be -25.
- c. If the Drop Dead Time is breached at any point during the Service period the points will be scored at maximum negative points i.e. -50
- d. If there is one breach of during the Service period and no breaches of the Drop Dead Time the points score will be $50 - 25 = 25$
- e. If there are three breaches of the Maximum Time during the Service period and no breaches of the Drop Dead Time the points score will be $50 - 75 = -25$
- f. If there is one breach of the Drop Dead Time regardless of the performance of the maximum time the points score will be -50

Schedule 4 — DISENGAGEMENT PLAN

4.1 Disengagement Services

- 4.1.1 The Supplier and the Customer shall each appoint a Disengagement Manager and provide written notification of such appointment to each other within three months of the Commencement Date. The Supplier's Disengagement Manager shall be responsible for ensuring that the Supplier and its employees and agents comply with this Schedule. The Supplier shall ensure that its Disengagement Manager has the requisite authority to arrange and procure any resources of the Supplier as are reasonably necessary to enable the Supplier to comply with this Schedule 4. The Disengagement Managers shall liaise with one another in relation to all issues relevant to termination or expiry and all matters connected with this Schedule 4 and each party's compliance with it.
- 4.1.2 The Supplier shall provide reasonable assistance and information to the Customer to enable the orderly transition and migration of the Services from the Supplier to the Customer or its nominated alternative service supplier in the event that the Customer requests it in accordance with paragraph 3 below ("Disengagement Services"). For the avoidance of doubt the Supplier is responsible for the overall management of the Disengagement Services.

4.2 Disengagement Period

- 4.2.1 The Disengagement Services will be provided as soon as is reasonably practicable from the date that the Customer first requests those services (which shall not be any earlier than 6 months prior to the expiry of the Agreement ("the Commencement of Disengagement")) until the expiry of 13 months from the Commencement of Disengagement (or such lesser period agreed with the Customer in writing) ("Disengagement Period").
- 4.2.2 For the avoidance of doubt, the Disengagement Services shall be provided regardless of the reason for the expiry or termination of the Agreement.

4.3 Disengagement Plan

- 4.3.1 The Supplier shall, at least 60 days prior to the Commencement of Disengagement, agree with the Customer a written plan demonstrating how and when the Supplier will fulfil its obligations under this Schedule 4 (the "Disengagement Plan"). The Supplier shall provide the first draft of such Disengagement Plan 120 days prior to the Commencement of Disengagement. If the Parties are unable to agree the contents of the Disengagement Plan 90 days prior to the Commencement of Disengagement, either party may refer the matter for resolution in accordance with the provisions of clause 27 and Schedule 6.
- 4.3.2 The Disengagement Plan shall include the following:
- (a) address each of the issues set out in this Schedule 4 to facilitate the transition of the Services from the Supplier to the Customer's nominated alternative service supplier and/or the Customer and

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shall ensure that there is no disruption in the supply of the Services and no deterioration in the quality of delivery of the Services during such transition;

- (b) detail how the Services will transfer to the nominated alternative service supplier and/or the Customer including details of the processes, documentation, data transfer, systems migration, security and the segregation of the Customer's technology components from any technology components run by the Supplier or any of its sub-contractors (where applicable);
- (c) provide for the transfer of historic information to an extent required by the Customer to meet its regulatory reporting/audit requirements;
- (d) assist in the transition of Member Firms and Member Firms to an alternative clearing processing system through the provision of information relating to the feeds and reports that are made available to members and Member Firms in accordance with the terms of this Agreement;
- (e) specify the scope of the Disengagement Services that may be required by the Customer, and detail how such services would be provided (if required) during the Disengagement Period (for the avoidance of doubt any such Disengagement Services shall be provided in accordance with the rates specified for the Charges);
- (f) provide a timetable within the Disengagement Period and identify critical issues in relation to the provision of the Disengagement Services; and
- (g) set out the management and escalation structure to be put in place and employed during the Disengagement Period.

4.4 Continued Provision of Services

- 4.4.1 The Supplier shall, as part of the Disengagement Services and to the extent requested in writing by the Customer, continue to provide the Services in accordance with the Agreement from the date of termination or expiry of the Agreement until expiry of the Disengagement Period.

Schedule 5 — CHANGE MANAGEMENT

5.1 Overview

- 5.1.1 The Change Control Procedures set out in this Schedule (including where relevant the Appendices) shall be used whenever the Customer or the Supplier has a requirement to change any component of the Services, Until such time as a Change is made in accordance with the Change Control Procedure, the Supplier shall, unless otherwise agreed in writing, continue to perform its obligations under this Agreement in compliance with its terms prior to such Change
- 5.1.2 A Change Request Document shall refer to a paper or electronic document that accurately records all required information and authorisation (physical or electronic) specified in this Change Control Procedure in respect of the Change Request which will generally be in the form of Appendix II completed as appropriate. Any changes to the Change Request Document or the technology used must be agreed between the Parties.
- 5.1.3 The parties shall designate individuals to negotiate and authorise the commercial aspects of Changes; on behalf of the Customer (the **“Commercial Manager”**), and on behalf of the Supplier (the **“Account Manager”**).
- 5.1.4 The Supplier will assign a **“Delivery Manager”** who is responsible for the overall management and scheduling of all work related to the Change Request. The Delivery Manager shall be responsible to the Customer for all aspects of Change Request including without limitation technology, design, progress and issues arising. The Delivery Manager, with notification to the Customer, may nominate a Project Manager to undertake any stage of any Change Request. However, the Delivery Manager remains responsible for all deliverables.
- 5.1.5 The Customer shall appoint an individual (the **“Customer Change Manager”**) to liaise with the Delivery Manager on all technical and delivery aspects of a particular change request.
- 5.1.6 Day to day administration of the Change Control Procedures will be performed on behalf of the Account Manager by an individual so nominated (the **“Change Administrator”**). A similar role may also be nominated on behalf of the Customer.
- 5.1.7 The representative of the Party requesting the Change will be referred to hereinafter as **the “Change Requester”**.
- 5.1.8 Throughout the Change Control Procedures the Customer and the Supplier shall use reasonable endeavours to ensure that appropriate personnel are available to give to the other party any requested information or resources pertaining to a Change Request.
- 5.1.9 The effort involved in preparation of an Initial Assessment for most Change Requests will be non-chargeable. However the Supplier would like to reserve the right to negotiate with the Customer for a separate chargeable pre-assessment in the event that this entails a material effort. .

5.2 Submit Change Request

- 5.2.1 Either party may initiate a Change Request Document by submitting all of the information, as set out in Appendix 2 under the section entitled Change Requester Details and Authorisation, and also a title for the Change Request.
- 5.2.2 Prior to submission a Change Request Document must be authorised for submission by at least the Account Manager or the Commercial Manager.

5.3 Acknowledge Change Request

- 5.3.1 On receipt of the Change Request Document, the Change Administrator shall acknowledge such receipt by issuing a number to correspond with the Change Request Document, and noting on the Change Request Document information requested in Appendix 2 under the section entitled 'Change Request Acknowledgement by the Supplier'
- 5.3.2 The Change Administrator will then send to the Change Requester and Delivery Manager a copy of the acknowledged document with acknowledgement details within two (2) Working Days from receipt of the Change Request Document.

5.4 Preliminary Review of Change Request

- 5.4.1 Following the acknowledgment of receipt of the Change Request Document, the Delivery Manager will undertake a preliminary review of the Change Request Document to ensure that the Change Requester has provided the requisite details, scope and priority, and will liaise with the Change Requester to obtain and agree the submission content of the Change Request Document
- 5.4.2 The Supplier will not proceed with further assessment of the Change Request until and unless the submission content is agreed or the Parties agree otherwise.
- 5.4.3 The Account Manager shall contact the Commercial Manager to discuss whether the Initial Assessment of the Change Request is to be chargeable.
- 5.4.4 The Account Manager and Commercial Manager, shall authorise the commencement of an Initial Assessment by signing the appropriate section of the Change Request Document. Where there is no charge for the Change Request, the Delivery Manager and Customer Change Manager shall authorise commencement of the Initial Assessment.
- 5.4.5 Any work done by the Supplier in producing the Initial Assessment shall usually be non-chargeable, however where the Account Manager determines the Initial Assessment to be chargeable, this will be agreed with the Commercial Manager prior to starting the stage of Initial Assessment.

5.5 Initial Assessment

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- 5.5.1 The Supplier shall complete the Initial Assessment within ten (10) Working Days unless agreement to the contrary is reached by the parties in relation to the Change Request.
- 5.5.2 As applicable to the particular Change Request, the Supplier will assess the Change Request and shall document and deliver to the Customer the Initial Assessment, which comprises,
- (i) the solution options which would satisfy the Change requested;
 - (ii) all information as set out in Appendix 2 under the section entitled 'Initial Assessment Completed'
 - (iii) an estimate of the Charges and a reasonable breakdown of same, which would be associated with implementation of the Change requested; and
 - (iv) an assessment of how the Change Request maintains or improves service levels of the Services and affects the Charges.
- 5.5.3 The parties acknowledge that the solution options, and other information, provided during the course of the Change Control process may contain proprietary information which will be subject to the Confidentiality terms of this Agreement.
- 5.5.4 Agreement to proceed will require authority from the Commercial Manager to accept charges associated with future stages by signature on (or providing email approval of) the Change Request Document.

5.6 Acceptance of Initial Assessment

- 5.6.1 Commercial Manager shall respond either with agreement to proceed or a decision not to proceed with the next stage within ten (10) Working Days of receipt of the Initial Assessment (or as otherwise agreed by the parties in the relevant Change Request).
- 5.6.2 If the Initial Assessment is rejected and no further work on the Initial Assessment is to be undertaken, the Change Request shall be closed in accordance with the cancellation procedures defined in Section 5.11 of this Schedule.
- 5.6.3 If the Initial Assessment is rejected and it is agreed that additional work on the Initial Assessment is to be conducted, the process will be repeated from Section 5.5 to determine and revise the Initial Assessment.
- 5.6.4 If the Account Manager and Commercial Manager agree to the Initial Assessment, then they will indicate such acceptance on the Change Request Document by signing (or providing email approval of) the appropriate section of the Change Request Document.
- 5.6.5 Once the parties have accepted the Initial Assessment, a detailed plan may be prepared if this is indicated as being required. Otherwise this step will be omitted and the Supplier shall commence implementation as defined in section 5.9

5.7 Plan

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- 5.7.1 If required, the Delivery Manager will then coordinate the production of a “plan” for the requested change and shall use reasonable efforts to complete the plan [within 5 days of the finalising of the Initial Assessment]. Each such plan will include:
- (i) a schedule for implementation of the Change requested; and
 - (ii) the Charges which would be associated with implementation of the requested Change.
- 5.7.2 Once the plan has been completed, the Account Manager will attach to the relevant Change Request Document a copy of the detailed plan and provide to the Commercial Manager and the Customer Change Manager a copy of such plan.
- 5.7.3 Supplier shall ensure in so far as is reasonably practicable that the resource allocated to carry out a Change Request shall be the most effective mix of skills and ability to meet the change.

5.8 Acceptance of Plan

- 5.8.1 Thereafter, the Account Manager and Commercial Manager, will review the completed plan and determine (i) whether to accept or reject the plan and (ii) if the plan is rejected, whether to file the Change Request Document and close the matter or to continue working on the plan.
- 5.8.2 If the plan is rejected and no further work on the plan is to be undertaken, the change request shall be closed in accordance with the cancellation procedures defined in Section 5.11 of this Schedule.
- 5.8.3 If the Plan is rejected and it is agreed that additional work on the Plan is to be conducted, the process will be repeated from Section 5.7 onwards to determine and approve new estimates for the Initial Assessment and plan.
- 5.8.4 If the Account Manager and Commercial Manager accept the plan and its commercial terms, then they will indicate such acceptance by signing the appropriate section of the Change Request Document or by email approval.

5.9 Implement Solution

- 5.9.1 On receiving Customer approval of the plan (or Initial Assessment where a plan is not required), the Delivery Manager will coordinate the implementation of the Change requested as per the plan and will periodically provide to the Customer a report of the current status of the implementation of the Change requested.
- 5.9.2 At any time during the implementation of the solution, the Parties may agree that either the scope of the Change Request requires amendment or that the circumstances have changed due to external or internal factors; as a result either party may request a return to the Plan stage or the Initial Assessment.
- 5.9.3 As applicable to the particular Change Request, the agreed process for delivery may include a number of “checkpoints” where stages of the delivery are approved by the Customer.

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- 5.9.4 When the requested Change has been successfully implemented, the Delivery Manager shall indicate such completion by signing the appropriate section of the Change Request Document.

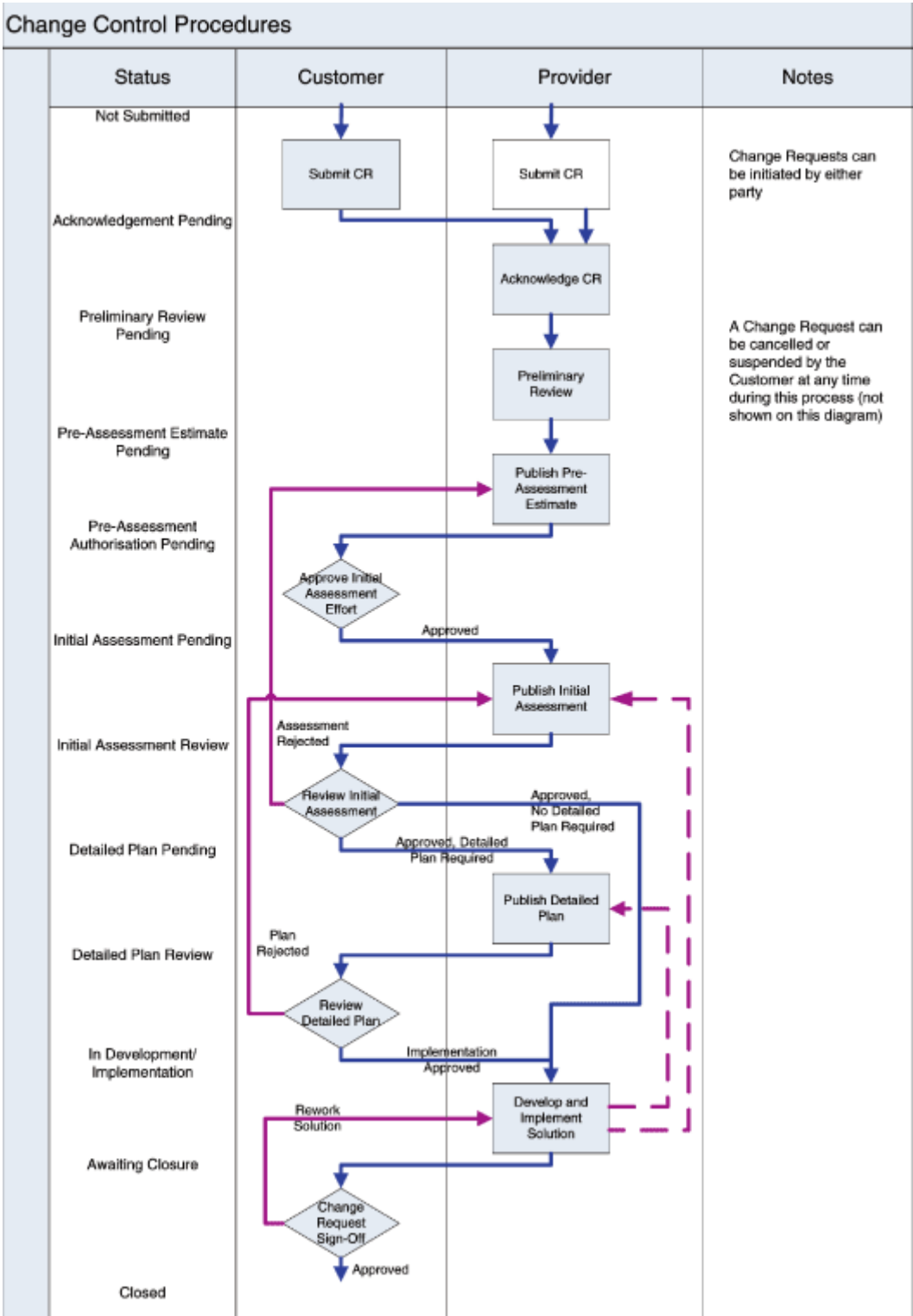
5.10 Complete Change Request

- 5.10.1 Once implementation has been completed, the Commercial Manager will indicate final acceptance by signing the appropriate section of the Change Request Document.
- 5.10.2 The Account Manager will thereafter (i) arrange for a final invoice to be sent to the Customer for any remaining Charges associated with the assessment, planning, design, build, test, and or implementation as appropriate of the requested Change and (ii) file the completed, and fully executed, Change Request Document.

5.11 Cancellation or Suspension

- 5.11.1 A Change Request may be cancelled or suspended by the Customer at any stage in this process, if authorised by the Commercial Manager. In these circumstances, the Customer will be liable for the Charges due up to the time the Change Request was cancelled or suspended provided that the Customer approval had been given post the Initial Assessment. In addition, the Customer may be liable for further Charges relating to the costs incurred by the Supplier in cancelling or suspending work on the Change. The Supplier will endeavour to minimise the Charges through redeploying resources where possible and or cancellation of orders. The Account Manager and the Commercial Manager shall discuss in good faith the financial implications of such cancellation or suspension, and agree the Charges to be applied.
- 5.11.2 Once a Change Request has been cancelled, and the final payment terms agreed between the Customer and Supplier, the Supplier shall file the Change Request Document and close the matter accordingly.
- 5.11.3 If a Change Request has been suspended all Initial Assessments and detailed plans prepared for that Change Request become null and void. If the Customer wishes to continue work on the Change Request, the Account Manager and the Commercial Manager shall discuss and agree the appropriate assessment or planning phase of the Change Control Procedures at which work will commence. Restarting work requires the authorisation of both the Commercial Manager and the Account Manager.

APPENDIX 1



APPENDIX 2
Change Request Document

Change Request No.
Change Request Title:

Change Requester Details & Authorisation

Name of Change Requester : _____ Date of Request: ____/____/____

Party Requesting Change:
____ The Supplier
____ Customer

Description of Change

- 1.1.
- 1.2.

Continued on separate sheet — YES/NO

Reason for Requested Change

Continued on separate sheet — YES/NO

Change Request Acknowledgment by the Supplier

Date Request Received: ____/____/____ Change Request Number Issued: _____

Date Number Issued: ____/____/____ Number Issued
by: _____

Acknowledgement Sent: ____/____/____

Name of Supplier Delivery Manager: _____

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Pre-Assessment Estimate:

Pre-assessment estimated effort (days): _____ Pre-assessment estimated price (£): _____

Pre-Assessment Estimate Accepted

Each of the signatories below hereby represents that he or she is authorised to agree to the pre- assessment estimate on behalf of the entity for which he or she has signed:

The Supplier (Account Manager/Delivery Manager) :

Name: _____ Signature: _____ Date: ____/ ____/ ____

Customer (Commercial Manager/Customer Change Manager) :

Name: _____ Signature: _____ Date: ____/ ____/ ____

Initial Assessment Completed:

(A copy of the written results of the initial assessment is to be attached.)

Agreed Initial Assessment Completion Date: ____/ ____/ ____

Initial Assessment Accepted

Estimated Elapsed time to implement (days): _____ Estimated effort (days): _____

Estimated charge (£): _____

Detail Plan required (Y/N): _____ Estimated Completion Date of Detailed Plan ____/ ____/ ____

Each of the signatories below hereby represents that he or she is authorised to agree to the initial assessment estimate on behalf of the entity for which he or she has signed:

The Supplier (Account Manager) :

Name: _____ Signature: _____ Date: ____/ ____/ ____

Customer (Commercial Manager) :

Name: _____ Signature: _____ Date: ____/ ____/ ____

Detailed Plan Completed

(A copy of the written results of the detail plan stage is to be attached.)

Detailed Plan Agreed; Implementation to Commence

Each of the signatories below hereby represents that he or she is authorised to accept the Detail Plan on behalf of the entity for which he or she has signed:

The Supplier (Account Manager) :

Name: _____ Signature: _____ Date: ____/____/____

Customer (Commercial Manager) :

Name: _____ Signature: _____ Date: ____/____/____

Change Request Agreed

Each of the signatories below hereby represents that he or she is authorised to accept the Change Request as completed on behalf of the party for which he or she has signed:

The Supplier (Delivery Manager) :

Name: _____ Signature: _____ Date: ____/____/____

Customer (Commercial Manager) :

Name: _____ Signature: _____ Date: ____/____/____

Schedule 6 — CONTRACT MANAGEMENT

6.1 Account Manager and Supplier Service Manager

- 6.1.1 **Appointments.** The Supplier shall appoint and inform the Customer of the identity of a service manager to oversee the delivery of the Services (the “Supplier’s Service Manager”). In addition the Supplier and Customer shall both appoint and inform the other of the identity of an account manager (“Account Manager”) to oversee the commercial relationship between the Parties. Each Party shall promptly notify the other Party in writing of any substitutions or replacements of Supplier’s Service Manager or Account Manager, as applicable, and shall take all reasonable steps to minimise any potentially adverse effects of such changes.
- 6.1.2 **Meetings.** At least monthly, the Supplier’s Service Manager will meet in person or conference on the telephone, or as the Parties may agree (“Service Review Meeting”) the Account Manager’s and other invited parties from either side (a) to review the Services and discuss the day-to-day operational issues arising from the provision of such Services, including any management or financial issues relating to the Services; and (b) to review the Service Levels provided during the Service Period. The Supplier shall, in consultation with the Customer Account Manager, prepare (a) a report regarding the performance of the Services (a “Service Report”); and (b) minutes of the Service Review meeting. If the Parties are in dispute in relation to any matter raised in the Service Review Meeting, either Party may refer such disputed issue to the Governance Committee.
- 6.1.3 **Reports for the Governance Committee.** The Account Managers and Supplier’s Service Manager shall work together to prepare reports relating to (i) any issue requiring escalation to the Governance Committee in accordance with Paragraph 6.1.2 above, and (ii) any other matters the Parties wish to present to the Governance Committee, including, for example, Supplier’s performance of the Services.

6.2 The Governance Committee

- 6.2.1 **Composition of the Committee.** In accordance with such terms as the Parties agree, the Parties shall establish a “Governance Committee.” The Customer Account Manager shall chair the Governance Committee. Constitution of the remaining members of the first Governance Committee shall be as agreed between the Parties in writing (agreement to any such change not to be unreasonably withheld by either party) from time to time
- 6.2.2 **Objectives.** The objective of the Governance Committee is to act as an escalation point from the Service Review Meeting and for each Party to raise and address any issues that may arise with respect to the Services, including but not limited to: (a) issues that have not been resolved between the Account Manager’s (b) Change Requests regarding the Services; (c) issues relating to the Services; and (d) Supplier’s performance of the Services.

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6.2.3 **Meetings.** The Governance Committee shall meet in person or conference by telephone, or as the Parties may agree, at least quarterly. Meetings of the Governance Committee may be called upon reasonable notice by either Party who may co-opt representatives of project or programme boards as appropriate.

6.2.4 **Escalation.** In the event that any issues raised at a Governance Committee meeting are not resolved, the issue may be escalated as a Dispute and the parties shall follow the procedure set out in Paragraph 6.4.

6.2.5 **Reports.** At any meeting of the Governance Committee, the Parties may present (a) Change Requests under consideration pursuant to the Change Control Procedure; and (b) any Reports provided that such Change Requests and or Reports have been distributed to each Governance Committee member prior to such meeting. For the avoidance of doubt, Change Requests may be made at any time during the Term of this Agreement.

6.3 Representatives

6.3.1 The Account Manager for either Party will be automatically deemed to be the Representative of that Party.

6.4 Dispute Resolution.

6.4.1 Any Dispute which may arise with respect to any matter or thing arising out of or in relation to this Agreement shall be referred for discussion in good faith and resolution by the Representative of each party. If agreement is not reached at that level within 14 days of such referral, the Parties will endeavour to resolve the issue using the Governance Committee. If the matter cannot be resolved in that forum, the matter shall be referred to the respective Chief Executive Officers of the Supplier and the Customer who shall endeavour in good faith to reach agreement within a period of 14 days from the matter first being referred to them. This Paragraph 6.4.1 shall not apply to Disputes which have already been referred to the Governance Committee.

6.4.2 Any dispute not settled after following the processes set out above either at Paragraph 6.4.1 or in accordance with Paragraph 6.2 may, by agreement, be referred to a panel of arbitrators (the "Panel") constituted as follows:

- the parties shall appoint one member each; and
- the third member who shall act as chairman of the Panel shall be appointed by the President for the time being of the International Chamber of Commerce.

6.4.3 Each party shall pay the fees and disbursements of its own member and half the fees and disbursements of the chairman of the Panel.

6.4.4 Arbitration proceedings under this clause may be commenced by any party to a dispute following failure by the respective Chief Executive Officers of both Parties to resolve the issue in the timeframe outlined in this clause, by:

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- serving upon the other or others notice of its intention to refer such dispute to arbitration and nominating a member of the Panel; and
- requesting the President of the International Chamber of Commerce for the time being to appoint a chairman of the Panel.

6.4.5 The Panel shall determine its own rules of procedure.

6.4.6 The Panel will have the right to allocate the costs of the arbitration as between the parties.

Schedule 7 — Security

7.1 Purpose

7.1.1 This schedule addresses:

- access to the Supplier Production Environment. This includes system, application, local and remote access;
- data security. This includes the requirements to restrict the data presented and fields to selected groups of users; and
- physical security. Applicable to locations and equipment where the Customer data is held and/or from which the Services are delivered.

7.1.2 References to security in this schedule refer to security from risk of loss, misuse, theft, damage and destruction, as applicable, of the relevant item.

7.1.3 Supplier agrees that it will work with the Customer to ensure that all relevant security measures, standards, processes and arrangements implemented in accordance with this Schedule will be consistent with ICE group security standards (“the ICE Group Standards”) which are currently in place, and as such ICE Group Standards might change from time to time.

7.2 Requirements

7.2.1 Physical Security

- Supplier will ensure that all CPS hardware installed on the Supplier managed premises is situated in areas with adequate physical security controls.
- Supplier shall be responsible for ensuring the physical location where the Service is delivered from is secure. Access to the Production and Back Up location shall be via a recognised mechanism, e.g. swipecard, keypad etc. All Supplier Production and Back Up Environments will be housed within appropriately managed industry standard machine rooms.

7.2.2 Passwords

- All access to the system shall be controlled by username and password. Passwords shall be of a minimum length, have no repetition within an agreed period and be forcibly changed on a monthly basis.
- All unused accounts shall be automatically de-activated after one (1) Month.
- Supplier shall create, amend and delete ICE Clear users’ access rights to the applications within a 24 hour period from the initial request.

7.2.3 System Access

- Supplier shall ensure that any required update access to:
 - o the operating system;
 - o the database; and
 - o the application code

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is controlled by only allowing such access to specific Supplier staff who are authorised and where such authority is required to ensure proper functioning of the System.

- Supplier's application shall provide a rules based facility that allow subsets of the Data to be presented to the User. They shall include:
 - o all Data;
 - o Data by Clearing Member Firm; and
 - o Data by Clearing Member Firm and associated Non Clearing Member Firms and/or registered traders;

7.2.4 Supplier shall ensure that changes to the application are tested before release into the Production Environment.

7.2.5 In providing CPS the Supplier will ensure that all Data on the System is held securely and only made available in accordance with the permissions specified by the Customer;

7.2.6 Supplier shall ensure that appropriate back ups of both the system and standing data are maintained in line with commercially reasonable efforts.

7.3 Audit, Reporting and Security Reviews

7.3.1 Appropriate audit trail mechanisms must be enabled on key systems including:

- Accounting (including login failures and process termination states);
- Auditing (including changes to accounts and break in attempts); and
- TCP logging (including records of all TCP/IP connections to the systems).

7.3.2 From time to time the Supplier may change the level of auditing required and such changes will use the Change Control Procedures, as set out in Schedule 5.

7.3.3 The Supplier shall use the Serious Incident Management service (as described in the Service Level Agreement in Schedule 2) to respond to any serious information security incidents.

7.3.4 On commencement of this Agreement, Supplier shall appoint or nominate a representative to be a specific point of contact on any security matters or concerns in relation to provision of the Services.

7.3.5 The Supplier will host a quarterly information security forum to review events within the previous period and, where appropriate, present any proposed improvements for the next period.

Schedule 8 — NCC Escrow Form

ORDER FORM

(Please complete where applicable after consultation with your Escrow Account Manager).

To avoid delays please ensure that all parts of this form have been completed before returning to NCC Group.

For orders for non-standard agreements please enclose a copy of the amended proposed agreement with all amendments duly highlighted and also e-mail a soft copy to the Account Manager.

NCC Group cannot commence work until we have received commitment to payment. Please therefore ensure that you have completed the payment details in Section 7.

By submitting this order form to NCC Group you agree to be bound by NCC Group’s Standard Terms and Conditions for Escrow Solutions orders and/or for Verification Services where applicable (available upon request).

Please be aware that legal documents will be drawn up on the basis of the information supplied in this order form. NCC Group reserves the right to charge for additional work incurred as a result of any incorrect details supplied.

Section 1 — Please tick the party who will be responsible for payment of the following fees when they become due and payable

	Owner	Licensee	Distributor
Initial fee			
Non-standard agreement fee			
Annual fee(s)			
Integrity plus fee			
Full verification fee			
Escrow secure fee			
Escrow complete fee			
Deposit update fee(s)			
Release fee			

Section 2 — Agreement Details

Agreement type (e.g. single licensee, development etc.)
Name of Material to be deposited (e.g. s/w package name)
Who is responsible for depositing material
Who is contractually bound to maintain the material under the licence/maintenance agreement

Section 3 — Owner of the Intellectual Property Rights (IPRs)

Company Name
Registered Office Address
Company Registration No.
Correspondence Address
VAT No.
Contact Name
Job Title
Phone
Fax
e-mail

Section 4 — Licensee Details

Company Name
Registered Office Address
Company Registration No.
Correspondence Address
VAT No.
Contact Name
Job Title
Phone
Fax
e-mail

Company Name
Registered Office Address
Company Registration No.
Correspondence Address
VAT No.
Contact Name
Job Title
Phone
Fax
e-mail

Section 6 — Please indicate the services which are being ordered

Fee type	33.2.1..1.1.1 Description of fees	Unit Price	Qty	Cost
Initial Agreement Set-Up	For any agreement payable before commencement of work.	£945		£
Non-standard Agreement	Minimum charge for non-standard agreements payable before commencement of work. Work in excess of 2 hours will be charged at £150 per hour or part thereof, which will be invoiced separately.	From £345		£
Single Licensee Annual *	Single agreement annual fees, payable on signature of agreement and thereafter in advance of each anniversary.	£795		£
Multi Licensee Annual *	Payable per licensee upon registration under the agreement and thereafter in advance of each anniversary. A Minimum Annual Fee is payable if less than 2 Licensees are registered on any anniversary of agreement.	£670		£
Financial Model Annual	Payable on signature of agreement and thereafter in advance of each anniversary.	£945		£
Integrity Plus Testing Fee	Material to be deposited under the Escrow agreement is collected, integrity tested and audited at owner’s site by NCC Group. Payable upon completion of on-site testing.	£3,450 + expenses		£
Full Verification Service Fee	Full Verification Service which ensures that the deposited Source Code can be built into the latest working application. Payable upon completion of on-site testing.	£7,750 + expenses		£
Repeat Full Verification Fee	Repeat of a Full Verification. Payable upon completion of on-site testing.	£7,250 + expenses		£
Escrow Secure Fee	Comprehensive Escrow protection including cost of Initial fee & Full Verification fee. 20% of fee payable before commencement of work and 80% payable upon completion of the Full Verification.	£8,550 + expenses		£
Escrow Now	Full Verification conducted at NCC Group. Payable upon completion of testing.	From £10,995		£
Escrow Complete Fee	Full Verification at both the Owner’s and Licensee’s sites. 50% payable upon completion of each Full Verification.	From £15,250 + expenses		£
Please indicate the calendar month in which you require any ordered testing services to be carried out.		Month:		
Fee for Scheduled Update †	Per deposit after the first, invoiced on signature of the agreement and on each anniversary - £225 per unscheduled deposit	£150		£
Release	Payable per licensee on release request.	£100 + expenses		£

Please Note:

- **Credit card and BACS payment methods are available on request.**
- **Web Escrow & Development Escrow need a minimum of 3 additional scheduled updates**
- **Prices are effective until 31.10.07.**
- * **For Staggered Release agreements an annual fee will also be payable by the Distributor**
- † **Fixed price for one or dual deposits.**

Sub Total	£
VAT	
@ 17.5%	£
Total	£

33.2.1..1.1.2 Section 7 — Payment Details

Invoice (please quote official Purchase Order number)
Cheque attached (please make payable to “NCC Services Ltd”)

PO No:
Cheque No:

The signing and/or submission of this form to NCC Group allows NCC Group to commence work on this order and commits the person or company noted below to paying the fees set out in the 'Cost' column above when they are indicated as being due in the 'Description of fees' column above.

Address

Dated

2007

ATOS EURONEXT MARKET SOLUTIONS LIMITED

- AND -

ICE CLEAR EUROPE LIMITED

MANAGED SERVICES AGREEMENT

<u>Name of Subsidiary</u>	<u>Jurisdiction of Incorporation or Organization</u>
IntercontinentalExchange Holdings	United Kingdom
ICE Futures Europe	United Kingdom
ICE Clear Europe, Ltd.	United Kingdom
ICE Futures U.S., Inc.	Delaware, U.S.A.
ICE Clear U.S., Inc.	New York, U.S.A.
Creditex Group, Inc.	Delaware, U.S.A.

Consent of Independent Registered Public Accounting Firm

We consent to the incorporation by reference in the following Registration Statements:

(1) Registration Statement (Form S-3 No. 333-145048) of IntercontinentalExchange, Inc. and in the related Prospectus pertaining to the IntercontinentalExchange, Inc. shelf registration of common stock,

(2) Registration Statement (Form S-8 No. 333-130377) pertaining to the IntercontinentalExchange, Inc. 2000 Stock Option Plan, the IntercontinentalExchange, Inc. 2003 Restricted Stock Plan for Outside Directors, the IntercontinentalExchange, Inc. 2004 Restricted Stock Plan and the IntercontinentalExchange, Inc. 2005 Equity Incentive Plan, and

(3) Registration Statement (Form S-8 No. 333-153299) pertaining to the IntercontinentalExchange, Inc. Amended and Restated 1999 Stock Option/Stock Issuance Plan;

of our reports dated February 10, 2009, with respect to the consolidated financial statements and schedule of IntercontinentalExchange, Inc., and the effectiveness of internal control over financial reporting of IntercontinentalExchange, Inc., included in this Annual Report (Form 10-K) for the year ended December 31, 2008.

/s/ Ernst & Young LLP

Atlanta, Georgia
February 10, 2009

CERTIFICATIONS

I, Jeffrey C. Sprecher, certify that:

1. I have reviewed this Annual Report on Form 10-K for the year ended December 31, 2008 of IntercontinentalExchange, Inc.;
2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this report;
4. The registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the registrant and have:
 - (a) Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - (b) Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - (c) Evaluated the effectiveness of the registrant's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and
 - (d) Disclosed in this report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter (the registrant's fourth fiscal quarter in the case of an annual report) that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting; and
5. The registrant's other certifying officer and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the registrant's auditors and the audit committee of the registrant's board of directors (or persons performing the equivalent functions):
 - (a) All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the registrant's ability to record, process, summarize and report financial information; and
 - (b) Any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal control over financial reporting.

Date: February 11, 2009

/s/ Jeffrey C. Sprecher
Jeffrey C. Sprecher
Chairman of the Board and Chief Executive Officer

CERTIFICATIONS

I, Scott A. Hill, certify that:

1. I have reviewed this Annual Report on Form 10-K for the year ended December 31, 2008 of IntercontinentalExchange, Inc.;
2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this report;
4. The registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the registrant and have:
 - (a) Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - (b) Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - (c) Evaluated the effectiveness of the registrant's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and
 - (d) Disclosed in this report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter (the registrant's fourth fiscal quarter in the case of an annual report) that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting; and
5. The registrant's other certifying officer and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the registrant's auditors and the audit committee of the registrant's board of directors (or persons performing the equivalent functions):
 - (a) All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the registrant's ability to record, process, summarize and report financial information; and
 - (b) Any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal control over financial reporting.

Date: February 11, 2009

/s/ Scott A. Hill

Scott A. Hill

Senior Vice President, Chief Financial Officer

CERTIFICATION PURSUANT TO
18 U.S.C. SECTION 1350,
AS ADOPTED PURSUANT TO
SECTION 906 OF THE SARBANES-OXLEY ACT OF 2002

In connection with the Annual Report of IntercontinentalExchange, Inc. (the “Company”) on Form 10-K for the period ended December 31, 2008 as filed with the Securities and Exchange Commission on the date hereof (the “Report”), I, Jeffrey C. Sprecher, Chief Executive Officer of the Company, certify, pursuant to 18 U.S.C. Section 1350, as adopted pursuant to Section 906 of the Sarbanes-Oxley Act of 2002, that, to the best of my knowledge:

- (1) The Report fully complies with the requirements of Section 13(a) or 15(d) of the Securities Exchange Act of 1934; and
- (2) The information contained in the Report fairly presents, in all material respects, the financial condition and results of operations of the Company.

Date: February 11, 2009

/s/ Jeffrey C. Sprecher
Jeffrey C. Sprecher
Chairman of the Board and Chief Executive Officer

CERTIFICATION PURSUANT TO
18 U.S.C. SECTION 1350,
AS ADOPTED PURSUANT TO
SECTION 906 OF THE SARBANES-OXLEY ACT OF 2002

In connection with the Annual Report of IntercontinentalExchange, Inc. (the “Company”) on Form 10-K for the period ended December 31, 2008 as filed with the Securities and Exchange Commission on the date hereof (the “Report”), I, Scott A. Hill, Chief Financial Officer of the Company, certify, pursuant to 18 U.S.C. Section 1350, as adopted pursuant to Section 906 of the Sarbanes-Oxley Act of 2002, that, to the best of my knowledge:

- (1) The Report fully complies with the requirements of Section 13(a) or 15(d) of the Securities Exchange Act of 1934; and
- (2) The information contained in the Report fairly presents, in all material respects, the financial condition and results of operations of the Company.

Date: February 11, 2009

/s/ Scott A. Hill

Scott A. Hill
Senior Vice President, Chief Financial Officer